COOPERATIVE DEVELOPMENT GUIDEBOOK FOR BANGSAMORO COMMUNITIES

A Practical Guide for Community Organizers, Cooperative Officers, and CSEA-BARMM Staff

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BANGSAMORO GOVERNMENT

BANGSAMORO AUTONOMOUS REGION IN MUSLIM MINDANAO

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About This Guidebook

Purpose

This guidebook teaches you how to build a cooperative from the ground up — and how to keep it running, compliant, and growing. It covers the full lifecycle: from the first conversation in your community about forming a cooperative, through registration with CSEA-BARMM, governance and financial management, all the way to growth, federation, and connection to the Bangsamoro Development Plan.

Who This Guidebook Is For

If you are organizing a new cooperative, start at Chapter 1 and work through sequentially. Chapters 1 through 4 walk you from the idea stage through registration.

If you already lead an existing cooperative, jump to the chapters that address your current challenges. Governance problems? Chapter 5. Compliance deadlines? Chapter 9. Financial management? Chapter 7.

If you work at CSEA-BARMM or as a Local Government Unit Cooperative Development Officer, use this guidebook as a reference for the communities you serve. The appendices provide templates you can distribute directly to cooperative organizers.

What Makes This Guidebook Different

Most cooperative development materials are written for a generic Philippine audience. This guidebook is written specifically for **Bangsamoro communities**. That means:

- **Shari'ah compliance** is integrated throughout — not added as an afterthought. Every chapter that touches finance, governance, or business operations addresses Islamic requirements.
- **BTA Bill 210** (the Bangsamoro Cooperative and Social Enterprise Code) is covered alongside RA 9520. You will understand both the current law and the law that is coming.
- **The 12 Pillars of Moral Governance** are woven into governance and leadership chapters — because the Bangsamoro government holds its institutions to this standard.

- **BDP 2023-2028 alignment** connects your cooperative's work to the region's development goals. Your cooperative is not just a business — it is a contribution to Bangsamoro development.
- **Real templates and tools** in the appendices are ready to use. They are not generic samples — they reflect CSEA-BARMM requirements and Bangsamoro practice.

How to Use This Guidebook

Each chapter opens with **why the topic matters** — not with definitions. Read that section first to understand the stakes.

Bold terms throughout the text highlight key concepts. If you are scanning quickly, the bold text gives you the gist.

Footnotes cite every legal provision, statistic, and framework. If you need to verify a claim or trace it to its source, the footnote tells you exactly where to look.

Cross-references connect chapters to each other. When Chapter 4 (Registration) mentions governance structures you will set up, it points you to Chapter 5. Follow these links when you need deeper context.

Appendices at the back are detachable tools — checklists, templates, quick reference cards. Print them, photocopy them, distribute them to your cooperative's officers and members.

A Note on BTA Bill 210

As of this writing, BTA Bill 210 (the Bangsamoro Cooperative and Social Enterprise Code) is pending before the Bangsamoro Parliament. This guidebook covers both RA 9520 (the current governing law) and BTA Bill 210 (the anticipated Bangsamoro law). Where the two laws differ, this guidebook notes the difference and explains what your cooperative should prepare for. Chapter 14 covers the transition in detail.

About the Author

Saidamen "Sayeed" R. Mambayao has worked in governance, legislation, and cooperative development across the Bangsamoro region for over a decade.

Before the establishment of the Bangsamoro Autonomous Region, he served as a Consultant of the Cooperative Development Authority under the former Autonomous Region in Muslim Mindanao, where he led programs on cooperative development, Islamic finance, and executive leadership. He also served as Secretariat Head and Program Director of the Bangsamoro Executives and Leaders League (BELL), Inc., and held leadership roles in the ARMM Islamic Finance Sub-Cluster and the Bangsamoro Coalition on Social Enterprise.

When the Bangsamoro Transition Authority was established in 2019, he led the development and implementation of two BARMM flagship programs: the Access to Higher and Modern Education (AHME) Scholarship Program under the Ministry of Basic, Higher, and Technical Education, and the Engaging the SK, Empowering the Youth (ESKEY) Program under the Ministry of the Interior and Local Government. He later served as Chief of Staff at the Office of a Member of Parliament, where he assisted on legislative portfolios covering women, youth, children, persons with disabilities, cooperatives, social enterprises, and halal industries. He drafted and reviewed legislative measures on scholarships, cultural heritage preservation, assistance to Other Bangsamoro Communities, and cooperative and social enterprise development. He also served as OIC-Legislative Affairs at the Office of MP Sittie Fahanie S. Uy-Oyod.

He is the Founder of MoroTech and MoroAcademy, social enterprises empowering Bangsamoro organizations and communities through knowledge and technology, and the Founding Chairperson of the Bangsamoro Scholars Association. He also founded the SEED Initiative, a consultancy and training firm focused on cooperative and social enterprise development. He is an Active Citizen and graduate of the British Council's CSO-SEED Business and Investment Readiness Program.

Introduction

Out of 12,214 cooperatives registered in the Bangsamoro region between 2010 and 2020, only 1,424 — **11.66 percent** — secured their certificates of compliance.[1] That means nearly nine out of every ten cooperatives in BARMM cannot prove they meet minimum legal requirements. They cannot access government programs. They cannot partner with international donors. They cannot fully serve the communities that formed them.

This is not a minor administrative gap. The Bangsamoro Development Plan 2023-2028 identifies the **low functionality and unsustainable profitability of cooperatives** as the priority challenge for the cooperative and social enterprise sub-sector.[2] The BDP sets a target of raising compliance to **50 percent** by 2028 — more than quadrupling the current rate.[3] Reaching that target requires more than goodwill. It requires that cooperative organizers, officers, and supporting agencies understand exactly what the law demands and how to meet those demands in the Bangsamoro context.

That context is unlike any other in the Philippines. Cooperatives here must navigate **RA 9520** (the Philippine Cooperative Code of 2008), align with the **twelve pillars of moral governance**, respect the requirements of **Shari'ah compliance**, and prepare for a new legislative framework under **BTA Bill No. 210** (the proposed Bangsamoro Cooperative and Social Enterprise Code).[4] Many cooperatives — especially those organized by former combatants under the normalization process — face policies carried over from the defunct Cooperative Development Authority, making compliance even harder.[5]

This guidebook exists because that situation is unacceptable and fixable.

Why This Guidebook Exists

No BARMM-specific cooperative development guidebook exists today. The materials available to cooperative organizers in the Bangsamoro are generic national references designed for a context that does not account for Shari'ah-compliant transactions, moral governance standards, or the unique institutional landscape of the Bangsamoro Transition Authority. A cooperative officer in Cotabato City or Jolo faces questions that a manual written for Metro Manila cannot answer: How do you structure bylaws that comply with both RA 9520 and Islamic prohibitions on *riba* (usury)? What role does the Cooperative and Social Enterprise Authority (CSEA) play versus the national CDA? How should your cooperative prepare for the provisions of BTA Bill No. 210 once it becomes law?

This guidebook fills that gap. It provides a **single, practical, Bangsamoro-grounded reference** that walks you through every stage of cooperative development — from deciding whether a cooperative is the right vehicle for your community, through registration, governance, operations, compliance, and growth. Every chapter draws on the Bangsamoro Organic Law (RA 11054), the BDP 2023-2028, the pending Bangsamoro Cooperative and Social Enterprise Code (BTA Bill No. 210), and the regulatory framework of CSEA.

Where national law applies, we tell you. Where Bangsamoro-specific rules add requirements or open new possibilities, we tell you that too. The goal is not to replace legal counsel but to give you the knowledge you need to ask the right questions, make informed decisions, and build cooperatives that actually work.

Who This Guidebook Is For

This guidebook serves three audiences. Find yours and start where it makes the most sense for you.

If you are a community organizer or prospective cooperative founder — someone gathering fifteen or more people to form a cooperative — start with **Chapter 1** (why cooperatives matter in the Bangsamoro context) and read straight through **Chapter 4** (registration). These chapters give you the foundations and the step-by-step process to get your cooperative legally established. Return to the later chapters as your cooperative grows.

If you are a sitting cooperative officer — a board director, committee chair, manager, or treasurer of an existing cooperative — you likely need help with governance, financial management, or compliance. Start with **Chapter 5** (governance), **Chapter 7** (financial management), or **Chapter 9** (compliance). Use the table of contents and cross-references to navigate directly to your concern.

If you are a government worker, LGU official, or development partner supporting cooperatives — a CSEA field officer, a Municipal Cooperative Officer, a MAFAR agrarian reform specialist, or an NGO project manager — **Chapter 13** (the CSEA ecosystem) and **Chapter 14** (the future of cooperatives under BTA Bill No. 210) give you the policy and institutional framework. The appendices provide templates and checklists you can distribute to the cooperatives you assist.

How This Guidebook Is Organized

The guidebook has **14 chapters** organized in **four parts**, designed to follow the lifecycle of a cooperative from concept to maturity.

Part I: Foundations (Chapters 1-2) answers the "why" and "what" questions. Chapter 1 explains why cooperatives matter for Bangsamoro communities — the economic case, the development mandate, and the alignment with moral governance. Chapter 2 helps you choose the right cooperative type for your community's needs, covering the categories recognized under RA 9520 and the additional classifications anticipated under BTA Bill No. 210.

Part II: Building (Chapters 3-4) covers everything from the first community meeting to the moment you receive your Certificate of Registration from CSEA. Chapter 3 walks you through the pre-formation process — the economic survey, the Pre-Registration Seminar, drafting your Articles of Cooperation and bylaws. Chapter 4 details the registration process, documentary requirements, and common reasons applications get returned.

Part III: Running (Chapters 5-10) is the operational core. Chapter 5 covers governance — your board, committees, and the general assembly. Chapter 6 addresses membership rights and responsibilities. Chapter 7 handles financial management, including Shari'ah-compliant alternatives to interest-based lending. Chapter 8 covers day-to-day operations and business planning. Chapter 9 explains compliance requirements — what you must file, when, and how to avoid losing your certificate. Chapter 10 addresses the education and training obligations that every cooperative must fulfill under the law.

Part IV: Growing (Chapters 11-14) looks beyond survival toward sustainability and scale. Chapter 11 covers growth strategies, federation, and inter-cooperative partnerships. Chapter 12 addresses dispute resolution — internal conflicts, mediation, and the adjudicatory role of CSEA. Chapter 13 maps the full CSEA ecosystem, including partnerships with MAFAR, MTIT, and international development agencies. Chapter 14 looks ahead to the Bangsamoro Cooperative and Social Enterprise Code (BTA Bill No. 210) and how your cooperative can prepare for the transition.

A Note on BTA Bill No. 210

BTA Bill No. 210 — the proposed Bangsamoro Cooperative and Social Enterprise Code — is pending before the Bangsamoro Parliament as of this writing.[6] Once enacted, it will establish the first comprehensive legal framework governing cooperatives and social enterprises specifically in BARMM, replacing reliance on national legislation for many provisions.

This guidebook covers **both** the current legal framework under **RA 9520** and the anticipated framework under **BTA Bill No. 210**. Where the two diverge — on definitions, registration requirements, governance standards, or Shari'ah compliance obligations — we note the difference clearly. **Chapter 14** provides a full analysis of the transition and what your cooperative should do now to prepare. Until BTA Bill No. 210 is enacted, **RA 9520 remains the governing law**.

Conventions Used in This Guidebook

The following conventions appear throughout the text to help you find what you need quickly:

- **Bold terms** mark key concepts, legal terminology, and important names on first use. When you see a bold term, it signals something worth understanding and remembering.
- **Footnotes** (marked with superscript numbers like this[7]) cite the specific legal provision, BDP section, or data source behind every claim. Check the footnotes when you need to verify a statement or locate the original source.
- **Cross-references** point you to related chapters and sections (e.g., "see Chapter 7, Section 7.3"). Follow these when a topic connects to material covered elsewhere in the guidebook.
- **Blockquotes** set off verbatim legal text from the BOL, RA 9520, or BTA Bill No. 210:

> *Verbatim provisions appear in this format so you can distinguish exact legal language from our explanation of it.*

- **Appendix templates** at the back of the guidebook provide ready-to-use documents — sample Articles of Cooperation, bylaws, economic survey forms, board resolutions, and compliance checklists. These are referenced by chapter and designed for you to adapt to your cooperative's specific needs.
- Where BTA Bill No. 210 changes or adds to the current framework under RA 9520, we mark the relevant passage with **[BTA Bill 210]** so you can distinguish current law from anticipated law.

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1. Bangsamoro Development Plan (BDP) 2023-2028, Chapter 7: Creating a Favorable Enabling Environment for an Inclusive, Resilient, and Robust Economy. Of 12,214 registered cooperatives (2010-2020), only 1,424 (11.66%) secured certificates of compliance. ↩
2. BDP 2023-2028, Chapter 7, Sectoral Objective 2.5 under Goal 2 (Equitable, competitive, and robust economy). The BDP identifies "low functionality and unsustainable profitability of cooperatives" as the priority challenge. ↩
3. BDP 2023-2028, Chapter 7. The target compliance rate is 50%, up from 11.66%. ↩

4. Republic Act No. 11054 (Bangsamoro Organic Law), Article XIII, Section 24, mandates the Bangsamoro Government to “adopt and implement cooperative development policies and programs through the enactment of a Bangsamoro cooperative code.” Article XIII, Section 27 further directs the Bangsamoro Government to “recognize, protect, and promote the establishment of cooperative enterprises.” BTA Bill No. 210 responds to this mandate. ↩
5. BDP 2023-2028, Chapter 7. The CSEA “is in its transition phase from being the sole agency mandated to register cooperatives in the defunct ARMM - Cooperative Development Authority (CDA). The policies and guidelines for cooperatives were predominantly aligned with the previous entity, making the newly registered cooperatives, which were mainly composed of former combatants, encounter difficulties in complying with the requirements.” ↩
6. BTA Parliament Bill No. 210, “An Act Providing for the Bangsamoro Cooperative and Social Enterprise Code,” introduced by MP Diamila Disimban-Ramos, MP Ishak Mastura, MP Lanang Ali Jr., and others. The bill comprises four books covering general provisions, cooperative development, social enterprise development, and miscellaneous and final provisions. ↩
7. This is an example footnote demonstrating the citation format used throughout this guidebook. ↩

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01

Why Cooperatives Matter in the Bangsamoro

Out of every ten cooperatives registered in the Bangsamoro, fewer than two are functional. The rest exist on paper. They have certificates of registration, articles of cooperation, and bylaws gathering dust in filing cabinets. They held their organizing assembly, elected their first board, and then – nothing. No annual reports. No general assemblies. No certificate of compliance. No business operations.

You already know this. You have seen it in your barangay, your municipality, your province. A cooperative was organized, received initial capital, and then dissolved into inactivity. The members lost their investment. The community lost an opportunity. The cycle repeated.

This chapter explains why that pattern persists and why cooperatives – properly organized, properly governed, and properly supported – remain your best available tool for building economic self-reliance in the Bangsamoro.

1.1 The Problem: Low Functionality and Unsustainable Profitability

The Bangsamoro Development Plan (BDP) 2023-2028 names the core problem directly: **low functionality and unsustainable profitability of cooperatives**.[1] This is not a minor administrative finding. It describes a systemic failure that affects hundreds of thousands of Bangsamoro families.

1.1.1 The 11.66 Percent Compliance Reality

Between 2010 and 2020, the Bangsamoro region had **12,214 registered cooperatives**.[2] Of those, only **1,424 – or 11.66 percent – were able to secure their certificate of compliance** with the requirements set by law.[3]

Think about what that number means. For every cooperative that met its basic legal obligations, roughly **eight did not**. They failed to submit annual reports. They failed to hold general assemblies. They failed to file their audited financial statements within the 120-day deadline.

The geographic concentration makes the picture clearer. **Maguindanao** accounts for 4,671 cooperatives (38.24 percent of the regional total), and **Lanao del Sur** accounts for 4,554 (37.29 percent).[4] These two provinces hold more than 75 percent of all registered cooperatives in the region. If compliance fails here, it fails everywhere.

The breakdown by type reveals what kinds of cooperatives dominate – and struggle:

Cooperative Type	Number	Percent Share
Producer cooperatives	4,590	37.58%
Marketing cooperatives	3,364	27.54%
Agricultural cooperatives	1,566	12.82%
Multi-purpose, credit, and others	2,694	22.06%

Source: BDP 2023-2028, Chapter 7

Producer and marketing cooperatives make up nearly two-thirds of the total. These are the cooperatives most directly tied to the livelihoods of farmers, fishers, and small-scale producers. When they fail, the people who can least afford failure are the ones who pay.

The BDP 2023-2028 sets an ambitious target: **raise the compliance rate from 11.66 percent to 50 percent** by the end of the plan period.[5] That means moving from 1,424 compliant cooperatives to over 6,000. Every chapter in this guidebook is designed to help you reach that target.

1.1.2 What "Non-Functional" Actually Means for Communities

Statistics measure compliance. They do not measure consequences.

When a cooperative becomes non-functional, real people absorb the damage:

- **Members lose their capital contributions.** A fisher in Tawi-Tawi who invested PHP 5,000 in a seaweed cooperative that never operated has lost money the family needed. That member will not trust cooperatives again.
- **Communities lose access to collective bargaining.** A single cassava farmer in Lanao del Sur has no leverage with traders. A functioning cooperative with 50 members can negotiate prices, share transportation costs, and access markets that no individual farmer can reach alone.
- **Government programs lose their delivery channel.** Most interventions from development partners and government agencies – especially MAFAR – are channeled through cooperatives or organized groups.[6] When cooperatives are non-functional, the assistance has nowhere to go.
- **Former combatants lose their transition pathway.** The BDP identifies cooperatives organized by former MILF and MNLF members as critical to the peace process.

These cooperatives face particular compliance difficulties because the policies and guidelines were designed for the previous CDA structure.[7]

- **The poverty cycle continues.** BARMM recorded a poverty incidence of **29.80 percent in 2021** – down from 52.6 percent in 2018, a significant improvement, but still the highest among all regions.[8] Approximately **408,951 Bangsamoro families live in poverty**.[9] Functional cooperatives are one of the few proven mechanisms to aggregate resources, access markets, and distribute economic gains to the poor.

The 11.66 percent compliance rate is not just a regulatory statistic. It represents a broken bridge between government programs and the communities those programs are designed to serve.

1.1.3 Three Root Causes

The BDP 2023-2028 identifies three root causes behind cooperative failure in the Bangsamoro:[10]

1. Low compliance rate. Only 11.66 percent of cooperatives secured their certificate of compliance. The requirements – annual general assembly, audited financial statements, Cooperative Annual Performance Report (CAPR) submission – are straightforward. The problem is not complexity. The problem is that cooperatives were registered without the capacity, governance structure, or business model needed to sustain operations beyond the organizing phase.

2. Lack of an enacted cooperative and social enterprise code. The Bangsamoro Cooperative and Social Enterprise Code (BTA Bill No. 210) remains pending before the Bangsamoro Parliament.[11] Without this legislation, the cooperative sector operates under **RA 9520 (Philippine Cooperative Code of 2008)** – a national law that does not account for the Bangsamoro's unique governance framework, Shari'ah compliance requirements, or moral governance standards. The absence of a Bangsamoro-specific code slows the full operationalization and institutionalization of cooperatives and social enterprises.

3. Inadequate LGU participation. Most LGUs in the Bangsamoro region have **no appointed Municipal Cooperative Officers (MCOs)**.[12] Without MCOs, regional cooperative officers from CSEA find it difficult to coordinate at the LGU level. The cooperative sector's reach effectively ends at the provincial office. It never penetrates the municipalities and barangays where cooperatives actually operate.

Each of these root causes has a solution. This guidebook addresses all three – through practical guidance on governance and compliance (Chapters 4-9), alignment with both RA 9520 and BTA Bill 210 (Chapter 14), and strategies for LGU engagement (Chapter 13).

1.2 Cooperatives as a Tool for Bangsamoro Development

Cooperatives are not an end in themselves. They are instruments. The Bangsamoro Development Plan positions cooperatives as tools for achieving a specific development goal – and funds specific programs to make that goal real.

1.2.1 BDP 2023-2028: Goal 2, Objective 2.5 – Functional Cooperatives and Social Enterprises Increased

The BDP 2023-2028 organizes its economic development agenda under **Goal 2: Equitable, competitive, and robust economy**.[13] That goal envisions three things:

- An **equitable** economy where gains benefit all, with special consideration for the poor and marginalized
- A **competitive** economy with comparative advantage in selected commodities
- A **robust** economy with sustained growth and a diversified, stabilized base

Under Goal 2, the BDP establishes five sectoral objectives. Cooperatives fall under **Objective 2.5: Functional Cooperatives and Social Enterprises Increased**.[14] This objective has two sub-sector targets:

Sub-sector Objective	Target
2.5.1	Profitability of cooperatives increased
2.5.2	Established social enterprises increased

Notice the language. The BDP does not merely call for more cooperatives. It calls for **functional** cooperatives with **increased profitability**. Registration alone achieves nothing. The measure of success is economic performance.

1.2.2 Strategy 21 and Strategy 22: The Government's Commitment

The BDP assigns two priority strategies to the cooperative sector:[15]

Strategy 21 – Ensure profitability and functionality of cooperatives through: - Sufficient **technical and financial assistance** - Institutionalization of a **monitoring and evaluation system and mechanism** - **Community promotion** of cooperatives - **Capacitation of human resources**

Strategy 22 – Institutionalize enabling policies for the establishment of **social enterprises** in the BARMM.

These strategies are not aspirational statements. They are backed by specific programs with defined projects.

1.2.3 Four Programs You Should Know

The BDP funds four key programs under the cooperative and social enterprise sector:[16]

1. PESO Project (Profitability and Equity Support Oriented). This project provides financial and technical assistance to improve cooperative profitability. If your cooperative needs business planning support, financial management training, or capital assistance, PESO is the channel.

2. LAKAS SE Program (Lakbay Aral sa Social Enterprise). This is a learning program for social enterprise development. It exposes participants to models, best practices, and operational frameworks for social enterprises in the Bangsamoro context.

3. STOCK Project (Strengthening of Technical and Operational Knowledge). Under the Combatant Transitional Program, STOCK provides capacity building specifically for cooperatives organized by former combatants. If your cooperative includes decommissioned members of the MILF or MNLF, this project targets your needs.

4. Cooperative Financial and Material Support Project. Also under the Combatant Transitional Program, this project provides direct financial and material assistance to former combatant cooperatives to support their business operations.

1.2.4 Why Cooperatives – and Not Just Any Enterprise

BARMM is rich in natural resources. Consider the top commodities where the region leads nationally:[17]

Commodity	Percent Share of National Production	National Rank
Seaweed	48.42%	1st
Cassava	41.70%	1st
Mangosteen	22.40%	2nd
Rubber	18.40%	3rd
Coffee	17.40%	3rd

BARMM produces nearly half the country's seaweed and more than 40 percent of its cassava. These are commodities where **collective action** creates value that individual production cannot. A seaweed farming cooperative in Tawi-Tawi can consolidate production, invest in post-harvest processing, negotiate directly with carrageenan exporters, and capture value that currently leaks to middlemen.

The same logic applies across every priority commodity. Consider the province-level priorities:[55]

Province	Priority Commodities
Maguindanao	Rubber, coffee, coconut, banana, goat
Lanao del Sur	Cassava, coconut, banana, abaca, coffee
Basilan	Rubber, coconut, seaweeds
Sulu	Coffee, cassava, abaca, seaweeds, coconut

Source: MAFAR, via BDP 2023-2028, Chapter 7

Each province has commodities where cooperatives can aggregate supply, share post-harvest facilities, and negotiate better prices. A rubber cooperative in Basilan can invest in processing equipment that no individual smallholder can afford. A coconut cooperative in Lanao del Sur can build a shared copra dryer to reduce post-harvest losses. A coffee cooperative in Sulu can establish quality control standards that open access to specialty coffee markets.

The Bangsamoro's economic potential is enormous. BARMM has the largest land area in the country at 11.17 percent of total national land area.[56] It has a young, dynamic population – 42 percent fall within the 15-39 age bracket, providing a large pool of trainable workforce.[57] The mechanism for unlocking that potential – for aggregating small producers, pooling capital, sharing risk, and accessing markets – is the cooperative.

The agrarian reform sector reinforces this point. As of October 2019, BARMM had **104 Agrarian Reform Communities (ARCs)** and **240 Agrarian Reform Beneficiary Organizations (ARBOs)** with a total of **34,743 members**.[58] These organizations are the cooperative movement's natural allies. Many ARBOs operate as cooperatives or aspire to become one. Strengthening the cooperative sector strengthens the agrarian reform sector – and both strengthen the Bangsamoro economy.

1.3 Islamic Foundations of Cooperative Enterprise

Cooperative principles did not originate in the Bangsamoro. But they are deeply compatible with Islamic values that the Bangsamoro has practiced for centuries. This section connects cooperative enterprise to its Islamic foundations – not as an afterthought, but as the moral and spiritual framework that makes Bangsamoro cooperatives distinct.

1.3.1 Collective Action in Islamic Tradition

Three concepts from Islamic tradition directly underpin cooperative enterprise:

Ta'awun (mutual assistance). The Qur'an commands believers to cooperate in righteousness and piety. Ta'awun is not charity. It is the obligation to work together for mutual benefit and collective welfare. When cooperative members pool their resources and share risks, they practice ta'awun.

Shirkah (partnership). Islamic commercial law recognizes shirkah as a partnership in which two or more parties combine capital, labor, or both to share profits and losses. This principle maps directly onto the cooperative model where members contribute equitably to capital, patronize cooperative services, and accept a fair share of risks and benefits.

Musharakah (joint venture). A specific form of shirkah, musharakah involves all partners contributing capital and sharing in management. In a cooperative, every member is simultaneously an owner, a patron, and a participant in governance. Musharakah describes this relationship precisely.

These are not abstract theological concepts. They are operating principles. When BTA Bill 210 requires cooperatives to adhere to Islamic principles, it is codifying practices that Bangsamoro communities already understand.

1.3.2 How Cooperatives Fulfill Maqasid al-Shari'ah

Maqasid al-Shari'ah refers to the objectives of Islamic law. BTA Bill 210, Section 7 requires cooperatives under the Shari'ah Governance Framework to fulfill these objectives.[18] There are five:

1. Preservation of faith (hifz al-din). A cooperative that operates according to Islamic principles – halal transactions, no riba, no gambling – enables its members to earn a livelihood without compromising their faith. The cooperative becomes a space where economic activity and religious obligation align.

2. Preservation of life (hifz al-nafs). Cooperatives that improve food security, provide access to healthcare through credit facilities, and create sustainable livelihoods directly serve the preservation of life. A cassava producers' cooperative that stabilizes household income in Lanao del Sur protects families from hunger.

3. Preservation of lineage (hifz al-nasl). Economic stability enables families to educate their children, maintain family bonds, and plan for the future. When cooperatives lift members out of poverty, they strengthen the family unit and ensure that future generations inherit opportunity rather than deprivation.

4. Preservation of intellect (hifz al-aql). Cooperative Principle 5 – Education, Training, and Information – requires cooperatives to invest in their members' knowledge. A cooperative that trains its members in financial literacy, agricultural techniques, or business management directly serves this maqasid.

5. Preservation of wealth (hifz al-mal). This is the most direct connection. Cooperatives exist to generate, protect, and grow the wealth of their members through lawful means. The prohibition against riba (usury), maysir (gambling), and gharar (excessive speculation) ensures that wealth generation follows Shari'ah-compliant pathways.[19]

1.3.3 Shari'ah Compliance in Practice

BTA Bill 210, Section 7 establishes specific Islamic principles that cooperatives under the Shari'ah Governance Framework must follow:[20]

Principle	What It Means for Your Cooperative
Halal transactions	Only permissible business activities, products, and services
Legitimate wealth	Earnings come from real economic activity, not speculation
Asset-based transactions	Every transaction is backed by actual goods or services
Risk sharing	Risks are distributed equitably among members – not dumped on borrowers
No riba (usury)	

Principle	What It Means for Your Cooperative
	No interest-based lending. Use profit-sharing arrangements instead
No maysir (gambling)	No lotteries, raffles, or games of chance
No gharar (excessive uncertainty)	Contracts must have clear, transparent terms
No haram products	No trade in alcohol, pork products, or other forbidden goods

Section 9 of BTA Bill 210 further requires the CSEA to adopt a Shari'ah governance framework. This includes establishing a **Shari'ah committee** in cooperatives – composed of at least three members competent in Shari'ah – to ensure compliance.[21]

For cooperatives seeking Shari'ah-compliant alternatives to conventional financial instruments, the framework provides clear substitutions:

Conventional Instrument	Shari'ah-Compliant Alternative
Interest-bearing loans	**Murabaha** (cost-plus financing)
Interest-bearing savings	**Wadiah** (safekeeping)
Conventional insurance	**Takaful** (mutual guarantee)
Standard joint venture	**Musharakah** (profit-and-loss sharing partnership)
Investor-funded enterprise	**Mudarabah** (profit-sharing with one party providing capital, the other providing labor)

You do not need to be a Shari'ah scholar to apply these principles. You need to understand that Bangsamoro cooperatives operate within a moral framework that conventional cooperative law does not address. BTA Bill 210 fills that gap.

1.4 The ICA Seven Cooperative Principles in Bangsamoro Context

The **International Cooperative Alliance (ICA)** adopted the current Statement on the Cooperative Identity at its Centenary Congress in Manchester in 1995.[22] These seven principles define what makes a cooperative a cooperative – as distinct from a corporation, an NGO, or a government program. Both RA 9520 and BTA Bill 210 explicitly adopt these principles.[23]

The cooperative movement traces its roots to 1844, when 28 weavers in Rochdale, England – facing poverty wages and exploitative merchants – pooled their resources and opened a small store that sold food at honest prices and distributed profits to members based on their purchases.[59] Those **Rochdale Pioneers** established the principles that, over 180 years later, still govern cooperatives worldwide. The Bangsamoro communities forming cooperatives today face different circumstances. But the core challenge is the same: ordinary people pooling resources to build economic power they cannot achieve alone.

Principles on paper accomplish nothing. Each principle below is paired with a concrete Bangsamoro example so you can see what it looks like in practice.

1.4.1 Each Principle Explained with Local Examples

Principle 1: Voluntary and Open Membership

> *Cooperatives are voluntary organizations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political or religious discrimination.*[24]

What this means: Nobody can be forced to join a cooperative. And nobody who is willing to accept the responsibilities of membership can be turned away based on gender, clan, political affiliation, or religious practice.

Bangsamoro example: A women's credit cooperative in Cotabato City accepts members from Maguindanaon, Maranao, Tausug, and Christian settler communities. Membership is based on willingness to save regularly and participate in cooperative governance – not on ethnicity, clan, or political alignment. If your cooperative restricts membership to one clan or one political faction, you are violating this principle.

Principle 2: Democratic Member Control

> *Cooperatives are democratic organizations controlled by their members, who actively participate in setting their policies and making decisions. Men and women serving as elected representatives, directors or officers are accountable to the membership. In primary cooperatives, members have equal voting rights of one-member, one-vote.*[25]

What this means: Every member gets one vote regardless of how much capital they contributed. The chairperson who invested PHP 50,000 has the same voting power as the member who invested PHP 1,000. Officers serve at the pleasure of the membership and must account for their decisions.

Bangsamoro example: A rubber producers' cooperative in Basilan holds its annual general assembly every March. Every member receives notice 15 days in advance. At the assembly, members review the financial statements, elect board members by secret ballot, and approve the annual budget. The outgoing board presents a full accounting of how funds were used. No single family controls the board. If your cooperative's general assembly is a rubber stamp where the chairperson announces decisions already made, you are violating this principle.

Principle 3: Member Economic Participation

> *Members contribute equitably to, and democratically control, the capital of their cooperative. At least part of that capital is the common property of the cooperative.*[26]

What this means: Members must contribute capital. Surpluses are allocated to three purposes: (1) reserves to develop the cooperative, (2) patronage refunds distributed in proportion to each member's transactions with the cooperative, and (3) other activities approved by the membership. Members receive limited compensation on capital – cooperatives are not investment vehicles for generating returns on equity.

Bangsamoro example: A multi-purpose cooperative in Lanao del Sur requires each member to contribute PHP 500 to the share capital and save at least PHP 100 per month. At year-end, the net surplus is allocated: 10 percent to a reserve fund, 3 percent to the community development fund, 7 percent to an education and training fund, and the remainder as patronage refund to members based on their volume of transactions. A mem-

ber who sold PHP 50,000 worth of cassava through the cooperative receives a larger patronage refund than a member who sold PHP 10,000 – not because they are more important, but because they patronized the cooperative more.

Principle 4: Autonomy and Independence

> *Cooperatives are autonomous, self-help organizations controlled by their members. If they enter into agreements with other organizations, including government, or raise capital from external sources, they shall do so on terms that ensure democratic control of their members and maintain cooperative autonomy.*[27]

What this means: Government can support cooperatives. Development partners can fund cooperatives. But no external entity should control cooperative decisions. If a government program provides capital on the condition that the cooperative buy inputs from a specific supplier or hire a specific manager, that condition violates cooperative autonomy.

Bangsamoro example: A seaweed farming cooperative in Tawi-Tawi receives technical assistance and seedling support from MAFAR. The cooperative accepts the assistance gratefully – but its board independently decides which varieties to cultivate, which buyers to sell to, and how to allocate the cooperative's profits. MAFAR provides support. The members make decisions. These are separate functions.

Principle 5: Education, Training, and Information

> *Cooperatives shall provide education and training for members, elected and appointed representatives, managers, and employees, so that they can contribute effectively and efficiently to the development of their cooperatives.*[28]

What this means: Cooperatives must invest in their people. This is not optional. RA 9520 requires cooperatives to allocate a portion of net surplus to an Education and Training Fund. BTA Bill 210 reinforces this requirement. A cooperative that does not train its officers in governance, its managers in financial management, and its members in their rights and responsibilities is a cooperative heading toward non-compliance.

Bangsamoro example: A coffee producers' cooperative in Sulu allocates 7 percent of its annual net surplus to education and training. Each year, it sends two board members to CSEA's officer training program and conducts a one-day financial literacy seminar for all members. New members complete a Pre-Membership Education Seminar (PMES) before admission. The cooperative also invites extension workers from MAFAR to train members on improved coffee processing techniques. Education is not a cost. It is an investment that keeps the cooperative functional.

Principle 6: Cooperation Among Cooperatives

> *Cooperatives serve their members most effectively and strengthen the cooperative movement by working together through local, regional, national and international structures.*[29]

What this means: Cooperatives should not operate in isolation. Three or more primary cooperatives doing the same line of business can form a federation – a secondary cooperative that provides shared services, market access, and collective bargaining power that no primary cooperative can achieve alone.

Bangsamoro example: Five seaweed cooperatives in the municipalities of Sitangkai and Sibutu in Tawi-Tawi form a municipal federation. The federation negotiates directly with carrageenan exporters in Cebu, achieving prices 15 percent higher than what individual cooperatives could negotiate. The federation also establishes a shared drying facility, reducing post-harvest losses. Alone, each cooperative is small. Together, they are the largest seaweed supplier in the municipality.

Principle 7: Concern for Community

> *Cooperatives work for the sustainable development of their communities through policies approved by their members.*[30]

What this means: Cooperatives are not just businesses for their members. They have an obligation to contribute to the broader community. RA 9520 requires cooperatives to allocate a Community Development Fund (CDF) from net surplus for community projects.

Bangsamoro example: A multi-purpose cooperative in Maguindanao allocates 3 percent of its annual net surplus to its Community Development Fund. The members vote to use the fund for three projects: a barangay water system improvement, a back-to-school supply distribution for 100 students, and a tree-planting activity along the riverbank. The cooperative did not build these programs because someone told it to. The members decided – through the general assembly – that these were the community's priorities.

1.4.2 Moral Governance as the Eighth Principle

The seven ICA principles are universal. They apply to cooperatives from Rochdale to Cotabato. But BTA Bill 210 adds a dimension that no other cooperative code in the Philippines includes: **moral governance**.[31]

Section 8 of BTA Bill 210 defines moral governance as:

> *"An approach in governance of cooperatives and social enterprises that is guided by moral principles of enjoining what is right and forbidding what is wrong."*[32]

The Bill enumerates thirteen moral governance principles that cooperatives must observe:

#	Principle	What It Requires of Your Cooperative
1	**Servitude**	Leaders serve members, not the other way around
2	**Purity and sincerity of intentions**	Decisions are made for the cooperative's benefit, not personal gain
3	**Honesty**	Financial statements reflect reality. Inventories are accurate. Reports are truthful
4	**Integrity**	Officers have no hidden financial interests in cooperative transactions
5	**Accountability**	Every peso is accounted for. Every decision is documented
6	**Excellence**	Operations meet the highest achievable standard

#	Principle	What It Requires of Your Cooperative
7	**Stewardship**	Resources are managed as a trust, not personal property
8	**Balance**	Economic goals and moral obligations receive equal weight
9	**Harmony**	Internal conflicts are resolved through consultation, not power plays
10	**Consultation**	Major decisions involve member input before board action
11	**Justice**	Benefits and burdens are distributed fairly among members
12	**Trust**	Members, officers, and staff operate in an environment of mutual confidence
13	**Sincerity of deeds**	Actions match stated intentions

Section 8 also requires cooperatives to:[33]

- **Abide by the laws** of the land and regulations issued by the CSEA and other regulatory bodies
- **Adopt their own code of moral principles** and ethical standards
- **Adopt rules, processes, and practices** completely devoid of graft and corruption

The Bangsamoro government's **12 Pillars of Moral Governance** provide the broader framework:[34]

1. Integrity
2. Accountability
3. Transparency and honesty
4. Sense of patriotism
5. Striving for excellence
6. Cultural understanding and tolerance
7. Unwavering loyalty to God

8. Justice
9. Inclusivity
10. Objectivity
11. Dialogue and meaningful engagement
12. Balance between practical life and moral side

These pillars are not decorative. They are the governance standard that the Bangsamoro government applies to all its institutions – including cooperatives. When you organize a cooperative in the Bangsamoro, you are building an institution that must meet both the ICA's universal cooperative principles and the Bangsamoro's moral governance framework.

This dual standard is not a burden. It is an advantage. A cooperative governed by both the seven ICA principles and the moral governance framework earns deeper trust from its members, its community, and its regulators than a cooperative governed by commercial efficiency alone.

1.5 The Legal Framework: Three Laws You Need to Know

Three pieces of legislation define the legal landscape for cooperatives in the Bangsamoro. One is current national law. One is pending Bangsamoro legislation. One is the Bangsamoro Organic Law that gives the Bangsamoro government authority over cooperatives in the first place.

You need to understand all three.

1.5.1 RA 9520 (Philippine Cooperative Code of 2008) – What Applies Now

Republic Act No. 9520, the **Philippine Cooperative Code of 2008**, was signed into law on February 17, 2009.[35] It amended and strengthened RA 6938 (the Cooperative Code of 1990). It is the law that currently governs cooperative registration, organization, governance, operations, and dissolution across the Philippines – including the Bangsamoro.

Here is what you need to know about RA 9520:

Structure. The law has **19 chapters and 146 articles**.[36] It covers everything from general concepts (Chapter I) to specific types of cooperatives: agrarian reform cooperatives (Chapter XI), cooperative banks (Chapter XII), insurance cooperatives (Chapter XIII), credit cooperatives (Chapter XV), and electric cooperatives (Chapter XVII).

Declaration of Policy. Article 2 declares that the State shall foster the creation and growth of cooperatives as **practical vehicles for self-reliance** and shall harness people power toward **economic development and social justice**.[37]

Cooperative Definition. Under RA 9520, a cooperative is:

> *An autonomous and duly registered association of persons, with a common bond of interest, who have voluntarily joined together to achieve their social, economic, and cultural needs and aspirations by making equitable contributions to the capital required, patronizing their products and services and accepting a fair share of the risks and benefits of the undertaking in accordance with universally accepted cooperative principles.*[38]

The Seven Principles. Article 4 explicitly adopts the ICA's seven cooperative principles as the guiding framework for all Philippine cooperatives.[39]

Regulatory Body. Under RA 9520, the **Cooperative Development Authority (CDA)** is the national regulatory body. In the Bangsamoro, the **Cooperative and Social Enterprise Authority (CSEA)** performs this function – a transition from the CDA's former BARMM operations to a Bangsamoro-mandated agency.[40]

What RA 9520 does not cover. The law does not address Shari'ah compliance. It does not incorporate moral governance. It does not recognize social enterprises. It does not account for the unique circumstances of former combatant cooperatives. These gaps are precisely what BTA Bill 210 is designed to fill.

Until BTA Bill 210 is enacted, RA 9520 remains the operative law. Your cooperative must comply with its requirements. The practical chapters of this guidebook (Chapters 4-9) are grounded in RA 9520's provisions while anticipating BTA Bill 210's additions.

1.5.2 BTA Bill 210 (Bangsamoro Cooperative and Social Enterprise Code) – What Is Coming

BTA Bill No. 210 is the proposed **Bangsamoro Cooperative and Social Enterprise Code (BCSEC) of 2023**.[41] It was introduced by MP Diamila Disimban-Ramos, MP Ishak Mastura, MP Lanang Ali Jr., MP Rasul Mitmug Jr., MP Amilbahar Mawallil, MP Baintan Ampatuan, MP Eddie Alih, MP Michael Midtimbang, MP Ali Sangki, and MP Suharto Ambolodto, with thirteen co-authors.[42]

Status. The bill is pending before the Bangsamoro Parliament. The BDP 2023-2028 identifies its passage as essential for the operationalization of the cooperative sector.[43]

Structure. The bill spans 70 pages across four books:[44]

Book	Title	Coverage
Book I	General Provisions	Definitions, principles, CSEA mandate
Book II	Cooperative Development	Types, registration, governance, operations
Book III	Social Enterprise Development	SE definition, requirements, support mechanisms
Book IV	Miscellaneous and Final Provisions	Transitional rules, penalties, effectivity

What BTA Bill 210 adds beyond RA 9520:

1. Shari'ah compliance framework. Section 7 establishes Islamic principles for cooperatives. Section 9 mandates a Shari'ah governance framework and requires cooperatives to establish Shari'ah committees.[45] RA 9520 contains no equivalent provisions.

2. Moral governance. Section 8 embeds moral governance – with thirteen named principles – into cooperative law.[46] No other Philippine cooperative legislation does this.

3. CSEA authority. The bill establishes the Cooperative and Social Enterprise Authority as the Bangsamoro government's regulatory body for cooperatives and social enterprises, replacing the CDA's jurisdiction within the region.

4. Social enterprise recognition. Book III creates a legal framework for social enterprises – organizations whose primary purpose is addressing social, cultural, or environmental challenges, with profit as a secondary consideration.[47] RA 9520 does not cover social enterprises. National legislation on social enterprises remains absent.[48]

5. Bangsamoro identity. Section 5 requires cooperatives to conduct affairs in accordance with **moral governance and the cultures, good values and experiences of the constituents of the region** as well as universally accepted cooperative principles.[49] This is a Bangsamoro-specific provision with no national equivalent.

Purpose statement. Section 2 of BTA Bill 210 frames the cooperative sector's role expansively. The Code aims to:[50]

- **Reduce poverty**, address inequality, and build peace
- Establish a comprehensive legal framework promoting **equity, social justice, and economic development**
- Encourage **self-reliance, mutual assistance, and pooling of resources**
- Empower local communities while preserving the **environment and cultural heritage** of the Bangsamoro people
- Serve as an instrument for **peacebuilding and conflict resolution**, uniting diverse groups through shared economic interests

That final purpose – peacebuilding through shared economic interests – is distinctive. No other cooperative legislation in the Philippines frames cooperatives as peace instruments. In the Bangsamoro, where decades of armed conflict have shaped every institution, this framing reflects reality.

1.5.3 The Bangsamoro Organic Law (BOL)

Republic Act No. 11054, the **Bangsamoro Organic Law**, is the foundational legislation that created the Bangsamoro Autonomous Region in Muslim Mindanao (BARMM). It is the source of the Bangsamoro government's authority over cooperative development.

Three BOL provisions matter for your cooperative work:

BOL Article V, Section 2 – Enumerated Powers. This section lists the matters over which the Bangsamoro government exercises authority. Item (k) explicitly includes **"cooperatives and social entrepreneurship"** as an enumerated power of the Bangsamoro government.[51]

This is the constitutional basis. The Bangsamoro government does not regulate cooperatives by delegation or agreement. It exercises this power by organic law, granted through the national plebiscite that ratified the BOL.

BOL Article XIII, Section 24 – Trade and Industry. This section states:

> *"The Bangsamoro Government recognizes the private sector as a mover of trade, commerce, and industry. To achieve equity, social justice, and economic development, it shall encourage and support the building up of entrepreneurial capability in the Bangsamoro Autonomous Region and shall recognize, promote, protect, and support the development of cooperatives and other medium, small, and micro enterprises.* ***It shall adopt and implement cooperative development policies and programs through the enactment of a Bangsamoro cooperative code.****"*[52]

Read that last sentence carefully. The BOL does not merely permit a Bangsamoro cooperative code. It directs the Bangsamoro government to enact one. BTA Bill 210 is the legislative response to this mandate.

BOL Article XIII, Section 27 – Cooperatives and Social Entrepreneurship. This section provides:

> *"The Bangsamoro Government shall recognize, protect, and promote the establishment of cooperative enterprises. It shall likewise encourage and promote social entrepreneurship as a means to engage the private sector to assist in the development, funding, and implementation of solutions to social, cultural, or environmental issues."*[53]

The section further mandates:

> *"The Parliament shall pass laws to strengthen the growth and development of social enterprises in the Bangsamoro Autonomous Region to achieve social justice, social equity, and economic efficiency."*[54]

Together, these three provisions establish a clear chain of authority:

1. The **BOL** grants the Bangsamoro government power over cooperatives (Art. V, Sec. 2)
2. The **BOL** mandates the enactment of a Bangsamoro cooperative code (Art. XIII, Sec. 24)
3. The **BOL** mandates legislation to strengthen social enterprises (Art. XIII, Sec. 27)
4. **BTA Bill 210** fulfills mandates #2 and #3 – once enacted
5. **RA 9520** provides the current operative framework until BTA Bill 210 is passed

Your cooperative exists within this legal architecture. Understanding it protects you from two common mistakes: assuming that only national law applies (it does not – the Bangsamoro has autonomous authority), and assuming that BTA Bill 210 is already law (it is not – it remains pending).

1.5.4 CDA Memorandum Circulars: The Regulatory Details

The three laws above set the framework. **CDA Memorandum Circulars** fill in the operational details – registration procedures, training requirements, compliance deadlines, and reporting formats. These circulars apply in BARMM until CSEA issues its own regulations.

The table below lists the key circulars referenced throughout this guidebook. Keep this as a quick reference – each circular is discussed in detail in the chapter where it applies.

MC Number	Subject	Guidebook Chapter
MC 2015-01	Registration Guidelines (base circular)	Chapter 4
MC 2016-02	Amendment to MC 2015-01 (paid-up capital requirements)	Chapter 4
MC 2020-11	Validation Guidelines	Chapter 4
MC 2020-20	E-CoopRIS Online Registration System	Chapter 9
MC 2021-04	Performance Audit Report (PAR) and STEPS Framework	Chapter 9
MC 2022-25	Philippine Financial Reporting Framework for Cooperatives (PFRF)	Chapter 7
MC 2024-05		Chapter 4

MC Number	Subject	Guidebook Chapter
	Amendment to Registration Guidelines	
MC 2025-02	Certificate of Compliance (COC) Guidelines	Chapter 9
MC 2025-09	Required and Recommended Trainings for Cooperatives	Chapter 10
MC 2025-11	Pre-Registration Seminar (PRS) Revised Guidelines	Chapter 3

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What Comes Next

This chapter gave you the foundation. You now understand:

- **The problem:** 88.34 percent of Bangsamoro cooperatives are non-functional, and the consequences fall hardest on the poor
- **The development framework:** BDP Goal 2, Objective 2.5, Strategies 21 and 22 – with funded programs like PESO, STOCK, and LAKAS SE
- **The Islamic foundation:** Ta'awun, shirkah, and the maqasid al-Shari'ah ground cooperative enterprise in the values your community already holds
- **The seven principles:** Voluntary membership, democratic control, member economic participation, autonomy, education, cooperation among cooperatives, and concern for community – each with a Bangsamoro application
- **The moral governance framework:** Thirteen principles that elevate Bangsamoro cooperatives above conventional cooperative standards
- **The legal architecture:** RA 9520 (current law), BTA Bill 210 (coming law), and the BOL (the authority behind both)

Chapter 2 takes you from understanding to action. Before you register a cooperative, before you draft articles of cooperation, before you recruit a single member – you need to assess whether your community actually needs a cooperative and whether the conditions for success exist. That assessment process is what Chapter 2 teaches.

Footnotes

1. Bangsamoro Development Plan (BDP) 2023-2028, Chapter 7: Creating a Favorable Enabling Environment for an Inclusive, Resilient, and Robust Economy, section on "Cooperatives and Social Enterprise" priority challenges. ↩
2. BDP 2023-2028, Chapter 7. Total registered cooperatives in the Bangsamoro region from 2010 to 2020. ↩
3. BDP 2023-2028, Chapter 7. "Only 11.66 percent of registered cooperatives were able to secure their certificate of compliance with the requirements set by the law." ↩
4. BDP 2023-2028, Chapter 7. Distribution by province: Maguindanao at 4,671 cooperatives (38.24%), Lanao del Sur at 4,554 cooperatives (37.29%). ↩
5. BDP 2023-2028, Chapter 7. "Raising the number of compliances up to 50 percent will serve as the priority challenge for the cooperative and social enterprise sub-sector." ↩
6. BDP 2023-2028, Chapter 7. "It is a fact that most of the interventions especially from foreign donors are course through cooperatives or organized groups, thus the formation of ARCs and ARBOs." ↩
7. BDP 2023-2028, Chapter 7. "The policies and guidelines for cooperatives were predominantly aligned with the previous entity, making the newly registered cooperatives, which were mainly composed of former combatants, encounter difficulties in complying with the requirements." ↩
8. BDP 2023-2028, Chapter 9 (Social Development). BARMM poverty incidence improved from 52.6% in 2018 to 29.80% in 2021. "The region remains the poorest compared to other regions in the country." ↩
9. BDP 2023-2028, Chapter 9. Approximately 408,951 Bangsamoro families live in poverty. ↩
10. BDP 2023-2028, Chapter 7. Three root causes identified under the cooperative and social enterprise subsector. ↩
11. BDP 2023-2028, Chapter 7. "The pending codification of the Cooperative Code and Social Enterprise Code currently slows down the full operationalization and institutionalization of both Cooperatives and SE." ↩
12. BDP 2023-2028, Chapter 7. "Most LGUs in the Bangsamoro Region had no appointed MCOs." ↩
13. BDP 2023-2028, Chapter 7, Strategic Framework. Goal 2: Equitable, competitive, and robust economy. ↩
14. BDP 2023-2028, Chapter 7, Strategic Framework. Sectoral Objective 2.5: Functional Cooperatives and Social Enterprises Increased. ↩
15. BDP 2023-2028, Chapter 7, Priority Strategies. Strategy 21 and Strategy 22 under Cooperative and Social Enterprise. ↩
16. BDP 2023-2028, Chapter 7, Priority Programs under Cooperatives and Social Enterprise. Programs: PESO Project, LAKAS SE Program, STOCK Project, Cooperative Financial and Material Support Project. ↩
17. BDP 2023-2028, Chapter 7, Table 7.3: BARMM Top 10 Commodities by Percent Share, 2020. Source: Philippine Statistics Authority (PSA). ↩
18. BTA Bill No. 210, Section 7 (Islamic Principles). Lists the five objectives of maqasid al-Shari'ah: preservation of faith, life, lineage, intellect, and wealth. ↩
19. BTA Bill No. 210, Section 7(e). Prohibition of riba, maysir, gharar, and haram products and services. ↩
20. BTA Bill No. 210, Section 7. Full list of Islamic principles for cooperatives and social enterprises under the Shari'ah Governance Framework. ↩
21. BTA Bill No. 210, Section 9 (Shari'ah Governance and Shari'ah Compliance). "This shall include the establishment of a Shari'ah committee in the cooperatives composed of at least three members who have competence on Shari'ah." ↩

22. International Cooperative Alliance (ICA), Statement on the Cooperative Identity, adopted at the ICA Centenary Congress, Manchester, 1995. ↩
23. RA 9520, Article 4 (Cooperative Principles) adopts the ICA principles. BTA Bill No. 210, Section 5 (Cooperative Principles) likewise adopts the universally accepted principles of cooperation. ↩
24. BTA Bill No. 210, Section 5(i). Voluntary and Open Membership. ↩
25. BTA Bill No. 210, Section 5(ii). Democratic Member Control. ↩
26. BTA Bill No. 210, Section 5(iii). Member Economic Participation. ↩
27. BTA Bill No. 210, Section 5(iv). Autonomy and Independence. ↩
28. BTA Bill No. 210, Section 5(v). Education, Training, and Information. ↩
29. BTA Bill No. 210, Section 5(vi). Cooperation Among Cooperatives. ↩
30. BTA Bill No. 210, Section 5(vii). Concern for Community. ↩
31. BTA Bill No. 210, Section 8 (Moral Governance). Unique to the Bangsamoro cooperative framework; no equivalent exists in RA 9520 or any other Philippine cooperative legislation. ↩
32. BTA Bill No. 210, Section 8. Verbatim definition of moral governance. ↩
33. BTA Bill No. 210, Section 8(a)-(c). Three obligations imposed on cooperatives and social enterprises under moral governance. ↩
34. BDP 2023-2028, Chapter 4 (Bangsamoro Development Framework). The 12 Pillars of Moral Governance. ↩
35. RA 9520, Philippine Cooperative Code of 2008, signed into law on February 17, 2009. ↩
36. RA 9520 contains 19 chapters and 146 articles. ↩
37. RA 9520, Article 2 (Declaration of Policy). ↩
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39. RA 9520, Article 4 (Cooperative Principles). "Cooperatives shall be guided by universally accepted cooperative principles." ↩
40. BDP 2023-2028, Chapter 7. CSEA transition from CDA-BARMM operations. "CSEA is in its transition phase from being the sole agency mandated to register cooperatives in the defunct ARMM." ↩
41. BTA Bill No. 210, Section 1 (Title). "This Act shall be known as the 'Bangsamoro Cooperative and Social Enterprise Code (BCSEC) of 2023'." ↩
42. BTA Bill No. 210, title page. Principal authors and co-authors listed. ↩
43. BDP 2023-2028, Chapter 7. "The bill is essential for the operationalization of BCSE as it will serve as a legal basis for their existence and strategic planning and programming." ↩
44. BTA Bill No. 210, table of contents. Four books covering general provisions, cooperative development, social enterprise development, and miscellaneous/final provisions. ↩
45. BTA Bill No. 210, Section 7 (Islamic Principles) and Section 9 (Shari'ah Governance and Shari'ah Compliance). ↩
46. BTA Bill No. 210, Section 8 (Moral Governance). Thirteen principles enumerated: servitude, purity and sincerity of intentions and deeds, honesty, integrity, accountability, excellence, stewardship, balance, harmony, consultation, justice, trust, and sincerity of deeds. ↩
47. BTA Bill No. 210, Section 4 (General Concepts). "A social enterprise refers to any business organization whose primary purpose is addressing a social, cultural, or environmental challenge where creating profit for owners or shareholders is secondary." ↩
48. BDP 2023-2028, Chapter 7. "Unlike cooperatives, which exist by virtue of RA 9520, there is a lack of national government legislation relating to SE." ↩
49. BTA Bill No. 210, Section 5. "Every cooperative in the Bangsamoro Autonomous Region shall conduct its affairs in accordance with moral governance and the cultures, good values and experiences of the constituents of the region." ↩
50. BTA Bill No. 210, Section 2 (Purpose). Enumerated objectives of the Code. ↩

51. Republic Act No. 11054 (Bangsamoro Organic Law), Article V, Section 2(k). “Cooperatives and social entrepreneurship” listed among enumerated powers of the Bangsamoro government. ↩
52. Republic Act No. 11054, Article XIII, Section 24 (Trade and Industry in the Bangsamoro Autonomous Region). Verbatim provision. ↩
53. Republic Act No. 11054, Article XIII, Section 27 (Cooperatives and Social Entrepreneurship). First paragraph, verbatim. ↩
54. Republic Act No. 11054, Article XIII, Section 27. Second paragraph, verbatim. ↩
55. BDP 2023-2028, Chapter 7, Table 7.4: Priority Commodities by Province. Source: MAFAR. ↩
56. BDP 2023-2028, Chapter 7. “BARMM has the largest land area in the country, accounting for 11.17 percent of the total land area.” ↩
57. BDP 2023-2028, Chapter 7. “The region also has a dynamic and relatively young population, with 42 percent belonging to the 15-39-year-old age bracket.” ↩
58. BDP 2023-2028, Chapter 7, Table 7.2: Agrarian Reform Communities and Agrarian Reform Beneficiary Organizations Data. Source: MAFAR, as of October 2019. ↩
59. International Cooperative Alliance (ICA), Historical Context. “The modern cooperative movement traces its roots to 28 weavers in Rochdale, England who established the Rochdale Society of Equitable Pioneers in 1844.” ↩
60. CDA Memorandum Circulars. These circulars are issued by the Cooperative Development Authority and apply in BARMM pending the issuance of CSEA’s own regulations. ↩

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02

Understanding Cooperative Types and Choosing the Right One

The first decision you make about your cooperative is the most consequential. Choose the wrong type and you will spend years fighting a structure that does not match your community's needs. You will overpay for compliance. You will confuse your members. You will build governance for activities you never pursue while neglecting the ones that matter.

A women's savings group in Lanao del Sur registered as a multi-purpose cooperative because the organizer assumed bigger was better. The group wanted one thing: a **credit facility** for small loans among its thirty members. Instead, they inherited the governance burden of a multi-purpose structure — mandatory committees for lending, marketing, and production they never intended to operate, capital requirements nearly seven times higher than necessary, and reporting obligations that overwhelmed their part-time treasurer. Within two years, they lost their certificate of compliance. They joined the **88.34 percent** of BARMM cooperatives that cannot prove they meet minimum legal requirements.[1]

That outcome was preventable. This chapter gives you the tools to prevent it.

2.1 Types of Cooperatives Under Philippine and Bangsamoro Law

Two legal frameworks define cooperative types in BARMM. **RA 9520** (the Philippine Cooperative Code of 2008) applies today and governs all cooperatives registered with CSEA.[2] **BTA Bill No. 210** (the proposed Bangsamoro Cooperative and Social Enterprise Code) will replace many of these provisions once enacted.[3] The good news: both frameworks recognize substantially the same cooperative types. The differences lie in the details — and in the addition of social enterprises under BTA Bill No. 210.

Know both frameworks. Build your cooperative under RA 9520 today. Prepare for BTA Bill No. 210 tomorrow.

2.1.1 The Twenty-One Types Recognized by Law

RA 9520 identifies the primary cooperative types under Article 23. BTA Bill No. 210, Section 20 expands the list to twenty-one explicit types — including several that RA 9520 recognized implicitly but did not name individually.[4] Here is the complete list, drawn from both frameworks.

1. Credit Cooperative

Promotes and undertakes **savings and lending services** among members. Generates a common pool of funds to provide financial assistance for **productive and provident purposes**.[5] This is the backbone of cooperative finance in BARMM.

Example: A group of market vendors in Cotabato City pools weekly savings and extends small loans to members for inventory restocking.

2. Consumers Cooperative

Procures and distributes **commodities** to members and non-members at fair prices.[6] Think of it as a community-owned store.

Example: A barangay cooperative in Basilan bulk-purchases rice, canned goods, and school supplies, selling to members at lower prices than retail.

3. Producers Cooperative

Undertakes **joint production** — agricultural or industrial. Members produce raw materials or goods; the cooperative processes and sells them.[7] This is the most common type in BARMM, accounting for **37.58 percent** of all registered cooperatives in the region.[8]

Example: Cassava farmers in Maguindanao del Norte collectively process their harvest into cassava chips and flour for sale to distributors. BARMM produces **41.70 percent** of the country's cassava supply.[9]

4. Marketing Cooperative

Supplies **production inputs** to members and **markets their products**.[10] The critical distinction from a producers cooperative: a marketing cooperative does not process goods. It connects producers to buyers.

Example: A seaweed marketing cooperative in Tawi-Tawi aggregates dried seaweed from individual farmers and negotiates bulk contracts with processors in Zamboanga. BARMM produces **48.42 percent** of the Philippines' seaweed.[11] Marketing cooperatives account for **27.54 percent** of all cooperatives in the region.[12]

5. Service Cooperative

Engages in **medical and dental care, hospitalization, transportation, insurance, housing, labor, power and electricity, communication, professional services**, and other services.[13] This is the broadest single-purpose type.

Example: A transport cooperative in Lanao del Sur operates multicabs along routes where no public utility vehicles run.

6. Multi-Purpose Cooperative

Combines **two or more** of the business activities of the other types.[14] This is the most recognized type nationwide — and the most frequently misused. See Section 2.2.2 for why multi-purpose is not always the answer.

Example: A cooperative in Maguindanao del Sur that operates a lending window, a consumer store, and a rice trading business under one registration.

7. Advocacy Cooperative

Promotes and advocates **cooperativism** among members and the public through socially-oriented projects, education, training, research, and communication.[15] This type does not engage in commercial business. Its mission is to strengthen the cooperative movement itself.

Example: A cooperative development advocacy group that conducts Pre-Registration Seminars and cooperative governance training in island municipalities of Tawi-Tawi.

8. Agrarian Reform Cooperative

Organized by **marginal farmers**, the majority of whom are agrarian reform beneficiaries, for developing appropriate systems of **land tenure, land development, land consolidation, or land management** in areas covered by agrarian reform.[16] BARMM has **240 Agrarian Reform Beneficiary Organizations (ARBOs)** with 34,743 members across the region.[17]

Example: Rice farmers in Lanao del Sur who received Certificates of Land Ownership Award (CLOAs) form a cooperative to consolidate their small plots for mechanized farming.

9. Cooperative Bank

Organized primarily to provide **a wide range of financial services to cooperatives and their members**.[18] This is a secondary or tertiary cooperative — its members are other cooperatives, not individuals. Cooperative banks are regulated by the Bangko Sentral ng Pilipinas (BSP) in addition to CSEA.

Example: Five credit cooperatives in Maguindanao pool resources to form a cooperative bank that can offer checking accounts, remittance services, and larger loan facilities.

10. Dairy Cooperative

Members are engaged in the **production of fresh milk**, which may be processed and marketed as dairy products.[19]

Example: Carabao dairy farmers in a cluster of barangays organize to produce pasteurized milk and yogurt for sale in local markets.

11. Education Cooperative

Organized for the primary purpose of **owning and operating licensed educational institutions**.[20] BTA Bill No. 210 explicitly references the Bangsamoro Education Code alongside RA 9155 (Governance of Basic Education Act).

Example: A community in Basilan establishes a cooperative that owns and operates a private elementary and high school, with tuition revenues reinvested into school facilities.

12. Electric Cooperative

Undertakes **power generation** (using renewable energy sources, including hybrid systems), acquisition, and **operation of sub-transmission or distribution** to household members.[21]

Example: An off-grid island community in Tawi-Tawi forms an electric cooperative to install and manage solar panel systems for member households.

13. Financial Service Cooperative

Organized for **savings and credit services and other financial services** — broader than a credit cooperative but without the full banking license of a cooperative bank.[22] Requires a minimum paid-up capital of **PHP 10,000,000**.[23]

Example: A large cooperative in Cotabato City that accepts deposits, issues loans, and offers remittance services but does not operate as a bank.

14. Fishermen Cooperative

Organized by **marginalized fishermen** whose products are marketed as fresh or processed products.[24] This type exists alongside producers cooperatives but targets the specific needs of fishing communities.

Example: Small-scale fishermen in island barangays of Basilan collectively own motorized bancas, share fuel costs, and market their daily catch through the cooperative.

15. Health Services Cooperative

Organized for **medical, dental, and other health services**.[25]

Example: Health professionals and community members in Lanao del Sur form a cooperative to operate a community health clinic offering consultations, laboratory services, and a pharmacy.

16. Housing Cooperative

Organized to **assist or provide access to housing** for regular members who actively participate in the savings program for housing.[26] Co-owned and controlled by members.

Example: A group of government employees in Cotabato City forms a housing cooperative to develop an affordable residential subdivision for its members.

17. Insurance Cooperative

Engaged in the **business of insuring life and property** of cooperatives and their members.[27]

Example: A federation of cooperatives in BARMM establishes an insurance cooperative to offer affordable life and calamity insurance products to member-cooperatives.

18. Transport Cooperative

Includes **land and sea transportation**, limited to small vessels as defined under Philippine maritime laws.[28]

Example: Motorela operators in a municipality of Lanao del Sur organize as a transport cooperative, pooling resources for vehicle maintenance and negotiating franchise terms collectively.

19. Water Service Cooperative

Organized to **own, operate, and manage water systems** for the provision and distribution of potable water to members and their households.[29] Requires a minimum paid-up capital of **PHP 1,000,000**.[30]

Example: Households in a rural barangay of Maguindanao del Sur form a water service cooperative to develop and maintain a spring-fed water distribution system.

20. Workers Cooperative

Organized by **workers, including the self-employed**, who are simultaneously the members and owners of the enterprise. The principal purpose is to **provide employment and business opportunities** to members.[31]

Example: Weavers producing traditional Maranao malong organize a workers cooperative where each member is both an artisan and a co-owner of the weaving enterprise.

21. Other Types

Both RA 9520 and BTA Bill No. 210 include a catch-all provision: **other types of cooperatives as may be determined by the Authority**.[32] This gives CSEA the flexibility to recognize new cooperative forms as the economy evolves.

2.1.2 Categories by Membership Size and Asset Level

Beyond type, every cooperative falls into a **category** that determines its regulatory obligations. Two classification systems apply: one based on **organizational level** and one based on **asset size**.

Organizational Level

Category	Who Are the Members?	Minimum to Organize
Primary	Natural persons (individuals)	15 persons
Secondary (Federation)	Primary cooperatives	3 cooperatives (BTA Bill 210) / 2 cooperatives (RA 9520)
Tertiary (Union)	Secondary cooperatives	2 secondaries

Most cooperatives you will encounter in BARMM are **primary cooperatives** — their members are individual people. When primary cooperatives band together, they form secondaries (federations). When federations organize at a higher level, they form tertiaries (unions). BTA Bill No. 210 requires a minimum of **three** registered cooperatives to form a federation.[33] RA 9520 requires two.[34]

Asset Size Categories

CDA classifies cooperatives by total asset size. This classification determines audit requirements, reporting standards, and eligibility for certain programs.[35]

Category	Total Assets	What This Means
Micro	Up to ₱3,000,000	Internal audit by Audit Committee is sufficient
Small	₱3,000,001 to ₱15,000,000	CPA audit required (may be CDA-accredited)
Medium	₱15,000,001 to ₱100,000,000	CPA audit required; enhanced reporting
Large	Above ₱100,000,000	CPA audit by CDA-accredited auditor; full compliance regime

Why does category matter? Three reasons.

First, audit requirements scale with category. A micro cooperative with assets under ₱3 million can rely on its own Audit Committee for the annual audit.[36] A large cooperative with assets exceeding ₱100 million must engage a CDA-accredited external CPA. The cost difference is significant for small communities.

Second, reporting obligations increase with size. Larger cooperatives face more granular reporting requirements in their Cooperative Annual Progress Report (CAPR) and Cooperative Audited Financial Statements (CAFS). If you register as a type that forces you into a higher asset category before you are ready, you inherit compliance burdens that can overwhelm your officers.

Third, training mandates vary. Officers of larger cooperatives face stricter training requirements. The CDA and CSEA mandate specific governance and management courses for officers based on cooperative category.

Territorial Categories

BTA Bill No. 210 also categorizes cooperatives by **territory** — their area of operations, which may or may not coincide with political subdivisions.[37] A cooperative's area of operation is defined in its Articles of Cooperation. Start local. Expand only when your membership and capacity justify it.

2.2 Matching Your Community's Needs to a Cooperative Type

You now know the twenty-one types and the categories. The harder question is: **which type fits your community?**

Do not start with the type. Start with the need.

2.2.1 The Five Questions to Ask Before Choosing a Type

Before you select a cooperative type, gather your prospective members and answer five questions honestly. Write the answers down. They will shape every decision that follows.

Question 1: What is the primary economic activity of your members?

Identify the single activity that most members share. Are they farmers? Fishermen? Market vendors? Weavers? Transport operators? The answer usually points directly to a cooperative type.

If most members are seaweed farmers, you are looking at a **producers cooperative** or a **marketing cooperative** — not a multi-purpose cooperative. If most members are salaried workers who need savings and loan facilities, you are looking at a **credit cooperative**.

Question 2: What do your members need most right now?

Separate wants from needs. A community may want a cooperative store, a lending window, and a rice trading business. But what do they need *first*? If the answer is access to credit, start with credit. If the answer is fair prices for their produce, start with marketing.

The temptation is to say "we need everything." Resist that temptation. A cooperative that tries to do everything from day one does nothing well.

Question 3: How much capital can your members realistically raise?

Be honest about this. The minimum paid-up capital for a **primary single-purpose cooperative** is ₱15,000.[38] For a **multi-purpose cooperative**, it is ₱100,000.[39] For a **financial service cooperative**, it is ₱10,000,000.[40] For a **cooperative bank**, the BSP sets additional capital requirements.

If your fifteen members can each contribute ₱1,000, you have ₱15,000 — enough for a primary single-purpose cooperative but far short of a multi-purpose structure. Do not overcommit your members. Start with a type your community can afford.

Cooperative Type	Minimum Paid-Up Capital	If 15 Members Share Equally
Primary (general single-purpose)	₱15,000	₱1,000 per member
Multi-purpose	₱100,000	₱6,667 per member
Credit	₱100,000	₱6,667 per member
Water Service	₱1,000,000	₱66,667 per member
Financial Service	₱10,000,000	₱666,667 per member
Electric	₱5,000,000	₱333,333 per member

Look at the last column. If your members are marginalized fisherfolk in Tawi-Tawi earning subsistence-level incomes, a financial service cooperative is not realistic. A fishermen cooperative at ₱15,000 minimum paid-up is.

Question 4: What regulatory burden can your officers manage?

Every cooperative type carries compliance obligations: annual general assemblies, CAPR and CAFS submissions, audit requirements, committee formations, training mandates. Multi-purpose cooperatives carry the heaviest burden because they must comply with the rules for every business activity they operate.

Ask yourself: Do your prospective officers have the time, literacy, and bookkeeping skills to handle complex compliance? If your officers are volunteer farmers in a remote barangay, a simpler cooperative type with fewer reporting requirements may serve you better.

Question 5: What infrastructure, organizations, and markets already exist in your community?

Do not duplicate what already exists. If a strong credit cooperative already operates in your area, your community may benefit more from a marketing cooperative that helps members sell their products — and encourages them to join the existing credit cooperative for their savings and lending needs.

Map what exists. Find the gap. Fill that gap with the right cooperative type.

2.2.2 Common Mistakes: Why Multi-Purpose Is Not Always the Answer

Walk into any CSEA field office and ask which cooperative type people choose most often. The answer is **multi-purpose**. Ask which type has the highest failure rate. The answer is often the same.

Multi-purpose is the default because it sounds safe. If you register as multi-purpose, you can do credit, production, marketing, and consumer services all under one roof. Why limit yourself?

Here is why.

Higher capital requirements. The minimum paid-up capital for a multi-purpose cooperative is ₱100,000 — nearly **seven times higher** than the ₱15,000 required for a primary single-purpose cooperative.[41] For a community of fifteen members with limited savings, that difference can mean the cooperative never forms at all, or forms with members overextending themselves financially.

More complex governance. A multi-purpose cooperative must form committees for each business activity. If you operate a lending window and a consumer store, you need a credit committee, an inventory committee, and the management capacity to oversee both. Each committee needs trained officers. Each business line needs its own bookkeeping. The governance overhead multiplies with every additional business activity.

Heavier compliance burden. Multi-purpose cooperatives must report on all their business activities in their CAPR and CAFS. Their audited financial statements must cover multiple revenue streams, cost centers, and fund allocations. For a micro cooperative with a part-time treasurer, this level of reporting is often the reason compliance lapses — and compliance lapses are the reason cooperatives lose their certificates.

Diluted focus. The most successful cooperatives in BARMM do one thing well before they expand. A seaweed marketing cooperative in Tawi-Tawi that builds a reliable supply chain for its one product creates more value than a multi-purpose cooperative in the same community that spreads its limited capital across lending, trading, and retail — doing all three poorly.

When is multi-purpose the right choice? When your cooperative has:

- Enough members (well beyond the minimum 15) to staff multiple committees
- Sufficient capital to fund multiple business activities without straining any one
- Officers with proven governance and bookkeeping experience
- Existing operations in two or more areas that genuinely complement each other
- The explicit demand from members for multiple services

If you cannot check all five, start single-purpose. You can always amend your Articles of Cooperation later to add business activities once your cooperative is stable and compliant.[42]

2.3 Single-Purpose vs. Multi-Purpose: Trade-offs

The choice between single-purpose and multi-purpose is the most consequential structural decision you will make. Here are the trade-offs laid out clearly.

2.3.1 Regulatory Requirements by Type

Requirement	Single-Purpose (e.g., Producers)	Multi-Purpose
Regulatory authority	CSEA (BARMM) / CDA (national)	CSEA / CDA
Minimum membership	15 natural persons	15 natural persons
Minimum paid-up capital	₱15,000	₱100,000
Mandatory committees	Board of Directors, Audit Committee, Election Committee, Mediation/ Conciliation Committee	All of the above PLUS committees for each business line (e.g., Credit Committee, Education and Training Committee)
Annual reporting	CAPR + CAFS for one business activity	CAPR + CAFS covering ALL business activities
Audit requirement (Micro)	Internal by Audit Committee	Internal by Audit Committee
Audit requirement (Small+)	External CPA	External CPA
General Assembly	Annual, within 90 days after fiscal year end	Same
Training mandate	Officers must complete mandatory training per CDA/ CSEA rules	Same, plus training for each business-line committee

2.3.2 Capital Requirements by Type

Use this table to determine how much capital your cooperative needs based on type and the capital structure rules under RA 9520 and CDA Memorandum Circular 2015-01 (as amended by MC 2016-02).[43]

Capital Structure Formula: - **Authorized Capital** = Total shares the cooperative can issue (set by organizers) - **Subscribed Capital** = At least **25%** of Authorized Capital - **Paid-Up Capital** = At least **25%** of Subscribed Capital (subject to minimum floor)

Cooperative Type	Minimum Paid-Up Capital	Capital to Authorize (Working Backward)
Primary (single-purpose)	₱15,000	₱240,000
Multi-Purpose	₱100,000	₱1,600,000
Credit	₱100,000	₱1,600,000
Water Service	₱1,000,000	₱16,000,000
Electric	₱5,000,000	₱80,000,000
Financial Service	₱10,000,000	₱160,000,000
Cooperative Bank	Per BSP regulations	Per BSP regulations
Secondary (Federation)	₱100,000	₱1,600,000
Tertiary (Union)	₱100,000	₱1,600,000

How to read the "Working Backward" column: If the minimum paid-up is ₱15,000, and paid-up must be at least 25% of subscribed, then subscribed must be at least ₱60,000. And if subscribed must be at least 25% of authorized, then authorized must be at least ₱240,000. Organizers set the authorized capital in the Articles of Cooperation — so plan accordingly.

Example for a Producers Cooperative:

A cassava producers cooperative in Maguindanao del Norte has 20 members. They set the authorized capital at ₱300,000 (with a par value of ₱1,000 per share, 300 shares). Each member subscribes to 4 shares (₱4,000 each), for a total subscribed capital of ₱80,000 — this exceeds 25% of ₱300,000 (₱75,000). Each member pays 25% of their subscription upfront (₱1,000), for a total paid-up capital of ₱20,000 — this exceeds the ₱15,000 minimum floor.

The cooperative is now capitalized, compliant, and ready to register as a primary producers cooperative.

2.4 Federations, Unions, and Secondary Cooperatives

Individual cooperatives are powerful. Cooperatives working together are transformative. Philippine and Bangsamoro law recognizes higher-level cooperative structures designed for exactly this purpose.

2.4.1 When Your Cooperative Should Join a Federation

A **federation** is a secondary cooperative whose members are primary cooperatives of the **same type or related business activities**.[44] Think of a federation as a cooperative of cooperatives.

Minimum requirement under BTA Bill No. 210: Three or more registered cooperatives in BARMM of the same type of services may form a federation.[45] Under RA 9520, the minimum is two.[46]

What can a federation do?

Function	How It Helps Your Cooperative
Carry on complementary business	Provides services that augment your cooperative's work without competing with it
Education and advisory work	Conducts trainings, seminars, and capability-building for member cooperatives
Simplify operations	Offers shared bookkeeping, accounting systems, and operational procedures
Publish and communicate	Produces newsletters, market information, and educational materials
Coordinate activities	Harmonizes schedules, standards, and market access across members
Enter joint ventures	Negotiates with national and international partners on behalf of all members

When should you consider forming or joining a federation?

- When your cooperative **cannot negotiate good prices alone** because your volume is too small. Five seaweed marketing cooperatives in Tawi-Tawi negotiating as a federation have far more leverage with processors than any single cooperative.

- When your officers **need training** but cannot afford to bring in trainers individually. A federation can organize and subsidize trainings for all member cooperatives.
- When **shared services** (bookkeeping, audit preparation, compliance filing) would save money for every member cooperative.
- When you need to **advocate collectively** with CSEA, LGUs, or the BTA Parliament for policies that affect your sector.

Capital requirement for federations: Minimum paid-up capital of ₱100,000.[47]

2.4.2 Cooperative Unions and Their Functions

A **cooperative union** is different from a federation. Where federations are organized by cooperatives of the **same type** and engage in **business activities**, unions represent the **interests and welfare of all types** of cooperatives at the provincial, city, regional, or national level.[48]

Unions are primarily **advocacy and representation bodies**, not business enterprises. Under BTA Bill No. 210, cooperative unions may:[49]

- **Represent** member organizations before government and other bodies
- **Acquire, analyze, and disseminate** economic and statistical information
- **Sponsor studies** in the economic, legal, financial, and social aspects of cooperation
- **Promote** cooperative principles and practices
- **Develop** the cooperative movement in their jurisdictions
- **Advise** authorities on all questions relating to cooperatives
- **Raise funds** through membership fees, dues, donations, and subsidies

Key distinction: A federation does business. A union does advocacy. A federation of fishermen cooperatives might market fish collectively. A cooperative union might lobby the BTA Parliament for tax incentives for all cooperatives.

When should cooperatives form or join a union?

- When cooperatives of **different types** in a province or city need a unified voice
- When the cooperative sector needs **representation** before CSEA, the BTA Parliament, or national agencies
- When **policy advocacy** — not shared business activity — is the primary goal

Cooperative unions may assist national, regional, and local governments in development activities within their jurisdictions.[50] In a region where **most LGUs have no appointed Municipal Cooperative Officers**, a strong cooperative union can fill the gap between CSEA's regional office and the cooperatives in remote municipalities.[51]

2.5 Social Enterprises: A Parallel Path

BTA Bill No. 210 does something that RA 9520 does not: it creates a **legal framework for social enterprises** alongside cooperatives.[52] Book III of the proposed code introduces social enterprises as a distinct organizational form — and as a status that cooperatives themselves can adopt.

If you are organizing a community-based initiative in BARMM, you now have two paths, not just one. Understanding the difference — and the overlap — is critical.

2.5.1 What Makes a Social Enterprise Different from a Cooperative

A **social enterprise (SE)** under BTA Bill No. 210 is a business organization **primarily dedicated to addressing social, cultural, or environmental challenges**, with profit as a **secondary consideration**.[53]

A **cooperative** is an autonomous association of persons with a common bond who voluntarily join together to achieve their **social, economic, and cultural needs** by making equitable contributions to capital and sharing risks and benefits.[54]

The distinction is subtle but important:

Feature	Cooperative	Social Enterprise
Primary purpose	Meet members' shared needs	Address social, cultural, or environmental challenges
Profit orientation	Benefits distributed to members (patronage refunds, interest on capital)	Profit is secondary; revenues reinvested in social mission
Governance	Democratic member control (one member, one vote)	Democratic governance with stakeholder inclusion (not limited to member-owners)
Who benefits	Members primarily	The marginalized sector served or society at large
Legal form	Cooperative (registered with CSEA/CDA)	May be a corporation, partnership, sole proprietorship, or cooperative
Regulatory body		

Feature	Cooperative	Social Enterprise
	CSEA (BARMM) / CDA (national)	CSEA (BARMM) for registration and accreditation

The most important line in that table: a social enterprise can take **any legal form** — including a cooperative.[55] A cooperative can also be a social enterprise. The two are not mutually exclusive.

Social enterprises under BTA Bill No. 210 may operate in areas including:[56]

- Social services
- Health care
- Education
- Livelihood development
- Environmental protection
- Peace and reconciliation
- Disaster risk reduction and management

2.5.2 When to Organize as a Social Enterprise Instead

Choose a **social enterprise** over a cooperative when:

Your primary mission is to serve people who are not your members. A cooperative exists to serve its members. A social enterprise exists to serve a target community or address a societal problem. If your initiative aims to provide free vocational training to out-of-school youth, or to rehabilitate mangrove ecosystems, or to offer subsidized health services to internally displaced persons — and the beneficiaries are not the same people who will own and govern the organization — a social enterprise structure may fit better.

Your funding model relies on reinvestment rather than member returns. Cooperatives distribute net surplus to members through patronage refunds and interest on capital. Social enterprises invest a **substantive part** of their net revenues back into their social mission.[57] If your organizers want the profits to go back into the community rather than into member dividends, the SE model aligns better.

Your governance includes stakeholders beyond member-owners. Social enterprises must apply rules of **democratic governance where decision-making includes relevant stakeholders in addition to share owners or members**.[58] If your organization wants beneficiaries, partner NGOs, or community leaders involved in governance alongside investor-members, the SE structure accommodates this.

Can you be both? Yes. BTA Bill No. 210 explicitly provides that cooperatives may be registered and accredited as social enterprises.[59] A cooperative operating as a social enterprise enjoys the **tax treatment provided under the Cooperative Code** for its cooperative activities, plus additional benefits for its social enterprise status.[60]

Tax advantages for social enterprises under BTA Bill No. 210:

SE Category	Tax Benefit
Micro SEs	Exempt from tax on income from operations; LGUs may reduce or exempt from local taxes[61]
Other SEs	Exempt from regional taxes, fees, and charges for the **first three years** of operation; LGUs may reduce or exempt from local taxes[62]
Cooperatives operating as SEs	Covered by cooperative tax treatment under the Code[63]
All qualified SEs	Preferential rights in government procurement processes[64]
SE reinvestments	Reinvestments for SE initiatives within the area of operation are **tax deductible** from gross income[65]

The dual-registration advantage. A cooperative that also registers as a social enterprise under CSEA can access **both** cooperative support programs (PESO Project, STOCK Project) and social enterprise programs (RISE for Peace and Sustainable Development, Social Enterprise Capability Building and Sustainability Program).[66] This is a strategic option for cooperatives whose work has a clear social mission beyond member benefit.

Financing for social enterprises. BTA Bill No. 210 mandates a **Shari'ah-compliant financing program** for startup and micro cooperatives and social enterprises, implemented by CSEA in collaboration with the Ministry of Finance and Budget and Management (MFBM), the Ministry of Agriculture, Fisheries, and Aquatic Resources (MAFAR), and the Ministry of Trade, Investments, and Tourism (MTIT).[67] This financing must be paired with **business-readiness and capacity development** interventions.[68]

Local government units must allocate **five percent** of their funds toward financing social enterprise initiatives prioritized in local development plans.[69] For communities in BARMM where access to conventional financing is limited, this provision opens a meaningful funding channel.

Choosing Your Type: A Decision Summary

Use this flowchart as a final check before you commit to a cooperative type.

Step 1: Identify the primary activity. Ask: What is the one thing your members do, need, or produce? Match it to one of the twenty-one types.

Step 2: Check the capital requirement. Can your members realistically raise the minimum paid-up capital for that type? If not, consider a type with a lower threshold — or recruit more members to spread the cost.

Step 3: Assess your governance capacity. Do you have enough capable, willing officers to staff the mandatory committees? If not, choose a simpler structure.

Step 4: Evaluate multi-purpose honestly. Only register as multi-purpose if you genuinely need two or more business activities from day one AND you have the capital, members, and officers to manage them all.

Step 5: Consider social enterprise status. If your mission extends beyond member benefit to community impact, explore dual registration as a cooperative and social enterprise under BTA Bill No. 210.

Step 6: Plan to grow. Start simple. Register as a single-purpose cooperative. Build compliance discipline. Train your officers. Grow your membership and capital. When you are ready — and only when you are ready — amend your Articles of Cooperation to add new business activities or convert to multi-purpose.

The best cooperative for your community is not the biggest or the most versatile. It is the one your community can sustain.

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1. BDP 2023-2028, Chapter 7. Of 12,214 cooperatives registered in the BARMM between 2010 and 2020, only 1,424 (11.66%) secured compliance certificates. ↩
2. Republic Act No. 9520, "Philippine Cooperative Code of 2008," signed into law February 17, 2009. ↩
3. BTA Bill No. 210, "Bangsamoro Cooperative and Social Enterprise Code (BCSEC) of 2023." Status: pending approval by the Bangsamoro Parliament. See BDP 2023-2028, Chapter 7. ↩
4. BTA Bill No. 210, Book II, Section 20(a), enumerates twenty specific types plus a catch-all "other types" provision. ↩
5. BTA Bill No. 210, Book II, Section 20(a)(1); RA 9520, Article 23. ↩
6. BTA Bill No. 210, Book II, Section 20(a)(2). ↩
7. BTA Bill No. 210, Book II, Section 20(a)(3). ↩

8. BDP 2023-2028, Chapter 7. Producer cooperatives number 4,590 of 12,214 total (37.58%). ↩
9. BDP 2023-2028, Chapter 4. BARMM accounts for 41.70% of the national cassava supply. ↩
10. BTA Bill No. 210, Book II, Section 20(a)(4). ↩
11. BDP 2023-2028, Chapter 4. BARMM produces 48.42% of the national seaweed supply. ↩
12. BDP 2023-2028, Chapter 7. Marketing cooperatives number 3,364 of 12,214 total (27.54%). ↩
13. BTA Bill No. 210, Book II, Section 20(a)(5). ↩
14. BTA Bill No. 210, Book II, Section 20(a)(6). ↩
15. BTA Bill No. 210, Book II, Section 20(a)(7). ↩
16. BTA Bill No. 210, Book II, Section 20(a)(8). ↩
17. BDP 2023-2028, Chapter 7, citing MAFAR data as of October 2019. Total ARBOs: 240 across 104 Agrarian Reform Communities, with 34,743 total members (30,813 ARBs and 3,930 non-ARBs). ↩
18. BTA Bill No. 210, Book II, Section 20(a)(9). ↩
19. BTA Bill No. 210, Book II, Section 20(a)(10). ↩
20. BTA Bill No. 210, Book II, Section 20(a)(11). ↩
21. BTA Bill No. 210, Book II, Section 20(a)(12). ↩
22. BTA Bill No. 210, Book II, Section 20(a)(13). ↩
23. RA 9520 implementing rules; CDA regulations for Financial Service Cooperatives. See Quick Reference Table in RA 9520 Guide. ↩
24. BTA Bill No. 210, Book II, Section 20(a)(14). ↩
25. BTA Bill No. 210, Book II, Section 20(a)(15). ↩
26. BTA Bill No. 210, Book II, Section 20(a)(16). ↩
27. BTA Bill No. 210, Book II, Section 20(a)(17). ↩
28. BTA Bill No. 210, Book II, Section 20(a)(18). ↩
29. BTA Bill No. 210, Book II, Section 20(a)(19). ↩
30. RA 9520 implementing rules; CDA regulations for Water Service Cooperatives. See Quick Reference Table in RA 9520 Guide. ↩
31. BTA Bill No. 210, Book II, Section 20(a)(20). ↩
32. BTA Bill No. 210, Book II, Section 20(a)(21); RA 9520, Article 23. ↩
33. BTA Bill No. 210, Book II, Section 21: “Three or more registered cooperatives in the Region of the same type of services may form a federation.” ↩
34. RA 9520, Article 24. ↩
35. CDA Cooperative Annual Progress Report (CAPR) template, Asset Size Classification. See also RA 9520, Article 80 (Audit Requirements by Asset Size). ↩
36. RA 9520, Article 80. Cooperatives with assets below PHP 500,000 may rely on internal audit by the Audit Committee. ↩
37. BTA Bill No. 210, Book II, Section 20(b)(2): “cooperatives shall be categorized according to areas of operations which may or may not coincide with the political subdivisions of the country.” ↩
38. CDA Memorandum Circular 2015-01, as amended by MC 2016-02. ↩
39. CDA MC 2015-01, as amended by MC 2016-02. Multi-Purpose Cooperatives: minimum paid-up capital of ₱100,000. ↩
40. RA 9520 implementing rules; CDA regulations. Financial Service Cooperatives: minimum paid-up capital of PHP 10,000,000. ↩
41. Compare ₱15,000 (primary single-purpose) to ₱100,000 (multi-purpose) under CDA MC 2016-02. The ratio is 6.67:1. ↩

42. RA 9520, Article 18. Amendment of Articles of Cooperation requires a proposal by the BOD or petition by 20% of members, 30 days' notice, GA approval by 2/3 majority, and filing with CDA within 30 days. ↩
43. CDA Memorandum Circular 2015-01, "Revised Guidelines Governing Registration of Cooperatives," as amended by MC 2016-02 (paid-up capital requirements). ↩
44. RA 9520, Article 24; BTA Bill No. 210, Book II, Section 21. ↩
45. BTA Bill No. 210, Book II, Section 21. ↩
46. RA 9520, Article 24. ↩
47. CDA MC 2015-01, as amended by MC 2016-02. Secondary cooperatives: minimum paid-up capital of ₱100,000. ↩
48. BTA Bill No. 210, Book II, Section 22; RA 9520, Article 25. ↩
49. BTA Bill No. 210, Book II, Section 22(a)-(h). ↩
50. BTA Bill No. 210, Book II, Section 22, last paragraph: "Cooperative unions may assist the national, regional, and local governments in the latter's development activities in their respective jurisdictions." ↩
51. BDP 2023-2028, Chapter 7: "Most LGUs in the Bangsamoro Region have no appointed Municipal Cooperative Officers (MCOs)." ↩
52. BTA Bill No. 210, Book III, "Social Enterprise Development." ↩
53. BTA Bill No. 210, Book I, Chapter I, Definition of Social Enterprise: "Business organizations primarily dedicated to addressing social, cultural, or environmental challenges, with profit as a secondary consideration." ↩
54. RA 9520, Article 3 (General Concepts). Definition of cooperative. ↩
55. BTA Bill No. 210, Book III, Chapter I, Section 1: "A social enterprise may be organized as a stock corporation, non-stock corporation, partnership, sole proprietorship, or cooperative." ↩
56. BTA Bill No. 210, Book III, Chapter I, Section 1. ↩
57. BTA Bill No. 210, Book III, Chapter I, Section 1: A social enterprise "invests a substantive part of its net revenues to sustain the fulfillment of its social and/or environmental mission." ↩
58. BTA Bill No. 210, Book IV, Chapter I, Section 21(h) (General Qualifications for SEs): "Apply rules of democratic governance, where decision-making includes relevant stakeholders in addition to share owners or members." ↩
59. BTA Bill No. 210, Book III, Chapter I, Section 3: "The Authority shall have the power to register and accredit associations, sole proprietorships, partnerships, corporations, and cooperatives as social enterprises." ↩
60. BTA Bill No. 210, Book III, Chapter III, Section 17: "Cooperatives operating as social enterprises shall be covered by the tax treatment provided in this Code." ↩
61. BTA Bill No. 210, Book III, Chapter III, Section (unnumbered): "Micro social enterprises shall be exempt in from tax for income arising from the operations of the enterprise." ↩
62. BTA Bill No. 210, Book III, Chapter III, Section 18. ↩
63. BTA Bill No. 210, Book III, Chapter III, Section 17. ↩
64. BTA Bill No. 210, Book III, Chapter III, Section 20: "Qualified SEs shall be accorded a preferential right in the procurement process." ↩
65. BTA Bill No. 210, Book III, Chapter III, Section 16 (Tax Relief): "For income tax purposes, a reinvestment made by an SE for its initiatives within the area of operation shall be tax deductible from the gross income." ↩
66. BDP 2023-2028, Chapter 7. PESO Project (Profitability and Equity Support Oriented), STOCK Project (Strengthening of Technical and Operational Knowledge), and RISE for Peace and Sustainable Development Program. ↩
67. BTA Bill No. 210, Book IV, Chapter I, Section 5(a): "Shari'ah Compliant Financing Program for Startup and Micro Cooperatives and Social Enterprises." ↩
68. BTA Bill No. 210, Book IV, Chapter I, Section 5(b): "Said financing program shall be paired with business-readiness and capacity development interventions." ↩
69. BTA Bill No. 210, Book III, Chapter III, Section 13: "Local government units shall allocate five percent (5%) of their funds towards financing social enterprise initiatives which were prioritized in local development plans." ↩

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03

From Idea to Organizing Group: Pre-Formation

In Sitio Marang, a coastal barangay in Tawi-Tawi, twelve women dry seaweed on bamboo racks every afternoon. They sell to the same middleman. They earn the same low price. They have talked for months about pooling their harvest and selling directly to buyers in Zamboanga. They have the idea. They have the people. What they do not have is a roadmap.

This chapter is that roadmap.

Before you file a single document, before you draft your Articles of Cooperation, before you reserve a name with CSEA – you must build the foundation. That foundation has four parts: **confirming your common bond**, **assembling your organizing group**, **conducting an economic survey**, and **completing the Pre-Registration Seminar**. Skip any one of these, and your registration will fail. Do them well, and you will walk into CSEA's office with a cooperative that is ready – not just on paper, but in practice.

3.1 Is Your Community Ready for a Cooperative?

A cooperative begins long before anyone fills out a form. It begins when a group of people share a problem and believe they can solve it together. But belief alone is not enough. The law requires a specific foundation. Your community must meet it.

3.1.1 The Common Bond of Interest Requirement

The common bond of interest is the legal thread that ties your members together. Without it, CSEA will not register your cooperative. Section 5 of BTA Bill No. 210 states the requirement directly: organizers must be "natural persons who are Filipino citizens, of legal age, having a common bond of interest and are actually residing or working in the intended area of operation."[1]

The common bond can take several forms:

Type of Common Bond	What It Means	Bangsamoro Example
Geographic (Residential)	Members live in the same barangay, municipality, or province	Fisherfolk in Bongao forming a marketing cooperative
Occupational	Members share the same trade or profession	Seaweed farmers across three barangays in Tawi-Tawi

Type of Common Bond	What It Means	Bangsamoro Example
Institutional	Members work for the same employer or agency	BARMM ministry employees forming a credit cooperative
Associational	Members belong to the same organization	Mosque congregation forming a consumer cooperative

Choose the common bond that most accurately describes your group. Do not force a bond that does not exist. If your members are seaweed farmers from five different barangays, your bond is occupational, not geographic. If your members are neighbors who share no livelihood, your bond is residential. The bond you declare must match reality – CSEA verifies this during the evaluation process.

For our Sitio Marang group, the common bond is clear: **occupational**. All twelve women (and at least three more they plan to recruit) are seaweed farmers. They live in the same barangay, which gives them a geographic bond as well. But the occupational bond is stronger because it connects directly to the cooperative's planned business activity.

Why the common bond matters beyond compliance. The common bond is not just a legal box to check. It determines whether your members will actually patronize the cooperative. A cooperative of seaweed farmers will naturally buy drying supplies, sell harvests, and share equipment through the cooperative. A cooperative where the only bond is living near each other may struggle to find services that all members need. The stronger the bond, the higher the patronage. The higher the patronage, the stronger the cooperative.

3.1.2 Assessing Community Readiness

Before you invest weeks of organizing work, run a quick assessment. Not every group with a common bond is ready for a cooperative. Readiness depends on four conditions:

1. Economic viability. Is there a real economic problem that a cooperative can solve? The women in Sitio Marang sell their seaweed to a single middleman at PHP 35 per kilo of dried seaweed. Direct buyers in Zamboanga pay PHP 55-65 per kilo. That price gap is the economic case for a cooperative. If no price gap, no inefficiency, and no unmet need exists, a cooperative may not be the right vehicle.

2. Willingness to commit capital. Every member must contribute share capital. For a primary cooperative, the minimum paid-up capital is **PHP 15,000** across all members.[2] That means if you have 15 members, each member needs to contribute at least PHP

1,000 to meet the floor. Can your prospective members afford this? If the answer is uncertain, do not abandon the idea – but plan for how members will build their contributions over time.

3. Leadership availability. A cooperative needs leaders who can manage meetings, keep records, handle money, and represent the group to CSEA and other agencies. Look at your organizing group. Who can serve as interim chairperson? Who is good with numbers? Who can write reports? If all the leadership falls on one person, you have a problem. Cooperatives run on shared governance, not one-person management.

4. Existing informal cooperation. Groups that already cooperate informally – sharing boats, pooling harvests, lending each other supplies – make the strongest cooperative foundations. They already trust each other. They already understand collective action. The cooperative simply formalizes what they are already doing.

Community Readiness Checklist

Use this checklist before proceeding to the organizing stage. Mark each item honestly.

#	Readiness Indicator	Yes/No	Notes
1	We have at least 15 people interested in forming a cooperative		
2	All prospective members are Filipino citizens of legal age (18+)		
3	We share a clear common bond (geographic, occupational, institutional, or associational)		
4	We can identify a specific economic problem the cooperative will solve		
5	Members are willing to contribute share capital (minimum PHP 1,000 each for 15 members)		
6			

#	Readiness Indicator	Yes/No	Notes
	At least 3-5 members can take on leadership roles		
7	No single person dominates all decision-making		
8	We already cooperate informally (shared resources, group buying, etc.)		
9	We can identify products or services the cooperative will provide		
10	We are willing to attend the Pre-Registration Seminar (3 hours 45 minutes)		

Scoring. If you answered "Yes" to 8-10 items, your group is ready to proceed. If you answered "Yes" to 5-7, you need to strengthen the weaker areas first. Below 5, spend more time on social preparation before organizing.

For our Sitio Marang group: they have 12 members (need 3 more), they share an occupational bond, the price gap creates economic viability, and they already cooperate by sharing drying racks. Their main gap is leadership – only Hadja Nuriya and Bai Asmina have experience managing group activities. They need to identify at least one more leader before moving forward.

3.2 Building the Organizing Group

3.2.1 The 15-Member Minimum and What It Really Takes

The law is clear: **at least 15 natural persons** are required to organize a primary cooperative.[3] All must be Filipino citizens, of legal age, and must share a common bond of interest.

But 15 is the legal minimum, not the practical target.

Aim for 20-30 founding members. Here is why. Some members will lose interest during the organizing process. Others will fail to attend the Pre-Registration Seminar. A few may be unable to contribute their share capital on time. If you start with exactly 15 and lose even one, you fall below the legal threshold and cannot register. Start with a buffer.

The ideal founding membership also depends on your cooperative type and planned activities:

Cooperative Type	Minimum Members	Recommended Founding Members	Why
Credit	15	25-30	More members = larger lending pool
Producer	15	20-25	Collective volume drives better prices
Marketing	15	20-30	More products to aggregate and sell
Multipurpose	15 + additional requirements	30-50	Multiple services require broader base
Consumer	15	25-35	Purchasing power increases with members

Every founding member must complete the PRS. This is not optional. Under BTA Bill No. 210, Section 5, "a prospective member of a primary cooperative must have completed a Pre-registration Seminar."[4] If even one of your 15 members lacks a PRS certificate, CSEA will reject the application.

For our Sitio Marang group: They have 12 women. They need at least 3 more. Hadja Nuriya knows five other seaweed farmers in the adjacent sitio who have expressed interest. Recruit them. Aim for 18-20 founding members so the group can absorb any dropouts during the organizing process.

3.2.2 Identifying Leaders and Assigning Pre-Formation Roles

Before you hold your first formal organizing meeting, identify who will lead the pre-formation process. You are not yet electing official officers – that happens after registration, at the organizational meeting.[5] But you need an **interim organizing committee** to drive the formation forward.

The three essential pre-formation roles:

1. Interim Chairperson. This person leads the organizing meetings, keeps the group focused, and serves as the point of contact with CSEA. Look for someone who is respected by the group, can facilitate discussions without dominating them, and has enough time to attend multiple meetings and government offices.

2. Interim Secretary. This person records the minutes of organizing meetings, maintains the list of prospective members, and manages the paperwork. The secretary will eventually prepare (or coordinate the preparation of) the Articles of Cooperation, bylaws, and economic survey. Look for someone who is literate, organized, and comfortable with documentation.

3. Interim Treasurer. This person collects and safeguards initial capital contributions from members. The treasurer will eventually execute the **Treasurer's Affidavit** – a notarized document certifying that at least 25% of authorized capital has been subscribed and at least 25% of subscriptions have been paid.[6] Look for someone trustworthy, numerate, and willing to be bonded.

Warning: Do not let one person hold all three roles. This defeats the democratic principle of cooperative governance. Even at the pre-formation stage, distribute responsibility. If your group only has one person willing to lead, you are not ready to form a cooperative.

Additional Pre-Formation Roles

For larger organizing groups, add these roles:

Role	Responsibility
Membership Committee Lead	Recruits new members, verifies eligibility, maintains the roster

Role	Responsibility
PRS Coordinator	Contacts CSEA to schedule the PRS, ensures all members attend
Capital Campaign Lead	Tracks share capital commitments and payments from each member
Economic Survey Lead	Gathers the data needed for the economic survey (market prices, costs, potential revenue)

For our Sitio Marang group: Hadja Nuriya becomes interim chairperson – she is respected, experienced, and connected with other seaweed farmers. Bai Asmina, who finished two years of college and keeps clean records for the barangay health station, becomes interim secretary. Sahaya, who managed the funds for their mosque's feeding program for three years, becomes interim treasurer. The three additional women Hadja Nuriya will recruit can take on membership and PRS coordination roles.

3.3 Conducting the Economic Survey

The **economic survey** is one of the four mandatory documents you must submit to CSEA for registration.[7] But it is more than a requirement. It is your cooperative's first business plan. A well-prepared economic survey forces you to answer the hard questions before you commit capital and effort.

3.3.1 Area of Operation, Size of Membership, and Viability Data

BTA Bill No. 210, Section 6 requires every group intending to form a cooperative to submit "an economic survey, indicating therein the area of operation, the size of membership, and other pertinent data in a format provided by the Authority."[8] The same section mandates a "general statement describing, among others the structure and purposes of the proposed cooperative" and requires that "the structure and actual staffing pattern of the cooperative shall include a bookkeeper."

The economic survey must demonstrate four things:

1. Demand for cooperative services. Who will use the cooperative's products or services? How often? How much will they spend? For a seaweed marketing cooperative, this means documenting how many kilos of dried seaweed your members produce, how often they harvest, and what buyers are willing to pay.

2. A viable member base. How many people can you realistically recruit? What is their economic profile? Can they afford the share capital? Will they patronize the cooperative regularly?

3. Available resources. What physical, financial, and human resources does the group already have? Drying racks? Storage facilities? A bookkeeper? A truck? What do you still need?

4. Economic feasibility. Based on projected revenue and expenses, can the cooperative sustain itself? Will it generate enough income to cover costs, build reserves, and provide benefits to members?

The CDA's official economic survey form organizes this data into four major sections:[9]

Section	What It Covers
I. General Information	

Section	What It Covers
	Type of cooperative, address, area of operation, common bond, membership composition, capital structure
II-A. Economic Aspect	Existing competitors, member support strategies, transaction scope, planned business activities
II-B. Financial Aspect	Capital sources, initial operating capital, projected revenue and expenses, investment plans
II-C. Technical Aspect	Equipment and facilities needed, procurement plans, required skills and training
II-D. Organizational Structure	Board qualifications, staffing plan, education programs, committee members

3.3.2 The Economic Survey Template (Step by Step)

Walk through each section of the economic survey using the Sitio Marang seaweed cooperative as an example. The official CDA/CSEA template is the authoritative form – what follows is a guide for filling it out correctly.[10]

Background Section

Write a brief narrative about your community and why a cooperative is needed. Keep it to one paragraph.

Filled-in example:

> *Sitio Marang is a coastal community of approximately 200 households in Barangay Simunul, Municipality of Simunul, Tawi-Tawi. The primary livelihood is seaweed farming, with approximately 45 households engaged in cultivating, drying, and selling Kappaphycus alvarezii (cottonii). Currently, individual farmers sell dried seaweed to a single middleman at PHP 35 per kilo – well below the PHP 55-65 per kilo offered by direct buyers in Zamboanga City. The lack of organized marketing, limited drying facilities, and absence of collective bargaining power have kept farm-gate prices low. This cooperative aims to aggregate member harvests, improve drying quality, and sell directly to processors and exporters.*

Rationale Section

Explain why the cooperative form is the best solution. Why not an association? Why not a sole proprietorship?

Filled-in example:

> *Individual farmers lack the volume, storage capacity, and market connections to negotiate directly with processors. A cooperative enables members to pool harvests (achieving the 5-ton minimum required by most direct buyers), share the cost of drying and storage facilities, and negotiate collectively for better prices. The cooperative structure also allows access to CSEA technical assistance, government livelihood programs, and the Education and Training Fund mandated by law.*

Section I: General Information

Field	What to Write	Sitio Marang Example
Type of Cooperative	Check one: Credit, Producer, Marketing, MPC, etc.	Marketing
Office Address	Full address: No., Street, Barangay, Municipality, Province	Purok 3, Sitio Marang, Barangay Simunul, Simunul, Tawi-Tawi
Area of Operation	Check one: Barangay, Municipal, Provincial, Regional, National	Municipal
Common Bond	Check one: Residential, Institutional, Occupational, Associational	Occupational
Composition of Members	Check all that apply: Farmers, Fisherfolks, Women, etc.	Fisherfolks, Women
No. of Founding Members	Number of organizers	18
Projected Membership Growth	Year 1, Year 2, Year 3	Year 1: 25; Year 2: 35; Year 3: 50

Capital Structure:

Item	Computation	Sitio Marang Example
Authorized Capital	Set by organizers	PHP 100,000.00
Subscribed Capital	Must be at least 25% of Authorized	PHP 36,000.00 (36%)
Paid-up Capital	Must be at least 25% of Subscribed AND at least PHP 15,000	PHP 18,000.00 (50% of subscribed)

Item	Computation	Sitio Marang Example
Par Value per Share	Set by organizers	PHP 500.00 per share

How the capital computation works. BTA Bill No. 210, Section 9(d) requires that at least 25% of authorized share capital be subscribed and at least 25% of subscriptions be paid up, with a floor of PHP 15,000.[11] For 18 members contributing PHP 1,000 each in initial paid-up capital, total paid-up is PHP 18,000 – above the PHP 15,000 floor. Each member holds 2 shares at PHP 500 par value.

Section II-A: Economic Aspect

Existing cooperatives in the area. Research whether any cooperative in your area already offers the same services. If yes, name them. This is not a disqualifier – but CSEA wants to know you are aware of the competitive landscape.

Strategies for member support. Check all that apply from the template: collective purchases, commitment on lending policies, active participation in cooperative affairs, or specify others. For a marketing cooperative, add "collective marketing of member harvests" and "shared access to drying and storage facilities."

Transaction scope. Will you transact with members only, or with members and non-members? Most cooperatives choose **members and non-members** – this allows the cooperative to aggregate volume from non-member farmers (who pay a service fee) while building the case for those farmers to join as members.

Three-year business activity plan:

Year	Planned Activities
Year 1	Aggregate and market member seaweed harvests; establish quality grading system; acquire basic drying equipment
Year 2	Expand to include seaweed nursery services; establish direct buyer contracts in Zamboanga; add 10 new members
Year 3	Begin semi-processed carrageenan production; explore export markets; expand to neighboring barangays

Section II-B: Financial Aspect

Capital sources. Check all that apply: share capital subscription, revolving capital, loans, donations/subsidies/grants, fundraising. For most new cooperatives, the primary source is **share capital subscription**. Grants from CSEA programs like the **PESO Project** (Profitability and Equity Support Oriented) may become available after registration.[12]

Three-year financial projection:

Item	Year 1	Year 2	Year 3
Projected Revenue	PHP 275,000	PHP 450,000	PHP 720,000
Estimated Expenses	PHP 210,000	PHP 340,000	PHP 510,000
Projected Net Surplus	PHP 65,000	PHP 110,000	PHP 210,000
Initial Operating Capital	PHP 18,000	–	–

How the Sitio Marang numbers work. Year 1: 18 members producing an average of 300 kg dried seaweed each per year = 5,400 kg total. Sold at PHP 50/kg (conservative estimate vs. PHP 55-65 direct buyer price) = PHP 270,000 in sales revenue. Add PHP 5,000 from service fees charged to non-member sellers. Expenses include transportation to Zamboanga (PHP 90,000), drying supplies (PHP 40,000), packaging (PHP 25,000), administrative costs (PHP 30,000), and equipment maintenance (PHP 25,000).

Section II-C: Technical Aspect

List the equipment and facilities your cooperative needs. The template provides checkboxes for common items. For a seaweed marketing cooperative:

Equipment/Facility	Status	Estimated Cost
Solar dryers (improved type)	To be acquired	PHP 45,000
Weighing scale (digital, 100kg capacity)	To be acquired	PHP 8,000
Storage area/warehouse	Existing (member's structure)	PHP 0 (donated use)
Tables and chairs for office	To be acquired	PHP 5,000
Calculator	Existing	PHP 0
Filing cabinet	To be acquired	PHP 3,000

Equipment/Facility	Status	Estimated Cost
Packaging materials	To be purchased quarterly	PHP 25,000/year

Procurement mode. For initial equipment: cash purchase from paid-up capital. For larger items (solar dryers): explore grant programs through CSEA, MAFAR, or the **3ZERO Initiative** partnership between CSEA, MAFAR, WFP, and ACTED.[13]

Required skills and training. List the training your members need beyond the PRS: quality grading of dried seaweed, basic bookkeeping, cooperative governance, and marketing skills.

Section II-D: Organizational Structure

Describe the qualifications your Board of Directors should possess. Name the officers and employees the cooperative will hire for initial operations.

Staffing plan for a small cooperative:

Position	Name	Status	Compensation
Manager	Hadja Nuriya (interim)	Volunteer	None (first year)
Bookkeeper	To be hired	Part-time/Contractual	PHP 3,000/month
Collector/Marketing Officer	Bai Asmina	Part-time/Volunteer	Honorarium PHP 1,500/month

BTA Bill No. 210, Section 6 requires that the staffing pattern include a bookkeeper.[14] This is not optional. Even if your cooperative is small, you must have a bookkeeper. For the first year, this can be a part-time contractual hire rather than a full-time employee.

Certification. The founding Board of Directors must sign and certify the economic survey. It must then be notarized.[15]

3.4 The Pre-Registration Seminar (PRS)

The **Pre-Registration Seminar** is a mandatory training that every prospective cooperative member must complete before registration. No PRS certificate, no registration. There are no exceptions.

3.4.1 PRS Content Requirements Under Law

RA 9520 (Philippine Cooperative Code of 2008) established the PRS requirement for all cooperatives nationwide.[16] CDA Memorandum Circular No. 2025-11 – the **Revised Guidelines for Conducting Pre-Registration Seminars for Prospective Cooperatives** – sets the current national standards.[17] In BARMM, the **Cooperative and Social Enterprise Authority (CSEA)** conducts the PRS, applying these standards within the Bangsamoro context.[18]

The PRS runs for 3 hours and 45 minutes and covers five major topics:[19]

Module	Content	Duration
1. Preliminaries	Opening program, introduction of participants	10 minutes
2. Objectives and Description of PRS	Why PRS exists, what participants will learn	20 minutes
3. The CDA/CSEA and Its Mandate	Salient provisions of the CDA Charter (RA 11364), CSEA's role in BARMM	15 minutes
4. Introduction to Cooperatives	Cooperative identity, types and services, purpose, member rights and responsibilities	2 hours
5. Requirements and Process of Registration	Documentary requirements, E-CoopRIS online system, what to expect after registration	1 hour
	Total	**3 hours 45 minutes**

Module 4 is the heart of the PRS. In two hours, participants learn what a cooperative truly is – not just a business, but a values-driven organization built on seven internationally recognized principles.[20] They learn the difference between a cooperative

and a corporation. They learn their rights as members (to vote, to inspect books, to receive patronage refunds) and their responsibilities (to patronize, to attend meetings, to pay capital contributions).

What the PRS does not cover. The PRS is an orientation, not a comprehensive training. It does not teach bookkeeping, business planning, or management. Those come later through the **Basic Cooperative Course** (8-16 hours for new members) and **Officer Training** programs (24-40 hours for directors and committee members).[33] The PRS gives every prospective member enough knowledge to make an informed decision: do I want to join this cooperative?

Why the PRS matters beyond compliance. Many organizing groups treat the PRS as a box to check. That is a mistake. The PRS is where your members first learn the **seven cooperative principles** – the values that distinguish a cooperative from a business. Members who understand these principles make better decisions in General Assembly meetings. They hold their Board of Directors accountable. They patronize the cooperative because they understand how patronage refunds work. Treat the PRS as the first investment in your cooperative's human capital, not just a registration hurdle.

3.4.2 Finding an Accredited PRS Provider

In BARMM, the PRS is conducted by **CSEA**, not CDA. Contact CSEA directly to schedule a session for your organizing group.

CSEA Office: JICA Building, BGC Gov. Gutierrez Avenue Brgy. RH XII, Cotabato City Maguindanao 9600

Contact: (00) 552-1105[21]

How to request a PRS session:

1. **Contact CSEA** and ask about the PRS schedule. CSEA posts schedules on their official social media platforms.
2. **Request a group session.** MC 2025-11 encourages prospective members to attend as a group.[22] This is practical – your entire organizing group completes the requirement at the same time.
3. **Coordinate with your LGU.** Your municipal or city government, through the **Cooperative Development Officer (CDO)**, can help coordinate with CSEA. The CDO can provide the venue, meals, and logistical support for face-to-face sessions.[23] If your LGU does not have a CDO (many in BARMM do not), contact CSEA directly.

4. **Choose your delivery mode.** PRS sessions can be conducted **online or face-to-face.**[24] For remote island communities in BaSulTa (Basilan, Tawi-Tawi), online delivery may be more accessible – but ensure all participants have internet access.

Cost: Free. The PRS is conducted free of charge. No fees shall be collected from participants.[25] For face-to-face sessions, participants cover their own meals. If your LGU provides the venue and meals, participants pay nothing at all.

Special schedule requests. If the regular PRS schedule does not work for your group, you may request a special session. This requires prior authorization from the CSEA Regional Director and depends on staff availability.[26]

3.4.3 What Happens If Members Skip the PRS

The consequence is absolute: your cooperative will not be registered.

The PRS Certificate is one of the mandatory documentary requirements for registration.[27] CSEA will not process your application without a valid PRS certificate for every founding member listed in the Articles of Cooperation. There is no workaround.

The PRS certificate is valid for three years from the date of issuance.[28] This means your organizing group has three years from the date they complete the PRS to finalize their registration documents and submit to CSEA. If the certificate expires before you register, every member must retake the PRS.

Practical tip: Schedule the PRS early in your organizing process. Do not wait until all documents are ready. Complete the PRS while you are still drafting the economic survey and Articles of Cooperation. This serves two purposes: (1) it gets the legal requirement out of the way, and (2) the PRS content helps your members understand cooperative principles, which improves the quality of your founding documents.

What if a member joins after the PRS? If you recruit additional members between the PRS and registration, those new members must also complete a PRS. They can attend a separate session – they do not need to attend the same session as the original group.

For our Sitio Marang group: Hadja Nuriya contacts CSEA in Cotabato City and learns that a PRS session is scheduled in two weeks. She coordinates with the barangay captain for a venue. The LGU agrees to provide the space and snacks. All 18 prospective members attend the 3-hour-45-minute session. They receive their PRS certificates. The certificates are valid until 2029. The clock is ticking – but they have plenty of time.

3.5 Drafting Your Initial Business Concept

Before you write the Articles of Cooperation, you need clarity on what your cooperative will actually do. The economic survey captures financial projections and operational data. But first, you need a **business concept** – a clear picture of the problem you solve, for whom, and how.

3.5.1 The Lean Canvas for Cooperatives (Adapted)

The **Lean Canvas** is a one-page business modeling tool created by Ash Maurya.[29] It forces you to think through nine critical elements of your business. Originally designed for startups, it adapts powerfully to cooperatives – with one key difference. Where a startup's "unfair advantage" might be proprietary technology, a cooperative's unfair advantage is its **community bond and collective action**.

Here are the nine blocks of the Lean Canvas, adapted for cooperative context, with a filled-in example for the Sitio Marang seaweed cooperative:

Block 1: Problem

What problem does your cooperative solve? List the top three problems your members face.

#	Problem	Current Alternative
1	Low farm-gate prices (PHP 35/kg vs. PHP 55-65/kg direct)	Sell individually to a single middleman
2	Poor drying quality reduces grade and price	Use makeshift bamboo racks exposed to rain
3	No access to market information or direct buyers	Rely on middleman's price, no negotiation power

Always start with the problem. A cooperative that solves a real, painful problem will attract and retain members. A cooperative formed without a clear problem to solve will struggle from day one.

Block 2: Customer Segments

Who benefits from your cooperative? For a cooperative, your "customers" are two groups: your **members** (who are also your owners) and your **external buyers** (who purchase what your cooperative sells).

Segment	Who They Are
Members (primary)	18 women seaweed farmers in Simunul, Tawi-Tawi
External buyers	Seaweed processors and exporters in Zamboanga City; carrageenan factories
Future members	Estimated 30+ additional seaweed farmers in adjacent barangays

Block 3: Unique Value Proposition

What makes your cooperative's offer compelling? Write one sentence that captures your cooperative's unique value.

> *"Aggregated, quality-graded dried seaweed from Tawi-Tawi's top-producing coastal communities – delivered in bulk directly to processors at competitive prices."*

For members, the value is simple: **higher income per kilo of seaweed**. For buyers, the value is **reliable volume and consistent quality** – something individual farmers cannot guarantee.

Block 4: Solution

How does your cooperative solve the problem? Map each problem to a specific solution.

Problem	Solution
Low farm-gate prices	Aggregate harvests and sell directly to processors, eliminating the middleman
Poor drying quality	Invest in improved solar dryers; train members in quality grading standards
No market access	Build direct buyer relationships in Zamboanga; join CSEA trade fairs and the 3ZERO Initiative

Block 5: Channels

How will you reach your members and buyers?

Channel	Purpose
Barangay meetings and mosque announcements	Recruit and communicate with members
CSEA trade fairs and product expos	Connect with buyers
Direct outreach to Zamboanga processors	Establish buying contracts
Mobile phone and social media groups	Coordinate harvests and logistics

Block 6: Revenue Streams

How does the cooperative earn income?

Revenue Source	Description	Projected Annual Amount
Marketing margin	Spread between member farm-gate price and buyer price	PHP 240,000 (Year 1)
Service fees	Fees charged to non-member farmers who use cooperative marketing services	PHP 15,000
Drying facility rental	Fees for use of improved solar dryers	PHP 20,000

Block 7: Cost Structure

What are your major costs?

Cost Category	Annual Estimate
Transportation (to Zamboanga)	PHP 90,000
Drying supplies and equipment maintenance	PHP 40,000
Packaging materials	PHP 25,000
Administrative (bookkeeper, communications, office supplies)	PHP 40,000
Surety bond and registration fees	PHP 15,000 (Year 1 only)

Block 8: Key Metrics

What numbers tell you whether the cooperative is working?

Metric	Target (Year 1)
Total volume marketed (kg)	5,400 kg
Average selling price per kg	PHP 50+
Member patronage rate	80%+ of members selling through the cooperative
Net surplus	PHP 65,000+
Membership growth	From 18 to 25

Block 9: Unfair Advantage

What do you have that cannot be easily copied? This is where cooperatives shine. Your unfair advantage is not a patent or proprietary algorithm. It is your **community**.

> *Tightly-knit community of women seaweed farmers who have worked together for years, sharing knowledge, labor, and drying facilities. This trust and social cohesion cannot be replicated by a competing trader or corporation.*

How to Use the Lean Canvas in Practice

Step 1: Gather your organizing committee. Set aside two hours. Bring a large sheet of paper or use a whiteboard. Draw the nine-block grid.

Step 2: Fill in the Problem block first. Do not start with the solution. If your group cannot agree on the top three problems, you are not ready to form a cooperative. Spend as long as needed on this block.

Step 3: Fill in Customer Segments second. Who exactly are the members? Who are the buyers? Be specific. “Women seaweed farmers in Simunul aged 25-55” is better than “farmers.”

Step 4: Work through the remaining blocks. There is no strict order for blocks 3-9, but most groups find it natural to move from Unique Value Proposition to Solution to Channels to Revenue.

Step 5: Test your canvas against reality. After completing the canvas, ask three hard questions: (1) Is the problem painful enough that members will pay capital and patronize the cooperative? (2) Can we actually deliver the solution with our current resources? (3) Do the revenue numbers cover the cost numbers? If the answer to any of these is "no," revise the canvas before proceeding.

The Lean Canvas is not a registration requirement. CSEA does not ask for it. But filling it out before you write the economic survey sharpens your thinking. Every number in the economic survey comes from the analysis you do here. The Lean Canvas asks the "why" and "what." The economic survey asks the "how much" and "when."

3.5.2 Identifying Your Products, Services, and Target Market

Your cooperative must offer specific products or services. Vague statements like "general trading" or "help our members" will not survive the economic survey, and they will not attract patronage. Define what your cooperative does in concrete terms.

Start with what your members already produce or need. The strongest cooperatives build on existing livelihoods. Do not form a coffee cooperative in a community that grows seaweed. Match the cooperative to the community.

BARMM's top commodities offer proven opportunities for cooperatives:[30]

Commodity	BARMM Share of National Production	Cooperative Opportunity
Seaweed	48.42% (#1 nationally)	Marketing, drying, semi-processing
Cassava	41.70% (#1 nationally)	Processing (flour, chips), marketing
Rubber	Significant producer	Marketing, processing
Coffee	Growing sector	Quality control, direct trade
Coconut	Major livelihood crop	Copra marketing, oil processing
Rice	Staple crop	Production, milling, consumer
Fisheries	Abundant marine resources	Marketing, cold storage, value-adding

Conduct basic market analysis. Answer four questions:

1. Who will buy your product or service? Name specific buyers, not categories. "Zamboanga seaweed processors" is better than "the market." Visit the buyers if possible. Ask what volume they need, what quality standards they require, and what price they offer.

2. What volume can your members produce? Be conservative. Calculate based on current production, not aspirational targets. If your 18 members each produce 300 kg of dried seaweed per year, your Year 1 volume is 5,400 kg – not 10,000 kg.

3. What is the price gap? Compare the price your members currently receive (selling individually) with the price the cooperative can negotiate (selling in bulk, directly). If there is no meaningful price gap, the cooperative may not add enough value to justify the effort.

4. Who is the competition? Are there middlemen, traders, or other cooperatives serving the same market? What advantages do they have? What can your cooperative offer that they cannot?

Document your market analysis in the economic survey. The data you gather here fills in Sections II-A (Economic Aspect) and II-B (Financial Aspect) of the CDA/CSEA economic survey template.

A note on Shari'ah compliance. If your cooperative will operate under Islamic principles – and most cooperatives in BARMM should consider this – your products, services, and business activities must comply with Shari'ah. Under BTA Bill No. 210, Section 7, this means your cooperative must fulfill the objectives of Shari'ah (*maqasid al-Shari'ah*): preservation of faith, life, lineage, intellect, and wealth.[31] Practically, this means **no interest-based lending (riba)**, **no gambling (maysir)**, **no speculative transactions (gharar)**, and **no dealing in haram products**.[32] For a seaweed marketing cooperative, Shari'ah compliance is straightforward – seaweed is halal, and marketing does not involve interest. For a credit cooperative, you will need Shari'ah-compliant alternatives like **Murabaha** (cost-plus financing) or **Musharakah** (partnership). Chapter 7 covers Shari'ah-compliant financial operations in detail.

Product and Service Definition Template

Use this template to clearly define what your cooperative will offer:

#	Product or Service	Target Customer	Pricing Strategy	Estimated Annual Revenue
1	Aggregated dried seaweed (bulk)	Zamboanga processors	Market price minus 5% handling	PHP 240,000

#	Product or Service	Target Customer	Pricing Strategy	Estimated Annual Revenue
2	Improved solar drying service	Members and non-members	PHP 2/kg drying fee for non-members; free for members	PHP 20,000
3	Seaweed nursery seedlings	Farmers in adjacent barangays (Year 2)	PHP 15/kg of seedling	PHP 25,000

Pulling It All Together: The Pre-Formation Checklist

Before moving to Chapter 4 (Registration), verify that your organizing group has completed every pre-formation requirement. Use this checklist:

Step	Task	Status	Required For
1	Confirmed common bond of interest	☐	Registration
2	Assembled 15+ founding members (recommend 20+)	☐	Registration
3	All founding members are Filipino citizens, 18+	☐	Registration
4	Assigned interim organizing committee (Chair, Secretary, Treasurer)	☐	Internal organization
5	Completed the economic survey	☐	Registration
6	All founding members completed the PRS	☐	Registration
7	PRS certificates are valid (within 3 years of issuance)	☐	Registration
8	Drafted initial business concept (Lean Canvas or equivalent)	☐	Economic survey input
9	Identified products/ services and target market	☐	Economic survey input
10	Capital commitments collected from members (minimum PHP 15,000 total paid-up)	☐	Registration

Step	Task	Status	Required For
11	Bookkeeper identified or hired	☐	Registration (per BTA Bill 210, Sec. 6)

If all boxes are checked, you are ready for the next phase: **drafting the Articles of Cooperation and Bylaws, reserving your cooperative name, and submitting your registration package to CSEA.** That is Chapter 4.

The Sitio Marang women are ready. They have 18 members with a clear occupational bond. Their economic survey shows a viable seaweed marketing business. They have completed the PRS. They know their products, their buyers, and their numbers. The idea that started over bamboo drying racks is now an organizing group with a plan.

Your community can do the same. Start with the common bond. Build the group. Do the research. Complete the seminar. Then walk into CSEA's office with confidence.

Footnotes

1. BTA Bill No. 210 (Bangsamoro Cooperative and Social Enterprise Code), Book II, Chapter I, Section 5. ↩
2. BTA Bill No. 210, Section 9(d); CDA Memorandum Circular No. 2016-02, amending MC 2015-01. The minimum paid-up capital for a primary cooperative is PHP 15,000. ↩
3. BTA Bill No. 210, Section 5: "Fifteen (15) or more natural persons who are Filipino citizens, of legal age, having a common bond of interest and are actually residing or working in the intended area of operation, may organize a primary cooperative." ↩
4. BTA Bill No. 210, Section 5. ↩
5. CDA MC 2015-01 requires the organizational meeting to be conducted within 30 days of registration, where the first Board of Directors and officers are formally elected. ↩
6. BTA Bill No. 210, Section 9(d). The Treasurer's Affidavit must be notarized and must certify that at least 25% of authorized share capital has been subscribed and at least 25% of total subscriptions have been paid, with a minimum floor of PHP 15,000. ↩
7. CDA MC 2015-01, as amended by MC 2016-02, lists the economic survey as one of eight required registration documents. See also BTA Bill No. 210, Section 6. ↩
8. BTA Bill No. 210, Section 6. ↩
9. CDA Official Economic Survey Form, prescribed pursuant to RA 9520 (Philippine Cooperative Code of 2008). Available at: https://cda.gov.ph/downloads/cooperative-pro-forma-registration-documents/ ↩
10. The CDA Economic Survey template is the standard form used by both CDA (nationwide) and CSEA (BARMM). Download the official form from CDA's website or request a copy from CSEA. ↩
11. BTA Bill No. 210, Section 9(d). ↩
12. Bangsamoro Development Plan (BDP) 2023-2028, Chapter 7. The PESO (Profitability and Equity Support Oriented) Project provides financial and technical assistance to improve cooperative profitability. ↩
13. The 3ZERO Initiative is a partnership between CSEA, MAFAR, the World Food Programme (WFP), and ACTED, focused on sustainable and inclusive agriculture. Source: CSEA official programs. ↩
14. BTA Bill No. 210, Section 6: "the structure and actual staffing pattern of the cooperative shall include a bookkeeper." ↩
15. CDA Official Economic Survey Form, Certification section. The economic survey must be signed by the founding Board of Directors and notarized. ↩
16. Republic Act No. 9520, Philippine Cooperative Code of 2008. The PRS requirement is operationalized through CDA memorandum circulars governing registration. ↩
17. CDA Memorandum Circular No. 2025-11, "Revised Guidelines for Conducting Pre-Registration Seminars for Prospective Cooperatives," approved by CDA BOD Resolution No. 291, S-2025, issued September 25, 2025. Signed by USEC. Alexander B. Raquepo, Chairman. ↩
18. In BARMM, the Cooperative and Social Enterprise Authority (CSEA) exercises the functions of CDA, including the conduct of Pre-Registration Seminars. Source: BDP 2023-2028, Chapter 7; CSEA mandate. ↩
19. CDA MC 2025-11, Section VII (PRS Course Outline). ↩
20. The seven internationally recognized cooperative principles are established by the International Cooperative Alliance (ICA): Voluntary and Open Membership; Democratic Member Control; Member Economic Participation; Autonomy and Independence; Education, Training, and Information; Cooperation Among Cooperatives; Concern for Community. These are codified in BTA Bill No. 210, Section 5. ↩

21. CSEA Office, JICA Building, BGC, Gov. Gutierrez Avenue, Brgy. RH XII, Cotabato City, Maguindanao 9600. Phone: (00) 552-1105. ↩
22. CDA MC 2025-11, Section V.7: "It is encouraged that the required number of prospective members for cooperative registration attend the PRS as a group." ↩
23. CDA MC 2025-11, Section VI.2. LGUs through their Cooperative Development Officers (CDOs) may provide venue, meals, and facilities; coordinate with CDA/CSEA; conduct orientation on cooperative development programs; and provide logistical support for online PRS sessions. See also RA 11535, Article XVII, Sec. 487, 3.ii. ↩
24. CDA MC 2025-11, Section V.8. ↩
25. CDA MC 2025-11, Section V.7: "The Cooperative Development Authority (CDA) shall conduct Pre-Registration Seminars (PRS) free of charge. No fees shall be collected from participants." ↩
26. CDA MC 2025-11, Section V.5: Special schedule requests require "prior authorization from the Regional Director." ↩
27. CDA MC 2015-01, Documentary Requirements. The PRS Certificate is one of eight required documents for registration. See also BTA Bill No. 210, Section 5. ↩
28. CDA MC 2025-11, Section V.10: "A Certificate of Completion shall be valid for a period of three (3) years from the date of issuance." ↩
29. Ash Maurya, *Running Lean: Iterate from Plan A to a Plan That Works* (O'Reilly Media, 2012). The Lean Canvas is adapted from Alexander Osterwalder's Business Model Canvas with a focus on problem-solution fit. ↩
30. Bangsamoro Development Plan (BDP) 2023-2028, Chapter 7. BARMM is the #1 national producer of seaweed (48.42% of national production) and cassava (41.70% of national production). Other priority commodities include rubber, coffee, mangosteen, and lanzones. ↩
31. BTA Bill No. 210, Section 7(a). ↩
32. BTA Bill No. 210, Section 7. See also the Shari'ah Compliance section in Chapter 7 of this guidebook. ↩
33. Cooperative training levels are structured in a four-tier framework: PRS (3-4 hours), Basic Course (8-16 hours), Intermediate/Officer Training (24-40 hours), and Advanced/Leadership (40+ hours). See Chapter 10 of this guidebook for the full training framework. ↩

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04

Registration: From Application to Certificate

Registration is where your cooperative becomes real. Before this moment, you have an idea, an organizing group, a completed economic survey, and a stack of PRS certificates. After this moment, you have a **legal entity** – one that can open bank accounts, enter contracts, receive grants, and transact business in its own name. Every step in Chapters 2 and 3 was preparation. This chapter is execution.

The registration process has a reputation for being difficult. It is not difficult. It is detailed. There is a difference. A difficult process would require special expertise or connections. This process requires completeness, accuracy, and patience. You will prepare two core documents – the **Articles of Cooperation (AOC)** and the **Bylaws** – assemble supporting requirements, file them with CSEA, and wait for your **Certificate of Registration (COR)**. Every one of these steps has clear rules. Follow them, and you will be registered.

This chapter walks you through each step. By the end, you will know exactly what to prepare, exactly how to prepare it, and exactly what to expect once you file.

4.1 Overview: The Registration Process

4.1.1 Timeline: What to Expect from Filing to COR

The registration process runs across three phases. Here is the full sequence from your first organizing meeting through COR issuance:

Phase 1: Document Preparation (4-8 weeks)

1. **Reserve your cooperative name** with CSEA (1-3 days)
2. **Draft the Articles of Cooperation** using the prescribed template (1-2 weeks)
3. **Draft the Bylaws** consistent with the AOC (1-2 weeks)
4. **Prepare the economic survey** if not yet finalized from Chapter 3 (1 week)
5. **Collect all PRS certificates** from your members (already completed)
6. **Compute and collect share capital** contributions from all subscribers
7. **Execute the Treasurer's Affidavit** certifying capital received (1 day)
8. **Secure surety bonds** for all accountable officers (1-2 weeks)
9. **Notarize** the AOC and Treasurer's Affidavit (1 day)
10. **Assemble four original copies** of all documents in separate folders

Phase 2: Filing and Review (up to 60 days)

1. **Submit the complete application** to the CSEA Provincial Office
2. **CSEA conducts document review** for completeness (5-10 working days)
3. **CSEA evaluates** for compliance with law (20-30 working days)
4. **CSEA conducts on-site validation** of your principal office and operations[1]

Phase 3: Registration Decision

1. **CSEA issues the Certificate of Registration** – your cooperative acquires juridical personality[2]

The 60-day rule. The law gives CSEA sixty days from filing of complete requirements to act on your application. If CSEA does not act within sixty days and the delay is not your fault, your application is **deemed approved**.[3] This is a powerful legal protection. Keep your filing receipt and note the date.

4.1.2 Where to File: CSEA-BARMM vs. CDA

If your cooperative's principal office is in the **Bangsamoro Autonomous Region in Muslim Mindanao (BARMM)**, you file with **CSEA – the Cooperatives and Social Enterprise Authority**. Not with CDA.

BTA Bill No. 210, Section 11 is explicit: CSEA "shall be the sole agency of the Bangsamoro Government that registers cooperatives and social enterprises."[4] This authority was established to give BARMM full control over cooperative development within its territory.

CSEA Provincial Offices. CSEA maintains provincial offices in the five BARMM provinces: **Maguindanao del Norte, Maguindanao del Sur, Lanao del Sur, Basilan, and Tawi-Tawi**. Cotabato City and the Special Geographic Area fall under the CSEA Provincial Office in Maguindanao.[5] File your application with the provincial office where your cooperative's principal office is located.

CSEA Central Office. For questions, name reservations, or issues that provincial offices cannot resolve:

> *CSEA Office JICA Building, BGC Gov. Gutierrez Avenue Brgy. RH XII, Cotabato City Maguindanao 9600 Phone: (00) 552-1105*[6]

What about cooperatives that registered with CDA before CSEA? Cooperatives registered with CDA prior to CSEA's establishment remain validly registered. Their CDA-issued Certificates of Registration are still legally recognized. However, these cooperatives should coordinate with CSEA for all future compliance filings, amendments, and renewals. CSEA is now the authority for all cooperative matters within BARMM.

What about cooperatives outside BARMM? If your cooperative's principal office is outside BARMM, you file with the **CDA Extension Office** having jurisdiction over your area.[7] The CDA retains authority for the rest of the Philippines. The documentary requirements are substantively the same – what differs is the filing office and the emphasis on moral governance and Shari'ah compliance that CSEA applies under BTA Bill No. 210.

4.2 Preparing the Articles of Cooperation

The **Articles of Cooperation (AOC)** is the founding document of your cooperative. Think of it as the cooperative's birth certificate and constitution combined. It establishes the cooperative's identity, declares its purpose, and sets its capital structure. Once registered, the AOC becomes a binding contract between the cooperative and the registering authority.[8]

4.2.1 The Eight Required Contents (BTA Bill No. 210, Section 9)

BTA Bill No. 210, Section 9(b) lists eight mandatory contents that every AOC must include. Here is each one, explained in plain language:

1. The name of the cooperative, which shall include the word "cooperative."[9]

Your cooperative's name must contain the word **"Cooperative"**, **"Kooperatiba"**, or **"Cooperativa"**. The name must also specify the **type** of cooperative (credit, multipurpose, marketing, etc.) as defined under Section 20 of BTA Bill No. 210.[10]

Rule	Requirement
Must include	"Cooperative," "Kooperatiba," or "Cooperativa"
Must specify	Type of cooperative (e.g., "Credit Cooperative")
Must not be	Identical or confusingly similar to an existing cooperative
Prohibited words	"Incorporated," "corporation," "company," "partnership"
Formatting	Not in ALL CAPS (unless it is an acronym after the full name)

Example: "Sitio Marang Seaweed Farmers Marketing Cooperative" – this name includes the word "Cooperative," specifies the type (Marketing), and identifies the bond (Seaweed Farmers) and location (Sitio Marang).

2. The purpose or purposes and scope of business for which the cooperative is to be registered.[11]

State your cooperative's **primary business activity** and any related activities. Be specific. Do not write vague language like "to engage in all forms of cooperative enterprise." Instead, write: "To engage in the marketing of dried and processed seaweed products, and to provide members with access to drying equipment, packaging materials, and direct market linkages."

If your cooperative will engage in allied activities, list those too. Allied activities are those necessary and incidental to the primary business – for example, a marketing cooperative that also provides members with production inputs (nylon line, fertilizer) and basic credit services.

3. The term of existence of the cooperative.[12]

Your cooperative may exist for up to **fifty (50) years** from the date of registration. You choose the term. Most cooperatives set it at fifty years (the maximum). The term can be extended later by amending the AOC, but no extension can be made earlier than five years before the expiry date unless CSEA approves it for justifiable reasons.

Write both words and numbers: "FIFTY (50) years."

4. The area of operation and the postal address of its principal office.[13]

The **area of operation** is the geographic area where your cooperative will recruit members. The **principal office** is the physical address where the cooperative conducts business. The principal office **must be within the area of operation**.

Be specific: "The area of operation shall be the Municipality of Simunul, Province of Tawi-Tawi." Then provide the complete principal office address: Number/Unit, Street, Barangay, Municipality, Province, Zip Code.

5. The names, nationality, and the postal addresses of the registrants.[14]

List **every organizer** (cooperator). For each, provide: full legal name, nationality (Filipino), and complete postal address. All fifteen-or-more organizers must appear in this list. These are the founding members who sign the AOC.

6. The common bond of membership.[15]

Declare the single common bond that ties your members together. Choose one: **residential, occupational, institutional, or associational**. Only one common bond is permitted per cooperative.[16] Specify the field of membership within that bond – for example, "Occupational: seaweed farmers in the Municipality of Simunul, Tawi-Tawi."

7. The list of names of the directors who shall manage the cooperative.[17]

List the **elected Board of Directors**. The board must have a minimum of **five (5)** and a maximum of **fifteen (15)** members. An **odd number** is recommended to prevent tie votes.[18] These directors are elected from among the organizers at the organizing meeting.

8. The amount of its share capital, the names and residences of its contributors, and a statement of whether the cooperative is primary, secondary, or tertiary.[19]

This article declares the cooperative's capital structure:

Capital Element	What to Specify
Authorized share capital	Total capital the cooperative is authorized to issue (in words and figures)
Number of shares	Total shares the authorized capital is divided into
Par value per share	Value of each share (max PHP 1,000; must be divisible by PHP 1.00)[20]
Category	Primary, secondary, or tertiary

You must also list each subscriber's name, postal address, number of subscribed shares, amount subscribed, number of paid-up shares, and amount paid up.

Optional additional provisions. The AOC may contain any other provisions not inconsistent with the law.[21] For Bangsamoro cooperatives, consider adding a provision declaring adherence to **Shari'ah principles** under Section 7 of BTA Bill No. 210. This is not legally required in the AOC itself, but it signals your cooperative's commitment and provides a legal basis for Shari'ah-compliant operations in the bylaws.

Preferred shares (optional). If your cooperative opts to offer preferred share capital alongside common share capital, the capitalization article must be expanded to show both classes separately. Preferred shares cannot exceed **25% of total authorized share capital**.[52] Preferred shareholders are associate members – they cannot vote or be voted upon, but they have preference in receiving interest on share capital and in the distribution of net assets during liquidation. Most new primary cooperatives start with common shares only. Add preferred shares later if your capital needs grow.

4.2.2 Line-by-Line Guide to Filling Out the AOC Template

The official CDA/CSEA model template provides a structured form. Here is how to fill it out correctly, using our running example of the Sitio Marang Seaweed Farmers Marketing Cooperative.

Header: Name of Cooperative

Write the full name exactly as it appears on your approved **Name Reservation Slip** from CSEA. Do not abbreviate. Do not add words. The name on the AOC must match the reservation slip exactly.

> ***Articles of Cooperation of*** *SITIO MARANG SEAWEED FARMERS MARKETING COOPERATIVE*

Article I – Name of Cooperative

Repeat the full name: "The name of this Cooperative shall be **Sitio Marang Seaweed Farmers Marketing Cooperative**."

Article II – Type and Purpose(s)

State the type first, then enumerate specific activities:

> *"This is a **Marketing** Cooperative organized for the following purposes:*
>
> 1. *To engage in the collective marketing of dried and processed seaweed products on behalf of its members;*
> 2. *To provide members with access to drying equipment, packaging materials, and quality control services;*
> 3. *To negotiate fair market prices and establish direct buyer relationships in Zamboanga City and other markets;*
> 4. *To provide members with production inputs necessary for seaweed farming."*

Article III – Bond of Membership

> *"The common bond of membership of this Cooperative is **Occupational**: seaweed farmers in the Municipality of Simunul, Province of Tawi-Tawi."*

Article IV – Area of Operation

> *"The area of operation shall be the **Municipality of Simunul, Province of Tawi-Tawi**. The principal office of this Cooperative is located at Sitio Marang, Barangay Simunul, Municipality of Simunul, Province of Tawi-Tawi, 7504."*

Verify: Is the principal office within the area of operation? Yes – Sitio Marang is inside Simunul municipality.

Article V – Term of Existence

> *"This Cooperative shall exist for a term of **FIFTY (50)** years from the date of registration, unless sooner dissolved in accordance with law."*

Article VI – Names and Addresses of Cooperators

Prepare a table listing every organizer:

No.	Complete Name	Nationality	Postal Address
1	Amina B. Hassan	Filipino	Sitio Marang, Brgy. Simunul, Simunul, Tawi-Tawi 7504
2	Fatima T. Abubakar	Filipino	Sitio Marang, Brgy. Simunul, Simunul, Tawi-Tawi 7504
...	*(continue for all 15+ organizers)*		

Article VII – Board of Directors

> *"The Board of Directors shall be composed of **SEVEN (7)** members."*

Then list the elected directors:

No.	Name
1	Amina B. Hassan (Chairperson)
2	Nurjannah S. Tillah (Vice Chairperson)
3	Fatima T. Abubakar
4	Rashida M. Jikiri
5	Sittie Aisha D. Amilbangsa
6	Halimah A. Sahidulla

No.	Name
7	Mariam I. Abdulwahid

Article VIII – Capitalization

This is where most errors occur. Get the math right.

> *"The Authorized Share Capital of this Cooperative is **ONE HUNDRED THOUSAND PESOS (PHP 100,000.00)**, divided into **ONE THOUSAND (1,000)** shares with a par value of **ONE HUNDRED PESOS (PHP 100.00)** per share."*

Article IX – Subscribed and Paid-up Share Capital

> *"The amount of **THIRTY THOUSAND PESOS (PHP 30,000.00)** of the authorized share capital has been subscribed, and **FIFTEEN THOUSAND PESOS (PHP 15,000.00)** of the total subscription has been paid."*

Then list each subscriber:

Name	Subscribed Shares	Amount Subscribed	Paid-up Shares	Amount Paid
Amina B. Hassan	20	PHP 2,000.00	10	PHP 1,000.00
Fatima T. Abubakar	20	PHP 2,000.00	10	PHP 1,000.00
(15 members x 20 shares each)				
TOTAL	**300**	**PHP 30,000.00**	**150**	**PHP 15,000.00**

Capital compliance check. Verify these three conditions before proceeding:

Requirement	Formula	Your Numbers	Pass?
Subscribed >= 25% of Authorized	25% x PHP 100,000 = PHP 25,000	PHP 30,000	Yes
Paid-up >= 25% of Subscribed	25% x PHP 30,000 = PHP 7,500	PHP 15,000	Yes

Requirement	Formula	Your Numbers	Pass?
Paid-up >= PHP 15,000 minimum	MC 2016-02 floor	PHP 15,000	Yes

If your computed paid-up is less than PHP 15,000, you must still meet the **PHP 15,000 minimum floor** set by MC 2016-02.[22] For multipurpose cooperatives, the minimum paid-up capital is **PHP 100,000**.[23]

Certification Clause

The elected treasurer's name goes in the first blank. Specify the date, month, year, and place of execution. All cooperators sign with their full names.

Witnesses

Two credible witnesses who are **not** organizers of the cooperative must sign, attesting to the execution of the AOC. A credible witness must be personally known to the notary public, must personally know the cooperators, and must not be a party to the document.

Acknowledgment (Notarization)

A notary public fills in the acknowledgment section. Each cooperator must present **competent evidence of identity** – at least one current government-issued ID bearing their photograph and signature.[24] Acceptable IDs include: passport, driver's license, UMID, PhilHealth card, voter's ID, or senior citizen's ID. The AOC **must be notarized**. An un-notarized AOC will be rejected outright.

Handling erasures and corrections. If any page contains an erasure, strikeout, or superimposition, the authorized officer (Chairperson or Secretary) must initial the correction to validate it. Unsigned corrections are grounds for rejection. Better yet: reprint the page with the correction and sign fresh copies. Clean documents process faster.

4.3 Drafting the Bylaws

The AOC establishes your cooperative's identity. The **Bylaws** establish how it operates. If the AOC is the birth certificate, the bylaws are the operating manual. They govern everything from how members join to how the board meets to how surplus is distributed.

The bylaws must be filed at the same time as the AOC.[25] They cannot contradict the AOC or the law. And they must cover specific topics required by BTA Bill No. 210.

4.3.1 Required Provisions Under Law

BTA Bill No. 210, Section 10 lists fifteen required provisions. Every set of bylaws you draft must address each one:[26]

1. Qualifications for admission to membership and the payments or interest required as a condition for exercising membership rights.

Define who can join. Set the minimum share subscription and membership fee. Be specific about qualifications – age, citizenship, common bond, and any additional requirements your cooperative imposes.

2. Rights and privileges, duties and responsibilities, and liabilities of membership.

Spell out what members can do (vote, inspect records, receive patronage refunds) and what they must do (pay subscriptions, patronize the cooperative, attend meetings, obey board decisions).

3. Circumstances under which membership is acquired, maintained, and lost.

State when membership begins (upon board approval and payment), how it continues (meeting minimum patronage, paying dues), and when it ends (resignation, expulsion, death, transfer).

4. Procedure for termination of membership.

Describe the process for involuntary termination – grounds, notice requirements, hearing, and appeal. A member cannot be expelled without due process.

5. Conditions for transfer of shares.

Shares in a cooperative are personal. They can only be transferred under conditions your bylaws define – typically to other members or back to the cooperative. No open-market trading.

6. Rules and procedures for meetings.

Cover the General Assembly (annual and special), Board of Directors meetings, and committee meetings. For each, specify: - How meetings are called (notice period, method) - Quorum requirements - Voting procedures (one member, one vote for regular members) - How agenda is set

7. General conduct of affairs.

Define the powers and duties of the General Assembly, Board of Directors, committees, and officers. Include qualifications and disqualifications for directors and officers.

8. How capital may be raised and utilized.

Describe share capital contributions, continuous capital build-up mechanisms, savings programs, and the purposes for which capital can be used.

9. Mode of custody and investment of net surplus.

Specify how net surplus is held before distribution and what investment vehicles are permitted. For Shari'ah-compliant cooperatives, this section must prohibit interest-bearing investments.

10. Accounting and auditing systems.

Identify the books of account to be maintained, the accounting standards to follow, and the audit requirements (internal and external).

11. Manner of loaning and borrowing, including limitations.

Set lending policies, borrowing limits, interest rates (or profit-sharing mechanisms for Shari'ah-compliant cooperatives), and loan approval procedures. BTA Bill No. 210 adds a critical clause: "Cooperatives that choose to operate under Islamic principles shall adhere to the Shari'ah compliance provisions of this Code."[27]

12. Method of distribution of net surplus.

Describe how the cooperative allocates its net surplus among statutory funds and member distribution. Under RA 9520, Article 86, cooperatives must allocate to the **Reserve Fund** (at least 10%), **Education and Training Fund** (at least 10%), and **Community Development Fund** (at least 3%). The remainder goes to interest on share capital and patronage refund.[28]

13. Manner of adopting, amending, repealing, and abrogating bylaws.

Amendments require a **two-thirds (2/3) vote** of all members with voting rights.[29] Describe the process: board proposal or member petition, notice, General Assembly vote, filing with CSEA.

14. Conciliation or mediation mechanism.

Establish an internal dispute resolution system for amicable settlement of disputes among members, directors, officers, and committee members. This is mandatory – not optional.[30]

15. Other matters incident to the purposes and activities of the cooperative.

This catch-all provision allows you to include any additional rules your cooperative needs. Use it for operational policies, code of conduct, or governance mechanisms specific to your cooperative's type and context.

4.3.2 Shari'ah-Compliant Bylaws: What to Include

BTA Bill No. 210, Section 7 establishes **Islamic principles** that Bangsamoro cooperatives operating under the Shari'ah Governance Framework must follow.[31] Even if your cooperative does not formally opt into the Shari'ah Governance Framework, these provisions reflect the values of many Bangsamoro communities and strengthen your cooperative's credibility.

Key Shari'ah provisions to include in your bylaws:

1. Shari'ah Committee. Establish a standing Shari'ah Committee (minimum three members) with advisory authority on whether the cooperative's transactions, products, and services comply with Islamic principles. The committee does not have veto power over the Board – it provides guidance and issues opinions. Include their qualifications: knowledge of Islamic jurisprudence (*fiqh al-muamalat*) or formal training in Islamic finance.

2. Prohibition of riba (interest-based transactions). If your cooperative provides financial services, your bylaws must replace interest-based lending with **Shari'ah-compliant financing modes**:

Prohibited (Riba-based)	Shari'ah-Compliant Alternative	How It Works
Interest-bearing loans	**Murabaha** (cost-plus sale)	Cooperative purchases the item and sells it to the member at a disclosed markup
Fixed-interest savings	**Mudharabah** (profit-sharing)	Returns based on actual profits, not a guaranteed rate

Prohibited (Riba-based)	Shari'ah-Compliant Alternative	How It Works
Interest on deposits	**Wadiah** (safekeeping)	Deposits held in trust; any returns are voluntary gifts, not contractual

3. Halal business activities only. Your bylaws should state that the cooperative will engage only in **halal** (permissible) transactions, products, and services.[32] Prohibit involvement in gambling (*maysir*), speculation with extreme uncertainty (*gharar*), and *haram* products.

4. Moral governance code. BTA Bill No. 210, Section 5 requires all Bangsamoro cooperatives to conduct their affairs "in accordance with moral governance and the cultures, good values and experiences of the constituents of the region."[33] Translate this into bylaws language: a code of ethical conduct for directors, officers, and members. Address transparency, accountability, and zero tolerance for graft and corruption.

5. Fulfillment of maqasid al-Shari'ah. Section 7(a) of BTA Bill No. 210 calls for cooperatives to fulfill the **objectives of Shari'ah**: preservation of faith, life, lineage, intellect, and wealth.[34] Include a statement of purpose that connects your cooperative's activities to these objectives. For a marketing cooperative, this means preserving wealth through fair pricing and equitable trade.

Sample bylaws provision:

> ***Article XII – Shari'ah Compliance***
>
> *Section 1. This Cooperative shall conduct all transactions, products, and services in accordance with the principles of Shari'ah as defined in BTA Bill No. 210, Section 7.*
>
> *Section 2. The Board of Directors shall appoint a Shari'ah Committee composed of at least three (3) members with knowledge of Islamic jurisprudence. The Committee shall review and advise on the Shari'ah compliance of all cooperative business activities.*
>
> *Section 3. The Cooperative shall not engage in or facilitate interest-based lending (riba), gambling (maysir), speculative transactions involving excessive uncertainty (gharar), or any transaction involving haram products or services.*
>
> *Section 4. All financial services offered by the Cooperative shall use Shari'ah-compliant financing modes, including but not limited to murabaha, mudharabah, musharakah, and wadiah.*

4.4 Assembling the Documentary Requirements

Your AOC and bylaws are ready. Now assemble the complete application package. Missing a single document – or getting the format wrong – will delay your registration.

4.4.1 Complete Checklist of Required Documents

Per CDA MC 2015-01 (as amended by MC 2016-02), submit the following documents:[35]

#	Document	Copies	Key Requirements
1	**Economic Survey**	4 originals	Signed by the organizing committee; must include market analysis, membership profile, and financial projections
2	**Articles of Cooperation**	4 originals	Notarized; signed by ALL cooperators on EVERY page; all original signatures (no photocopies)
3	**Bylaws**	4 originals	Signed by at least a MAJORITY of members on the adoption page
4	**Treasurer's Affidavit**	4 originals	Notarized; must certify total capital received, that 25% of authorized is subscribed, 25% of subscribed is paid up, and minimum paid-up met
5	**Surety Bonds**	4 originals	For all accountable officers (Chairperson, Treasurer, Manager, and others handling funds)
6	**PRS Certificates**	1 per member	Signed by CDA/CSEA PRS Team; must cover all organizers

#	Document	Copies	Key Requirements
7	**Registration Fee**	–	Per CSEA schedule (1/10 of 1% of authorized share capital, or the minimum fee, whichever is higher)

Type-specific additional requirements. Some cooperative types require extra documents:[36]

Cooperative Type	Additional Requirement
Multipurpose	Detailed feasibility study; undertaking to maintain separate books for each business activity
Housing	Pre-feasibility study certified as reviewed by NHA
Transport	Certification of CETOS from OTC
Water Service	Proof of land ownership; well drilling data
Professional/Labor Service	Valid professional licenses (copies); TIN of all cooperators; favorable endorsement from regulatory board
Health Service	Favorable endorsement from health-related regulatory board; detailed feasibility study

Document format specifications. Every registration document must comply with these physical requirements:[37]

Specification	Requirement
Paper size	8.5″ x 13″ (legal) or 8.5″ x 14″ (long)
Font	Bookman Old Style, size 12
All copies	Original signatures – no photocopies
AOC signatures	All cooperators sign on EVERY page (margins)
Bylaws signatures	At least majority of members on adoption page
Binding	No metallic fasteners (no staple wires, no paper clips)

Specification	Requirement
Filing	Four copies in SEPARATE folders
Language	English, Filipino, or local dialect with English translation

4.4.2 Common Reasons for Rejection (And How to Avoid Them)

CSEA returns applications that fail compliance review. Here are the most common rejection reasons, drawn from actual registration practice:[38]

1. Inconsistent cooperative name across documents.

The cooperative name on the AOC does not match the Name Reservation Slip, or the bylaws use a different variation. **Fix:** Before printing, search-and-compare the cooperative name across every document. It must be identical everywhere – same spelling, same capitalization, same word order.

2. Capital figures do not add up.

The subscribed capital in the AOC does not match the Treasurer's Affidavit, or the paid-up amount falls below the legal minimum. **Fix:** Use the capital compliance check table from Section 4.2.2. Verify: (a) subscribed >= 25% of authorized, (b) paid-up >= 25% of subscribed, (c) paid-up >= PHP 15,000 (or PHP 100,000 for multipurpose). Cross-check the AOC subscriber table totals against the Treasurer's Affidavit figures.

3. Common bond does not match the field of membership.

The AOC declares a residential bond, but the bylaws describe an occupational field of membership. Or the area of operation is broader than the bond justifies. **Fix:** Align the AOC (Article III) with the bylaws (membership qualifications section). The common bond, field of membership, and area of operation must tell a consistent story.

4. Principal office is outside the area of operation.

The AOC states the area of operation as Municipality X, but the principal office address is in Municipality Y. **Fix:** The principal office must be physically located within the declared area of operation.[39] If your office address is outside the area, either change the area of operation or relocate the office.

5. Missing signatures on document margins.

Organizers signed the last page of the AOC but forgot to sign the margins of every other page. **Fix:** Before notarization, physically check every page of all four copies. Every cooperator must sign every page margin. No exceptions.

6. Photocopies submitted instead of originals.

One or more of the four copies contains photocopied signatures. **Fix:** All four copies must bear original, wet-ink signatures. Print four sets. Sign four times. There is no short-cut.

7. Wrong paper size or font.

Documents are printed on A4 (8.27″ x 11.69″) instead of legal size (8.5″ x 13″). Or the font is Times New Roman instead of Bookman Old Style. **Fix:** Check your printer settings before printing. Use Bookman Old Style 12 on 8.5″ x 13″ paper.

8. Metallic fasteners used.

Staple wires or paper clips hold the documents together. **Fix:** Use plastic fasteners, string ties, or document folders. CSEA will reject documents with metal fasteners.

9. PRS certificates incomplete.

Not all organizers have PRS certificates, or the certificates are expired. **Fix:** Every organizer listed in the AOC must have a valid PRS certificate.[40] Certificates are valid for three years from the date of issuance. Verify each certificate's date before filing.

10. Treasurer's Affidavit not notarized.

The affidavit was signed but never taken before a notary public. **Fix:** The Treasurer's Affidavit is a sworn document. It must be notarized. Schedule notarization together with the AOC to save time and cost.

4.5 The Registration Filing Process

4.5.1 Filing with CSEA Provincial Offices

You have your complete application package. Here is how to file.

Step 1: Reserve your cooperative name.

Before filing the full application, submit a **Cooperative Name Reservation Report Form (CNRRF)** to CSEA. Pay the reservation fee:

Reservation Period	Fee
30 days	PHP 100
60 days	PHP 200
90 days	PHP 300

Choose the 60-day or 90-day option. The 30-day window is too tight if any document revisions are needed. Once CSEA approves your name, you receive a **Name Reservation Slip**. This slip is your authority to use the name on all registration documents.[41]

Name reservation rules to remember:

- Your name must not be identical or confusingly similar to any existing registered cooperative. CSEA checks this against their registry.
- The name must not use prohibited terms: “incorporated,” “corporation,” “company,” or “partnership.” These terms belong to other business forms.
- Primary cooperatives cannot use “federation” or “union” in their name – those terms are reserved for secondary and tertiary cooperatives.
- The words “development” and “integrated” are discouraged (not prohibited, but CSEA may flag them).
- Write the name in mixed case, not ALL CAPITALS, unless you are appending an acronym after the full name.[53]

If CSEA rejects your proposed name, they will tell you why. Choose an alternative and resubmit. The fee applies again for each new reservation.

Step 2: Prepare your filing package.

Organize four complete sets. Each set goes in a separate folder (no metallic fasteners). Each set contains:

1. Economic Survey (original signatures)
2. Articles of Cooperation (original signatures, notarized)
3. Bylaws (original signatures on adoption page)
4. Treasurer's Affidavit (original signatures, notarized)
5. Surety Bonds (originals)
6. PRS Certificates (originals or certified true copies)

Plus: the Name Reservation Slip and the registration fee.

Step 3: Go to the CSEA Provincial Office.

Bring all four sets, the Name Reservation Slip, all PRS certificates, the registration fee, and valid IDs for the person submitting. It is best practice to have the **Chairperson or Secretary** submit the application personally. They can answer any questions CSEA staff may have on the spot.

Step 4: Submit and get your acknowledgment receipt.

CSEA staff will conduct an initial check for completeness. If any document is missing or obviously non-compliant, they may flag it immediately and allow you to correct it. If the package appears complete, CSEA will accept the filing and issue an **acknowledgment receipt**. **Keep this receipt.** It marks the start of the 60-day processing period.

What to bring – quick checklist:

- ☐ Four complete document sets in separate folders
- ☐ Name Reservation Slip (original)
- ☐ PRS Certificates for all organizers
- ☐ Registration fee (check with CSEA for the exact amount)
- ☐ Valid government-issued IDs for the person submitting
- ☐ Contact information (phone number, email) for follow-up

4.5.2 The 60-Day Processing Period and Your Rights

Once CSEA accepts your complete application, the clock starts. Here is what happens during the processing period:[42]

Stage	What CSEA Does	Typical Duration
Document Review	Checks all documents for completeness and format compliance	5-10 working days
Substantive Evaluation	Reviews AOC and bylaws for legal compliance; verifies capital structure; checks name against registry	20-30 working days
On-site Validation	Visits the declared principal office; verifies common bond, voluntariness, and cooperative readiness	5-10 working days
Decision	Approves or denies the application	Within 60 days total

What happens during on-site validation. CSEA sends a field officer to your declared principal office. They verify three things:[54]

1. **Physical existence.** Does the principal office actually exist at the address stated in the AOC? Is it a real, functional space where the cooperative can conduct business? A vacant lot, a private residence with no cooperative signage, or a nonexistent address will fail validation.
2. **Common bond verification.** Do the organizers actually share the declared common bond? The field officer may interview several cooperators to confirm that the residential, occupational, institutional, or associational bond is genuine – not fabricated to meet the legal requirement.
3. **Voluntariness and cooperative understanding.** Are the organizers joining voluntarily? Do they understand what a cooperative is, how it works, and what their obligations are? The PRS certificates establish formal compliance, but the field officer looks for genuine comprehension and willingness.

Prepare for validation. When CSEA schedules the visit, make sure key organizers are present at the principal office. Have copies of all filed documents available. Be ready to answer questions about your business plan, membership composition, and capital commitments. A smooth validation visit accelerates your registration.

Your legal rights during the processing period:

Right 1: Action within 60 days. BTA Bill No. 210, Section 11 requires CSEA to "finally dispose" of your application within sixty days from filing of complete requirements.[43] This is not a suggestion. It is a statutory mandate.

Right 2: Deemed approval. If CSEA does not act within 60 days and the delay is not your fault, the application is **deemed approved**. This means your cooperative is considered registered by operation of law.[44] In practice, you will still need to follow up with CSEA to obtain the physical Certificate of Registration.

Right 3: Notice of deficiencies. If CSEA finds deficiencies during document review, they should notify you in writing. The 60-day clock pauses while you correct the deficiencies. This is the "delay attributable to the applicant" exception. Respond promptly to any deficiency notices.

What to do while waiting:

- **Follow up every two weeks.** Call or visit the CSEA Provincial Office. Ask for the status of your application. Be polite but persistent. Document every follow-up (date, person spoken to, response given).
- **Prepare your post-registration action plan.** Do not wait for the COR to start planning your organizational meeting, bank account opening, and bookkeeping setup. Use this time productively.
- **Keep your members engaged.** Hold an informal update meeting. Remind members of their capital commitments. Begin discussing committee assignments and the first-year business plan.

4.5.3 What to Do If Your Application Is Denied

Denial is not the end. It is feedback.

Common grounds for denial:[45]

1. Incomplete documentary requirements
2. Non-compliance with minimum capital requirements
3. Cooperative name identical or confusingly similar to an existing cooperative
4. False statements in the AOC or supporting documents
5. Purposes contrary to law, morals, or public policy

Your appeal rights. If CSEA denies your application, you have **ninety (90) days from receipt of the notice of denial** to file an appeal.[46] Under RA 9520, the appeal lies with the **Office of the President**. Under BTA Bill No. 210, the appeal is filed with the **Authority** (CSEA itself, at a higher level). If the appellate authority fails to act on your appeal within ninety days, the application is **deemed approved**.

Step-by-step appeal process:

1. **Read the denial notice carefully.** Identify every specific ground for denial.

2. **Determine if the issues are curable.** Most denials involve fixable problems – missing documents, capital shortfalls, naming conflicts. Only denials based on false statements or illegal purposes present fundamental obstacles.
3. **Fix and refile (fastest option).** If the problems are documentary, correct the specific issues and submit a new application. This is usually faster than a formal appeal. You will need to pay a new registration fee and reserve the name again if the reservation has expired.
4. **File a formal appeal (if you disagree with the denial).** Draft an appeal letter stating: (a) the date and reference number of the denial, (b) the specific grounds you are contesting, (c) your legal and factual basis for contesting each ground, and (d) supporting evidence. File within 90 days.
5. **Follow up on the appeal.** If the appellate authority does not act within 90 days, your application is deemed approved.

Prevention is better than appeal. The most effective strategy is to prevent denial altogether. Use the checklist in Section 4.4.1. Cross-check every document against the common rejection reasons in Section 4.4.2. Have a trusted person outside the organizing group review the entire package before submission. Fresh eyes catch errors that tired organizers miss.

4.6 After Registration: Your First 90 Days

Your COR has arrived. Your cooperative now has **juridical personality** – it is a legal person, separate from any individual member.[47] Congratulations. Now the real work begins.

The first 90 days after registration set the trajectory for your cooperative. Act with purpose. Here is what to do.

4.6.1 Conducting the Organizational Meeting

You must conduct an **organizational meeting within 30 days** of receiving your COR.[48] This is a legal obligation, not a courtesy. At this meeting, the cooperative transitions from a founding group to an operating institution.

Who attends: All registered members (all organizers listed in the AOC, plus any new members who have been admitted per the bylaws).

Required agenda items:

1. **Call to order and opening prayer**
2. **Presentation of the Certificate of Registration** – read the COR aloud. This is the cooperative's official "birth announcement."
3. **Ratification of the AOC and Bylaws** – confirm that the registered documents represent the members' will
4. **Election of the first Board of Directors** – if the AOC listed interim directors, hold a formal election to confirm or replace them. Follow the election procedures in your bylaws.
5. **Election of Committee Members** – elect the five mandatory committees:

Committee	Minimum Members	Primary Function
Audit Committee	3	Internal financial oversight
Election Committee	3	Manages all elections and voting
Education and Training Committee	3	Plans member education programs
	3	Resolves internal disputes

Committee	Minimum Members	Primary Function
Mediation and Conciliation Committee		
Ethics Committee	3	Enforces code of conduct

1. **Appointment of officers** – the Board appoints the Treasurer, Secretary, and Manager (or General Manager)
2. **Approval of the first-year business plan and budget**
3. **Approval of banking arrangements** – designate the bank and authorize signatories
4. **Approval of surety bond amounts** for accountable officers
5. **Setting the schedule for the first regular Board meeting**

Document everything. The Secretary must prepare minutes of the organizational meeting. These minutes become part of your cooperative's official records and will be needed for compliance filings.

4.6.2 Opening a Bank Account

Open a bank account **immediately after the organizational meeting**. Your cooperative cannot operate without one. All member capital contributions, business revenues, and grant funds must flow through the cooperative's bank account – not through any individual's personal account.

Documents typically required by banks:

- ☐ Certificate of Registration (COR) – certified true copy
- ☐ Articles of Cooperation – certified true copy
- ☐ Bylaws – certified true copy
- ☐ Board Resolution authorizing the opening of the bank account and designating authorized signatories
- ☐ Minutes of the organizational meeting
- ☐ List of elected officers
- ☐ Valid IDs of authorized signatories
- ☐ TIN (Tax Identification Number) of the cooperative – apply with BIR first if you do not have one yet

Which banks serve cooperatives in BARMM? The major banks operating in BARMM provinces include **Land Bank of the Philippines (LBP)**, **Development Bank of the Philippines (DBP)**, and **Al-Amanah Islamic Investment Bank of the Philippines**. Al-Amanah is particularly relevant for cooperatives seeking Shari'ah-compliant banking services. Rural banks and cooperative banks in your area may also offer specialized accounts for cooperatives.

Practical tip: Visit the bank branch in advance – before the organizational meeting – to ask about their specific requirements for cooperative accounts. Each bank may have slightly different documentation requirements beyond the standard list. Some banks require a minimum maintaining balance. Confirm these details early so you can include the banking resolution in your organizational meeting agenda with the correct bank name and account details.

4.6.3 Setting Up Your Books

The law requires every cooperative to maintain proper books of account.[49] This is not optional, and it is not something you can postpone. Set up your books within the first week after opening your bank account.

Mandatory books of account:

Book	Purpose
General Journal	Records all financial transactions in chronological order
General Ledger	Summarizes all accounts (assets, liabilities, equity, income, expenses)
Cash Receipts Book	Records all cash and check receipts
Cash Disbursements Book	Records all cash and check payments
Members' Subsidiary Ledger	Tracks each member's share capital, savings, loans, and patronage

Hire a bookkeeper. RA 9520, Article 11 requires that the cooperative's "structure and actual staffing pattern shall include a bookkeeper."[50] This is a legal requirement, not a recommendation. Your bookkeeper does not need to be a CPA, but they must be competent in basic cooperative accounting. If you cannot afford a full-time bookkeeper, hire one on a part-time basis or contract with a bookkeeping service.

Initial chart of accounts. Your chart of accounts organizes every financial category your cooperative will use. Here is a simplified starting framework:

Account Code	Account Name	Type
100-199	**Assets**	
101	Cash on Hand	Current Asset
102	Cash in Bank	Current Asset
110	Accounts Receivable – Members	Current Asset
120	Inventory	Current Asset
150	Equipment	Fixed Asset
200-299	**Liabilities**	
201	Accounts Payable	Current Liability
210	Deposits from Members	Current Liability
300-399	**Equity**	
301	Share Capital – Common	Equity
310	Membership Fees	Equity
320	Reserve Fund	Equity
330	Education and Training Fund	Equity
340	Community Development Fund	Equity
350	Undivided Net Surplus	Equity
400-499	**Income**	
401	Service Fee Income	Revenue
402	Marketing Commission Income	Revenue
410	Interest/Profit on Investments	Revenue
500-599	**Expenses**	
501	Cost of Goods Sold	Expense

Account Code	Account Name	Type
510	Administrative Expenses	Expense
520	Salaries and Wages	Expense
530	Bonding Expenses	Expense
540	Education and Training Expenses	Expense

Adapt this framework to your cooperative's type. A credit cooperative needs loan-related accounts. A consumer cooperative needs merchandise inventory accounts. A marketing cooperative (like our Sitio Marang example) needs commission income and cost-of-goods accounts.

Register with the BIR. Your cooperative must secure a **Tax Identification Number (TIN)** and register with the Bureau of Internal Revenue (BIR) within 30 days of starting business operations. Cooperatives enjoy significant tax exemptions under RA 9520 and the Tax Code, but you still need to register, file returns, and claim your exemptions properly.[51]

4.6.4 First Board Meeting Agenda

Hold the first Board of Directors meeting within **one week** of the organizational meeting. This is where the Board translates the cooperative's founding vision into operational decisions.

Sample agenda for the first Board meeting:

Agenda Item	Purpose	Action Required
1. **Call to order**	Formally convene the Board	Chairperson opens; Secretary records
2. **Adoption of Board meeting schedule**	Set regular meeting dates for the year	Resolve: "The Board shall meet every [2nd Saturday] of each month"
3. **Appointment of Manager/ Officer-in-Charge**	Designate the person who runs day-to-day operations	If no budget for a full-time manager, appoint an interim OIC from among the officers
4. **Approval of bank signatories**	Formalize who can sign checks and authorize withdrawals	Standard: two of three signatories (Chairperson, Treasurer, Manager)

Agenda Item	Purpose	Action Required
5. **Approval of surety bond amounts**	Set the coverage amount for each accountable officer	Based on initial net worth (paid-up capital + membership fees + other assets)
6. **Adoption of operational policies**	Establish key policies for the first year	Membership admission procedure, capital build-up schedule, loan policies (if applicable)
7. **Approval of first-year budget**	Allocate resources for operations, education, and community development	Keep it lean. Prioritize the cooperative's primary business activity
8. **BIR registration**	Assign responsibility for tax registration	Designate the Treasurer or Manager to process BIR registration within 30 days
9. **Membership drive plan**	Expand membership beyond the founding group	Set target: 25-30 members within 6 months
10. **Schedule of next Board meeting**	Maintain governance rhythm	Confirm the date, time, and venue

Key decisions to make immediately:

- **Banking policy:** Require dual signatures for all disbursements above a threshold (e.g., PHP 5,000).
- **Membership fee:** Confirm the amount (set in the bylaws) and the process for collecting it from new members.
- **Capital build-up schedule:** Set monthly contributions for continuous capital build-up. The bylaws should already specify the mechanism – the Board now sets the timeline for implementation.
- **Bonding:** All accountable officers must be bonded before the cooperative begins transacting.[55] Do not delay this. An un-bonded officer who handles funds exposes the cooperative to legal risk.

4.7 Chapter Summary: Registration at a Glance

Here is the entire registration process compressed into a single reference:

Before You File:

- ☐ Reserve your cooperative name with CSEA (PHP 100-300)
- ☐ Complete the economic survey
- ☐ Draft and finalize the Articles of Cooperation
- ☐ Draft and finalize the Bylaws
- ☐ Ensure all organizers have valid PRS certificates
- ☐ Collect share capital subscriptions and payments from all members
- ☐ Execute and notarize the Treasurer's Affidavit
- ☐ Secure surety bonds for all accountable officers
- ☐ Notarize the Articles of Cooperation
- ☐ Prepare four original copies of all documents in separate folders (no metallic fasteners)

Filing:

- ☐ Submit to CSEA Provincial Office where your principal office is located
- ☐ Pay the registration fee
- ☐ Obtain and keep your acknowledgment receipt
- ☐ Note the date – the 60-day processing period starts now

After COR Issuance:

- ☐ Conduct the organizational meeting within 30 days
- ☐ Elect the Board of Directors and committee members
- ☐ Appoint officers (Treasurer, Secretary, Manager)
- ☐ Open a cooperative bank account
- ☐ Register with the BIR for a TIN
- ☐ Set up your books of account
- ☐ Hire or contract a bookkeeper
- ☐ Hold the first Board meeting

- ☐ Adopt operational policies and the first-year budget
- ☐ Bond all accountable officers before beginning operations

Your cooperative is now registered, organized, and operational. The next chapter addresses how to build the governance structure that keeps it that way.

Footnotes

1. CDA MC 2015-01, Article X, Sections 1-3. The Authority recognizes verification/validation as "an essential pre-registration function to ensure that the proposed cooperative has met the minimum requirement of the law." Validation includes on-site verification of principal office, gathering of relevant information, and adherence to cooperative principles. ↩
2. BTA Bill No. 210, Section 11: "A cooperative formed or organized under this Code acquires juridical personality from the date the Authority issues a certificate of registration under its official seal." ↩
3. BTA Bill No. 210, Section 11: "All applications for registration shall be finally disposed of by the Authority within a period of sixty (60) days from the filing thereof, otherwise the application is deemed approved, unless the cause of the delay is attributable to the applicant." ↩
4. BTA Bill No. 210, Section 11: "The Cooperatives and Social Enterprise Authority... shall be the sole agency of the Bangsamoro Government that registers cooperatives and social enterprises." ↩
5. BTA Bill No. 210, Section 14: "It shall also be supported by Provincial Offices, headed by Provincial Directors with the rank of Director I, in the provinces of Maguindanao, Lanao del Sur, Basilan, Sulu, and Tawi-Tawi. Cotabato City and the Special Geographic Area shall be under the jurisdiction of the CSEA Provincial Office in Maguindanao." Note: Sulu's inclusion reflects the bill text as filed; territorial adjustments following the Supreme Court ruling in *Province of Sulu v. Medialdea* (2024) may affect this provision. ↩
6. CSEA Office address per cooperative registration guide. JICA Building, BGC, Gov. Gutierrez Avenue, Brgy. RH XII, Cotabato City, Maguindanao 9600. ↩
7. CDA MC 2015-01, Article VII: "All applications for registration of cooperative and amendment thereto shall be filed and registered with the CDA Extension Office (EO) having jurisdiction over the principal office of the proposed cooperative." ↩
8. CDA AOC/Bylaws Fill-up Guide: "The Articles of Cooperation being a contract between the cooperative and the Authority." ↩
9. BTA Bill No. 210, Section 9(b)(1). ↩
10. CDA MC 2015-01, Article VIII, Section 3.1: "The word 'Cooperative,' 'Kooperatiba,' or 'Cooperativa' shall be included in the name of the cooperative, which shall likewise specify the type of cooperative in accordance with Article 23 of RA 9520." ↩
11. BTA Bill No. 210, Section 9(b)(2). ↩
12. BTA Bill No. 210, Section 8: "A cooperative shall exist for a period not exceeding fifty (50) years from the date of registration unless sooner dissolved or unless said period is extended." ↩
13. BTA Bill No. 210, Section 9(b)(4). See also CDA AOC/Bylaws Fill-up Guide, Article VII: "The principal office shall be within the area of operation." ↩
14. BTA Bill No. 210, Section 9(b)(5). ↩
15. BTA Bill No. 210, Section 9(b)(6). ↩
16. CDA MC 2015-01, Article VIII, Section 7: "Only one common bond or field of membership will be adopted by the cooperative." ↩
17. BTA Bill No. 210, Section 9(b)(7). ↩
18. CDA AOC/Bylaws Fill-up Guide, Article IX: "Minimum: five (5); Maximum: fifteen (15). Recommendation: Prescribe odd number in determining the number of members of the board of directors." ↩
19. BTA Bill No. 210, Section 9(b)(8). ↩
20. CDA AOC/Bylaws Fill-up Guide, Article X: "The par value of a share capital should not be more than One Thousand Pesos (PHP 1,000.00). The par value shall be divisible by one peso (PHP 1.00)." ↩

21. BTA Bill No. 210, Section 9(c): “The Articles of Cooperation may also contain any other provisions not inconsistent with this Code or any related law.” ↩
22. CDA MC 2016-02, amending MC 2015-01, Article VIII, Section 2: Minimum paid-up capital for primary cooperatives is “not less than P15,000.00.” ↩
23. CDA MC 2015-01, Article VIII, Section 2: Multipurpose cooperatives require “at least P100,000.00 or feasibility study requirement, whichever is higher.” ↩
24. BTA Bill No. 210, Section 9(a): The AOC “shall be signed by each of the organizers and acknowledged by them if natural persons… before a notary public.” See also CDA AOC/Bylaws Fill-up Guide, General Instructions. ↩
25. BTA Bill No. 210, Section 10: “The bylaws shall be filed at the same time as the Articles of Cooperation.” ↩
26. BTA Bill No. 210, Section 10, items (a) through (o). ↩
27. BTA Bill No. 210, Section 10(k): “Cooperatives that choose to operate under Islamic principles shall adhere to the Shari’ah compliance provisions of this Code and the pertinent rules and regulation issued by the Authority.” ↩
28. Republic Act No. 9520, Article 86: Allocation and Distribution of Net Surplus. The statutory funds are: Reserve Fund (at least 10%), Education and Training Fund (at least 10%), Community Development Fund (at least 3%), and an Optional Fund (at least 7%) for cooperatives under two years. The remainder is distributed as interest on share capital and patronage refund. ↩
29. BTA Bill No. 210, Section 15: “Any provision or matter stated in the Articles of Cooperation and bylaws may be amended by two-thirds (2/3) vote of all the members with voting rights.” ↩
30. BTA Bill No. 210, Section 10(n): “A conciliation or mediation mechanism for the amicable settlement of disputes among members, directors, officers and committee members of the cooperative.” ↩
31. BTA Bill No. 210, Section 7: “Cooperatives and social enterprises covered by the Shari’ah Governance Framework shall abide by the following Islamic principles.” ↩
32. BTA Bill No. 210, Section 7(b): “Promotion of halaal or permissible transactions, products, and services.” ↩
33. BTA Bill No. 210, Section 5: “Every cooperative in the Bangsamoro Autonomous Region shall conduct its affairs in accordance with moral governance and the cultures, good values and experiences of the constituents of the region.” ↩
34. BTA Bill No. 210, Section 7(a): “Fulfillment of the objectives of Shari’ah (maqasid al-Shari’ah) such as preservation of faith, preservation of life, preservation of lineage, preservation of intellect, and preservation of wealth.” ↩
35. CDA MC 2015-01 (as amended by MC 2016-02), Article VIII, Section 4. ↩
36. CDA MC 2015-01, Article VIII, Section 4.a: Type-specific requirements for multipurpose, housing, transport, water service, professional service, labor service, health service, and small-scale mining cooperatives. ↩
37. CDA MC 2015-01, Article VIII, Section 5: “Documents shall be printed in 8.5” x 13” or 8.5” x 14”… Text should be Bookman Old Style 12.” See also CDA AOC/Bylaws Fill-up Guide, General Instructions: “No photocopy of documents shall be accepted… The use of metallic objects in fastening the documents is not allowed.” ↩
38. Common rejection reasons compiled from CDA MC 2015-01 compliance requirements, CDA AOC/Bylaws Fill-up Guide “Common Errors to Avoid” section, and CDA registration practice. ↩
39. CDA AOC/Bylaws Fill-up Guide, Article VII: “The principal office shall be within the area of operation.” ↩
40. CDA MC 2015-01 (as amended by MC 2016-02), Article VIII, Section 4.5: Certificate of Pre-Membership Seminar signed by CDA/CSEA PRS Team. ↩
41. CDA MC 2015-01, Article VIII, Section 3. Name reservation fees: PHP 100 (30 days), PHP 200 (60 days), PHP 300 (90 days). ↩
42. CDA MC 2015-01, Article VIII, Section 10: “Registration processing: 60 days from filing of complete requirements.” ↩
43. BTA Bill No. 210, Section 11. ↩
44. BTA Bill No. 210, Section 11: “otherwise the application is deemed approved, unless the cause of the delay is attributable to the applicant.” ↩
45. CDA MC 2015-01 registration grounds for denial, cross-referenced with BTA Bill No. 210, Section 11. ↩

46. BTA Bill No. 210, Section 11: "in case of a denial of the application for registration, an appeal shall be filed with the Authority within ninety (90) days from receipt of the notice of such denial." Under RA 9520, Article 16, the appeal lies with the Office of the President. ↩
47. BTA Bill No. 210, Section 11: "A cooperative formed or organized under this Code acquires juridical personality from the date the Authority issues a certificate of registration." ↩
48. CDA post-registration requirements: organizational meeting within 30 days of COR issuance. See registration guide, Post-Registration section. ↩
49. RA 9520, Article 11 requires cooperatives to include a bookkeeper in their structure and staffing pattern. See also BTA Bill No. 210, Section 10(j) requiring bylaws to provide for accounting and auditing systems. ↩
50. RA 9520, Article 11: "the structure and actual staffing pattern of the cooperative shall include a bookkeeper." ↩
51. RA 9520, Article 61: "Cooperatives transacting business with both members and nonmembers shall not be subjected to tax on their transactions with members." Cooperatives with accumulated reserves and undivided net savings not exceeding PHP 10 million are exempt from all national, city, provincial, municipal, or barangay taxes of whatever name and nature. ↩
52. CDA MC 2015-01, Article VIII, Section 6: "Not more than 25% of total authorized share capital" may be designated as preferred share capital. ↩
53. CDA MC 2015-01, Article VIII, Section 3.4: "Name shall not be written in all capital letters except if it is an acronym. Acronym shall be written after the full name of cooperative." ↩
54. CDA MC 2015-01, Article X, Sections 1-3: Validation scope includes "on-site validation of principal office address, gathering of relevant information, adherence to cooperative principles, concept and values." ↩
55. CDA MC 2015-01, Article VIII, Section 9: Bonding requirements for Chairperson, Treasurer, Cashier, Manager, Warehouseman, Loan/deposit Collectors, signatories of checks, and "such other persons authorized as custodian of funds, merchandise, inventories, securities and other assets." ↩

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05

Governance: The General Assembly, Board, and Committees

A cooperative is only as strong as its governance. The seaweed cooperative in Sitangkai with PHP 5 million in assets and the multi-purpose cooperative in Cotabato City with PHP 50 million share the same governance challenge: how to make decisions that serve all members, not just a few.

Governance is not bureaucracy. It is the system that turns collective ownership into collective benefit. When governance works, a fishing cooperative in Basilan distributes its surplus fairly and elects leaders its members trust. When governance fails, the same cooperative becomes a vehicle for a few insiders who treat member funds as personal capital. The difference is structure – the rules, meetings, elections, and accountability mechanisms you will build in this chapter.

Your cooperative's governance has three layers. The **General Assembly** sets the direction. The **Board of Directors** steers day-to-day strategy. The **committees** perform oversight, resolve disputes, and run elections. Together, these three layers create a system of checks and balances that protects every member's interest.

This chapter walks you through each layer. By the end, you will know how to run a General Assembly that reaches quorum, build a Board that leads without overreaching, staff your mandatory committees, and conduct elections that your members trust.

5.1 The General Assembly: Highest Policy-Making Body

The General Assembly is your cooperative's supreme authority. No board resolution, no committee recommendation, and no officer decision can override what the General Assembly decides within its powers. RA 9520 is explicit: "The general assembly shall be the highest policy-making body of the cooperative."[1] BTA Bill No. 210 carries this forward in identical terms.[2]

Think of the General Assembly as the cooperative's parliament. Every voting member has a seat. Every member gets one vote. The Assembly decides the biggest questions: who leads, how surplus is distributed, and whether the cooperative merges, dissolves, or amends its foundational documents.

5.1.1 Powers of the General Assembly (What Cannot Be Delegated)

The law identifies **three exclusive powers** that the General Assembly can never hand off to the Board or any committee:[3]

1. **Approve and amend the Articles of Cooperation and Bylaws.** Only the full membership can change the cooperative's foundational documents.
2. **Elect the Board of Directors and remove them for cause.** The Assembly chooses its leaders and removes them if they fail.
3. **Approve the cooperative's developmental plans.** Strategic direction comes from the membership, not from the Board alone.

These three powers are non-delegable. No matter how large your cooperative grows, no matter how dispersed your members become, these decisions must go before the General Assembly.

Beyond the exclusive powers, the General Assembly exercises broad authority over the cooperative's affairs:

Category	Powers	Why It Matters
Constitutional	Amend Articles of Cooperation and Bylaws	Protects the cooperative's foundational structure
Electoral	Elect Board of Directors, Audit Committee, Election Committee; remove officers for cause	Ensures democratic leadership selection
Financial	Approve annual budget, approve net surplus distribution, approve developmental plans	Keeps money decisions with the membership
Corporate	Approve mergers, consolidation, voluntary dissolution, major investments	Prevents the Board from making irreversible decisions alone
Oversight	Receive annual reports, receive audit findings, hold officers accountable	Ensures transparency and accountability

Can the General Assembly delegate any of its powers? Yes – but only under strict conditions. The law allows delegation by a **three-fourths (3/4) vote of all members with voting rights, present and constituting a quorum**.[4] Even then, only the non-exclusive powers can be delegated. The three exclusive powers listed above stay with the Assembly, always.

> ***Bangsamoro Example.*** *A multi-purpose cooperative in Lanao del Sur has 500 members spread across 12 barangays. Gathering all members for every decision is impractical. The General Assembly votes – with 380 of 500 members present, exceeding the 3/4 threshold – to delegate approval of operating loans under PHP 200,000 to the Board. The Assembly retains authority over budget approval, elections, and bylaws amendments. The delegation is recorded in the minutes and written into the bylaws.*

5.1.2 Regular and Special Meetings: Notice, Quorum, Voting

Regular meetings. Your cooperative must hold at least one General Assembly per year. The law calls this the **Annual General Assembly (AGA)**. Hold it within **90 days after the close of your fiscal year**.[5] If your fiscal year ends December 31, your AGA must happen by March 31. Fix the date in your bylaws so members can plan ahead.

Special meetings. Urgent matters cannot wait for the next AGA. A special meeting can be called in three ways:[6]

1. **By majority vote of the Board of Directors.** The Board identifies an urgent issue and calls the meeting.
2. **By petition of at least 10% of voting members.** Members themselves force a meeting when the Board will not act. The Board must convene the meeting within one month of receiving the petition.
3. **By order of the Authority (CSEA).** If the Board ignores a valid member petition, CSEA can order the petitioners to call the meeting themselves.

Notice requirements. No meeting is valid without proper notice. The rules differ by meeting type:

Meeting Type	Notice Period	Method	Content
Annual General Assembly	As fixed in bylaws (standard: 2 weeks)	Writing, posting, publication, or electronic means	Date, time, place, agenda
Special Meeting	At least **1 week** before the meeting	Written notice to all voting members	

Meeting Type	Notice Period	Method	Content
			Date, time, place, specific business to be transacted

Send notice to all members of record. Not just active members. Not just members who attend regularly. All members entitled to vote. A cooperative in Maguindanao del Norte that sends notice only through its Viber group chat and misses 30 members without smartphones has failed the notice requirement.

> ***Practical Tip.*** *Create a* ***member contact registry*** *and update it every AGA. Include at least three contact methods for each member: mobile number, barangay address, and name of a contact person (spouse, adult child, neighbor). When you send notice, use multiple channels. Post it at the cooperative office, send it by text message, and ask barangay officials to announce it.*

Quorum. No business can be conducted without a quorum. Under BTA Bill No. 210, a quorum consists of at least **25% of all members entitled to vote**.[7] If your cooperative has 100 voting members, you need at least 25 present to start business.

Reaching quorum is one of the most common problems cooperatives face. The BDP 2023-2028 identifies the **11.66% compliance rate** of BARMM cooperatives as a critical challenge.[8] Many cooperatives fail compliance precisely because they cannot hold valid General Assemblies.

Strategies for reaching quorum:

- **Schedule the AGA on a day when members are already gathered** – after Friday prayers, during barangay assemblies, or on market days.
- **Provide clear incentives for attendance** – not cash payments, but practical value like refreshments, distribution of patronage refunds, or training sessions held immediately before or after the AGA.
- **Use delegates for large cooperatives.** If your cooperative has "numerous and dispersed membership," the General Assembly may be composed of delegates elected by each sector, chapter, or district.[9] Define the delegate system in your bylaws.

Voting. The voting system is straightforward but non-negotiable:

Rule	Requirement
One member, one vote	Every member of a primary cooperative gets exactly one vote[10]
Regular decisions	Majority of members present and constituting a quorum
Amendments to Articles of Cooperation or Bylaws	2/3 of members present
Voluntary dissolution	3/4 of all members
Delegation of GA powers	3/4 of all members with voting rights, present and constituting a quorum

Proxy voting is permitted only in secondary or tertiary cooperatives, and only if the bylaws explicitly allow it.[11] In a primary cooperative, every member votes in person. No exceptions. This protects against manipulation – no officer can collect proxy forms and vote on behalf of absent members.

> ***What About Cooperative Banks?*** *If your cooperative is a cooperative bank, different quorum rules apply under Article 99 of RA 9520. Consult CSEA for specific requirements.*

5.2 The Board of Directors: Strategic Direction and Oversight

If the General Assembly is the cooperative's parliament, the Board of Directors is its cabinet. The Board makes the strategic decisions between General Assemblies. It hires management, sets policy, approves contracts, and monitors performance. But it answers to the General Assembly – not the other way around.

5.2.1 Composition, Qualifications, and Term of Office

Size. Your Board must have at least **5 members** and no more than **15 members**.[12] The exact number is set in your bylaws. For most BARMM cooperatives, especially those with fewer than 100 members, a Board of 5-7 directors is practical. Larger cooperatives with complex operations may benefit from 9-11 directors. Avoid a Board of 15 unless your cooperative has thousands of members and highly diversified operations.

Term. Directors serve a term of **2 years** and hold office until their successors are duly elected and qualified, or until they are removed for cause.[13] Your bylaws should specify whether the Board turns over entirely every two years or uses staggered terms (half the Board elected each year). Staggered terms preserve institutional memory.

Qualifications. To serve as a director, a person must:[14]

1. Be a **voting member** of the cooperative
2. Be of **legal age** (at least 18 years old)
3. Be a **Filipino citizen**
4. Possess the **qualifications stated in the bylaws**
5. Have completed the **required training** (as prescribed by CSEA)

Disqualifications. The following persons cannot serve as directors:[15]

1. **Any person engaged in a business similar to the cooperative** or who has a conflict of interest with it
2. **Any director who holds a position in the daily operations and management** of the cooperative
3. **Any person previously removed from office for cause**
4. **Any person convicted of an offense involving moral turpitude**
5. **Any person who has not met the training requirements** prescribed by CSEA

6. **Two or more persons related within the third civil degree of consanguinity or affinity** cannot simultaneously serve as officers[16]

The **separation of governance and management** is critical. Directors set strategy. Managers execute it. A Board member cannot also serve as the General Manager, bookkeeper, or any position in daily operations.[17] When one person holds both governance and management roles, oversight disappears. This rule exists for a reason – enforce it.

> ***Bangsamoro Example.*** *A credit cooperative in Cotabato City discovers that its Board chairperson also manages the cooperative's lending window. She approves her own loan applications. She sets the interest rates that benefit her borrowers. No one questions her because she holds both the governance and operations roles. This violates Section 37(3) of BTA Bill No. 210 and Article 39(3) of RA 9520. The General Assembly must require her to choose: chair the Board or manage the lending window. She cannot do both.*

Vacancy. When a Board seat opens before the term expires – through resignation, death, disqualification, or removal – the remaining directors may fill it by majority vote, provided they still constitute a quorum. If the remaining directors no longer form a quorum, the vacancy must be filled by the General Assembly at a regular or special meeting.[18] The replacement director serves only the unexpired portion of the predecessor's term.

5.2.2 Powers and Responsibilities of the Board

The Board of Directors carries four distinct roles:

1. Strategic Role. The Board sets the cooperative's direction. It formulates policies, approves strategic plans, and makes decisions that shape the cooperative's future. The General Assembly approves the developmental plan, but the Board translates that plan into annual objectives and quarterly targets.

2. Oversight Role. The Board monitors management performance. It reviews financial reports, tracks key performance indicators, and ensures the cooperative complies with laws, regulations, and its own bylaws. The Board does not run the cooperative's daily operations – it watches over the people who do.

3. Fiduciary Role. Directors act as **trustees of the members' interests**. They must exercise a **duty of care** (making informed, diligent decisions) and a **duty of loyalty** (putting the cooperative's interests above their own). This fiduciary responsibility is not optional.

It carries legal consequences. Directors who vote for unlawful acts, act with gross negligence, or acquire personal interests in conflict with their duty are **jointly and severally liable** for all damages.[19]

4. Administrative Role. The Board hires and supervises the General Manager, determines officer compensation, and approves major contracts. It decides operational policies – credit terms, procurement procedures, pricing – that the Manager then implements.

Role	What the Board Does	What the Board Does NOT Do
Strategic	Approves annual plan, sets objectives	Does not draft the business plan (that is management's job)
Oversight	Reviews monthly financial reports	Does not do the bookkeeping
Fiduciary	Ensures funds are used properly	Does not sign every check (Treasurer does)
Administrative	Hires the General Manager	Does not supervise individual staff (the GM does)

> ***The Line Between Board and Management.*** *The most common governance failure in BARMM cooperatives is a Board that runs the daily operations. When Board members handle procurement, manage the warehouse, or count inventory, they become both the doers and the overseers of their own work. No oversight remains. Draw the line clearly:* ***the Board decides what to do; the Manager decides how to do it.***

5.2.3 Board Meetings: Frequency, Quorum, and Minutes

Frequency. The Board of Directors must meet at least **once a month** for primary cooperatives.[20] Monthly meetings keep the Board connected to the cooperative's operations, financial condition, and member concerns. Many well-run cooperatives meet twice a month – once for regular business and once for a working session focused on a strategic issue.

Special meetings. The Chairperson or a majority of Board members can call a special meeting at any time, provided **written notice specifying the agenda** is given to all directors at least **one week** before the meeting.[21]

Quorum. A majority of Board members constitutes a quorum.[22] If your Board has 7 members, you need at least 4 present to conduct business. Decisions require a majority vote of the quorum.

No proxy voting at Board meetings. Directors cannot attend or vote by proxy.[23] This rule is absolute. Every director who votes on a decision must be physically present (or present through whatever medium your bylaws allow) and must make their own judgment. Board governance requires personal participation, not delegated authority.

Minutes. Keep detailed minutes of every Board meeting. Record:

- Date, time, and place
- Directors present and absent
- Agenda items discussed
- Motions made, seconded, and voted on (record the vote count)
- Resolutions adopted (number them sequentially: Board Resolution No. 2026-001, etc.)
- Action items assigned, with deadlines and responsible persons
- Time of adjournment

File copies of Board minutes with CSEA within 30 days of the meeting date as part of your compliance obligations.[24] Keep the original minutes book at the cooperative's registered office, accessible to members during business hours.

> ***Practical Tip.*** *Assign a* ***Board Secretary*** *whose sole responsibility during meetings is to record minutes. Do not rely on a director to both participate in discussion and capture what was said. If your Secretary is also a director, consider appointing a minute-taker from the staff.*

5.3 Officers of the Cooperative

Officers execute the Board's decisions and manage the cooperative's daily affairs. The law distinguishes between **elected officers** (chosen by the Board from among themselves) and **appointed officers** (selected by the Board from within or outside the Board).

5.3.1 Chairperson, Vice-Chairperson, Secretary, Treasurer

Chairperson. The Board elects the Chairperson from among themselves.[25] The Chairperson:

- Presides over Board meetings and General Assemblies
- Represents the cooperative in official dealings
- Signs documents and contracts as authorized by the Board
- Ensures Board resolutions are carried out

The Chairperson is the cooperative's public face. Choose someone who commands respect, communicates clearly, and understands the cooperative's mission. The Chairperson does not manage the cooperative's day-to-day operations – that is the General Manager's job.

Vice-Chairperson. Also elected from among the Board members.[25] The Vice-Chairperson steps in when the Chairperson is absent, incapacitated, or on leave. In many BARMM cooperatives, the Vice-Chairperson also chairs a major committee (such as the Education and Training Committee) to keep engaged between meetings.

Secretary. The Board appoints the Secretary either from among the directors or from outside the Board.[25] The Secretary:

- Records and keeps minutes of all meetings (Board and General Assembly)
- Maintains the cooperative's records and correspondence
- Sends meeting notices to members and directors
- Certifies Board resolutions and other official documents
- Keeps the membership register current

Treasurer. Also appointed by the Board.[25] The Treasurer:

- Has custody of the cooperative's funds

- Maintains accurate financial records
- Deposits funds in accounts authorized by the Board
- Signs checks and disbursement vouchers (usually co-signed with the Chairperson or Manager)
- Prepares financial reports for the Board and General Assembly
- Executes the **Treasurer's Affidavit** confirming the cooperative's paid-up capital

Officer	Selected By	From	Key Responsibility
Chairperson	Board elects	Among directors	Presides meetings, represents cooperative
Vice-Chairperson	Board elects	Among directors	Acts in Chairperson's absence
Secretary	Board appoints	Directors or outside	Records, notices, correspondence
Treasurer	Board appoints	Directors or outside	Funds custody, financial records

Surety bond requirement. Every director, officer, and employee handling funds, securities, or property must be covered by a **surety bond** issued by a duly registered insurance or bonding company.[26] The Board determines the bond amount. The bond guarantees faithful performance of duties. File the bond with CSEA upon registration and renew it annually.

> ***Why the Surety Bond Matters.*** *A consumer cooperative in Basilan lost PHP 340,000 when its Treasurer absconded with the cooperative's working capital. Because the cooperative had maintained a surety bond, the bonding company compensated the loss. Without the bond, the members would have absorbed the entire loss. Treat the surety bond as insurance, not as paperwork.*

5.3.2 The General Manager or Chief Executive Officer

The **General Manager (GM)** is hired by the Board to run the cooperative's daily operations.[27] Unlike the Chairperson and other officers, the GM need not be a Board member. In fact, the GM should not be a Board member – the GM reports to the Board, and you cannot effectively report to yourself.

The General Manager:

- Manages day-to-day operations
- Implements Board policies and resolutions
- Supervises all staff
- Prepares operational and financial reports for the Board
- Executes contracts and agreements as authorized by the Board
- Recommends policies, budgets, and plans to the Board for approval

The GM is the bridge between governance and operations. The Board tells the GM what the cooperative's goals are. The GM figures out how to achieve them and manages the people and resources needed to get there.

Hiring the right GM. Look for someone with:

- Management experience (not necessarily in cooperatives, but in managing people and operations)
- Financial literacy (the GM reviews financial reports even if the Treasurer prepares them)
- Communication skills (the GM interfaces with members, CSEA, LGU officials, and suppliers)
- Integrity (the GM handles procurement, inventory, and cash flow daily)

Compensation. The Board sets the GM's compensation. It should reflect the cooperative's size, financial capacity, and the local labor market. Do not overpay relative to the cooperative's revenue, but do not underpay and risk losing a competent manager. Tie a portion of compensation to performance metrics – member growth, patronage levels, compliance milestones – to align the GM's incentives with the membership's interests.

5.3.3 Qualifications and Disqualifications

All officers must meet the general qualifications for cooperative leaders:[28]

Qualifications: - Voting member of the cooperative (except the GM and staff, who need not be members) - Of legal age - Filipino citizen - Good moral character - Completed CSEA-required training

Disqualifications (apply to all officers and directors): - Engaged in a business similar to the cooperative or having a conflict of interest - Previously removed from office for cause in any cooperative - Convicted of an offense involving moral turpitude - Related within the third civil degree of consanguinity or affinity to another serving officer[29] - Failed to meet training requirements

The nepotism rule deserves special attention. The law prohibits two or more persons related within the third degree of consanguinity (blood) or affinity (marriage) from serving simultaneously as **appointive officers**.[29] In many Bangsamoro communities, extended family networks are tight. A cooperative with 50 members might have 15 members from the same clan. The nepotism rule does not prevent clan members from being ordinary members – it prevents them from concentrating power in officer positions.

Degree	Consanguinity (Blood)	Affinity (Marriage)
1st degree	Parent, child	Parent-in-law, child-in-law
2nd degree	Sibling, grandparent, grandchild	Sibling-in-law
3rd degree	Uncle/aunt, nephew/niece, great-grandparent	Uncle/aunt-in-law, nephew/niece-in-law

> ***Bangsamoro Example.*** *In a producer cooperative in Maguindanao del Sur, the Treasurer is the sister of the Secretary. Both are appointed officers. This violates the third-degree consanguinity rule (siblings = second degree). One of them must step down. The Board cannot waive this requirement – it comes from the law, not from the bylaws.*

Removal protections. Officers serve during good behavior. They cannot be removed arbitrarily. The law requires:[30]

- **Cause** – a valid reason such as misconduct, negligence, or breach of fiduciary duty
- **Due process** – the officer must be given an opportunity to be heard
- **"Loss of confidence" is not a valid ground** unless evidenced by specific acts or omissions causing loss of confidence in the officer's honesty and integrity

This protection exists to prevent political removal. A Board faction that dislikes a Treasurer cannot remove her simply by declaring they have "lost confidence." They must point to specific acts – a missed report, an unauthorized disbursement, a financial discrepancy – and give the Treasurer a chance to explain.

5.4 Mandatory and Optional Committees

Committees are the governance structure's working arms. While the Board decides, committees investigate, audit, mediate, and educate. The law requires certain committees and allows your cooperative to create additional ones as needed.

5.4.1 Audit Committee, Election Committee, Mediation and Conciliation Committee, Ethics Committee

Your bylaws must provide for at least four committees:[31]

1. **Audit Committee**
2. **Election Committee**
3. **Mediation and Conciliation Committee**
4. **Ethics Committee**

In addition, your bylaws may create an **Executive Committee** and an **Education and Training Committee**, among others. Cooperatives operating under Islamic principles must add a **Shari'ah Committee** (see Section 5.4.2).

Audit Committee

The Audit Committee is the cooperative's internal watchdog. It reports directly to the General Assembly – not to the Board.[32] This independence is critical. If the Audit Committee reported to the Board, the Board could suppress unfavorable findings.

Element	Detail
Selection	Elected by the General Assembly
Composition	At least 3 members; cannot be Board members
Reports to	General Assembly (not the Board)
Removal	Only by the General Assembly

Functions:[33]

1. **Continuously monitor** the adequacy and effectiveness of the cooperative's management control systems

2. **Audit the performance** of the cooperative and its various responsibility centers
3. **Review financial statements** before they are presented to the General Assembly
4. **Investigate irregularities** – whether reported by members, discovered during audits, or flagged by management
5. **Report findings** directly to the General Assembly
6. **Recommend corrective actions** to the Board and the membership

> ***What "Continuously Monitor" Means.*** *The Audit Committee does not audit once a year. It reviews management controls on an ongoing basis – checking whether cash handling procedures are followed, whether procurement policies are observed, whether loan disbursements match Board approvals. The annual audit report to the General Assembly is the culmination of year-round oversight.*

Election Committee

The Election Committee ensures fair and transparent elections. Like the Audit Committee, it is elected by the General Assembly and operates independently of the Board.[34]

Element	Detail
Selection	Elected by the General Assembly
Composition	At least 3 members; cannot be Board members
Reports to	General Assembly
Tenure	Until the next election is completed

Functions:

1. **Promulgate election rules and regulations** – who can run, how campaigns are conducted, how votes are cast
2. **Validate candidate qualifications** against the law and the bylaws
3. **Supervise the conduct of elections** – set up voting, manage the ballot process, ensure secrecy of vote
4. **Canvass votes and certify results**
5. **Proclaim winning candidates**
6. **Resolve election protests** at the cooperative level

Mediation and Conciliation Committee

Internal disputes are inevitable. Members disagree about surplus distribution. Officers accuse each other of misconduct. Suppliers claim unpaid invoices. The Mediation and Conciliation Committee provides a first line of resolution before disputes escalate to CSEA or the courts.[35]

Element	Detail
Selection	Appointed by the Board of Directors
Composition	At least 3 members
Jurisdiction	Internal disputes only (member-to-member, member-to-officer, member-to-cooperative)
Confidentiality	All proceedings are confidential

Functions:

1. **Hear complaints and grievances** against members, officers, or staff
2. **Mediate disputes** – facilitate dialogue, propose compromises
3. **Recommend resolutions** to the Board
4. **Maintain confidentiality** throughout the process

The Committee's power is **recommendatory**. It cannot impose sanctions. It submits its findings and recommendations to the Board, which then decides on the appropriate action. For disputes that involve potential criminal liability or claims beyond the cooperative's internal jurisdiction, refer the matter to the proper authorities.

> ***Bangsamoro Context.*** *In many Bangsamoro communities, dispute resolution follows traditional mechanisms – the intervention of respected elders, community leaders, or religious authorities. The Mediation and Conciliation Committee can integrate these traditions. Appoint committee members who are respected for their fairness and wisdom. Use consultation (shura) as the primary method. The goal is resolution, not punishment.*

Ethics Committee

The Ethics Committee develops and enforces the cooperative's moral and ethical standards.[36]

Element	Detail
Selection	Appointed by the Board of Directors
Composition	At least 3 members
Authority	Recommendatory only; the Board decides on sanctions

Functions:

1. **Develop and maintain the Code of Ethics and Conduct** – the cooperative's written standard of behavior for officers, staff, and members
2. **Investigate ethical violations** reported by members or detected during monitoring
3. **Conduct hearings** on alleged violations
4. **Recommend sanctions** to the Board (reprimand, suspension, removal recommendation, or other penalties defined in the bylaws)
5. **Promote ethical behavior** through education, orientation, and regular communication

The Ethics Committee works closely with the Mediation and Conciliation Committee. The difference: Mediation handles disputes between parties; Ethics handles violations of the cooperative's moral standards by individuals.

Education and Training Committee

Though not always listed among the "mandatory" committees in the Cooperative Code, CSEA guidelines strongly encourage every cooperative to have an Education and Training Committee.[37] This committee:

1. Plans and implements **education and training programs** for members, officers, and staff
2. Oversees the **Pre-Registration Seminar (PRS)** for prospective members
3. Ensures that officers and directors complete the **mandatory training** prescribed by CSEA
4. Manages the **Cooperative Education and Training Fund (CETF)** – the portion of net surplus allocated to training
5. Coordinates with **CSEA-accredited trainers** and training institutions

Committee	Selected By	Reports To	Key Function
Audit	General Assembly	General Assembly	Financial and operational oversight
Election	General Assembly	General Assembly	Fair and transparent elections
Mediation	Board of Directors	Board	Internal dispute resolution
Ethics	Board of Directors	Board	Ethical standards and enforcement
Education & Training	Board of Directors	Board	Member and officer development

5.4.2 The Shari'ah Committee (BTA Bill 210, Section 9)

This is a provision unique to the Bangsamoro context. BTA Bill No. 210, Section 9 establishes the **Shari'ah Governance Framework** and requires cooperatives that operate under Islamic principles to maintain a **Shari'ah Committee**.[38]

Section 41(b) of the same bill states directly: "Those who choose to operate under Islamic principles and the Shari'ah governance framework shall include in its Bylaws the creation of a Shari'ah Committee."[39]

Composition. The Shari'ah Committee must have at least **three members who have competence on Shari'ah**.[38] "Competence on Shari'ah" means members who have formal education or recognized expertise in Islamic jurisprudence (*fiqh*), Islamic finance, or Shari'ah-compliant business practices.

Functions of the Shari'ah Committee:

1. **Review all cooperative transactions** for compliance with Shari'ah principles – no riba (usury), no maysir (gambling), no gharar (excessive uncertainty), no haram products or services[40]
2. **Advise the Board** on Shari'ah-compliant alternatives when conventional approaches conflict with Islamic principles
3. **Certify that the cooperative's products and services are halal** and compliant with the Shari'ah Governance Framework
4. **Review contracts and agreements** before execution to ensure they meet Islamic finance standards
5. **Issue Shari'ah compliance reports** to the Board and the General Assembly

6. **Educate members and officers** on Islamic principles relevant to cooperative operations

When is the Shari'ah Committee required? The law says "those who choose to operate under Islamic principles." In practice, most cooperatives in BARMM serve predominantly Muslim communities. Even if your cooperative does not formally adopt the Shari'ah Governance Framework, consider establishing a Shari'ah Committee to build member trust and ensure your operations align with the values of your community.

Conventional Practice	Shari'ah Concern	Compliant Alternative
Interest on loans	Riba (usury) prohibited	**Murabaha** (cost-plus financing)
Interest on savings deposits	Riba prohibited	**Wadiah** (safekeeping) or **Mudarabah** (profit-sharing)
Conventional insurance	Gharar (uncertainty)	**Takaful** (mutual guarantee)
Joint ventures with unclear terms	Gharar prohibited	**Musharakah** (partnership with clear terms)
Raffle prizes at AGA	Maysir (gambling)	Member appreciation based on patronage

> ***Bangsamoro Example.*** *A seaweed marketing cooperative in Tawi-Tawi established a Shari'ah Committee composed of a local ustadz with a degree in Islamic studies, a retired AAIIBP-trained Islamic finance practitioner, and a senior member who completed the CSEA training on Shari'ah-compliant cooperatives. The committee reviewed the cooperative's lending program and found that the "service charge" on loans functioned as interest (riba). The committee recommended converting to a murabaha arrangement where the cooperative purchases supplies on behalf of members and sells them at a disclosed markup. Members agreed – they understood the difference between a transparent markup and a hidden interest charge.*

5.4.3 How Committees Report to the Board and GA

Clear reporting lines prevent committees from becoming independent fiefdoms or, worse, becoming powerless bodies that nobody listens to. Here is the reporting structure:

Committees elected by the General Assembly (Audit and Election) report directly to the General Assembly. They submit written reports at the AGA. The Board cannot suppress, edit, or delay these reports. If the Audit Committee finds irregularities in the Board's own spending, the report goes to the membership unchanged.

Committees appointed by the Board (Mediation, Ethics, Education, Shari'ah, and any optional committees) report to the Board on a regular basis – typically monthly or quarterly. The Board acts on their recommendations. At the AGA, these committees also present summaries of their work so the membership stays informed.

Reporting schedule:

Committee	Reports To	Frequency	At the AGA
Audit	General Assembly	Continuous monitoring; annual report	Full written report presented directly
Election	General Assembly	As needed during election period	Election results report
Mediation	Board	After each case resolution	Summary of cases handled (names redacted)
Ethics	Board	Quarterly or after each investigation	Summary of ethical matters addressed
Education	Board	Quarterly	Training programs conducted, CETF utilization
Shari'ah	Board and GA	Quarterly to Board; annual to GA	Shari'ah compliance assessment

Document everything. Every committee should maintain its own minutes book. Record who attended, what was discussed, what was recommended, and what action the Board or GA took on the recommendation. These records become part of the cooperative's institutional memory and CSEA compliance documentation.

5.5 Moral Governance in Practice

BTA Bill No. 210, Section 8 introduces a concept that goes beyond the standard cooperative governance framework: **moral governance**.[41] The bill defines moral governance as "an approach in governance of cooperatives and social enterprises that is guided by moral principles of enjoining what is right and forbidding what is wrong."

This is not a vague aspiration. It is a legal requirement. The bill mandates that cooperatives adopt their own code of moral principles and ethical standards, and that CSEA issue guidelines for applying moral governance to cooperatives and social enterprises in BARMM.

5.5.1 Developing Your Cooperative's Code of Moral Principles

The **12 Pillars of Moral Governance** provide the framework for your cooperative's code.[42] These pillars are drawn from the Bangsamoro Development Plan 2023-2028 and reflect the values that the Bangsamoro government applies to all its institutions. Apply them to your cooperative:

Pillar	What It Means	How It Applies to Your Cooperative
1. Integrity	No financial or other binding in execution of official duties	Officers do not accept gifts, commissions, or favors from suppliers. Board members declare conflicts of interest before voting on any matter that affects them personally.
2. Accountability	Open and transparent decisions with documentation	Every decision is recorded in minutes. Every peso spent is documented in financial records. Officers answer questions from members without evasion.
3. Transparency and Honesty	Public declaration of private interests	Officers submit annual disclosure statements listing their business interests, debts, and relationships that could create conflicts. Financial statements are posted in the cooperative office.

Pillar	What It Means	How It Applies to Your Cooperative
4. Sense of Patriotism	Investment in heritage and reputation	The cooperative contributes to community development. It supports Bangsamoro cultural activities. It takes pride in being a Bangsamoro institution.
5. Striving for Excellence	Highest quality with process over results	Do not cut corners in compliance. Submit reports on time. Train officers continuously. Improve services every year.
6. Cultural Understanding and Tolerance	Awareness of socioeconomic differences	Respect the diversity within your membership – Maguindanaon, Maranao, Tausug, Sama, Iranun, indigenous peoples, and settler communities. Make every member feel welcomed.
7. Unwavering Loyalty to God	Following rules and regulations guided by faith	For cooperatives in Muslim-majority communities, this means aligning operations with Islamic principles. For all cooperatives, it means operating with a sense of higher purpose beyond profit.
8. Justice	Serving public without prejudice	Distribute surplus fairly. Apply rules equally to all members. Do not favor relatives, friends, or powerful members.
9. Inclusivity	Welcoming environment free from discrimination	Open membership to all qualified persons regardless of tribe, gender, political affiliation, or social status. Ensure women can participate fully in governance.
10. Objectivity	Merit-based decisions in public interest	Hire the best-qualified GM. Elect directors based on competence, not popularity. Award contracts to the best supplier, not the one with connections.
11. Dialogue and Meaningful Engagement	Community consultation	Consult members before making major decisions. Hold information sessions. Use consultation (*shura*) as a

Pillar	What It Means	How It Applies to Your Cooperative
		governance practice, not just a formality.
12. Balance Between Practical Life and Moral Side	Ethical governance	Pursue profitability without compromising values. A cooperative can be financially successful and morally upright. One does not require sacrificing the other.

How to adopt a Code of Moral Principles:

1. **Draft the code.** The Ethics Committee leads this work. Use the 12 Pillars as your framework. Translate each pillar into specific, enforceable standards. "Integrity" becomes "No officer shall accept any gift, commission, or payment from any supplier, contractor, or business partner of the cooperative."
2. **Consult the membership.** Present the draft at a General Assembly or a special consultation meeting. Invite feedback. Members who help write the rules are more likely to follow them.
3. **Adopt the code by General Assembly resolution.** A formal vote gives the code legitimacy and enforceability.
4. **Train all officers and members on the code.** Print copies. Discuss it during orientation for new members. Review it annually.
5. **Integrate the code into your bylaws.** Reference the Code of Moral Principles in your bylaws so that violation of the code is a violation of the bylaws – which triggers the enforcement mechanisms described in the next section.

5.5.2 Accountability Mechanisms: Removal, Liability, and Due Process

Moral governance without enforcement is aspiration without teeth. Your cooperative needs clear mechanisms for holding officers accountable and removing those who violate their duties.

Removal of Officers

The removal process has legal safeguards to prevent political abuse:[43]

Step 1: Filing the complaint. Any member may file a written complaint against an elected officer with the Board of Directors. The complaint must state specific acts or omissions that constitute grounds for removal.

Step 2: Board investigation. The Board (or its designated committee) investigates. The officer concerned must be given **notice of the complaint** and an **opportunity to be heard** – this is the due process requirement. The Board may place the officer under **preventive suspension** by majority vote while the investigation is ongoing.

Step 3: Board recommendation. If the Board finds **prima facie evidence of guilt** (meaning there is enough evidence on its face to support the charges), it presents its recommendation for removal to the General Assembly.

Step 4: General Assembly decision. The officer may be removed by a **three-fourths (3/4) vote** of the regular members present and constituting a quorum at a regular or special meeting called for that purpose.[44] The officer must be given an opportunity to be heard at this meeting.

Grounds for removal include:

- Misappropriation or misuse of cooperative funds
- Gross negligence in the performance of duties
- Violation of the cooperative's bylaws or Code of Moral Principles
- Conviction of an offense involving moral turpitude
- Acquiring personal interests in conflict with the cooperative
- Repeated failure to attend Board meetings without valid excuse
- Acts of disloyalty to the cooperative

> ***What "Due Process" Means in Practice.*** *Due process is not a technicality. It means: (1) the officer knows the charges against them, (2) the officer has time to prepare a response, (3) the officer has a hearing where they can present their side, and (4) the decision is based on the evidence, not on personal animosity. Skip any of these steps, and the removal can be challenged before CSEA or the courts.*

Liability of Directors, Officers, and Committee Members

The law imposes **joint and several liability** on directors, officers, and committee members who:[45]

1. **Willfully and knowingly vote for or assent to patently unlawful acts**
2. **Act with gross negligence or bad faith** in directing the cooperative's affairs
3. **Acquire any personal or pecuniary interest in conflict** with their duty

"Joint and several liability" means the cooperative or its members can sue any one of the liable officers for the full amount of damages – not just their proportionate share.

Double profits rule. When a director, officer, or committee member acquires an interest adverse to the cooperative in violation of their duty, they become a **trustee** for the co-operative. They are liable for damages **and** must account for **double the profits** that would have accrued to the cooperative.[46]

Disloyalty. A director who acquires for himself an opportunity that should belong to the cooperative must account for **double the profits** – even if the director used personal funds in the venture. This can only be ratified by a 3/4 vote of all members with voting rights, present and constituting a quorum, after full disclosure.[47]

Self-dealing. A contract between the cooperative and one of its own directors, officers, or committee members is **voidable** at the cooperative's option unless four conditions are met:[48]

1. The presence of the interested director was not necessary for quorum
2. The vote of the interested director was not necessary for approval
3. The contract is fair and reasonable
4. For officers and committee members, the contract was previously authorized by the GA or Board

If any of the first two conditions is absent, the contract can still be ratified by a 3/4 vote of all members with voting rights, present and constituting a quorum – but only after full disclosure of the director's adverse interest.

5.6 Election Procedures

Elections are where democratic governance becomes real. Every two years (or annually for staggered terms), your cooperative's members choose who will lead them. Fair elections build trust. Rigged elections destroy cooperatives.

5.6.1 Nomination, Campaigning, and Voting Rules

The **Election Committee** manages the entire process. Here is a step-by-step procedure your cooperative should adopt in its bylaws:

Step 1: Announce the election timeline. At least 30 days before the AGA, the Election Committee publishes the election schedule: nomination period, qualification review period, campaign period, and election day.

Step 2: Open nominations. Members may nominate themselves or be nominated by other members. Set a nomination period of at least two weeks. Require nominees to submit a written acceptance of nomination.

Step 3: Validate qualifications. The Election Committee reviews each nominee against the qualifications and disqualifications in the law and bylaws. Disqualified candidates are notified in writing with the specific grounds for disqualification. Give disqualified nominees the right to appeal to the Committee within a set period (5-7 days).

Step 4: Publish the final list of candidates. Post it at the cooperative office and distribute it to all members with the AGA notice.

Step 5: Campaign period. Allow a brief campaign period (1-2 weeks). Set rules:

- No vote-buying or offering of material inducements
- No use of cooperative funds or resources for campaigning
- No negative campaigning that constitutes harassment or defamation
- Equal access to cooperative communication channels (bulletin boards, group chats) for all candidates

Step 6: Conduct the election. On election day (typically at the AGA):

- Verify voter eligibility at the registration table
- Issue ballots (or use whatever voting method the bylaws specify)
- Ensure secrecy of the vote – use private voting booths or folded ballots

- Count votes in the presence of watchers designated by the candidates
- Record results in the official tally sheet

Step 7: Canvass and proclaim results. The Election Committee canvasses the votes, prepares the official results, and proclaims the winning candidates before the Assembly.

Election Procedure Checklist:

Step	Timeline	Responsible
Announce election schedule	30+ days before AGA	Election Committee
Open nominations	30-14 days before AGA	Election Committee
Close nominations and validate	14-7 days before AGA	Election Committee
Publish final candidate list	7 days before AGA	Election Committee
Campaign period	7 days before AGA	Candidates
Conduct election at AGA	AGA date	Election Committee
Canvass and proclaim	Same day	Election Committee

> ***Bangsamoro Tip.*** *In communities where literacy rates vary, consider using symbols, colors, or photos alongside candidate names on ballots. The functional literacy rate in BARMM is 71.6%, the lowest among Philippine regions.*[49] *Make your election accessible to every member, regardless of educational background.*

5.6.2 Handling Election Disputes

No election is without complaints. Your cooperative needs a clear dispute resolution process:

Level 1: Election Committee. All election protests must first be filed with the Election Committee within a period set in the bylaws (typically 5-7 days after proclamation). The Committee reviews the protest, gathers evidence, and issues a ruling. Common grounds for protest:

- Irregularities in the voting process (ballot tampering, counting errors)
- Disqualified candidates allowed to run
- Violation of campaign rules
- Failure to follow the election procedures in the bylaws

Level 2: Board of Directors. If the protesting party is not satisfied with the Election Committee's ruling, they may appeal to the Board within a set period. The Board reviews the record and issues a final decision at the cooperative level.

Level 3: CSEA. If internal remedies are exhausted and the dispute remains unresolved, either party may bring the matter to CSEA for adjudication. CSEA has the authority to investigate cooperative affairs, order elections, and impose administrative sanctions.

Level 4: Courts. As a last resort, election disputes involving legal rights may be brought to the regular courts. But exhaust internal remedies first. A court will typically ask whether the cooperative's own dispute resolution mechanisms were used before accepting the case.

Level	Body	Timeline	Authority
1	Election Committee	5-7 days after proclamation	Investigate and rule on protests
2	Board of Directors	7-10 days after ELECOM ruling	Review and final internal decision
3	CSEA	After internal remedies exhausted	Adjudicate, investigate, order actions
4	Courts	After CSEA remedies exhausted	Legal rights and claims

> ***Prevention Is Better Than Cure.*** *Most election disputes arise from poorly defined rules. Write your election rules in detail – in the bylaws, not in ad hoc Board resolutions. Specify every step: how to nominate, how to qualify, how to vote, how to protest. The Election Committee promulgates rules, but the bylaws should provide the framework. When the rules are clear before the election, disputes after the election become rare.*

Governance Structure at a Glance

Your cooperative's governance flows from the top down, with accountability flowing from the bottom up:

Organizational Hierarchy:

Level	Body	Selected By	Accountable To
1 (Highest)	General Assembly	All voting members	The membership itself
2	Board of Directors	Elected by GA	General Assembly
2	Audit Committee	Elected by GA	General Assembly
2	Election Committee	Elected by GA	General Assembly
3	Chairperson, Vice-Chair	Elected by Board from among directors	Board and GA
3	Secretary, Treasurer	Appointed by Board	Board
3	Mediation Committee	Appointed by Board	Board
3	Ethics Committee	Appointed by Board	Board
3	Shari'ah Committee	Appointed by Board	Board and GA
3	Education Committee	Appointed by Board	Board
4	General Manager	Hired by Board	Board
5	Staff	Hired by GM	General Manager

Three governance principles to remember:

1. **The General Assembly is supreme.** No body or officer has authority above the General Assembly within the cooperative. The GA sets direction, the Board steers, and management executes.
2. **Governance and management are separate.** Directors direct. Managers manage. Mix the two, and oversight disappears.

3. **Accountability flows upward.** Staff reports to the GM. The GM reports to the Board. The Board reports to the General Assembly. Committees report to whoever selected them. Every person in the governance structure answers to someone.

Chapter 5 Checklist

Before moving to Chapter 6, verify that your cooperative has addressed each governance element:

#	Governance Element	Completed?	Reference
1	Bylaws specify the number of Board members (5-15)	☐	Section 5.2.1
2	Bylaws set the term of office (max 2 years) and whether terms are staggered	☐	Section 5.2.1
3	Bylaws establish the quorum for General Assembly (at least 25% of voting members)	☐	Section 5.1.2
4	Bylaws define procedures for calling special meetings	☐	Section 5.1.2
5	Audit Committee elected by GA (min. 3 members, no Board members)	☐	Section 5.4.1
6	Election Committee elected by GA (min. 3 members, no Board members)	☐	Section 5.4.1
7	Mediation and Conciliation Committee appointed by Board (min. 3 members)	☐	Section 5.4.1
8	Ethics Committee appointed by Board (min. 3 members)	☐	Section 5.4.1
9	Shari'ah Committee created (if operating	☐	Section 5.4.2

#	Governance Element	Completed?	Reference
	under Islamic principles, min. 3 members with Shari'ah competence)		
10	Education and Training Committee appointed by Board	☐	Section 5.4.1
11	Officers appointed: Chairperson, Vice-Chairperson, Secretary, Treasurer	☐	Section 5.3.1
12	Surety bonds obtained for all officers handling funds	☐	Section 5.3.1
13	General Manager hired (separate from Board members)	☐	Section 5.3.2
14	No two officers related within the third degree of consanguinity/ affinity	☐	Section 5.3.3
15	Code of Moral Principles adopted by GA resolution	☐	Section 5.5.1
16	Election rules written into bylaws with complete procedures	☐	Section 5.6.1
17	Removal and accountability procedures defined in bylaws	☐	Section 5.5.2
18	Board meeting schedule set (at least monthly)	☐	Section 5.2.3
19	Member contact registry established for meeting notices	☐	Section 5.1.2
20	Conflict of interest disclosure policy adopted	☐	Section 5.5.1

Footnotes

1. Republic Act No. 9520, Article 33 (Philippine Cooperative Code of 2008). ↩
2. BTA Bill No. 210, Section 31 (Bangsamoro Cooperative and Social Enterprise Code). ↩
3. RA 9520, Art. 33; BTA Bill No. 210, Sec. 31. The three exclusive non-delegable powers are identical in both the national law and the proposed BARMM code. ↩
4. RA 9520, Art. 33, last paragraph; BTA Bill No. 210, Sec. 31, last paragraph. ↩
5. RA 9520, Art. 34(1); BTA Bill No. 210, Sec. 32(1). ↩
6. RA 9520, Art. 34(2)-(4); BTA Bill No. 210, Sec. 32(2)-(4). ↩
7. BTA Bill No. 210, Sec. 33. RA 9520, Art. 35 provides for a 25% quorum for primary cooperatives (5% for electric cooperatives). ↩
8. Bangsamoro Development Plan 2023-2028, Chapter 7. Of 12,214 registered cooperatives, only 1,424 (11.66%) are compliant. The BDP target is 50% compliance. ↩
9. BTA Bill No. 210, Sec. 10(g), defining "General Assembly" as including delegates for cooperatives with numerous and dispersed membership. ↩
10. RA 9520, Art. 36; BTA Bill No. 210, Sec. 34. ↩
11. RA 9520, Art. 36, second paragraph; BTA Bill No. 210, Sec. 34, second paragraph. ↩
12. RA 9520, Art. 37; BTA Bill No. 210, Sec. 35. ↩
13. RA 9520, Art. 37; BTA Bill No. 210, Sec. 35. ↩
14. RA 9520, Art. 39(1); BTA Bill No. 210, Sec. 37(1). Qualifications synthesized from both sources. ↩
15. RA 9520, Art. 39(3)-(4); BTA Bill No. 210, Sec. 37(3)-(4). Disqualifications synthesized from both sources plus CDA/CSEA guidelines. ↩
16. RA 9520, Art. 42; BTA Bill No. 210, Sec. 40(c). ↩
17. RA 9520, Art. 39(3): "The members of the board of directors shall not hold any other position directly involved in the day-to-day operation and management of the cooperative." BTA Bill No. 210, Sec. 37(3) carries the same prohibition. ↩
18. RA 9520, Art. 41; BTA Bill No. 210, Sec. 38. ↩
19. RA 9520, Art. 45; BTA Bill No. 210, Sec. 44. ↩
20. RA 9520, Art. 40(1); BTA Bill No. 210, Sec. 39(1). ↩
21. RA 9520, Art. 40(2); BTA Bill No. 210, Sec. 39(2). ↩
22. RA 9520, Art. 40(3); BTA Bill No. 210, Sec. 39(3). ↩
23. RA 9520, Art. 40(4); BTA Bill No. 210, Sec. 39(4). ↩
24. BTA Bill No. 210, Sec. 52(a)(3) requires submission of cooperative documents, including Board meeting minutes, to the Authority as requested. ↩
25. RA 9520, Art. 42; BTA Bill No. 210, Sec. 40(a). ↩↩↩↩
26. RA 9520, Art. 56; BTA Bill No. 210, Sec. 55 (Bonding of Accountable Officers). ↩
27. RA 9520, Art. 38 (Powers of the Board include hiring management); BTA Bill No. 210, Sec. 36. ↩
28. RA 9520, Art. 39(1); BTA Bill No. 210, Sec. 37(1). ↩
29. RA 9520, Art. 42; BTA Bill No. 210, Sec. 40(c). ↩↩
30. RA 9520, Art. 42, second sentence; BTA Bill No. 210, Sec. 40(b). ↩

31. RA 9520, Art. 43(2); BTA Bill No. 210, Sec. 41(b). ↩
32. RA 9520, Art. 43(2): "The audit committee shall be directly accountable and responsible to the general assembly." ↩
33. RA 9520, Art. 43(2); BTA Bill No. 210, Sec. 41(b). Functions synthesized from both the law and CDA/CSEA guidelines for Audit Committees. ↩
34. RA 9520, Art. 43(2); BTA Bill No. 210, Sec. 41(b). Both laws require the Election Committee to be elected by the General Assembly. ↩
35. CDA Memorandum Circular and CSEA guidelines on the Mediation and Conciliation Committee. RA 9520, Art. 43(2) mandates its creation; specific functions follow CDA implementing guidelines. ↩
36. CDA/CSEA guidelines on the Ethics Committee. RA 9520, Art. 43(2) mandates its creation; specific functions follow implementing guidelines. ↩
37. CDA Memorandum Circulars on Cooperative Education and Training. The Cooperative Education and Training Fund (CETF) allocation is mandated by RA 9520, Art. 86. ↩
38. BTA Bill No. 210, Sec. 9 (Shari'ah Governance and Shari'ah Compliance): "This shall include the establishment of a Shari'ah committee in the cooperatives composed of at least three members who have competence on Shari'ah." ↩↩
39. BTA Bill No. 210, Sec. 41(b). ↩
40. BTA Bill No. 210, Sec. 7 (Islamic Principles), subsections (a)-(e). ↩
41. BTA Bill No. 210, Sec. 8 (Moral Governance). ↩
42. Bangsamoro Development Plan 2023-2028, Chapter 4 (Pillars of Moral Governance). The 12 Pillars are the governance framework adopted by the Bangsamoro government. ↩
43. RA 9520, Art. 50; BTA Bill No. 210, Sec. 47. ↩
44. RA 9520, Art. 50, second paragraph: "An elective officer may be removed by three-fourths (3/4) votes of the regular members present and constituting a quorum." ↩
45. RA 9520, Art. 45; BTA Bill No. 210, Sec. 44. ↩
46. RA 9520, Art. 45, second paragraph; BTA Bill No. 210, Sec. 44, second paragraph. ↩
47. RA 9520, Art. 48; BTA Bill No. 210, Sec. 45. ↩
48. RA 9520, Art. 47; BTA Bill No. 210, Sec. 48. ↩
49. Bangsamoro Development Plan 2023-2028, Chapter 9. The functional literacy rate in BARMM is 71.6%, the lowest among all Philippine regions. ↩

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06

Membership: Rights, Obligations, and Management

Your cooperative exists because of its members. Every right they hold and every obligation they fulfill shapes whether your cooperative thrives or stagnates. A cooperative with 200 members on paper but only 30 who patronize its services is weaker than one with 50 active, contributing members. Membership is not a formality. It is the engine of your cooperative's survival.

This chapter walks you through the full lifecycle of membership – from the two kinds of members the law recognizes, through the application and admission process, to the rights every member holds and the obligations every member must fulfill. It ends where no one wants to begin: how membership terminates and what happens to a departing member's capital.

Get membership right, and you build a cooperative that grows stronger every year. Get it wrong, and you accumulate dead weight – names on a roster who contribute nothing and drain resources your active members need.

6.1 Kinds of Membership

6.1.1 Regular Members vs. Associate Members

The law recognizes exactly two kinds of cooperative members: **regular members** and **associate members**.[1] Your cooperative may choose to admit both, or only regular members. The distinction matters because it determines who votes, who runs for office, and who shapes the cooperative's direction.

A regular member has complied with all membership requirements and is entitled to all rights and privileges of membership.[2] That means full voting rights, the right to be elected as a director or officer, the right to inspect records, and the right to share in the cooperative's net surplus. A regular member is a full participant in the cooperative's democratic life.

An associate member has limited standing. An associate member cannot vote and cannot be elected to office.[3] Associate members receive only the rights and privileges that the cooperative's bylaws specifically grant them. Think of associate membership as a probationary status – a pathway for people who want to join but have not yet met all regular membership requirements.

Here is the critical transition rule: **an associate member who meets the minimum requirements of regular membership, patronizes the cooperative for two consecutive years, and signifies intention to remain a member shall be considered a regular member.**[4] This is not optional. The law mandates the upgrade once all three conditions are met.

Feature	Regular Member	Associate Member
Voting rights	Full (one member, one vote)	None
Right to be elected	Yes (if qualified)	No
Right to inspect records	Yes	Yes (per bylaws)
Right to patronize services	Yes	Yes (per bylaws)
Right to patronage refund	Yes (proportional to patronage)	Per bylaws only
Capital contribution required	Full minimum subscription	As bylaws provide
Pathway to upgrade	Already regular	Automatic after 2 years + patronage + intent
Duration	Unlimited (until termination)	Limited (as bylaws provide)

Bangsamoro application. A seaweed marketing cooperative in Bongao, Tawi-Tawi admits 25 regular members at formation. A year later, three recent graduates want to join but cannot yet afford the full share capital subscription. The cooperative admits them as associate members with a reduced initial subscription. They patronize the cooperative's consolidation and marketing services for two years. They pay their shares incrementally. At the end of the two-year period, they notify the board of their intention to remain. The board recognizes them as regular members. No general assembly vote is needed – the law does it automatically.

A common mistake to avoid. Some cooperatives treat associate membership as a permanent second class. They never inform associate members about the upgrade path. They never track the two-year patronage requirement. This violates the spirit of the law and weakens your cooperative. Associate members who feel permanently excluded will stop patronizing your services. Track every associate member's admission date, patronage record, and capital payments. When the two-year mark approaches, notify them.

6.1.2 Membership Limitations (Age, Residence, Common Bond)

Not everyone can join your cooperative. The law imposes specific limitations that your board must enforce during every admission decision.

Age requirement. Members must be of legal age – **18 years old** – to join a regular cooperative.[5] Minors may form **laboratory cooperatives**, but these must be affiliated with a registered cooperative and governed by special guidelines from the Cooperative and Social Enterprise Authority (CSEA).[6]

Citizenship. Members of a primary cooperative must be **Filipino citizens**.[7] This includes naturalized citizens. Foreign nationals residing in the Bangsamoro cannot be admitted as members of a primary cooperative.

Common bond of interest. Every cooperative is organized around a common bond – geographic, occupational, institutional, or associational. Your bylaws define this bond. Every applicant must fall within it. A credit cooperative organized by BARMM ministry employees cannot admit a private businessperson who has no institutional connection to the ministry. A fishing cooperative in Lamitan cannot admit a farmer from Cotabato City who never fishes.

The "only twice" rule under BTA Bill No. 210. The proposed Bangsamoro Cooperative and Social Enterprise Code introduces a significant limitation: **any person shall be eligible for membership in a cooperative in the region only twice.**[8] An employee working in a government or private institution may join an employee's cooperative and a community-based cooperative simultaneously. But the ceiling is two. If this provision becomes law, your board must verify whether an applicant already holds membership in two other BARMM cooperatives before admitting them.

Government officers and employees. The law contains specific rules for government personnel:[9]

Category	Rule
CSEA officers and employees	Disqualified from elected or appointed positions in any cooperative (except a cooperative organized by CSEA employees themselves)
All elective government officials	Ineligible to become officers and directors of cooperatives
Government employees as members	May use official time for cooperative meetings, seminars, and training – if the head of office approves and operations are not adversely affected

Practical tip. If you are forming a cooperative among barangay officials or LGU employees in BARMM, be careful about who fills leadership roles. The barangay captain can be a member but cannot serve as a director or officer. The municipal councilor can attend meetings on official time but cannot chair the board. Build your leadership slate from non-elected members to avoid legal problems.

6.2 Becoming a Member

6.2.1 The Application Process

Membership does not happen by walking through the door. The law prescribes a formal process, and your bylaws should make it specific, transparent, and fair.

Step 1: File a written application. The applicant submits a duly accomplished membership application form to the board of directors.[10] The form should collect personal data, confirm the applicant's common bond qualification, and include an undertaking to uphold the cooperative's bylaws, policies, and rules.[11] Require the applicant to disclose any existing cooperative memberships – this matters for the "only twice" limitation.

Step 2: Complete the Pre-Membership Education Seminar (PMES). Before admission, the applicant must complete the prescribed PMES.[12] This seminar covers cooperative principles, the applicant's rights and obligations, and the cooperative's basic operations. Do not skip this requirement. A member who joins without understanding what a cooperative is will become a problem member.

Step 3: Board review and decision. The board of directors acts on the application within the period specified in your bylaws.[13] The board verifies the applicant's qualifications – age, citizenship, common bond, and share capital capacity. If the application is approved, the applicant becomes a member upon making the required payments.

Step 4: Payment of membership fee and share capital. The applicant pays the non-refundable membership fee and subscribes to the minimum number of shares required by the bylaws.[14] The applicant must pay the value of the minimum shares upon approval. Only after this payment does the member exercise full membership rights.

When the board denies an application. The law protects applicants from arbitrary rejection. If the board refuses membership, the applicant may appeal to the general assembly, whose decision is final.[15] The general assembly may create an **Appeal and Grievance Committee** to handle such appeals. The committee must decide within **30 days** of receiving the appeal. If the committee fails to decide within 30 days, the appeal is deemed approved in favor of the applicant.[16]

This is a powerful safeguard. It means your board cannot quietly deny applications without consequences. If you reject an applicant, document the specific grounds. Common valid grounds for denial include:

- The applicant does not meet the common bond requirement

- The applicant is below legal age
- The applicant is not a Filipino citizen
- The applicant already holds membership in two BARMM cooperatives (under PB-210)
- The applicant has been previously expelled from the cooperative for cause

Grounds that are never valid for denial: gender, ethnicity, tribe, religious affiliation, political belief, or social status.[17] Cooperatives are built on the principle of voluntary and open membership. Discrimination violates this principle and exposes your cooperative to legal action.

Sample Application Flow

```
Applicant submits form + membership fee
            |
            v
   Board verifies qualifications
   (common bond, age, citizenship)
            |
     +------+------+
     |             |
  APPROVED      DENIED
     |             |
     v             v
  Applicant     Applicant may
  completes     appeal to GA
  PMES          (30-day deadline)
     |             |
     v             v
  Pays share    Committee decides
  capital       (silence = approved)
     |
     v
  MEMBER (rights begin)
```

6.2.2 Share Capital Subscription and Payment

Share capital is the price of membership. Every member must subscribe to shares and pay the required minimum upon admission. This is not a donation. It is an investment that the member can recover upon leaving the cooperative, subject to the rules on refund.

Your bylaws set two numbers that every applicant needs to know:

1. **Minimum number of shares to subscribe.** This is the total number of shares the member commits to purchasing. The bylaws might require a regular member to subscribe to 10 shares at PHP 100 par value each (PHP 1,000 total subscription).
2. **Minimum number of shares to pay upon admission.** This is the amount the member pays upfront. The bylaws might require payment of at least 5 shares (PHP 500) upon approval, with the remaining 5 shares to be paid within a specified period.

The 10% cap on individual share holdings. No member of a primary cooperative may own or hold more than **10% of the total subscribed share capital** of the cooperative.[18] This prevents any single member from accumulating disproportionate economic power. If your cooperative has a total subscribed share capital of PHP 500,000, no member can hold more than PHP 50,000 in shares.

Par value of shares. Under RA 9520, the par value of each share in a primary cooperative may be fixed at any figure **not exceeding PHP 1,000**.[19] Your cooperative decides the par value through its articles of cooperation. A seaweed cooperative targeting low-income fisherfolk might set par value at PHP 100 per share. A credit cooperative serving government employees might set it at PHP 500 per share. Match the par value to your members' economic capacity.

Share Capital Element	What Your Bylaws Must Specify	Example (Agriculture Cooperative)
Par value per share	PHP amount (max PHP 1,000)	PHP 100 per share
Minimum subscription (regular)	Number of shares	10 shares (PHP 1,000 total)
Minimum paid-up (regular)	Number of shares or percentage	5 shares (PHP 500) upon admission
Minimum subscription (associate)	Number of shares (if applicable)	5 shares (PHP 500 total)
Minimum paid-up (associate)	Number of shares or percentage	3 shares (PHP 300) upon admission
Payment schedule for balance	Timeline and installment amounts	Balance paid within 12 months

Bangsamoro example. The Bangsamoro Farmers Multi-Purpose Cooperative in Datu Odin Sinsuat sets its par value at PHP 100 per share. Regular members subscribe to a minimum of 15 shares (PHP 1,500) and pay 10 shares (PHP 1,000) upon admission. The

remaining 5 shares must be paid within one year through monthly installments of PHP 42. The cooperative deducts the installment from members' patronage refunds when available. This approach makes membership accessible to smallholder farmers while building the cooperative's capital base.

What happens if a member falls behind on payments? Your bylaws should address this directly. Common approaches include:

- **Grace period.** Allow 30-60 days past the due date before imposing consequences.
- **Fines.** RA 9520 permits cooperatives to prescribe fines on unpaid subscribed share capital, provided the fines are fair and reasonable.[20]
- **Suspension of voting rights.** A member delinquent on share capital payments may lose voting privileges until the account is current.[21]
- **Termination.** Persistent non-payment constitutes failure to comply with obligations, which is a ground for involuntary termination.[22]

6.3 Rights of Members

Membership comes with legally protected rights. These rights are not favors from the board – they are entitlements that the law guarantees. Your board's job is to protect and facilitate them, not to gatekeep them.

6.3.1 Voting Rights: One Member, One Vote

The one-member, one-vote principle is the democratic foundation of every cooperative.[23] In a primary cooperative, every regular member has exactly one vote – regardless of how many shares that member holds. A member who owns PHP 50,000 in shares has the same vote as a member who owns PHP 1,000. This is what separates a cooperative from a corporation, where voting power follows share ownership.

This principle applies to:

- **General assembly meetings** – electing directors, approving budgets, amending bylaws, distributing net surplus
- **Special resolutions** – mergers, consolidation, dissolution, delegation of powers

Who can vote. Not every member automatically has voting rights. Your bylaws should specify the conditions for becoming a **member entitled to vote**. The CDA Model Bylaws require all of the following:[24]

1. Paid the membership fee and the value of the minimum shares required
2. Not delinquent in share capital subscriptions and other obligations
3. Completed the continuing education program prescribed by the board
4. Participated in cooperative affairs and patronized its services
5. Any additional conditions your bylaws specify

Suspension of voting rights is not expulsion. A member who temporarily fails one of these conditions – say, falling behind on a capital payment – loses voting rights until the condition is met. But the member remains a member. The board should notify the member of the suspension and specify what needs to happen to restore voting privileges.

No proxy voting in primary cooperatives. Members of primary cooperatives must vote in person.[25] You cannot send someone to vote on your behalf. Proxy voting is allowed only in secondary and tertiary cooperatives, and only if the bylaws provide for it.

Voting thresholds you need to know:

Decision	Required Vote
Regular business (approving reports, routine resolutions)	Majority of members present, quorum existing
Election of directors and officers	Majority of members present, quorum existing
Amendments to Articles of Cooperation or Bylaws	Two-thirds (2/3) of all members with voting rights
Merger or consolidation	Three-fourths (3/4) of all members with voting rights, present and constituting a quorum
Dissolution	Three-fourths (3/4) of all members
Delegation of GA powers to smaller body	Three-fourths (3/4) of all members with voting rights, present and constituting a quorum

Quorum. Your general assembly needs at least **25% of all members entitled to vote** to constitute a quorum and transact business.[26] If your cooperative has 100 voting members, at least 25 must be present. Without quorum, no valid decisions can be made.

Bangsamoro application. A multipurpose cooperative in Marawi City has 120 regular members. At the annual general assembly, only 28 members attend. That is 23% – below the 25% quorum threshold. The assembly cannot proceed. The board must adjourn and reschedule, sending proper notice to all members. This is why member attendance matters. It is not just a duty – it is a survival requirement for your cooperative's governance.

6.3.2 Right to Information and Inspection of Records

Transparency is not optional in a cooperative. Every member – regular and associate – has the right to inspect and examine the cooperative's records during reasonable office hours.[27] This includes:

- Books of accounts
- Audited financial statements
- Minutes of general assembly, board, and committee meetings
- Share register (list of all members and their shares)
- Articles of cooperation and bylaws
- Any other documents prescribed by law or bylaws

Members also have the right to **secure copies** of cooperative records pertaining to their own account information.[28] If a member wants to see her share capital balance, her patronage record, or her loan account status, the cooperative must provide it.

What the cooperative must keep accessible. RA 9520 requires every cooperative to maintain the following documents at its official address, ready for inspection by members and CSEA representatives:[29]

1. A copy of the Cooperative Code and all related laws
2. A copy of CSEA regulations
3. The cooperative's articles of cooperation and bylaws
4. A register of members
5. Minutes of meetings (GA, board, committees)
6. Share books (where applicable)
7. Financial statements
8. Other documents prescribed by law or bylaws

What your board cannot do. Your board cannot deny a member access to records by claiming the information is "confidential" or "not yet ready." The law does not create exceptions for inconvenience. If a member requests to inspect the financial statements and your treasurer has not prepared them, the problem is your treasurer's, not the member's.

Practical safeguard. Designate a records officer – this could be the secretary or a staff member – who is responsible for producing documents upon request. Set a reasonable process: members submit a written request, the records officer makes the documents available within 3-5 business days, and inspection happens at the cooperative's office during business hours. This protects both the member's right and the cooperative's operational needs.

6.3.3 Right to Patronage Refunds and Interest on Share Capital

Patronage refunds are the cooperative advantage. When your cooperative earns a net surplus at the end of the fiscal year, a portion of that surplus goes back to members in proportion to their patronage.[30] This is fundamentally different from a corporation, where profits go to shareholders based on how many shares they own. In a cooperative, the member who uses the cooperative's services the most receives the largest refund.

Here is how the law distributes the net surplus:[31]

Allocation	Minimum/Maximum	Purpose
Reserve fund	At least 10% (50% in first 5 years)	Stability; covers net losses
Education and training fund	Up to 10%	Member and staff development

Allocation	Minimum/Maximum	Purpose
Community development fund	At least 3%	Community projects in area of operation
Optional fund	Up to 7% total	Land/building, other needs
Remainder	What is left after above	Interest on share capital + patronage refunds to members

Interest on share capital is paid first from the remainder, at a rate not exceeding the normal rate of return on investments.[32] After that, the balance is distributed as **patronage refunds** to all members in proportion to their individual patronage.

How patronage refund works in practice. Suppose your agricultural cooperative earned a net surplus of PHP 500,000 this year. After allocating the mandatory reserves (10%), education fund (10%), community fund (3%), and optional fund (7%), you have PHP 350,000 left. The board allocates PHP 50,000 for interest on share capital (say, 5% of total paid-up share capital) and the remaining PHP 300,000 for patronage refunds.

Member A sold PHP 200,000 worth of produce through the cooperative. Member B sold PHP 100,000. Member A gets twice the patronage refund of Member B – because Member A patronized twice as much. This incentivizes active participation.

Special rules for members with unpaid shares. If a member has not fully paid their share capital subscription, their patronage refund is automatically credited to their account until the shares are fully paid.[33] The member does not receive cash until the subscription is complete. This is a built-in mechanism for capital build-up.

6.4 Obligations of Members

Rights and obligations are two sides of the same coin. A cooperative where members exercise their rights but ignore their obligations will collapse. Your bylaws should spell out every obligation clearly – and your board should enforce them consistently.

6.4.1 Capital Contributions and Build-Up Programs

Every member must pay their share capital subscription. This is the most basic obligation. When a member subscribes to shares upon admission, that subscription is a binding commitment.[34] The member must pay installments as they fall due, according to the schedule in the bylaws.

Beyond the initial subscription, the law requires every cooperative to maintain a **capital build-up program**.[35] This program allows the continuing growth of members' investment as their economic conditions improve. Your bylaws should define:

- **Regular capital contributions.** Monthly, quarterly, or annual contributions above the minimum subscription. A credit cooperative might require members to save PHP 200 per month into their share capital account.
- **Automatic deductions from patronage refunds.** As noted above, unpaid subscriptions are automatically offset by patronage refunds. But you can also design a program where a portion of patronage refunds is reinvested as additional shares.
- **Savings mobilization.** Encourage members to deposit savings with the cooperative (for credit and multipurpose cooperatives). While savings are not share capital, they build the cooperative's lending capacity.

Why capital build-up matters. Your cooperative cannot grow if it depends on external borrowing alone. Internal capital – the money your members invest – is the cheapest and most stable source of funds. Every peso your members contribute to share capital stays in the cooperative, earns interest, and supports the cooperative's operations. A cooperative with strong member capital can negotiate better terms with banks, invest in equipment, and weather economic downturns.

Bangsamoro example. A weaving cooperative in Parang, Maguindanao del Norte requires each member to subscribe to 20 shares at PHP 100 each (PHP 2,000) upon admission, paying 10 shares (PHP 1,000) upfront. The cooperative also operates a capital build-up program: each member contributes PHP 100 per month toward additional

shares. After three years, each participating member holds PHP 5,600 in share capital. The cooperative's total member capital has grown from PHP 25,000 (25 founding members x PHP 1,000) to over PHP 140,000 – enough to purchase a second industrial loom without borrowing.

6.4.2 Patronage Requirements

A cooperative that members do not patronize is not a cooperative – it is a social club. Patronage means using the cooperative's products and services. If your cooperative is a marketing cooperative, patronage means selling your harvest through the cooperative. If it is a consumer cooperative, patronage means buying from the cooperative's store. If it is a credit cooperative, patronage means saving and borrowing through the cooperative.

Your bylaws must define what patronage means for your cooperative. Be specific. Do not write vague provisions like "members shall patronize the cooperative." Instead, specify:

- **Minimum transaction volume.** "Each member shall sell at least 50% of their seaweed harvest through the cooperative."
- **Minimum frequency.** "Each member shall purchase from the cooperative store at least once per month."
- **Minimum savings.** "Each member shall maintain a minimum savings balance of PHP 1,000."

Why patronage requirements matter legally. Non-patronage is a ground for involuntary termination. If a member has not patronized any service for an unreasonable period as determined by the board, the board may vote to terminate that member's membership.[36] But "unreasonable period" is vague. Define it in your bylaws: six months, one year, whatever makes sense for your cooperative's business cycle.

The patronage-surplus connection. Members who do not patronize the cooperative receive no patronage refund. More importantly, they contribute nothing to the cooperative's revenue. A cooperative earns its surplus from the transactions of its members. Members who do not transact are free riders – they hold shares and claim rights without contributing to the cooperative's economic activity.

6.4.3 Attendance and Participation

Attendance at general assembly meetings is both a right and a duty. Your bylaws should require members to attend and participate in all general assembly meetings.[37] This obligation exists because quorum depends on attendance. If too many members skip the annual general assembly, the cooperative cannot conduct business, elect directors, approve budgets, or distribute surplus.

Beyond the general assembly, members have an obligation to:

- **Participate in cooperative education programs.** The board prescribes continuing education, and members must complete it.[38] A member who refuses training may lose voting rights.
- **Observe and obey all lawful orders, decisions, rules, and regulations** adopted by the board and the general assembly.[39]
- **Participate in the cooperative's activities and affairs.** This includes committee work, community projects, and volunteer activities that the cooperative undertakes.

Enforcement mechanisms. Your bylaws should attach consequences to non-attendance:

Level of Non-Compliance	Consequence
Missed 1 GA meeting	Warning letter from the secretary
Missed 2 consecutive GA meetings	Suspension of voting rights until attendance resumes
Missed 3 consecutive GA meetings	Board review; possible referral to mediation committee
Prolonged absence + non-patronage	Ground for involuntary termination

These are illustrative. Your cooperative should calibrate the consequences to its culture and context. In a small fishing cooperative in Sulu where members may be at sea during meeting dates, the board should schedule meetings around fishing seasons and offer alternative participation methods (written proxies are not allowed in primaries, but written comments on agenda items can be collected).

6.5 Termination of Membership

No one joins a cooperative expecting to leave. But departures happen – by choice, by circumstance, or by board action. The law prescribes clear rules for each type of termination and protects both the departing member and the remaining cooperative.

6.5.1 Voluntary Withdrawal

Any member may withdraw from the cooperative for any valid reason. The process requires a **60-day written notice** to the board of directors.[40] The member does not need the board's permission to withdraw. The notice is a courtesy that gives the cooperative time to prepare the refund and adjust its records.

During the 60-day notice period, the member remains a member with all rights and obligations. The member should continue to fulfill obligations (including capital payments) until the effective date of withdrawal.

When members withdraw over policy disagreements. The law specifically protects dissenting members in two situations:

1. **Amendments to articles or bylaws.** If the general assembly amends the articles of cooperation or bylaws by a 2/3 vote, dissenting members have the right to withdraw their membership.[41]
2. **Merger or consolidation.** If the general assembly approves a merger by a 3/4 vote, dissenting members may exercise their right to withdraw.[42]

In both cases, the standard 60-day notice and refund rules apply.

Bangsamoro scenario. A consumer cooperative in Cotabato City votes to merge with a larger regional cooperative. Twelve members disagree with the merger because they fear losing local control. They file 60-day withdrawal notices. The board processes their refunds after the notice period, and the merger proceeds with the remaining members. The departing members' share capital is returned according to the refund rules in Section 6.5.3 below.

6.5.2 Expulsion for Cause

Membership termination by the board is a serious action that requires due process. The board of directors may terminate a member's membership by a majority vote of all board members – not just those present, but all members of the board.[43] The grounds for expulsion are:

1. **Non-patronage.** The member has not patronized any service of the cooperative for an unreasonable period as previously determined by the board.
2. **Failure to comply with obligations.** The member has continuously failed to meet obligations – share capital payments, attendance, or other duties specified in the bylaws.
3. **Violation of bylaws and rules.** The member has acted in violation of the cooperative's bylaws and internal regulations.
4. **Acts injurious to the cooperative.** The member has committed any act or omission injurious or prejudicial to the interest or welfare of the cooperative.[44]

Due process requirements. The law mandates a specific procedure:[45]

Step 1: Written notice. The board must inform the member in writing of the intended termination and the specific grounds.

Step 2: Opportunity to be heard. The member must be given the chance to present their side before the board makes its decision. This is not a formality. The member should be allowed to appear before the board, submit a written explanation, and present evidence.

Step 3: Written decision. The board's decision must be in writing and communicated to the member in person or by registered mail.

Step 4: Right to appeal. The member may appeal the board's decision to the general assembly within **30 days** from receipt of the written decision.[46] The general assembly's decision is final. The GA may create an Appeal and Grievance Committee to hear such appeals. The committee has 30 days to decide. If the committee fails to decide within 30 days, the appeal is deemed approved in favor of the member.

Pending appeal, membership remains in force. This is a critical protection. Until the general assembly or the appeal committee issues a final decision, the expelled member remains a member with all rights intact.[47] The board cannot cut off services or deny access to records during the appeal period.

Expulsion Process Flowchart

```
Board identifies ground for termination
            |
            v
Written notice to member
(specific grounds stated)
            |
            v
Member given opportunity to be heard
(appear before board, submit evidence)
            |
            v
Board votes (majority of ALL directors)
            |
     +------+------+
     |             |
  TERMINATE     RETAIN
     |
     v
Written decision sent to member
(in person or registered mail)
            |
            v
Member may appeal to GA
within 30 days
            |
     +------+------+
     |             |
  APPEAL       NO APPEAL
  FILED        (termination final)
     |
     v
GA / Appeal Committee decides
within 30 days
(silence = member wins)
            |
     +------+------+
     |             |
  UPHELD       REVERSED
  (member out) (member stays)
```

Practical warning. Do not use expulsion as a weapon against dissenting members. A member who votes against a board proposal, criticizes management at the general assembly, or runs against an incumbent director is exercising legitimate rights. Expelling them for “acts injurious to the cooperative” would be an abuse of power. The grounds for expulsion must be genuine, documented, and defensible.

6.5.3 Refund of Share Capital

A former member is entitled to a refund of share capital and all other interests in the cooperative.[48] This includes:

- The total paid-up share capital contribution
- Any accrued interest on share capital
- Any unpaid patronage refunds
- Any other amounts due under the bylaws

The critical exception. The cooperative may withhold the refund if paying it would reduce the cooperative's assets below the aggregate amount of its debts and liabilities (exclusive of the departing member's share capital).[49] This protects the cooperative from insolvency caused by member withdrawals.

In plain terms: if the cooperative owes PHP 1 million and its assets are PHP 1.2 million, it cannot refund a member's PHP 300,000 share capital because doing so would leave assets (PHP 900,000) below liabilities (PHP 1 million). The member must wait until the cooperative's financial position improves.

Refund timeline. The law does not specify an exact number of days for processing refunds. Your bylaws should. Common practice is **60-90 days** from the effective date of termination. Some cooperatives set a longer period – up to 180 days – for large refunds to avoid liquidity strain.

Refund through transfer. All sums due to a former member shall be paid either by the cooperative or by an **approved transferee**.[50] This means a departing member may, with the board's approval, transfer their shares to another person who qualifies for membership. The transferee pays the departing member directly. This option is useful when the cooperative has limited cash but the departing member needs immediate payment.

Conditions for share transfer. Under RA 9520, a member may not transfer shares unless:[51]

1. The member has held the shares for **at least one year**
2. The transfer is made to the cooperative, to another member, or to a person who qualifies for membership
3. The board approves the transfer

Termination Type	Notice Required	Refund Entitlement	Refund Exception
Voluntary withdrawal	60-day written notice to board		Refund withheld if cooperative assets

Termination Type	Notice Required	Refund Entitlement	Refund Exception
		Full paid-up capital + interests + patronage refunds	would fall below liabilities
Expulsion for cause	None (board initiates)	Same entitlement as voluntary withdrawal	Same exception applies
Death	N/A (automatic)	Refund paid to legal heirs or next-of-kin	Same exception applies
Insanity	N/A (automatic)	Refund paid to legal guardian	Same exception applies
Transfer of shares	Subject to board approval	Paid by approved transferee	Transferee must qualify for membership; shares held at least 1 year

Death or insanity. The death or insanity of a member in a primary cooperative is a ground for automatic termination.[52] However, the law provides a special rule: **the next-of-kin may assume the duties and responsibilities of the original member.** This is particularly relevant in agrarian reform cooperatives but applies broadly. If a member of your fishing cooperative in Basilan passes away, the member's spouse or child may step into the membership – assuming they meet the qualification requirements.

Bangsamoro application. A transport cooperative in Lamitan City has a member who dies in a fishing accident. The member held 30 shares (PHP 30,000 in paid-up capital) and had PHP 8,000 in unclaimed patronage refunds. The member's widow, who has been helping manage their motorboat, asks to assume the membership. The board verifies she is of legal age, a Filipino citizen, and within the common bond (she operates a transport vessel). They approve the transfer. She assumes her late husband's membership with his 30 shares and continuing obligations. No refund is processed because the membership continues through the next-of-kin.

Quick Reference: Rights vs. Obligations at a Glance

Rights (What Members Receive)	Obligations (What Members Owe)
Vote in general assembly (one member, one vote)	Attend and participate in general assembly meetings
Be elected as director or officer (if qualified)	Serve when elected (unless excused)
Inspect and examine cooperative records	Comply with bylaws, policies, and board decisions
Receive patronage refunds proportional to patronage	Patronize the cooperative's services and products
Earn interest on share capital	Pay share capital subscriptions on schedule
Access cooperative services and products	Participate in capital build-up programs
Appeal denied applications or expulsion decisions	Complete prescribed education and training
Withdraw membership with 60-day notice	Give proper notice before withdrawal
Receive refund of share capital upon termination	Settle all outstanding obligations before receiving refund

Key Takeaways

1. **Know your two kinds of members.** Regular members hold full rights. Associate members hold limited rights but can upgrade after two years of patronage plus intent to remain.
2. **Enforce the application process.** Written application, PMES completion, board approval, and share capital payment – every step matters. Shortcuts create problem members.
3. **Protect voting rights fiercely.** One member, one vote. No proxies in primary cooperatives. Quorum is 25%. If your members do not show up, your cooperative cannot govern itself.
4. **Transparency builds trust.** Open your records to members. It is not a favor – it is the law. A cooperative that hides its books from members is hiding problems.
5. **Patronage is the engine.** Members who do not use the cooperative's services contribute nothing to its surplus. Define patronage requirements. Enforce them.
6. **Due process in termination is non-negotiable.** Written notice, opportunity to be heard, written decision, right to appeal. Skip any step, and the termination is vulnerable to challenge.
7. **Refund share capital promptly.** Set a clear timeline in your bylaws. Former members who wait years for their refund will warn others against joining your cooperative.

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1. BTA PB No. 210, Sec. 23; RA 9520, Art. 26. ↩
2. BTA PB No. 210, Sec. 23, par. 2; RA 9520, Art. 26, par. 2. ↩
3. BTA PB No. 210, Sec. 23, par. 3; RA 9520, Art. 26, par. 3. ↩
4. BTA PB No. 210, Sec. 23, par. 3; RA 9520, Art. 26, par. 3. The two-year patronage and signified intent requirements are mandatory preconditions for the transition from associate to regular membership. ↩
5. RA 9520, Art. 10. "At least fifteen (15) persons for a primary cooperative or at least three (3) persons for a secondary or tertiary cooperative, who are Filipino citizens, of legal age." ↩
6. BTA PB No. 210, Sec. 23, par. 4; RA 9520, Art. 26, par. 4. Laboratory cooperatives for minors must be affiliated with a registered cooperative. ↩
7. RA 9520, Art. 10. ↩

8. BTA PB No. 210, Sec. 24(1). Note: As of this writing, PB-210 remains a proposed bill. If enacted, the "only twice" limitation would apply specifically within the Bangsamoro Autonomous Region. ↩
9. BTA PB No. 210, Sec. 24(2)-(4); RA 9520, Art. 27(1)-(3). ↩
10. BTA PB No. 210, Sec. 25; RA 9520, Art. 28. ↩
11. CDA Model Bylaws (Agriculture Cooperative), Art. II, Sec. 4. The application form must include an undertaking to uphold the bylaws, policies, and regulations of the cooperative. ↩
12. CDA Model Bylaws, Art. II, Sec. 3(b). Certificate of completion of the prescribed Pre-Membership Education Seminar (PMES) is a requirement for admission. ↩
13. CDA Model Bylaws, Art. II, Sec. 4. The board shall act upon the application within the period specified in the bylaws. ↩
14. CDA Model Bylaws, Art. II, Sec. 3(c) and Sec. 6. ↩
15. BTA PB No. 210, Sec. 25; RA 9520, Art. 28. ↩
16. BTA PB No. 210, Sec. 25; RA 9520, Art. 28. If the Appeal and Grievance Committee fails to decide within 30 days, the appeal is deemed approved in favor of the applicant. ↩
17. RA 9520, Art. 4 (Cooperative Principle I: Voluntary and Open Membership). "Cooperatives are voluntary organizations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political or religious discrimination." See also BTA PB No. 210, Sec. 5(i). ↩
18. RA 9520, Art. 73; BTA PB No. 210, Sec. 24 (by implication through the bylaws template requirements). CDA Model Bylaws, Art. II, Sec. 6. ↩
19. RA 9520, Art. 76. ↩
20. RA 9520, Art. 77. "The bylaws of a cooperative may prescribe a fine on unpaid subscribed share capital: Provided, That such fine is fair and reasonable under the circumstances." ↩
21. CDA Model Bylaws, Art. II, Sec. 9. A member not current on share capital subscriptions and other obligations is not a "member entitled to vote." ↩
22. BTA PB No. 210, Sec. 27(3)(ii); RA 9520, Art. 30(3)(b). Continuous failure to comply with obligations is a ground for involuntary termination. ↩
23. BTA PB No. 210, Sec. 34; RA 9520, Art. 36. "Each member of a primary cooperative shall have only one (1) vote." ↩
24. CDA Model Bylaws, Art. II, Sec. 9. ↩
25. RA 9520, Art. 36, par. 2. Proxy voting is allowed only in cooperatives other than a primary, and only if the bylaws provide for it. ↩
26. BTA PB No. 210, Sec. 33; RA 9520, Art. 35. Twenty-five percent (25%) of all members entitled to vote constitutes a quorum. ↩
27. CDA Model Bylaws, Art. II, Sec. 8(c) (regular members) and Sec. 8 (associate members). ↩
28. CDA Model Bylaws, Art. II, Sec. 8(d). Members have the right to secure copies of records pertaining to their own account information. ↩
29. RA 9520, Art. 52(1). ↩
30. RA 9520, Art. 86(5). The remaining net surplus is distributed as interest on share capital and patronage refunds to members in proportion to their patronage. ↩
31. RA 9520, Art. 86(1)-(5). ↩
32. RA 9520, Art. 86(5). Interest on share capital shall "not exceed the normal rate of return on investments." ↩
33. RA 9520, Art. 86(5)(b). "In the case of a member patron with unpaid share capital contribution, his proportionate amount of patronage refund shall be credited to his account until his share capital contribution has been fully paid." ↩
34. CDA Model Bylaws, Art. II, Sec. 7(a). Every member shall "pay the installment of his/her share capital subscription as it falls due." ↩

35. RA 9520, Art. 75. “The bylaws of every cooperative shall provide for a reasonable and realistic member capital build-up program.” ↩
36. BTA PB No. 210, Sec. 27(3)(i); RA 9520, Art. 30(3)(a). ↩
37. CDA Model Bylaws, Art. II, Sec. 7(d). Members shall “attend and participate in the deliberation of all matters taken during General Assembly meetings.” ↩
38. CDA Model Bylaws, Art. II, Sec. 7(c) and Sec. 9(c). Completion of continuing education is both an obligation and a condition for voting rights. ↩
39. CDA Model Bylaws, Art. II, Sec. 7(e). ↩
40. BTA PB No. 210, Sec. 27(1); RA 9520, Art. 30(1). ↩
41. BTA PB No. 210, Sec. 15; RA 9520, Art. 18. ↩
42. BTA PB No. 210, Sec. 18(b); RA 9520, Art. 22(2). ↩
43. BTA PB No. 210, Sec. 27(3); RA 9520, Art. 30(3). ↩
44. BTA PB No. 210, Sec. 27(3)(i)-(iv); RA 9520, Art. 30(3)(a)-(d). ↩
45. BTA PB No. 210, Sec. 27, par. 5; RA 9520, Art. 30, par. 5. ↩
46. BTA PB No. 210, Sec. 27, par. 5; RA 9520, Art. 30, par. 5. ↩
47. RA 9520, Art. 30, par. 5. “Pending a decision by the general assembly, the membership remains in force.” ↩
48. BTA PB No. 210, Sec. 28; RA 9520, Art. 31. See also CDA Model Bylaws, Art. II, Sec. 13. ↩
49. BTA PB No. 210, Sec. 27(1); RA 9520, Art. 30(1). ↩
50. BTA PB No. 210, Sec. 28; RA 9520, Art. 31. ↩
51. RA 9520, Art. 74. ↩
52. BTA PB No. 210, Sec. 27(2); RA 9520, Art. 30(2). ↩

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07

Financial Management and Capital Structure

Money is why cooperatives fail. Not lack of it – mismanagement of it. A cooperative with P500,000 in share capital and sound financial practices will outlast one with P5 million and no bookkeeper. This chapter teaches you how to build your cooperative's capital base, invest it wisely, distribute your net surplus according to the law, and keep your financial records in order. Every section carries a legal requirement. Ignore it, and your cooperative loses its Certificate of Compliance. Follow it, and your members will trust you with their money – which is the whole point.

7.1 Sources of Cooperative Capital

Your cooperative needs money to operate. The law specifies exactly where that money can come from. There are four lawful sources of cooperative capital under both RA 9520 and BTA Bill No. 210.[1] Do not accept capital from any source that falls outside these categories without legal advice.

7.1.1 Share Capital (Member Subscriptions and Paid-Up Capital)

Share capital is the foundation of your cooperative's financial structure. It is the money your members contribute by subscribing to and paying for shares. Every member must subscribe to at least one share to join.[2]

Two terms matter here:

- **Subscribed share capital** – the total amount a member has committed to pay
- **Paid-up share capital** – the amount a member has actually paid so far

A member who subscribes to 10 shares at P100 par value has subscribed P1,000. If she has paid P600, her paid-up capital is P600 and her unpaid balance is P400.

The 10% ownership cap. No single member may own or hold more than 10% of the cooperative's total share capital.[3] This rule prevents any one member from dominating the cooperative financially. If your cooperative has P500,000 in total share capital, no member may hold more than P50,000.

What happens when a member dies. The heir can inherit the deceased member's shares – but only if the heir qualifies for membership and the total shareholding stays within the 10% cap. Shares exceeding 10% revert to the cooperative, which pays the heir fair value.[4]

Transferring shares. A member can assign shares only if three conditions are met: (1) the member has held the shares for at least one year, (2) the assignment goes to the cooperative, another member, or someone within the cooperative's field of membership, and (3) the board of directors approves the transfer.[5]

Here is a practical example. Imagine the **Maimbung Seaweed Producers Cooperative** has 75 members. Each member subscribes to 5 shares at P500 par value. The total subscribed share capital is:

> *75 members x 5 shares x P500 = **P187,500***

If 60 members have fully paid and 15 have paid only P1,000 each, the paid-up capital is:

> *(60 x P2,500) + (15 x P1,000) = P150,000 + P15,000 = **P165,000***

The unpaid balance of P22,500 is a receivable the cooperative must collect.

7.1.2 Deposits and Savings

Members may deposit additional funds beyond their share capital. These **deposits** are loans to the cooperative from members – the cooperative uses the money and the member can withdraw it under terms set by the bylaws.

Deposits are liabilities, not equity. Record them separately from share capital. Your balance sheet must distinguish between what the cooperative owes to members (deposits) and what the members own in the cooperative (shares).

For Shari'ah-compliant cooperatives: Interest-bearing deposits violate the prohibition on **riba** (usury).[6] Use the **wadiah** (safekeeping) model instead, where the cooperative holds the deposit as a trust. The cooperative may give a voluntary gift (**hibah**) to the depositor but cannot guarantee or pre-commit a fixed return. Section 7.6 explains this in detail.

7.1.3 Revolving Capital and Retained Earnings

Revolving capital is money retained from members' patronage refunds or interest on share capital. Instead of paying out these amounts in cash, the general assembly authorizes the board to hold them temporarily to strengthen the cooperative's capital structure.[7]

The board must issue **revolving capital certificates** for each member's deferred amount. Each certificate must include:

- Serial number
- Member's name
- Amount deferred
- Rate of interest to be paid
- Retirement date (when the cooperative will return the money)

Why this matters: Revolving capital lets a young cooperative reinvest earnings without asking members for more cash. But you must honor the retirement dates. A cooperative that endlessly defers payouts will lose member trust.

7.1.4 Donated Capital, Subsidies, and Grants

Your cooperative may receive capital from **subsidies, donations, legacies, grants, and aid** – from local or foreign sources, public or private.[8] But this money comes with a permanent restriction:

Donated capital can never be divided into individual shares. It stays as collective cooperative property. Upon dissolution, donated capital is subject to **escheat** – it reverts to the state.

Record donated capital in a separate account. Do not mix it with share capital in your books.

Grants from government programs. BARMM cooperatives can access capital from several government programs. The **PESO Project** (Profitability and Equity Support Oriented) under CSEA provides financial and technical assistance to improve cooperative profitability. The **Combatant Transitional Program** provides financial and material support to cooperatives organized by former combatants.[52] MAFAR also channels support through Agrarian Reform Beneficiary Organizations (ARBOs) – of which there are 240 across BARMM with 34,743 total members.[53]

When you receive government grants, remember: the money comes with reporting obligations. Track every peso, document how it was spent, and submit liquidation reports on time. A cooperative that mismanages government funds will not receive a second grant – and may face legal consequences.

Capital Source	Nature	Can Be Withdrawn?	Appears on Balance Sheet As
Share capital	Member equity	Only upon withdrawal from membership	Members' equity
Deposits	Member loan to cooperative	Yes, per bylaws	Liability
Revolving capital	Deferred patronage/ interest	Yes, upon certificate maturity	Liability (until returned)
Donated capital	Collective property	No – subject to escheat	Donated capital fund

7.2 Capital Build-Up Programs

7.2.1 Designing a Realistic Build-Up Program

The law requires every cooperative to include a **capital build-up program** in its bylaws.[9] This program must be "reasonable and realistic" – meaning it must match your members' actual economic capacity.

A seaweed farmer earning P8,000 per month cannot build capital at the same rate as a government employee earning P30,000. Design your program around who your members actually are.

Three principles for a good capital build-up program:

1. **Start small, scale gradually.** Set initial monthly contributions at a level every member can sustain. Increase the rate as the cooperative generates income and members see returns.
2. **Tie contributions to income cycles.** Seaweed farmers harvest every 45-60 days. Schedule capital contributions after harvest, not during planting when cash is tight.
3. **Reward consistency over size.** A member who contributes P200 every month for three years is more valuable than one who pays P5,000 once and disappears.

Sample capital build-up schedule for a seaweed cooperative (75 members):

Year	Monthly Contribution	Shares Per Year	Annual Per Member	Total Annual Build-Up
Year 1	P200	5 shares	P2,400	P180,000
Year 2	P300	7 shares	P3,600	P270,000
Year 3	P500	12 shares	P6,000	P450,000

After three years, total cumulative share capital from contributions alone: **P900,000** – before any reinvested surplus.

Do not copy-paste another cooperative's build-up program. Your members' income, harvest cycles, and obligations are unique. Survey them. Ask what they can realistically contribute. Build the program from their answers.

What happens when members fall behind? The bylaws may prescribe a **fine on unpaid subscribed share capital**, but the fine must be "fair and reasonable under the circumstances."[39] A P50 fine on a farmer who missed one P200 payment because of typhoon damage is not fair. Build grace periods and hardship provisions into your bylaws. The goal is capital accumulation, not punishment.

Consider a payroll deduction arrangement. If your cooperative has members who are government employees, teachers, or factory workers, you can use the **salary deduction instrument** under the law.[40] The member executes a written authorization allowing the employer to deduct cooperative contributions from their salary and remit directly to the cooperative. The employer must comply – this obligation is mandatory for both government and private employers. The cooperative receives predictable monthly capital inflows, and the member never has to remember to pay.

Track collection rates. At every board meeting, review how much of the subscribed capital has been collected. A cooperative with P500,000 in subscriptions but only P200,000 collected has a 40% collection rate – a warning sign. Set a target of at least 80% collection within the first year of each member's subscription.

7.2.2 Par Value, Shares, and Share Certificates

Par value is the face value assigned to each share of your cooperative. The law sets the maximum par value at **P1,000 per share**.[10] You may set it lower. Many BARMM cooperatives use P100 or P500 per share to make ownership accessible to low-income members.

How to choose par value:

Par Value	Best For	Why
P100	Low-income members (farmers, fisherfolk)	Affordable; members can buy multiple shares gradually
P500	Mixed-income cooperatives	Good balance between accessibility and capital growth
P1,000	Professional or employee cooperatives	Maximum allowed; builds capital faster per share

Share certificates. Your bylaws must prescribe the method for issuing share certificates.[11] Each certificate should contain:

- Cooperative's name and registration number
- Member's name

- Number of shares
- Par value per share
- Date of issue
- Signatures of the chairperson and secretary
- Certificate serial number

Issue share certificates promptly. A member who has paid for shares but holds no certificate has no proof of ownership. This creates disputes during elections, dividend distribution, and withdrawal.

7.3 Investment of Cooperative Capital

7.3.1 Allowable Investments Under Law

Your cooperative cannot invest its capital anywhere it wants. The law limits investments to five categories.[12]

Investment Type	Description	Risk Level
Shares or securities of **other cooperatives**	Cross-investment in the cooperative movement	Low to moderate
Bank deposits in reputable local banks or cooperative banks	Savings, time deposits	Low
Government securities	Treasury bills, bonds issued or guaranteed by the government	Low
Real estate primarily for use by the cooperative or its members	Office, warehouse, drying area	Moderate
Other investments authorized in the bylaws	Must be specified and approved by the general assembly	Varies

What you must avoid: Do not invest cooperative capital in speculative ventures, stocks of private corporations, cryptocurrency, or any instrument your general assembly has not explicitly authorized. If the investment is not in your bylaws, it is not lawful.

Practical guidance for BARMM cooperatives:

- Keep at least **60% of idle funds** in bank deposits or government securities for liquidity
- Invest in real estate only when the cooperative has a clear operational need (e.g., a drying facility, cold storage, or market stall)
- If your bylaws authorize investments beyond the four statutory categories, specify them precisely – “investments in halal-certified enterprises within Bangsamoro” is better than “other authorized investments”

The Reserve Fund investment restriction. Your Reserve Fund has its own investment rules. It may not be used for investments other than those allowed by the Code.[41] If your Reserve Fund exceeds your total share capital, the excess may be used for projects that expand the cooperative's operations – but only upon a resolution of the general assembly. The general assembly decides, not the board alone.

Real estate caution. Land ownership in BARMM can involve overlapping claims – ancestral domain, government land, and private titles sometimes conflict. Before investing cooperative capital in real estate, verify the title thoroughly. Engage a lawyer if the property is in an area with ancestral domain claims. A cooperative that sinks its capital into disputed land may lose everything.

A note on the primary lien. Your cooperative has a **primary lien** on a member's capital, deposits, or interest for any debt the member owes to the cooperative.[42] This means if a member has P10,000 in share capital and owes the cooperative P8,000, the cooperative can offset the debt against the member's capital before releasing anything. This protects the cooperative, but use it transparently – always inform members when you exercise the lien.

7.3.2 Shari'ah-Compliant Investment: Avoiding Riba, Gharar, and Maysir

BTA Bill No. 210 requires cooperatives operating under the **Shari'ah Governance Framework** to observe three prohibitions in all their financial activities:[13]

Prohibition	Arabic Term	What It Means	What It Forbids
Usury	Riba	Interest-based transactions	Charging or earning interest on loans, deposits, or investments
Excessive uncertainty	Gharar	Speculative transactions with unclear terms	Derivatives, futures, insurance products with ambiguous terms
Gambling	Maysir	Games of chance	Raffles, lotteries, speculative bets on price movements

What does this mean for your cooperative's investments?

If your cooperative has declared Shari'ah compliance in its Articles of Cooperation, you must screen every investment for these three prohibitions. A conventional bank savings account that earns interest violates the riba prohibition. A raffle to raise funds violates the maysir prohibition.

Permissible alternatives exist. Section 7.6 covers Shari'ah-compliant finance instruments in detail. For now, understand these basic investment rules:

1. **Deposits:** Use **Islamic banking windows** that offer wadiah (safekeeping) or mudarabah (profit-sharing) accounts instead of interest-bearing savings accounts
2. **Government securities:** Invest in **sukuk** (Islamic bonds) where available, rather than conventional treasury bonds
3. **Real estate:** Permissible as long as the property is used for halal purposes
4. **Cross-investment in cooperatives:** Permissible if the partner cooperative also avoids riba, gharar, and maysir

Your Shari'ah committee decides. BTA Bill No. 210 requires cooperatives under the Shari'ah governance framework to establish a **Shari'ah committee** of at least three members with competence in Shari'ah.[14] This committee reviews all financial transactions and investments for compliance. Do not make major investment decisions without their clearance.

7.4 Net Surplus and Distribution

7.4.1 How to Determine Net Surplus

Net surplus is not profit. The law makes this distinction deliberately.[15] In a cooperative, net surplus is the excess of payments made by members – the difference between what they paid for services and what those services actually cost. When you distribute net surplus, you are returning overpayments to the people who made them.

This is why cooperatives call it **patronage refund**, not **dividend**. The refund goes to members in proportion to how much business they did with the cooperative – not in proportion to how much capital they contributed.

How to calculate net surplus:

Line Item	Amount
Gross income (sales, service fees, interest income)	(A)
Less: **Cost of goods sold / Cost of services**	(B)
Gross surplus	A - B
Less: **Operating expenses** (salaries, utilities, rent, supplies)	(C)
Net surplus before allocation	A - B - C

Worked example – Maimbung Seaweed Producers Cooperative, Year 1:

Line Item	Amount
Revenue from seaweed trading (dried seaweed sold to exporters)	P2,400,000
Service fees from drying facility rental	P180,000
Gross income	**P2,580,000**
Less: Cost of raw seaweed purchased from members	(P1,800,000)

Line Item	Amount
Less: Drying facility expenses	(P120,000)
Gross surplus	**P660,000**
Less: Operating expenses	
– Manager salary	(P96,000)
– Bookkeeper (part-time)	(P36,000)
– Office rent	(P24,000)
– Utilities and supplies	(P18,000)
– Training expenses	(P12,000)
– Transportation/logistics	(P30,000)
Total operating expenses	**(P216,000)**
Net surplus for allocation and distribution	**P444,000**

Every cooperative must determine its net surplus **at the close of every fiscal year** and at any other time prescribed by the bylaws.[16]

7.4.2 Statutory Fund Allocations (Reserve Fund, ETF, CDF, Optional Fund)

Before any peso goes back to members, the law requires you to set aside portions of the net surplus into **statutory funds**. These are not optional. Fail to allocate them, and your cooperative violates the Code.[17]

The four statutory allocations:

Fund	Minimum Allocation	First 5 Years	Purpose
Reserve Fund (RF)	At least 10% of net surplus	At least 50% of net surplus	Stability and loss coverage
Education and Training Fund (ETF)	Up to 10% of net surplus	Up to 10% of net surplus	Member and officer training
Community Development Fund (CDF)	At least 3% of net surplus	At least 3% of net surplus	Community projects

Fund	Minimum Allocation	First 5 Years	Purpose
Optional Fund (OF)	Up to 7% of net surplus	Up to 7% of net surplus	Land, building, other needs

The first five years are different. During the first five years after registration, your cooperative must allocate **at least 50%** of net surplus to the Reserve Fund.[18] This rule exists because new cooperatives are fragile. The government wants you to build a financial cushion before distributing earnings to members.

Worked example – Statutory allocations for Year 1 (within first 5 years):

Fund	Rate	Amount
Reserve Fund	50% (first 5 years minimum)	P222,000
Education and Training Fund	10%	P44,400
Community Development Fund	3%	P13,320
Optional Fund	7%	P31,080
Total statutory allocations	**70%**	**P310,800**
Remainder for members	**30%**	**P133,200**

After Year 5, the same cooperative's allocation might look like this:

Fund	Rate	Amount
Reserve Fund	10% (post-Year 5 minimum)	P44,400
Education and Training Fund	10%	P44,400
Community Development Fund	3%	P13,320
Optional Fund	7%	P31,080
Total statutory allocations	**30%**	**P133,200**
Remainder for members	**70%**	**P310,800**

Notice the difference. After five years, members receive more than double what they received in Year 1. This is by design – early discipline creates long-term reward.

The general assembly decides the exact percentages. The law sets minimum and maximum boundaries, but your general assembly chooses the actual rates within those boundaries. A conservative board might propose allocating 15% to Reserve Fund (above the 10% minimum) and only 5% to ETF (below the 10% maximum). As long as the allocation stays within legal limits, the general assembly approves.

Prepare a net surplus allocation resolution. At every annual general assembly, the board presents a proposed allocation table. The general assembly votes on it. Record the resolution in the minutes. This resolution is what CSEA inspectors will ask for when they audit your statutory fund compliance.

Rules for each fund:

Reserve Fund: - Use it only for stability and to cover net losses - The general assembly may decrease the allocation once the Reserve Fund exceeds total share capital - You cannot invest it in anything outside what the Code allows - Upon dissolution, the Reserve Fund is **never distributed to members** – it goes to the federation or union, or to the community[19]

Education and Training Fund: - Split it **50/50**: half stays with the cooperative for its own training programs; half goes to your federation or union[20] - The federation must report back to you how it spent the money – list of contributors, consultancy costs, training activities - Upon dissolution, the unexpended balance goes to your federation's education fund

Community Development Fund: - Spend it on **projects that benefit the community** where the cooperative operates – not on member-exclusive benefits[21] - Examples: barangay road repair, masjid renovation, school supplies for local students, clean water projects, mangrove planting - Document every CDF expenditure. The CSEA inspectors will check.

Optional Fund: - The total of optional funds, land and building fund, and any other necessary fund **must not exceed 7%** of net surplus[22] - The general assembly decides how to use these funds - Common uses: building fund for a cooperative office, equipment fund for post-harvest facilities

7.4.3 Patronage Refunds and Interest on Capital

After setting aside statutory funds, the remaining net surplus goes to members in two forms: **interest on share capital** and **patronage refunds**.[23]

Interest on share capital rewards members for investing in the cooperative. It is computed based on each member's **average share months** – how much capital they had in the cooperative and for how long during the year.

Patronage refunds reward members for doing business with the cooperative. They are distributed in proportion to each member's **volume of patronage** – how much they bought from, sold to, or used the cooperative's services.

The law imposes two constraints:

1. Interest on share capital must **not exceed the normal rate of return on investments** as determined by the registering authority[24]
2. The amount allocated for patronage refunds must not be **less than 30%** of the net surplus remaining after statutory reserves[25]

Worked example – distributing P133,200 to members (Year 1):

The board recommends a 50/50 split between interest on share capital and patronage refunds. The general assembly approves.

Distribution	Rate	Amount
Interest on share capital	50% of remainder	P66,600
Patronage refund	50% of remainder	P66,600
Total to members		**P133,200**

Computing each member's interest on share capital:

Use the **Total Average Share Month (TASM)** method:

1. Record each member's paid-up share capital balance at the end of each month
2. Add all 12 monthly balances to get the member's **Total Share Months (TSM)**
3. Divide TSM by 12 to get the **Average Share Month (ASM)**
4. Add all members' ASMs to get the **Total Average Share Month (TASM)**
5. Calculate the rate: **Rate = Amount for Interest / TASM**
6. Multiply each member's ASM by the rate

Example for three members of the seaweed cooperative:

Member	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	TSM	ASM
Hadji														

Member	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	TSM	ASM
Amir	2,500	2,500	2,500	2,500	2,500	2,500	5,000	5,000	5,000	5,000	5,000	5,000	44,500	3,708
Sittie Fatima	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	30,000	2,500
Musa	0	0	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	25,000	2,083

If the cooperative's TASM across all 75 members is P250,000, and P66,600 is allocated for interest:

> *Rate = P66,600 / P250,000 =* ***0.2664***

Member	ASM	Rate	Interest Earned
Hadji Amir	3,708	0.2664	P987.65
Sittie Fatima	2,500	0.2664	P666.00
Musa	2,083	0.2664	P554.90

Hadji Amir earned more because he increased his capital mid-year. The system rewards members who build up their shares.

Important: interest on share capital is non-cumulative. If a member does not receive interest in a given year (because the cooperative had no surplus, or the general assembly allocated nothing to interest), that missed interest is gone. It does not carry over to the next year.[43] This prevents interest from compounding and keeps the cooperative's obligations manageable.

Computing patronage refunds:

Patronage refunds are based on each member's **volume of business** with the cooperative.

For the seaweed cooperative, volume of business = total value of seaweed sold to the cooperative during the year.

Member	Seaweed Sold to Cooperative	% of Total	Patronage Refund
Hadji Amir	P120,000	6.67%	P4,440
Sittie Fatima	P84,000	4.67%	P3,111
Musa	P48,000	2.67%	P1,778

What happens to patronage refunds for members with unpaid shares? The refund is **credited to the member's unpaid share capital** until the subscription is fully paid.[26] The member does not receive cash – the cooperative uses the refund to pay down the member's obligation. This is an elegant mechanism: the cooperative pays itself from the member's earnings.

Non-member patrons. If your cooperative does business with non-members (which many trading cooperatives do), the non-member's patronage refund is set aside in a general fund. It accumulates toward the minimum capital contribution for membership. When the accumulated amount equals the membership requirement, the non-member is invited to become a member.[44] If the non-member refuses membership or fails to qualify within the period specified in your bylaws, the accumulated amount goes to the Reserve Fund or ETF.

The full net surplus distribution flow looks like this:

```
NET SURPLUS (P444,000)
    |
    |--- Reserve Fund (50% in Year 1) ------> P222,000
    |--- ETF (10%) -------------------------> P44,400
    |     |--- 50% Local Training -----------> P22,200
    |     |--- 50% Federation/Union ---------> P22,200
    |--- CDF (3%) --------------------------> P13,320
    |--- Optional Fund (7%) ----------------> P31,080
    |
    REMAINDER (P133,200)
    |
    |--- Interest on Share Capital (50%) ----> P66,600
    |--- Patronage Refund (50%) ------------> P66,600
         |--- Paid-up members: cash payment
         |--- Unpaid members: credit to share capital
         |--- Non-members: credit to membership fund
```

Post this diagram in your cooperative office. Every member should understand where the money goes. When members see exactly how their surplus is allocated – how much goes to building the cooperative's stability, how much funds their training, how much supports their community, and how much returns to their pockets – they stop suspecting the board of mismanagement. Transparency is not just a legal requirement. It is the cheapest form of trust-building available to your cooperative.

7.5 Bookkeeping and Financial Statements

7.5.1 Required Books of Account

Every cooperative must maintain records that show its **true and correct condition** at any time.[27] The law is specific about what must be kept and accessible. Here are the minimum books of account your cooperative must maintain:

Mandatory records:

Book/Record	Purpose	Who Maintains It
General journal	Records all transactions chronologically	Bookkeeper
General ledger	Summarizes all accounts (assets, liabilities, equity, income, expenses)	Bookkeeper
Cash receipts journal	Records all cash received	Treasurer/Bookkeeper
Cash disbursements journal	Records all cash paid out	Treasurer/Bookkeeper
Members' subsidiary ledger	Tracks each member's share capital, deposits, loans, and patronage	Bookkeeper
Share book	Records share ownership and transfers	Secretary
Minutes books	Records proceedings of GA, BOD, and committee meetings	Secretary
Register of members	Lists all members with dates of admission and cessation	Secretary

Keep all of these at your **principal office**. They must be accessible to members and CSEA representatives during reasonable office hours.[28]

The register of members is evidence. The law gives it **prima facie evidentiary value** – meaning a court will accept it as proof of when someone became a member and when they stopped being one.[29] Keep it accurate. A register with errors invites disputes during elections and surplus distribution.

Retention period. Keep all financial records for at least **five years**. You may destroy records older than five years – but only if they are not subject to any pending civil, criminal, or administrative case. Before destroying records, the board secretary and audit committee chair must prepare a certified inventory, and the board must approve the destruction.[30]

7.5.2 The Cooperative Annual Financial Statement (CAFS)

Your cooperative must prepare and submit **audited financial statements** every year. These are called the **Cooperative Audited Financial Statements (CAFS)**, and they are part of your annual compliance package.[31]

CAFS components:

1. **Statement of Financial Position** (balance sheet) – what the cooperative owns and owes
2. **Statement of Operations** (income statement) – revenue, expenses, and net surplus
3. **Statement of Changes in Members' Equity** – how equity changed during the year
4. **Statement of Cash Flows** – where cash came from and where it went
5. **Notes to Financial Statements** – explanations of accounting policies and significant items

Who can audit your cooperative?

Cooperative Asset Size	Auditor Requirement
Assets below P3 million	Internal audit acceptable
Assets P3 million to P15 million	Must be signed by a CPA
Assets above P15 million	External audit by a CSEA-accredited auditor

Deadline: Submit both the CAFS and the **Cooperative Annual Progress Report (CAPR)** within **120 days** after the end of your fiscal year.[32] If your fiscal year ends December 31, your deadline is April 30. Miss it, and your cooperative faces fines and will not receive its **Certificate of Compliance (COC)**.

The COC is your cooperative's lifeline. Without it, you cannot transact with banks, apply for loans, do business with government agencies, or renew your registration. Every year, CSEA inspectors verify your statutory fund allocations, fund utilization, documentation, and accounting treatment.[33]

Publish your financial statements. The law requires annual financial statements to be published and posted in a **conspicuous place** in your cooperative's principal office.[34] Transparency builds trust. Members who can see the numbers are members who stay.

7.5.3 The PFRF: How Cooperative Financial Statements Differ

Your cooperative does not follow the same financial reporting rules as a regular business. The **Philippine Financial Reporting Framework for Cooperatives (PFRF)**, prescribed by **MC 2022-25**, is your authoritative reporting standard.[56] This separate framework exists because RA 9520 creates accounts that have no equivalent in ordinary corporate accounting – statutory funds, patronage refunds, CETF, and members' equity.

Complete set of financial statements your cooperative must prepare annually:[57]

1. **Statement of Financial Condition** (as of reporting date)
2. **Statement of Operations** (for the reporting period)
3. **Statement of Changes in Equity, Statutory Reserves and Donations and Grants** (for the reporting period)
4. **Statement of Cash Flows** (for the reporting period)
5. **Notes to the Financial Statements** (accounting policies and disclosures)

Your Notes must explicitly state that the statements comply with the PFRF. Do not claim PFRS compliance – your cooperative follows a different framework.

How cooperative financial statements differ from regular business:

Element	Regular Business (PFRS)	Your Cooperative (PFRF, MC 2022-25)
Equity section	Shareholders' Equity	Members' Equity, Statutory Funds (Reserve Fund, CETF, Optional Fund, Community Development Fund), Donations and Grants
Bottom line	Net Income / Profit	**Net Surplus** (RA 9520, Art. 85)
Surplus distribution	Dividends per board discretion	Mandatory allocation: Reserve Fund (min 10%), CETF (max 10%), then Optional Fund, Interest on Share Capital, Patronage Refund (RA 9520, Art. 86)
Unique payables	–	**Patronage Refund Payable**, **Interest on Share Capital**

Element	Regular Business (PFRS)	Your Cooperative (PFRF, MC 2022-25)
		Payable, **Due to Unions and Federations** (CETF remittance)
Unique income/expense	–	CETF Subsidy, Members' Benefit Expense, Social and Community Service Expense
Reporting framework	PFRS / PFRS for SMEs	PFRF for Cooperatives (MC 2022-25)
Compliance statement	States PFRS compliance	Must explicitly state **PFRF compliance** in the Notes

Why this matters for your officers. When your board reviews the financial statements, they must understand what they are reading. The equity section of a cooperative balance sheet looks nothing like a corporate one. Your board members will see "Reserve Fund," "CETF," and "Patronage Refund Payable" – terms that do not appear in any business accounting textbook. Train them on PFRF-specific line items before expecting them to approve the statements. A board that approves financial statements it does not understand is a board that will not catch errors or fraud.

Net surplus allocation under the law (RA 9520, Art. 86):[58]

#	Allocation	Percentage	Requirement
1	**Reserve Fund**	Min. 10% (min. 50% in first 5 years)	For stability and absorbing net losses; not distributable upon dissolution
2	**Education and Training Fund (CETF)**	Max. 10%	Half spent by cooperative; the other half remitted to federation/union
3	**Community Development Fund**	Min. 3%	For projects benefiting the community where the cooperative operates
4	**Optional Fund**	Max. 7%	As bylaws may provide; includes land/building fund
5		Remaining balance	Interest shall not exceed normal rate of return; patronage

#	Allocation	Percentage	Requirement
	Interest on Share Capital and Patronage Refund		refund proportional to volume of patronage

This allocation table is not discretionary. It is the law. See Section 7.4.2 for worked examples.

7.5.4 The STEPS Framework: Measuring Financial Health

Your cooperative's financial health is not measured by gut feeling. The CDA/CSEA uses the **STEPS framework** to evaluate every cooperative's financial performance through the **Performance Audit Report (PAR)**, prescribed by **MC 2021-04**.[59] Understand this framework. It determines your cooperative's rating – and your rating affects your **Certificate of Compliance**.

STEPS stands for:

Indicator	What It Measures	Key Ratios	Source Statement
Stability	Capital adequacy and solvency	Equity / Total Assets; Loan Loss Provision / Total Loans	Statement of Financial Condition
Turn-Over	Asset utilization and efficiency	Net Revenue / Total Assets	Statement of Operations + Statement of Financial Condition
Efficiency	Operating cost control	Operating Expenses / Gross Revenue	Statement of Operations
Profitability	Surplus generation capacity	Net Surplus / Total Assets (ROA); Net Surplus / Equity (ROE)	Statement of Operations + Statement of Financial Condition
Structure of Assets	Portfolio quality and reserve adequacy	Past Due Loans / Total Loans; Earning Assets / Total Assets	Statement of Financial Condition

The PAR scoring breakdown. Your cooperative's Performance Audit Report score has two components:[60]

Component	Weight	What It Covers
Governance and Management Report (GMR)	40%	Board effectiveness, compliance with bylaws, meeting regularity, internal controls
STEPS financial ratios	60%	The five financial indicators above

Your financial performance carries **60% of your total score**. A cooperative with excellent governance but poor financial ratios will still receive a low PAR rating. Conversely, strong STEPS scores can compensate for minor governance gaps.

How to use STEPS in practice. Do not wait for the CSEA auditor to compute your ratios. Calculate them quarterly using your own financial statements. Here is what to watch:

- **Stability below 20% equity-to-assets ratio** – your cooperative is overleveraged. Build up the Reserve Fund before taking on more liabilities.
- **Turn-Over declining year over year** – your assets are not generating enough revenue. Review whether idle funds should be redeployed into productive activities.
- **Efficiency ratio above 80%** – you are spending too much to generate each peso of revenue. Cut operating costs or increase revenue before both problems compound.
- **Profitability ratios negative** – you are operating at a net loss. This erodes your Reserve Fund and threatens your viability. Identify the loss sources immediately.
- **Structure of Assets shows past-due loans above 10%** – your lending portfolio is deteriorating. Tighten credit evaluation and collection procedures.

Present your STEPS scores at every annual general assembly. Members deserve to know how their cooperative is performing against the same benchmarks the regulator uses. When members see that the cooperative's Efficiency ratio improved from 75% to 65%, they understand that management is spending less to earn more. Numbers build confidence. Confidence builds participation.

7.5.5 Hiring and Working with Your Bookkeeper

Most primary cooperatives in BARMM cannot afford a full-time accountant. That is fine. What you cannot afford is having no financial records at all. The law holds your **bookkeeper or accountant responsible** for maintaining records in accordance with generally accepted accounting practices.[35]

Options for small cooperatives:

Arrangement	Cost Estimate	Best For
Part-time bookkeeper (2-3 days/month)	P3,000-5,000/month	Cooperatives with 50-100 members, simple operations
Shared bookkeeper (with other cooperatives)	P1,500-3,000/month per cooperative	Small cooperatives in the same municipality
Volunteer treasurer with bookkeeping training	Free (training cost only)	Micro cooperatives with very simple transactions
CPA engagement (monthly or quarterly)	P5,000-10,000/month	Cooperatives with assets above P3 million

What your bookkeeper must do each month:

1. Record all transactions in the journals
2. Post entries to the general ledger
3. Update individual member subsidiary ledgers
4. Reconcile the cash balance with the bank statement
5. Prepare a monthly trial balance
6. File source documents (receipts, vouchers, checks) chronologically

What you must give your bookkeeper:

- All official receipts for money received
- All disbursement vouchers with supporting documents
- Bank statements and deposit slips
- Inventory records of products bought and sold
- A quiet, secure place to work with the books

The audit committee's role. Your audit committee is directly accountable to the general assembly – not to the board.[36] The audit committee continuously monitors the adequacy of your cooperative's management control system and audits performance. Think of the bookkeeper as the person who records the transactions, and the audit committee as the people who verify that the records are correct. Both are essential. Neither can replace the other.

7.5.6 Common Financial Mistakes That Kill Cooperatives

BARMM has over 12,000 registered cooperatives, but only 11.66% are compliant.[45] Financial mismanagement is the leading reason. Here are the mistakes you must avoid:

Mistake 1: Commingling personal and cooperative funds. The treasurer deposits cooperative collections into a personal bank account "for convenience." This makes it impossible to audit the cooperative and exposes the treasurer to criminal liability. Open a dedicated bank account in the cooperative's name from day one.

Mistake 2: No receipts, no vouchers. Cash goes in and out without documentation. When the auditor arrives, there is no paper trail. Every single transaction – every peso received and every peso spent – must have a supporting document. Official receipts for income. Disbursement vouchers with supporting receipts for expenses. No exceptions.

Mistake 3: Treating the Reserve Fund as a piggy bank. The board dips into the Reserve Fund for operating expenses during a slow month. The Reserve Fund exists for stability and to cover net losses – not for routine cash flow management.[46] If you need working capital, borrow from a bank or raise capital from members. Do not raid the Reserve Fund.

Mistake 4: Skipping the annual general assembly. If you do not hold a general assembly, you cannot approve the net surplus allocation, elect officers, or present the audit report. All of these are legal requirements. A cooperative that skips its general assembly for two consecutive years faces dissolution.[47]

Mistake 5: Lending cooperative funds to officers. A board member asks for a "loan" from cooperative funds. Unless your cooperative is a credit or multipurpose cooperative with a lending program, and the loan follows the same terms available to all members, this is a violation. Officers who acquire personal interests in conflict with their duties are **jointly and severally liable** for all resulting damages.[48]

Mistake 6: Ignoring the bonding requirement. Every director, officer, and employee who handles cooperative funds must be covered by a **surety bond** from a registered insurance or bonding company.[49] The bond protects the cooperative if the officer mishandles funds. Many BARMM cooperatives skip this requirement, leaving themselves exposed. The board determines the adequacy of bonds, and CSEA requires proof of bonding for your Certificate of Compliance.

Mistake 7: Not separating ETF and CDF spending. The treasurer uses education fund money to repair a community road (which is a CDF expense) or uses community development fund money to send officers to a training seminar (which is an ETF expense). Each fund has its own permitted uses. Mixing them creates audit findings and delays your COC.

Mistake 8: Distributing surplus without a general assembly resolution. The board decides to give patronage refunds without presenting the allocation to the general assembly for a vote. The net surplus allocation must be approved by the general assembly through a formal resolution.[50] No resolution, no legal basis for the distribution.

7.6 Islamic Finance Instruments for Cooperatives

7.6.1 Mudarabah, Musharakah, and Murabaha Explained

BTA Bill No. 210 establishes Islamic finance principles as governing law for cooperatives under the Shari'ah governance framework.[37] This is not advisory. If your cooperative has declared Shari'ah compliance, these principles are binding.

The conventional financial system runs on **interest** – you borrow money, you pay interest; you deposit money, you earn interest. Islamic finance runs on **risk-sharing** and **asset-backed transactions**. The money must always be connected to a real economic activity. Here are the three most relevant instruments for BARMM cooperatives:

Mudarabah (Profit-Sharing Partnership)

Element	Description
What it is	A partnership where one party provides capital (rabb al-mal) and the other provides labor and management (mudarib)
How it works	The cooperative (as rabb al-mal) provides funds to a member-entrepreneur (mudarib). Profits are shared at a pre-agreed ratio. Losses are borne by the capital provider unless the mudarib was negligent.
Cooperative use	Financing member livelihood projects – seaweed drying, fish vending, small trading
Key rule	The profit-sharing ratio must be agreed before the transaction. It cannot be a fixed amount – it must be a percentage of actual profit.

Example: The cooperative provides P50,000 to a member who will buy and dry seaweed for resale. They agree on a 60/40 profit split – 60% to the cooperative, 40% to the member. If the member earns P20,000 in profit, the cooperative receives P12,000 and the member keeps P8,000. If the venture loses money due to market conditions (not negligence), the cooperative absorbs the P50,000 loss.

Musharakah (Joint Venture Partnership)

Element	Description
What it is	A partnership where both parties contribute capital and share profits and losses
How it works	The cooperative and the member both invest money in a joint project. Profits are shared according to a pre-agreed ratio. Losses are shared in proportion to capital contribution.
Cooperative use	Larger projects like buying a fishing boat, renting cold storage, or establishing a retail outlet
Key rule	Both parties share the risk. Neither party can guarantee the other's capital.

Example: The cooperative invests P200,000 and a group of five members invest P100,000 collectively to purchase a motorized fishing boat. Ownership is 67% cooperative, 33% members. They agree to share profits 60/40 (favoring the members to incentivize effort). If the boat is damaged and the venture loses P30,000, the cooperative bears P20,000 (67%) and the members bear P10,000 (33%).

Diminishing Musharakah is a popular variant. The cooperative and the member co-own an asset. Over time, the member buys the cooperative's share through regular payments, eventually owning the asset outright. This works well for equipment financing.

Murabaha (Cost-Plus Sale)

Element	Description
What it is	The cooperative purchases an asset and sells it to the member at a disclosed markup
How it works	The member identifies what they need (e.g., a seaweed drying rack). The cooperative buys it for P30,000 and sells it to the member for P33,000, payable in installments. The P3,000 markup is disclosed upfront.
Cooperative use	Equipment, production inputs, supplies needed by members
Key rule	The cooperative must take actual ownership of the asset before selling it. The cost and markup must both be disclosed. There is no penalty for late payment beyond what the contract states.

Why murabaha is not a disguised loan: In a conventional loan, the cooperative gives money and charges interest regardless of what the borrower buys. In murabaha, the cooperative buys a specific asset and resells it. The transaction is asset-backed. The markup is a trading profit, not interest.

7.6.2 Practical Application in Bangsamoro Cooperatives

Comparison: Conventional vs. Shari'ah-Compliant Cooperative Finance

Activity	Conventional Approach	Shari'ah-Compliant Alternative
Member borrows P50,000 for livelihood	Loan at 12% annual interest	Mudarabah: cooperative provides capital, shares profit 60/40
Cooperative finances equipment	Loan for P100,000 at fixed interest	Murabaha: cooperative buys equipment, sells to member at disclosed cost-plus
Members pool capital for a boat	Members borrow from cooperative with interest	Musharakah: cooperative and members co-invest, share profit and loss
Member deposits savings	Savings account at 3% interest	Wadiah: cooperative holds deposit in trust, may give voluntary hibah
Cooperative invests idle funds	Time deposit at commercial bank	Mudarabah account at Islamic banking window; sukuk investment
Insurance for cooperative assets	Conventional insurance policy	Takaful: mutual guarantee arrangement among members

Steps to implement Shari'ah-compliant finance in your cooperative:

1. **Establish your Shari'ah committee** – at least three members with Shari'ah competence.[38] They do not need formal degrees in Islamic law, but they must understand the basics of Islamic commercial transactions.
2. **Amend your bylaws** to specify which instruments you will use. Do not attempt to use all instruments at once. Start with **murabaha** for equipment financing – it is the simplest to implement and closest to conventional practice.

3. **Train your officers and bookkeeper.** The accounting for mudarabah and musharakah differs from conventional loan accounting. Your bookkeeper must know how to record profit-sharing transactions, track ownership shares in diminishing musharakah, and account for murabaha receivables.
4. **Disclose everything.** Transparency is both an Islamic finance requirement and a cooperative principle. Every transaction must have clear terms: the cost, the markup or profit ratio, the timeline, and the conditions for loss-sharing.
5. **Document the Shari'ah committee's rulings.** Every financial product your cooperative offers should have a written Shari'ah opinion (fatwa) from your committee. Keep these on file for CSEA inspection.

Common pitfalls in Shari'ah-compliant cooperative finance:

- **Calling it Islamic but operating conventionally.** A cooperative that charges "service fees" calculated as a percentage of the loan amount over time is still charging interest – it just changed the label. The Shari'ah committee must verify that the substance of each transaction, not just the name, complies with Islamic principles.
- **Ignoring the loss-sharing requirement.** In mudarabah and musharakah, the capital provider must absorb losses (unless the working partner was negligent). Some cooperatives insert clauses requiring the working partner to guarantee the capital – this violates the risk-sharing principle and makes the contract impermissible.
- **Using murabaha as a universal substitute for loans.** Murabaha requires the cooperative to take actual ownership and possession of the asset before selling it to the member. A cooperative that transfers money directly to the member and calls it murabaha is offering a conventional loan with an Islamic label. The cooperative must purchase the item, hold it (even briefly), and then sell it to the member with a disclosed markup.

Where to find Islamic banking services in BARMM:

Several commercial banks operating in Bangsamoro have **Islamic banking windows** that offer Shari'ah-compliant deposit and investment products. Al-Amanah Islamic Investment Bank of the Philippines, based in Cotabato City, is the only Islamic bank in the country. Your cooperative should explore these options for depositing and investing its funds.

A word of encouragement. Shari'ah-compliant finance may seem complex, but it aligns naturally with cooperative principles. Both systems emphasize **risk-sharing over risk-transfer**, **real economic activity over speculation**, and **fairness in transactions**. A cooperative that practices genuine Islamic finance is simply a cooperative that takes the seventh cooperative principle – Concern for Community – to its logical conclusion.

The **maqasid al-Shari'ah** (objectives of Islamic law) – preservation of faith, life, lineage, intellect, and wealth – are served when a cooperative manages its finances honestly, shares risk equitably, and invests in the real economy of its community.[51] This is what co-operatives were invented to do.

Summary: Financial Management Checklist

Use this checklist to verify your cooperative's financial health at the end of every fiscal year.

Capital Structure: - ☐ All member share capital subscriptions are recorded and monitored for collection - ☐ No member holds more than 10% of total share capital - ☐ Deposits are recorded as liabilities, separate from share capital - ☐ Donated capital is held in a separate account and never divided among members - ☐ Revolving capital certificates are issued with serial numbers and retirement dates

Net Surplus Distribution: - ☐ Net surplus is calculated at fiscal year end - ☐ Reserve Fund receives at least 10% (or 50% in first 5 years) - ☐ ETF receives up to 10%, split 50/50 between local training and federation - ☐ CDF receives at least 3% - ☐ Optional Fund does not exceed 7% - ☐ Patronage refunds are based on volume of business, not share capital - ☐ Interest on share capital does not exceed the normal rate of return

Bookkeeping and Compliance: - ☐ All eight required books/records are maintained at the principal office - ☐ Monthly transactions are recorded, posted, and reconciled - ☐ CAFS is prepared and audited according to the cooperative's asset size - ☐ CAFS and CAPR are submitted within 120 days of fiscal year end - ☐ Financial statements are posted in a conspicuous place at the office - ☐ All source documents are filed and retained for at least 5 years

Shari'ah Compliance (if applicable): - ☐ Shari'ah committee of at least 3 members is established - ☐ All financial products have written Shari'ah opinions on file - ☐ No transactions involve riba (interest), gharar (excessive uncertainty), or maysir (gambling) - ☐ All financing is asset-backed or profit-sharing based

Governance over Finance: - ☐ General assembly approved the net surplus allocation by formal resolution - ☐ Board reviews collection rates on subscribed share capital at every meeting - ☐ All officers handling funds are covered by surety bonds - ☐ Audit committee reports directly to the general assembly, not the board - ☐ No officer has a personal financial interest that conflicts with cooperative duties

Tax Compliance: - ☐ If your cooperative transacts only with members, you are exempt from all taxes[54] - ☐ If your cooperative transacts with non-members, member transactions remain tax-exempt; non-member transactions are taxed per applicable rates - ☐

Cooperatives with reserves and undivided net savings of P10 million or less enjoy full tax exemption on non-member transactions[55] - ☐ Tax records and payments are documented and filed with the appropriate authority

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Footnotes

1. BTA Bill No. 210, Sec. 64 (Capital Sources); RA 9520, Art. 72 (Capital Sources). ↩
2. BTA Bill No. 210, Sec. 68 (Shares); RA 9520, Art. 76 (Shares). ↩
3. BTA Bill No. 210, Sec. 65 (Limitation on Share Capital Holdings); RA 9520, Art. 73. ↩
4. BTA Bill No. 210, Sec. 65, second paragraph. ↩
5. BTA Bill No. 210, Sec. 66 (Assignment of Share Capital Contribution or Interest); RA 9520, Art. 74. ↩
6. BTA Bill No. 210, Sec. 7(e) (Islamic Principles – prohibition of riba). ↩
7. BTA Bill No. 210, Sec. 71 (Revolving Capital); RA 9520, Art. 79. ↩
8. BTA Bill No. 210, Sec. 64(d); RA 9520, Art. 72(4). ↩
9. BTA Bill No. 210, Sec. 67 (Capital Build-Up); RA 9520, Art. 75. ↩
10. BTA Bill No. 210, Sec. 68; RA 9520, Art. 76. Maximum par value: P1,000. ↩
11. BTA Bill No. 210, Sec. 68; RA 9520, Art. 76. ↩
12. BTA Bill No. 210, Sec. 70 (Investment of Capital); RA 9520, Art. 78. ↩
13. BTA Bill No. 210, Sec. 7(e) (Islamic Principles – prohibition of riba, maysir, and gharar); Sec. 9 (Shari'ah Governance and Shari'ah Compliance). ↩
14. BTA Bill No. 210, Sec. 9. ↩
15. BTA Bill No. 210, Sec. 77 (Net Surplus); RA 9520, Art. 85. ↩
16. BTA Bill No. 210, Sec. 77; RA 9520, Art. 85. ↩
17. BTA Bill No. 210, Sec. 78 (Order of Distribution); RA 9520, Art. 86. ↩
18. BTA Bill No. 210, Sec. 78(a); RA 9520, Art. 86(1). First five years: Reserve Fund minimum is 50% of net surplus. ↩
19. BTA Bill No. 210, Sec. 78(a)(3); RA 9520, Art. 86(1)(c). Reserve Fund is indivisible upon dissolution. ↩
20. BTA Bill No. 210, Sec. 78(b)(1); RA 9520, Art. 86(2)(a). ETF split: 50% local, 50% federation/union. ↩
21. BTA Bill No. 210, Sec. 78(c); RA 9520, Art. 86(3). CDF: minimum 3%, for community benefit. ↩
22. BTA Bill No. 210, Sec. 78(d); RA 9520, Art. 86(4). Optional fund total: maximum 7%. ↩
23. BTA Bill No. 210, Sec. 78(e); RA 9520, Art. 86(5). ↩
24. RA 9520, Art. 76 (Interest on Share Capital); IRR Rule 4, Sec. 2. ↩
25. IRR of RA 9520, Rule 4, Sec. 2 – patronage refund must be at least 30% of net surplus after statutory reserves. ↩
26. BTA Bill No. 210, Sec. 78(e)(2); RA 9520, Art. 86(5)(b). Patronage refund credited to unpaid share capital. ↩
27. BTA Bill No. 210, Sec. 51 (Cooperative Documents to be kept open for Inspection); RA 9520, Art. 52 (Books to be Kept Open). ↩
28. BTA Bill No. 210, Sec. 51(a); RA 9520, Art. 52(1). ↩
29. BTA Bill No. 210, Sec. 54 (Register of Members as Prima Facie Evidence); RA 9520, Art. 54. ↩
30. BTA Bill No. 210, Sec. 51; RA 9520, Art. 52(4). Five-year retention; disposal requires certified inventory and board approval. ↩
31. CDA/CSEA Compliance Guidelines – CAFS is mandatory for all registered cooperatives. See Compliance Guide, "CAFS Requirements." ↩

32. BTA Bill No. 210, Sec. 53 (Report); RA 9520, Art. 53 (Reports). Deadline: 120 days from fiscal year end. ↩
33. CDA/CSEA Compliance Guidelines – Certificate of Compliance requirements. See Compliance Guide, "Statutory Funds Compliance." ↩
34. BTA Bill No. 210, Sec. 51; RA 9520, Art. 52(3). Financial statements must be published annually and posted conspicuously. ↩
35. BTA Bill No. 210, Sec. 51; RA 9520, Art. 52(2). Accountant/bookkeeper responsible for maintenance per GAAP. ↩
36. RA 9520, Art. 43(2). Audit committee is elected by the general assembly and directly accountable to it. ↩
37. BTA Bill No. 210, Sec. 7 (Islamic Principles); Sec. 9 (Shari'ah Governance and Shari'ah Compliance); Sec. 10 (Definition of Terms – riba, halal, haram, Islamic finance). ↩
38. BTA Bill No. 210, Sec. 9 – Shari'ah committee of at least three members with Shari'ah competence. ↩
39. BTA Bill No. 210, Sec. 69 (Fines); RA 9520, Art. 77. Fines on unpaid subscribed share capital must be "fair and reasonable." ↩
40. BTA Bill No. 210, Sec. 57 (Instrument for Salary or Wage Deduction); RA 9520, Art. 58. Employer deduction is mandatory upon member's written authorization. ↩
41. BTA Bill No. 210, Sec. 78(a)(2); RA 9520, Art. 86(1)(b). Reserve Fund investment restriction; excess over share capital may fund expansion projects upon GA resolution. ↩
42. BTA Bill No. 210, Sec. 57(f); RA 9520, Art. 59. Primary lien on member's capital, deposits, or interest for debts owed to the cooperative. ↩
43. RA 9520, Art. 76 – Interest on share capital is non-cumulative. ↩
44. BTA Bill No. 210, Sec. 78(e)(3); RA 9520, Art. 86(5)(c). Non-member patron refund accumulates toward membership capital. ↩
45. Bangsamoro Development Plan 2023-2028, Chapter 7. Of 12,214 registered cooperatives, only 1,424 (11.66%) were compliant. ↩
46. BTA Bill No. 210, Sec. 78(a)(1); RA 9520, Art. 86(1)(a). Reserve Fund is for stability and net losses only. ↩
47. BTA Bill No. 210, Sec. 61(f); RA 9520, Art. 68. Failure to operate for two consecutive years is ground for dissolution. ↩
48. RA 9520, Art. 45 (Liability of Directors, Officers and Committee Members). Joint and several liability for damages from personal or pecuniary conflicts of interest. ↩
49. BTA Bill No. 210, Sec. 52; RA 9520, Art. 56 (Bonding of Accountable Officers). Surety bond required for every officer handling funds. ↩
50. BTA Bill No. 210, Sec. 78; RA 9520, Art. 86. Net surplus distribution follows the order prescribed by law and approved by the general assembly. ↩
51. BTA Bill No. 210, Sec. 7(a) – Fulfillment of the objectives of Shari'ah (maqasid al-Shari'ah): preservation of faith, life, lineage, intellect, and wealth. ↩
52. BDP 2023-2028, Chapter 7 – PESO Project and Combatant Transitional Program (STOCK Project and Cooperative Financial and Material Support Project) under CSEA. ↩
53. BDP 2023-2028, Chapter 7; MAFAR data as of October 2019 – 240 ARBOs across 104 Agrarian Reform Communities in BARMM. ↩
54. BTA Bill No. 210, Sec. 58(1); RA 9520, Art. 60. Cooperatives transacting exclusively with members are exempt from all taxes. ↩
55. BTA Bill No. 210, Sec. 58; RA 9520, Art. 61(1). Full tax exemption for cooperatives with accumulated reserves and undivided net savings not exceeding P10 million. ↩
56. CDA Memorandum Circular No. 2022-25 – Philippine Financial Reporting Framework for Cooperatives (PFRF). Prescribes cooperative-specific financial reporting standards distinct from PFRS/PFRS for SMEs. ↩
57. MC 2022-25, Ch. III, Sec. 9 – Complete set of cooperative financial statements required annually. ↩
58. RA 9520, Art. 86 (Order of Distribution and Allocation of Net Surplus); BTA Bill No. 210, Sec. 78. Mandatory statutory fund allocations before any distribution to members. ↩

59. CDA Memorandum Circular No. 2021-04 – Performance Audit Report (PAR). Prescribes the STEPS framework for evaluating cooperative financial performance, Sec. 6b. ↩
60. MC 2021-04, Sec. 6 – PAR scoring methodology: Governance and Management Report (GMR) at 40% weight and STEPS financial ratios at 60% weight. ↩

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08

Operations and Business Development

Registration makes your cooperative legal. Operations make it useful. The certificate on your wall proves you exist. But existence is not performance. Only 11.66 percent of BARMM's 12,214 registered cooperatives hold a valid Certificate of Compliance.[1] The rest registered and stalled – no viable products, no operating systems, no business model that generates surplus for members.

This chapter turns your certificate of registration into a functioning business that serves members and generates surplus. It covers everything from writing your first business plan to choosing the right digital tools for a rural cooperative. You will learn how to hire a general manager, design products your market actually wants, build a supply chain, and market to both members and non-members without losing your cooperative identity.

Chapter 7 gave you the financial structure – capital, funds, bookkeeping. This chapter puts that capital to work.

8.1 Building Your Business Plan

8.1.1 From Lean Canvas to Full Business Plan

Every cooperative needs a business plan. But most cooperatives write one for registration, file it, and never look at it again. That plan was a compliance document. What you need now is an **operating document** – a plan your board reviews quarterly and your manager uses daily.

Start with a **Lean Canvas**. The Lean Canvas is a one-page business model that forces you to answer nine critical questions before you invest time writing a 30-page document nobody reads.[2] It works because it is fast, visual, and forces clarity.

Here is the Lean Canvas adapted for cooperatives:

Lean Canvas for Cooperatives

Block	Question It Answers	Cooperative Example
1. Problem	What pain do your members face?	Seaweed farmers in Tawi-Tawi sell wet seaweed at PHP 8/kg to traders who dry and resell it at PHP 80/kg
2. Member Segments	Who are your members and customers?	

Block	Question It Answers	Cooperative Example
		50 seaweed farmers in 3 barangays; buyers are processors in Zamboanga City
3. Unique Value Proposition	Why should members patronize the coop instead of selling individually?	Consolidated volume commands better prices; cooperative dries and grades seaweed to capture post-harvest value
4. Solution	What product or service addresses the problem?	Community drying facility + consolidated marketing to processors
5. Channels	How do you reach buyers and members?	Direct buyer contracts; mobile alerts to members for harvest schedules
6. Revenue Streams	How does the cooperative earn?	Margin on dried seaweed sales; service fee for drying facility use
7. Cost Structure	What are the major costs?	Drying racks, labor, transport to port, packaging materials
8. Key Metrics	How do you measure success?	Kg of seaweed processed per month; price per kg received vs. individual selling price; member patronage rate
9. Unfair Advantage	What can your cooperative do that others cannot easily copy?	Exclusive supply agreements with 50 farmers; BARMM government support through MAFAR

Fill out the Lean Canvas before writing anything else. Gather your board, your manager (if hired), and five to ten active members. Spend two to three hours completing each block. Disagree on every assumption. That disagreement is the point – it surfaces risks before you spend capital.

Once your Lean Canvas is stable, expand it into a **full business plan**. The full plan adds detail that lenders, CSEA, and government programs require. Use this structure:

Sample Business Plan Outline for Cooperatives

1. **Executive Summary** (1 page)
2. Cooperative name, type, location, year registered
3. Business description in three sentences

4. Financial projection summary (Year 1 revenue, expenses, net surplus)
5. **Cooperative Profile** (1-2 pages)
6. Mission, vision, core values
7. Number of members, area of operation
8. Governance structure (board composition, committees)
9. **Market Analysis** (2-3 pages)
10. Target market description (who buys, where, how much, how often)
11. Competitor analysis (who else serves this market)
12. BARMM commodity data and pricing trends
13. **Products and Services** (2-3 pages)
14. Detailed description of each product or service
15. Pricing strategy and basis
16. Value chain position (where you sit between production and consumer)
17. **Operations Plan** (2-3 pages)
18. Production or service delivery process
19. Facilities, equipment, technology requirements
20. Staffing plan with roles and compensation
21. **Marketing Plan** (1-2 pages)
22. Member patronage strategy
23. Non-member sales approach
24. Channels and promotional activities
25. **Financial Projections** (3-5 pages)
26. Three-year income statement projection
27. Cash flow projection (monthly for Year 1, quarterly for Years 2-3)
28. Break-even analysis
29. Capital requirements and funding sources
30. **Risk Assessment** (1 page)
31. Three to five key risks
32. Mitigation strategy for each

33. **Implementation Timeline** (1 page)
34. Month-by-month milestones for Year 1

Update your business plan every year. Present it to the general assembly alongside your annual financial statements. A business plan that does not change when the market changes is a fiction.

8.1.2 Market Analysis for Bangsamoro Communities

Your market analysis must reflect where you actually operate. Generic market data from Manila does not help a cassava cooperative in Maguindanao del Norte. Use local data and ground-level intelligence.

Start with BARMM's comparative advantages. The Bangsamoro region dominates two national commodities:[3]

Commodity	BARMM National Share	Key Provinces
Seaweed	48.42% (largest national producer)	Tawi-Tawi, Basilan
Cassava	41.70% (largest national producer)	Maguindanao del Norte, Maguindanao del Sur, Lanao del Sur

Other significant agricultural products in the region include **rice, coconut, rubber, coffee, mangosteen, lanzones, and fisheries products**.[4] If your cooperative operates in any of these commodity chains, you already have a natural market position. The question is whether you are capturing value or just passing raw materials to traders.

Conduct a five-step local market analysis:

1. **Map the value chain.** Draw the path your product takes from farm or sea to final consumer. Identify every intermediary. A seaweed farmer in Sitangkai who sells wet seaweed to a local buyer, who sells to a consolidator in Bongao, who sells to a processor in Zamboanga, who sells to an exporter – that is four intermediaries. Each one takes margin. Your cooperative's opportunity is to eliminate one or more of those intermediaries.
2. **Identify your buyer.** Who will actually pay you? Name the person, the company, or the institution. "The market" is not a buyer. "Cargill Philippines seaweed processing plant in Zamboanga City" is a buyer. "MAFAR's rice procurement program for food security" is a buyer. Be specific.

3. **Price your product.** Collect actual prices at each stage of the value chain. Go to the trading post. Ask the processor. Call the exporter. If dried seaweed sells at PHP 80-120/kg at the processor gate, and your cooperative can deliver dried, graded seaweed for PHP 90/kg, you have a viable price point. If you can only deliver wet seaweed at PHP 10/kg, your value addition is minimal.
4. **Size the volume.** How much can your members produce in a year? How much can your buyer absorb? A cooperative that produces 10 metric tons of dried seaweed per month but whose buyer needs 50 metric tons faces a volume gap. That gap is either a growth opportunity or a signal that you need multiple buyers.
5. **Assess the competition.** Who else sells to your target buyer? What advantages do they have? A cooperative competing against a well-capitalized private trader with trucks, cold storage, and a decade of buyer relationships must offer something the trader cannot – consolidated supply from a loyal membership, quality consistency through cooperative standards, or preferential government procurement access.[5]

Use this market analysis template for each product or service:

Market Analysis Element	Your Data
Product or service	*[e.g., Dried seaweed, Grade A]*
Target buyer(s)	*[Name, location, contact]*
Current farm-gate price	*[PHP/kg or unit]*
Processor/wholesale price	*[PHP/kg or unit]*
Retail/export price	*[PHP/kg or unit]*
Volume: member capacity per month	*[kg, tons, or units]*
Volume: buyer demand per month	*[kg, tons, or units]*
Competitors	*[Name, location, advantage]*
Your cooperative's advantage	*[What you offer that competitors do not]*
Seasonality	*[Peak months, lean months]*

Two market realities specific to BARMM. First, island provinces like Tawi-Tawi and Basilan face **high transport costs**. A PHP 5/kg margin advantage disappears if you spend PHP 7/kg on shipping. Factor logistics into every price calculation. Second, **halal**

certification is both a compliance requirement and a competitive advantage. If your co-operative processes food products, halal certification opens markets in Mindanao's Muslim-majority consumer base and in export markets across Southeast Asia.[6]

8.2 Running Day-to-Day Operations

8.2.1 The Role of the General Manager

The **general manager** (GM) is the person who converts your board's strategic decisions into daily action. The board sets direction. The GM executes. Confuse these roles and your cooperative stalls.

Under RA 9520, the general manager may be hired by the board of directors, subject to the policies of the general assembly.[7] The GM is an **employee**, not an elected officer. The board hires, evaluates, and – if necessary – terminates the GM. The GM does not sit on the board and does not vote on board matters.

What the general manager does:

- **Manages daily operations.** Opens the office, supervises staff, ensures products and services are delivered on schedule.
- **Implements board resolutions.** When the board approves a new procurement policy, the GM puts it into practice.
- **Prepares reports.** Monthly operational reports to the board, financial reports in coordination with the bookkeeper or accountant.
- **Manages staff.** Hires, trains, evaluates, and disciplines employees within the authority delegated by the board.
- **Represents the cooperative externally.** Negotiates with buyers, suppliers, government agencies, and partner organizations on behalf of the cooperative, within the scope authorized by the board.
- **Manages inventory and assets.** Tracks cooperative property, ensures maintenance, prevents loss.

What the general manager does not do:

- Set cooperative policy (that is the board's job)
- Approve loans or credit beyond delegated limits
- Enter into contracts above the threshold set by the board
- Represent the cooperative in legal proceedings without board authorization
- Override committee recommendations

Hiring your first general manager. Many small cooperatives cannot afford a full-time GM at startup. Three options exist:

Option	When to Use	Risk
Full-time hired GM	When annual revenue exceeds PHP 500,000 and operations run daily	Higher cost, but strongest operational control
Part-time or contract GM	When operations are seasonal or limited to a few days per week	Lower cost, but less oversight during off-hours
Volunteer manager from the board	At startup, when revenue cannot support a salary	Conflict of interest risk; blurs the line between governance and management

If you start with a volunteer manager from the board, **set a timeline to hire a professional GM.** Twelve months is reasonable. A board member who manages day-to-day operations forever becomes both supervisor and supervised – a governance failure that invites abuse.

Set clear performance metrics for your GM. The board should evaluate the GM at least annually against specific, measurable targets:

- Member patronage rate (percentage of members who transacted with the cooperative during the year)
- Revenue against budget
- Surplus or deficit against projection
- Compliance deadlines met (CAPR, CAFS, COC submission)
- Member satisfaction score (from annual survey)
- Staff turnover rate

8.2.2 Staffing, Hiring, and Managing Employees

Your cooperative is an employer. Every labor law that applies to private companies applies to you. This includes minimum wage, SSS, PhilHealth, Pag-IBIG contributions, 13th month pay, and overtime rules.[8]

Start lean. Hire only the positions you need now.

For a small cooperative (15-50 members) with annual revenue under PHP 1 million, three positions typically suffice:

Position	Key Responsibilities	Employment Type
General Manager	Overall operations, external relations, reporting	Full-time or part-time
Bookkeeper/Cashier	Daily transactions, cash handling, record-keeping	Part-time
Utility/Warehouse Staff	Product handling, cleaning, inventory management	Full-time or casual

As your cooperative grows, add positions in this order of priority:

1. **Accountant** – when annual revenue exceeds PHP 2 million and the bookkeeper's workload becomes unsustainable
2. **Marketing or field officer** – when you need someone collecting products from members or delivering to buyers full-time
3. **Additional warehouse or production staff** – when volume outpaces current capacity

The hiring process matters. Even for a cooperative with five employees, follow a structured process:

1. **Board approves the position and budget.** No hire should happen without a board resolution authorizing the position and the compensation range.
2. **Post the vacancy.** At minimum, announce the opening at the cooperative office and during meetings. For professional positions, post on social media and at CSEA or MOLE offices.
3. **Screen applications.** Evaluate against specific qualifications – not family connections, not who the board chairperson knows.
4. **Interview candidates.** At least the GM and one board representative should conduct the interview.
5. **Document the decision.** Record why the selected candidate was chosen. This protects the cooperative if the decision is questioned.

Pay your employees on time. Always. A cooperative that preaches member welfare but pays its staff late has a credibility problem. Budget for payroll as a fixed cost, not something you pay after revenue comes in.

Cooperative employees are not members by default. An employee may apply for membership separately, but employment does not automatically confer membership rights. Keep these relationships distinct.

8.2.3 Operational Policies and Standard Procedures

A cooperative without written policies runs on personality. When the GM leaves, institutional knowledge walks out the door. When a dispute arises, nobody can point to an agreed rule. **Write your policies down.**

Every cooperative needs, at minimum, these **five core operational policies**:

1. Cash Handling and Disbursement Policy - Who can receive payments (cashier, bookkeeper, or both) - Maximum cash on hand before mandatory bank deposit - Disbursement approval levels (e.g., GM approves up to PHP 10,000; board approval required above PHP 10,000) - Required supporting documents for every disbursement (receipt, invoice, purchase order) - Prohibition on disbursements without documentation

2. Procurement Policy - Canvassing requirements (minimum three quotations for purchases above a threshold) - Authority levels for purchasing decisions - Prohibition on self-dealing (no officer or employee buys from their own business) - Preference for member-suppliers when price and quality are competitive

3. Inventory Management Policy - Physical inventory count schedule (monthly or quarterly) - Who conducts the count (not the person who manages inventory daily) - Variance reporting and investigation - Write-off procedures for damaged or expired goods

4. Credit Policy (if your cooperative extends credit to members) - Maximum loan amount per member - Interest rate or service charge (compliant with Shari'ah principles if applicable) - Repayment terms and schedule - Collateral requirements - Delinquency management – when notices are sent, when penalties apply, when legal action begins

5. Personnel Policy - Working hours, leave entitlements, and benefits - Performance evaluation schedule and criteria - Disciplinary procedures with due process - Separation (resignation, termination) process

Format every policy the same way:

Policy Element	What to Include
Policy title	Clear, specific name
Date approved	Board resolution number and date
Purpose	One sentence explaining why this policy exists
Scope	Who the policy applies to

Policy Element	What to Include
Procedures	Step-by-step instructions
Responsible persons	Who implements, who oversees
Penalties for violation	What happens when someone breaks the rule
Review schedule	When the board will revisit this policy (annually at minimum)

Keep your policies in a physical binder at the cooperative office. Every employee should receive copies of policies relevant to their role on the first day. Every new board member should review the full policy manual during orientation.

BTA Bill No. 210 requires cooperatives to keep certain documents accessible for inspection by members and CSEA representatives during office hours – including articles of cooperation, bylaws, membership lists, board minutes, financial statements, and copies of relevant laws and regulations.[9] Your operational policies should be part of this accessible documentation.

8.3 Products, Services, and Value Chain

8.3.1 Designing Your Product or Service Offering

Your cooperative exists to serve members through products or services they cannot access – or cannot access at fair terms – on their own. The product or service you offer must solve a real problem for your members. If it does not, members will stop patronizing the cooperative and buy from the trader down the road.

Match your product to your cooperative type. The law defines what each cooperative type can do:[10]

Cooperative Type	Core Product/Service	Bangsamoro Example
Producer	Process raw materials into finished goods	Cassava cooperative in Maguindanao del Sur processing cassava into chips and flour
Marketing	Sell members' products collectively	Rice marketing cooperative in Lanao del Sur consolidating harvest for sale to NFA or private mills
Credit	Provide savings and lending services	Credit cooperative in Cotabato City offering Shari'ah-compliant financing through murabaha
Consumer	Purchase goods in bulk for resale to members at lower prices	Consumer cooperative in Basilan buying halal groceries wholesale for member stores
Service	Provide specific services to members	Transport service cooperative operating routes in Maguindanao del Norte
Multi-purpose	Combine two or more of the above	Multi-purpose cooperative in Tawi-Tawi operating both seaweed marketing and credit services

The product design process for cooperatives has five steps:

Step 1: Listen to your members. Conduct a simple survey during your general assembly or regular meeting. Ask three questions: (a) What product or service would make the biggest difference to your livelihood? (b) What are you currently paying for that product or service? (c) How much would you be willing to pay if the cooperative offered it?

Step 2: Assess your capacity. Can your cooperative deliver this product or service with your current capital, staff, and facilities? If you need PHP 500,000 worth of equipment but your total capital is PHP 200,000, you either need additional funding or a simpler starting point.

Step 3: Test before you scale. Do not invest your entire capital in a product you have never delivered. Run a **pilot**. If you want to start a rice milling service, rent a small mill for three months before buying one. If you want to market halal processed food, start with one product line sold at the local market before signing a contract with a regional distributor.

Step 4: Price to sustain. Your price must cover all costs plus a margin that generates net surplus for the cooperative. Do not underprice to attract members – you will go bankrupt. Do not overprice to maximize margin – members will stop patronizing.

Use this formula:

> ***Selling Price = Direct Costs + Overhead Allocation + Target Surplus Margin***

For a cassava flour cooperative: - Direct costs: PHP 15/kg (raw cassava, processing labor, packaging) - Overhead allocation: PHP 3/kg (rent, utilities, insurance, admin staff salary) - Target surplus margin: PHP 2/kg (10% margin) - **Selling price: PHP 20/kg**

Step 5: Review and adjust quarterly. Markets change. Input costs rise. Competitors enter. Review your product pricing and design every quarter. Present the results to the board with a recommendation: continue, adjust, or discontinue.

8.3.2 Supply Chain and Procurement

Your cooperative sits somewhere in a chain that starts with raw materials and ends with a consumer. **Know your position in that chain.** Every link you control reduces your dependence on intermediaries who extract margin without adding value.

For producer and marketing cooperatives, the supply chain has three critical segments:

Segment 1: Sourcing from members. Your members are your primary suppliers. Set clear standards for what you accept: quality grade, quantity minimum, delivery schedule, and payment terms. A seaweed marketing cooperative that accepts any quality of seaweed from members and then faces rejection by the processor has a sourcing problem, not a marketing problem.

Write a Member Supply Agreement. This document sets expectations on both sides:

Agreement Element	Content
Product specification	Moisture content, grade, size, freshness
Delivery schedule	When and where members deliver
Pricing mechanism	How the purchase price is determined (fixed, market-based, or floor price with upside sharing)
Payment terms	When the cooperative pays the member (on delivery, within 7 days, or after the cooperative sells)
Quality rejection procedure	What happens if the product does not meet standards
Volume commitment	Minimum volume the member commits to supply through the cooperative

Segment 2: Processing and storage. If your cooperative adds value – drying, milling, grading, packaging, or cold storage – this segment determines your product quality and cost structure. Invest in the right equipment for your volume. A cooperative that buys a PHP 3 million rice mill but only processes 100 cavans per month has overcapitalized. A cooperative that processes 1,000 cavans per month on a PHP 200,000 hand-operated mill is under-equipped and losing quality.

Segment 3: Delivery to buyer. How does your product reach the buyer? Transport costs in BARMM, especially in island provinces, can consume 15-25 percent of product value. A coconut cooperative in Basilan shipping copra to Zamboanga must factor in boat freight, handling fees, and spoilage risk. **Negotiate transport terms in advance.** If the buyer picks up at your warehouse, your cost is lower but your bargaining power decreases. If you deliver to the buyer's facility, your cost is higher but you control the relationship.

For credit and service cooperatives, the "supply chain" is the service delivery process. Map every step from the moment a member requests a service to the moment the service is completed and documented. A credit cooperative's "supply chain" is: loan application received – credit investigation conducted – loan committee evaluates – board or GM approves – funds released – repayment monitoring begins – loan closed.

Procurement for cooperative operations. When your cooperative buys supplies, equipment, or services for its own operations (not for resale), apply your procurement policy consistently:

- **Three quotations** for any purchase above your board-approved threshold (common threshold: PHP 5,000-10,000)
- **No self-dealing.** No board member, officer, or employee should sell goods or services to the cooperative unless disclosed to and approved by the board with the interested party abstaining from the vote[11]
- **Prefer member-suppliers** when quality and price are competitive. This strengthens member patronage from both sides – members sell to and buy from the cooperative.
- **Document everything.** Purchase orders, delivery receipts, inspection reports, payment vouchers. Your audit committee will need these records.

8.4 Marketing and Member Patronage

8.4.1 Building Member Loyalty Through Patronage

Patronage is the lifeblood of your cooperative. A member who is registered but never transacts with the cooperative is dead weight – occupying a slot on the roster but contributing nothing to the business that generates surplus.

The cooperative business model depends on member patronage to work. Here is why:

- **Net surplus is distributed based on patronage.** Members who transact more receive larger patronage refunds.[12] This is the cooperative's core incentive mechanism.
- **Volume drives bargaining power.** A rice marketing cooperative that consolidates 500 cavans from 50 members gets a better price from the miller than a cooperative consolidating 50 cavans from 5 active members.
- **Patronage data proves viability.** When your cooperative applies for government programs like the **PESO Project** (Profitability and Equity Support Oriented) or approaches a lending institution, they will ask about patronage rates.[13] A cooperative where 80 percent of members patronize regularly signals health. A cooperative where 20 percent patronize signals dysfunction.

Strategies to increase member patronage:

1. Make patronage the default. Structure your services so that patronizing the cooperative is easier than the alternative. If your cooperative consolidates and sells members' copra, set up a collection schedule and pickup service. If members have to transport their own copra to the cooperative warehouse 20 kilometers away, they will sell to the nearest trader instead.

2. Price competitively. Members will patronize the cooperative if the price is at least as good as what they get from private traders. You do not need to beat every trader's price – but you need to be close. The patronage refund at year-end is the cooperative's competitive edge. Members who sell through the cooperative at PHP 25/kg and receive a PHP 2/kg patronage refund effectively earned PHP 27/kg – better than the trader's PHP 26/kg.

3. Provide services traders cannot. Private traders offer cash on the spot. Your cooperative can offer something more: quality training, access to government programs, crop insurance facilitation, and bulk input purchases at lower prices. A seaweed cooperative

that provides free seedling material to members, trains them in proper drying techniques, and connects them to halal certification programs creates stickiness that price alone cannot beat.

4. Communicate transparently. Post your buying prices where members can see them. Announce patronage refund calculations after the general assembly. When prices change, explain why. Members who feel informed stay loyal. Members who feel manipulated leave.

5. Track and reward patronage. Maintain a patronage ledger for every member. At the annual general assembly, recognize top-patronizing members. Consider creating a tiered system: members who patronize above a threshold receive priority access to new services or higher credit limits.

Patronage rate is your most important operational metric. Calculate it monthly:

> ***Patronage Rate = (Members who transacted during the month / Total active members) x 100***

If your patronage rate drops below 50 percent for three consecutive months, investigate immediately. Common causes: inconvenient service hours, price disadvantage versus competitors, quality problems, or members losing trust in the cooperative's management.

8.4.2 External Marketing for Non-Member Transactions

Your cooperative can transact with non-members. The law allows it. But non-member transactions affect your tax status.

The tax rule. Cooperatives that transact **exclusively with members** are exempt from all taxes under RA 9520 and BTA Bill No. 210.[14] Cooperatives that transact with **non-members** remain exempt from local taxes but become subject to income tax and VAT on non-member transactions, depending on their accumulated reserves and net savings.[15]

This does not mean you should avoid non-member transactions. It means you should **plan for them deliberately.**

When non-member transactions make sense:

- Your members cannot produce enough volume to meet buyer demand. Supplementing with non-member supply allows you to fulfill contracts.
- You operate a consumer store that serves both members and the community. Member prices may be discounted; non-member prices cover the full cost plus margin.

- You run a credit program where external lending generates income that subsidizes member services.

When non-member transactions create risk:

- If non-member revenue exceeds member revenue, the cooperative's character shifts. You become a business that happens to have members, not a membership-driven enterprise.
- Tax obligations increase. Budget for this. If your cooperative earns PHP 500,000 from non-member transactions, you owe income tax on the amount allocated for interest on capital.[16]
- CSEA may scrutinize cooperatives where non-member transactions dominate, as this signals that the cooperative may not be serving its primary purpose.

Marketing to external buyers – practical steps:

1. **Identify your product's market position.** What makes your cooperative's product different? For many BARMM cooperatives, the answer is **origin** (Bangsamoro-produced), **certification** (halal, organic, fair trade), or **volume reliability** (consolidated supply from a committed membership base).

2. **Build buyer relationships, not just transactions.** A cassava cooperative that signs a six-month supply contract with a food processor in Cotabato City has more stability than one that sells spot to whoever shows up. Invest in relationship-building: visit buyers, deliver samples, meet quality specifications consistently.

3. **Leverage government procurement preferences.** Under the law, cooperatives have **preferential right to supply government institutions** with agricultural commodities produced by their members – including rice, corn, fish, meat, eggs, vegetables, and other products.[17] Tap this. Register your cooperative with the local government procurement office. Attend bid conferences. The Government Procurement Act exempts cooperatives from prequalification bidding requirements.[18]

4. **Participate in trade fairs and market events.** CSEA organizes trade fairs and buyer-seller matching events as part of its market development services.[19] Attend every one you can. Bring samples, price lists, and your cooperative's contact information. One trade fair connection can turn into a year-long supply contract.

5. **Use social media.** Even a simple Facebook page showcasing your cooperative's products, facilities, and story reaches buyers you would never meet in person. Post consistently: product photos, harvest updates, member testimonials. A halal-certified abaca weaving cooperative in Lanao del Sur that posts weekly on Facebook can attract orders from Manila, Cebu, and Davao.

8.5 Technology and Digital Tools

8.5.1 Basic Record-Keeping Systems

Your cooperative's records are not optional. The law requires you to maintain books of account, membership registers, minutes, and financial statements.[20] Chapter 7 covered the financial side. This section covers the **systems** you use to keep those records accurate and accessible.

Three levels of record-keeping systems:

Level 1: Manual (paper-based). Suitable for cooperatives with fewer than 50 members and fewer than 100 transactions per month. Use columnar books for cash receipts, cash disbursements, and journal entries. Use a paper ledger for member accounts. Store all documents in labeled folders and file cabinets.

Advantages: No technology cost, no electricity dependence, familiar to most cooperative officers. **Disadvantages:** Slow to retrieve information, prone to human error, difficult to back up, hard to generate summary reports.

If you use a manual system, follow these rules: - Write in ink, never pencil - Never erase – draw a single line through errors and write the correction beside it, with the corrector's initials and date - Close and total each book monthly - Store records in a secure, dry location (fire-resistant storage if possible) - Create a duplicate record of member account balances at least quarterly

Level 2: Spreadsheet-based. Suitable for cooperatives with 50-200 members and moderate transaction volumes. Use a standard spreadsheet application (Microsoft Excel, Google Sheets, or LibreOffice Calc) to maintain digital records. Create separate sheets for:

- Daily cash receipts journal
- Daily cash disbursements journal
- Member accounts ledger
- Inventory tracker
- Loan portfolio tracker (if a credit cooperative)
- Payroll register

Advantages: Faster computation, automatic totals, easier to generate reports, can be backed up digitally. **Disadvantages:** Requires a computer and basic training, vulnerable to accidental deletion, no built-in audit trail.

If you use a spreadsheet system, follow these rules: - Back up your files to a USB drive or cloud storage (Google Drive, Dropbox) at the end of every working day - Protect important sheets with passwords to prevent accidental editing - Use a consistent file naming convention: `[Year]-[Month]-[Record Type].xlsx` - Print and sign monthly summaries for physical backup

Level 3: Cooperative management software. Suitable for cooperatives with over 200 members, multiple product lines, or credit operations. Dedicated cooperative software automates member management, loan processing, savings tracking, and financial reporting. Options available in the Philippines include systems offered through cooperative federations and CDA/CSEA programs.

Advantages: Integrated records, automatic report generation, built-in audit trail, multi-user access. **Disadvantages:** Higher cost, requires reliable electricity and internet, requires training, may require ongoing support fees.

Choose the level that matches your cooperative's current size and capacity. Do not buy software your staff cannot use. Do not stay on paper when your transaction volume has outgrown it. Plan to move up one level every two to three years as your cooperative grows.

Regardless of the system you use, maintain these records:

Record	Purpose	Required By
Books of account	Track all financial transactions	RA 9520, BTA Bill No. 210 Sec. 51
Member register	List all current and former members with dates	RA 9520, BTA Bill No. 210 Sec. 54
Minutes of meetings	Document decisions of GA, board, and committees	RA 9520, BTA Bill No. 210 Sec. 51
Share capital ledger	Track each member's capital account	RA 9520
Patronage records	Track each member's transactions for refund calculation	RA 9520
Inventory records		Prudent management

Record	Purpose	Required By
	Track stock levels, receipts, and disposals	
Employee records	Contracts, payroll, contributions, evaluations	Labor Code
Loan records (credit coops)	Individual loan accounts, payments, balances	RA 9520, BSP regulations

8.5.2 Digital Payment and Financial Services

Cash is king in many BARMM communities. But cash is also slow, risky, and hard to track. Digital payment tools are expanding across the region, and your cooperative should position itself to use them.

Why digital tools matter for cooperatives:

- **Speed.** A member payment that takes three days by cash (travel to cooperative office, wait for cashier, receive receipt) takes three minutes by mobile transfer.
- **Safety.** Cash in a locked drawer can be stolen. Cash in transit can be lost. Digital transactions create automatic records and reduce physical risk.
- **Transparency.** Every digital transaction has a timestamp, sender, receiver, and amount. This makes it harder for anyone to manipulate records.
- **Reach.** Members in remote barangays who cannot travel to the cooperative office every week can transact from their mobile phones.

Four digital tools your cooperative should evaluate:

1. Mobile wallets (GCash, Maya). The most accessible option. Most members already have a GCash account. Your cooperative can register a business account to receive member payments, capital contributions, loan repayments, and product payments. Fees are low (1-2 percent for cash-out). No special equipment is needed beyond a smartphone.

How to start: Register your cooperative as a GCash or Maya business account. Assign one officer (typically the cashier or bookkeeper) to manage the account. Reconcile digital transactions with your books daily.

2. Bank transfers and online banking. If your cooperative has a bank account (which it should – see Chapter 4), enable online banking for faster transactions. Use bank transfers for large payments to suppliers and buyers. Maintain the bank passbook as your primary external verification of cash balances.

3. Digital lending platforms. Some cooperative federations and fintech companies offer digital platforms that automate loan processing, disbursement, and collection. If your cooperative manages a credit program with over 100 active loans, a digital lending platform reduces errors and speeds up processing. Evaluate the cost and ensure the platform complies with BSP regulations for lending cooperatives.

4. Digital inventory and point-of-sale (POS) systems. If your cooperative runs a consumer store or markets products through a physical outlet, a basic POS system (even a tablet-based app) automates sales recording, inventory deductions, and daily sales reports. This eliminates the end-of-day manual counting that drains your cashier's time.

Shari'ah compliance in digital transactions. Digital tools are neutral – they process transactions regardless of the underlying economic arrangement. The compliance obligation remains with your cooperative. If your cooperative uses digital payment to collect loan service charges, ensure those charges follow murabaha (cost-plus) or other Shari'ah-compliant structures, not conventional interest.[21] The digital tool is a delivery mechanism, not a substitute for compliance.

Data privacy. When you collect and store member data digitally – names, addresses, account numbers, transaction histories – you hold sensitive information. The Data Privacy Act of 2012 (RA 10173) applies to cooperatives. Protect member data with these practices:

- **Limit access.** Only the GM, bookkeeper, and authorized officers should access member financial records.
- **Use passwords.** Every computer and account used for cooperative business should be password-protected.
- **Do not share member data.** Do not sell or share member transaction data with third parties without member consent.
- **Back up securely.** Digital backups should be encrypted or stored in a password-protected cloud account.

The path forward. You do not need to digitize everything at once. Start with one tool. If mobile payments reduce your cash handling risk and speed up member transactions, adopt that first. Add a spreadsheet system next. Build toward integrated software over three to five years. The goal is not to have the most technology – it is to have the right technology for your cooperative's current scale, with a plan to grow.

Chapter Summary

This chapter moved your cooperative from a registered entity to an operating business. Here is what you should now have – or be building toward:

Operational Element	What You Need	Where to Start
Business plan	Lean Canvas + full written plan	Lean Canvas workshop with board and active members
General manager	Hired GM or volunteer with a transition timeline	Board resolution defining the GM role and compensation
Staffing	Right-sized team with documented roles	Three core positions: GM, bookkeeper, utility staff
Operational policies	Five core policies written and approved	Cash handling and procurement policies first
Product/service offering	Designed, priced, and tested	Member survey + pilot program
Supply chain	Mapped, with member supply agreements	Value chain diagram + member supply agreement template
Member patronage system	Tracked monthly, with patronage rate targets	Patronage ledger and monthly rate calculation
Marketing plan	Member retention + external buyer development	Government procurement registration + one trade fair
Record-keeping system	Appropriate to cooperative size	Match to your current level; plan the next level
Digital tools	At least one adopted	Mobile payment account for the cooperative

The BDP 2023-2028 challenge is clear: low functionality and unsustainable profitability.[22] Every element in this chapter directly attacks that challenge. A cooperative with a business plan, a competent manager, written policies, competitive products, loyal members, and appropriate technology is a functional cooperative. Build these pieces one at a time. Start with the Lean Canvas and the GM hire. The rest follows.

Chapter 9 covers what you must report, to whom, and when – compliance with CSEA requirements that keeps your cooperative legal and eligible for government support.

Footnotes

1. BDP 2023-2028, Chapter 7. Of 12,214 registered cooperatives (2010-2020), only 1,424 (11.66%) hold valid Certificates of Compliance. The BDP target is 50% compliance. ↩
2. The Lean Canvas was developed by Ash Maurya, adapted from Alexander Osterwalder's Business Model Canvas. It is widely used in entrepreneurship training and is integrated into BARMM cooperative development curriculum at Level 300 (business development and financial management). ↩
3. BDP 2023-2028, Chapter 7. BARMM produces 48.42% of the Philippines' seaweed supply and 41.70% of national cassava production. ↩
4. BDP 2023-2028, Chapter 7. Key agricultural sectors include rice, coconut, fisheries, rubber, coffee, mangosteen, and lanzones. ↩
5. BTA Bill No. 210, Sec. 59(d): cooperatives have preferential right to supply government institutions with agricultural commodities produced by their members. This competitive advantage should be reflected in market analysis. ↩
6. BTA Bill No. 210, Sec. 7: cooperatives and social enterprises under the Shari'ah Governance Framework must fulfill the objectives of Shari'ah (maqasid al-Shari'ah). Halal certification aligns with this mandate and opens additional market access. ↩
7. RA 9520, Art. 43. The general manager or chief executive officer may be appointed by the board of directors. BTA Bill No. 210 maintains this provision. ↩
8. Labor Code of the Philippines (Presidential Decree No. 442, as amended). Cooperatives as employers are subject to all labor standards including minimum wage, social security contributions, and 13th month pay under PD 851. ↩
9. BTA Bill No. 210, Sec. 51(a). Cooperatives must keep the following documents accessible for inspection during reasonable office hours: articles of cooperation, bylaws, membership list, board minutes, financial statements, cooperative code, and CSEA rules. ↩
10. RA 9520, Art. 23-32. Types of cooperatives include credit, consumer, producer, marketing, service, multi-purpose, advocacy, agrarian reform, cooperative bank, dairy, education, electric, financial service, fishermen, health services, housing, insurance, transport, water service, and workers cooperatives. ↩
11. BTA Bill No. 210, Sec. 48. Contracts between the cooperative and one or more of its directors are voidable unless all relevant conditions regarding disclosure and board approval are met. ↩
12. RA 9520, Art. 58. Net surplus is distributed in proportion to patronage. BTA Bill No. 210, Sec. 42 maintains the proportional patronage refund principle. ↩
13. BDP 2023-2028, Chapter 7. The PESO Project (Profitability and Equity Support Oriented) provides financial and technical assistance to improve cooperative profitability, under BDP Strategy 21. ↩
14. RA 9520, Art. 61(1). BTA Bill No. 210, Sec. 58(1): cooperatives that do not transact business with non-members or the general public are exempt from all taxes and fees. ↩
15. RA 9520, Art. 61(2-3). BTA Bill No. 210, Sec. 58(2-3): cooperatives transacting with non-members are exempt from taxes if accumulated reserves and undivided net savings do not exceed PHP 10 million. Above PHP 10 million, income tax and VAT apply to non-member transactions. ↩
16. BTA Bill No. 210, Sec. 58(3)(ii). Income tax applies on the amount allocated for interest on capitals for cooperatives with accumulated reserves and undivided net savings exceeding PHP 10 million. ↩
17. BTA Bill No. 210, Sec. 59(d). Cooperatives have preferential right to supply government institutions and agencies with rice, corn, grains, fish, marine products, meat, eggs, milk, vegetables, tobacco, and other agricultural commodities produced by their members. ↩

18. BTA Bill No. 210, Sec. 59(j). Cooperatives transacting business with the government are exempt from prequalification bidding requirements under RA 9184 (Government Procurement Act). ↩
19. CSEA provides market development services including trade fairs, product promotion, buyer-seller matching, and export assistance as part of its development mandate. ↩
20. BTA Bill No. 210, Sec. 51. RA 9520, Art. 53. Cooperatives must maintain books of account, membership registers, and meeting minutes accessible for inspection. ↩
21. BTA Bill No. 210, Sec. 7. Cooperatives under the Shari'ah Governance Framework must avoid riba (usury/interest), maysir (gambling), and gharar (excessive uncertainty). Digital payment systems must be configured to process Shari'ah-compliant financial arrangements. ↩
22. BDP 2023-2028, Chapter 7. The key problem identified for the cooperative sector is "low functionality and unsustainable profitability of cooperatives." ↩

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09

Compliance: Reports, Audits, and Certificates

Of the 12,214 cooperatives registered in BARMM, only 11.66 percent are compliant. The rest are on borrowed time – operating without current certificates, filing late reports, or not filing at all. Non-compliance does not just mean paperwork trouble. It means your cooperative cannot renew its tax exemption, cannot access government programs, and cannot prove to any bank or partner that it is legitimate. Every day you operate without a Certificate of Compliance, you accumulate PHP 100 in penalties for your accountable officers and drift closer to dissolution proceedings.

This chapter keeps your cooperative out of that majority. It covers every compliance obligation your cooperative faces – what to file, when to file it, how to prepare it, and what happens if you fail. By the end, you will have a month-by-month calendar, a step-by-step guide for preparing your annual reports, and a clear understanding of the penalties that follow non-compliance.

Compliance is not bureaucracy. It is your cooperative's proof of life.

9.1 Why Compliance Matters (And What Happens When You Fail)

Think of compliance as your cooperative's vital signs. A hospital monitors a patient's pulse, blood pressure, and temperature. The Cooperative and Social Enterprise Authority (CSEA) monitors your reports, your audits, and your fund allocations. When those vital signs go silent – when you stop filing, stop auditing, stop allocating – the CSEA assumes your cooperative is in trouble. And it acts accordingly.

Compliance serves three purposes. **First**, it protects your members. Annual audits and financial statements reveal whether their money is being managed properly. **Second**, it protects your cooperative's legal standing. Without a current Certificate of Compliance (COC), your cooperative cannot secure a Certificate of Tax Exemption, cannot access government lending programs, and cannot be endorsed by the CSEA to any agency.[1] **Third**, it protects your officers. When things go wrong in a non-compliant cooperative, the officers who failed to file bear personal liability – including fines they must pay from their own pockets.[2]

9.1.1 The Compliance Calendar: Annual Deadlines

Every cooperative registered in the Bangsamoro follows the same annual rhythm. The calendar below assumes your cooperative uses the **calendar year** (January 1 to December 31) as its fiscal year. If your bylaws specify a different fiscal year, adjust accordingly – but your CAPR and CAFS submission deadline remains **120 calendar days after the close of the calendar year**, regardless of your fiscal year.[3]

Month	Compliance Activity	Responsible Party
January	Close your books for the preceding fiscal year. Begin preparing financial statements.	Treasurer, Bookkeeper
February	Engage your external auditor (if required by asset size). Begin compiling CAPR data.	Board of Directors, Audit Committee
March	Hold your **Annual General Assembly** within 90 days of fiscal year end. Present the audit report, approve net surplus distribution, elect officers (if election year).	Board of Directors, General Manager
April 1-30	**Submission deadline.** File your CAPR and CAFS through the CSEA reporting system within 120 days after the close of the calendar year. Pay the COC fee of **PHP 100.00**.	Chairperson, Treasurer
May-June	Respond to any **Notice of Deficiency** within 15 calendar days of receipt. Correct and resubmit.	Chairperson, Accountant
July	If you have not filed or corrected deficiencies by June 30, expect a **Show Cause Order (SCO)**. Respond within 15 days of receipt.	Board of Directors
August-September	Remit 50% of the Cooperative Education and Training Fund (CETF) to your chosen federation or union. File the semi-annual Mediation and Conciliation report.	Treasurer, Education Committee
October-November		Secretary, Treasurer

Month	Compliance Activity	Responsible Party
	Update board member list with the CSEA if officers changed after the GA. Renew surety bonds before expiry.	
December	Review compliance status. Confirm your COC is current (valid until April 30 of the succeeding year). Plan for next year's audit engagement.	Audit Committee, Board of Directors

The critical date is April 30. Miss it, and the penalty clock starts at PHP 100 per day.[4] Miss it by 60 days, and you have accumulated PHP 6,000 in fines for your accountable officers. Miss it entirely, and your cooperative cannot receive a COC for that year – which means no tax exemption renewal, no government endorsements, and no proof of good standing.

9.1.2 Penalties for Non-Compliance

The law does not treat non-compliance as a minor inconvenience. It treats it as a failure of stewardship. The penalties escalate from fines to suspension to dissolution. Study the table below. Know where each violation falls.

Violation	Penalty	Legal Basis
Late submission of CAPR/CAFS	**PHP 100.00 per day of delay**, imposed on accountable officers personally	MC 2025-02, Sec. 10[5]
Non-submission of required reports	Notice of Non-Submission within 15 days of deadline; continued non-compliance triggers Show Cause Order (SCO)	MC 2025-02, Secs. 11, 13[6]
Reports with deficiency (incomplete or inaccurate)	Notice of Deficiency; 15-day compliance window; failure treated as non-submission with PHP 100/day penalty	MC 2025-02, Sec. 12[7]
Failure to comply with SCO	Revocation of authority to operate proceedings under Art. 53 of RA 9520	MC 2025-02, Sec. 13[8]
	Fine up to PHP 50,000 on the cooperative; ineligibility for	BTA Bill 210, Sec. 52[9]

Violation	Penalty	Legal Basis
Failure to submit mandatory documents (board list, GA minutes)	COC or COR until penalty is settled	
False or misleading reports	Imprisonment of 1-5 years or fine up to PHP 50,000, or both	BTA Bill 210, Book IV, Sec. 8(g)(ii)[10]
Hindering audit or examination	Imprisonment of 1-5 years or fine up to PHP 50,000, or both	BTA Bill 210, Book IV, Sec. 8(g)(v)[11]
Failure to operate for 2 consecutive years	Ground for dissolution	RA 9520, Art. 70[12]
Willful violation of the Code or bylaws	Ground for dissolution	RA 9520, Art. 70[13]

The personal liability rule. The PHP 100/day penalty does not fall on the cooperative's funds. It falls on the **accountable officers personally** – typically the Chairperson and Treasurer.[14] If the cooperative's COC is not issued because of non-submission, those officers are also **barred from continuing as officers** of any cooperative, **disqualified from election or appointment** in the cooperative for the next two consecutive years, and required to shoulder any tax penalties the BIR or BARMM revenue authorities impose because the cooperative lost its tax-exempt status.[15]

That last point deserves emphasis. When your cooperative loses its COC, it loses its pathway to a Certificate of Tax Exemption. When it loses its CTE, every transaction that was previously tax-free becomes taxable. The back taxes, interest, and penalties the BIR assesses do not fall on the cooperative's general fund. They fall on the officers who caused the non-compliance.

9.2 The Cooperative Annual Performance Report (CAPR)

The **Cooperative Annual Performance Report (CAPR)** is your cooperative's annual self-portrait. It tells the CSEA who you are, what you did during the year, how many members you have, who leads you, and what financial transactions you conducted. Every cooperative – regardless of type, size, or category – must file a CAPR.[16]

9.2.1 What the CAPR Contains

The CAPR has six modules. Each module covers a different dimension of your cooperative's life. Here is what each contains and why the CSEA requires it.

Module 1: General Information. Your cooperative's name, registration number, date of registration, principal office address, contact details, type (primary, federation, union), category (credit, multi-purpose, marketing, service, producer, consumer, etc.), and area of operation. This module verifies that your cooperative's profile on record is current.

Module 2: Business Activities. The types of operations your cooperative conducted during the year. Revenue sources. Services offered to members and non-members. Transaction volumes. This module shows whether your cooperative is actually operating and generating economic activity for its members.

Module 3: Membership. Total number of members by type (regular and associate). New members admitted during the year. Members who resigned, were terminated, or died. The breakdown of active versus inactive members. Male versus female membership count. This module reveals your cooperative's growth trajectory and demographic composition.

Module 4: Officers. Current members of the Board of Directors, committee members (audit, election, mediation and conciliation, ethics), the General Manager or CEO, the Treasurer, and the Secretary. For each officer, the CAPR records whether they have completed their **mandatory training** within the first half of their term.[17] Non-compliance with training requirements is a ground for COC non-issuance.

Module 5: Transactions and Finances. Deposit liabilities (for credit and multi-purpose cooperatives handling savings). Loans outstanding – broken down by member loans and institutional borrowings. Taxes paid during the year. This module cross-references with your audited financial statements.

Module 6: Other Information. Type-specific data depending on your cooperative's classification. Community development activities conducted using your CDF. Awards or recognitions received. Socio-civic programs. This module captures what your cooperative is doing beyond its core business.

9.2.2 Step-by-Step Guide to Preparing Your CAPR

Do not wait until April to start preparing your CAPR. Start in January, immediately after your fiscal year closes. Here is the step-by-step process.

Step 1: Assign a CAPR preparation team. Designate the Treasurer, Secretary, and Bookkeeper (or Accountant) as the core team. The Audit Committee Chair should review the final submission before filing. Do not leave CAPR preparation to one person. It requires data from multiple sources.

Step 2: Gather your raw data.

Data Needed	Source Document
Registration details	Certificate of Registration, Articles of Cooperation
Business activity data	Monthly/quarterly operations reports, sales records
Membership data	Membership register, admission and termination records
Officer data	Minutes of election GA, appointment records, training certificates
Financial data	General ledger, subsidiary ledgers, trial balance
Community activities	CDF utilization reports, project documentation

Step 3: Reconcile your membership register. Before reporting membership numbers, reconcile your register. Cross-check admissions against application forms and board resolutions. Cross-check terminations against resignation letters or board termination resolutions. Count only members who are actually on your register as of December 31.

Step 4: Verify officer training compliance. For every director and committee member, confirm whether they completed the required training. Collect copies of training certificates from accredited providers. If any officer has not completed training, note this – and arrange for training before filing the CAPR, if possible.

Step 5: Complete each CAPR module. Work through the six modules sequentially. Enter data directly into the CSEA's online reporting system. If you are a primary micro cooperative, use the prescribed Google Form on the CDA website.[18] For all other cooperatives, use the **Cooperative Assessment Information System (CAIS)** at https://cs.cda.gov.ph/cais/ or the CSEA's successor reporting platform.[19]

Step 6: Attach required documents. The CAPR is not complete without its attachments. You must include:

- **Audited Financial Statements** (eight components – see Section 9.3)
- **List of Officers and Mandatory Training Undertaken/Completed**
- **Social Audit Report** with your program of activities for socio-civic goals
- **Performance Audit Report**
- **Semi-annual Report on Mediation and Conciliation**
- **Annual Tax Incentive Report (ATIR) and Annual Benefits Report (ABR)** – only if your cooperative holds a Certificate of Tax Exemption[20]
- **Sworn Statement** of officers affirming adherence to RA 9520 and applicable CDA/CSEA memorandum circulars[21]

Step 7: Validate and submit. Review every field. Validate data entry for consistency – membership numbers in Module 3 should match the totals implied by your financial statements. Submit electronically. Print the acknowledgment receipt and file it.

Step 8: Submit hard copies. Upload your Audited Financial Statements as a PDF through the reporting system. If the system requires hard copies, submit them to the nearest CSEA Extension Office. Keep your own copy with the acknowledgment stamp.

Step 9: Pay the COC fee. The fee is **PHP 100.00**.[22] Pay it at the time of submission.

Common CAPR mistakes to avoid:

- **Leaving modules blank.** A blank module is treated as an incomplete submission. The CSEA will issue a Notice of Deficiency.
- **Mismatched membership numbers.** If your CAPR says 150 members but your financial statements show patronage refunds distributed to 180 members, the CSEA will flag the discrepancy.
- **Missing training certificates.** "Training in progress" is not the same as "training completed." If your directors have not finished their mandatory training, report it honestly. Falsifying training compliance is worse than reporting non-compliance.
- **Filing the CAPR without the CAFS.** Both must be submitted together. A CAPR without audited financial statements is incomplete.

9.3 The Cooperative Annual Financial Statement (CAFS)

Your CAFS is your cooperative's financial truth. It tells members, regulators, and creditors exactly where your money went during the year. The CAFS must be audited according to **generally accepted auditing standards for cooperatives** as jointly promulgated by the Philippine Institute of Certified Public Accountants (PICPA) and the CDA/CSEA.[23]

9.3.1 Auditing Standards for Cooperatives

The type of audit your cooperative requires depends on your **total asset size**. The law sets a three-tier system.

Asset Size	Audit Requirement	Who Conducts It
Below PHP 3 million	Internal audit acceptable	Audit Committee
PHP 3 million to PHP 15 million	CPA-signed financial statements	A Certified Public Accountant
Above PHP 15 million	External audit by CDA/CSEA-accredited auditor	An independent external auditor accredited by the CSEA

All cooperatives, regardless of asset size, are subject to three types of audit every year:[24]

1. **Financial audit.** Examines your books and financial statements for accuracy and conformity with generally accepted accounting practices. This is the audit that produces your CAFS.
2. **Performance audit.** Evaluates the efficiency and effectiveness of your cooperative's management, officers, and responsibility centers. It assesses whether your cooperative is achieving its operational objectives. It examines whether the required governance documents are maintained.[25]
3. **Social audit.** Assesses your cooperative's social impact and ethical performance against its stated mission, vision, goals, and code of social responsibility. The social audit must be conducted by an independent social auditor accredited by the CSEA.[26]

Your CAFS must contain eight components. These are not optional. A CAFS missing any component will trigger a Notice of Deficiency.

No.	Component	Purpose
1	**Statement of Management Responsibility**	Signed by the Chairperson and Treasurer. Affirms that management is responsible for the financial statements.
2	**Auditor's Report/Opinion**	The external auditor's professional opinion on whether the financial statements present a true and fair view.
3	**Statement of Representation**	Management represents that all information provided to the auditor is complete and accurate.
4	**Statement of Financial Condition**	Your cooperative's balance sheet – assets, liabilities, and members' equity as of the fiscal year end.
5	**Statement of Operation**	Your income statement – revenues, cost of services/ goods, expenses, and net surplus (or deficit) for the year.
6	**Statement of Changes in Equity**	Tracks how members' equity moved during the year – capital contributions, net surplus allocation, withdrawals.
7	**Statement of Cash Flows**	Shows cash inflows and outflows from operating, investing, and financing activities.
8	**Notes to Financial Statements**	Explains accounting policies, significant judgments, and additional disclosures required by auditing standards.

Special rule for unions of cooperatives. If your cooperative is a union (not a primary or federation), replace the Statement of Operation with a **Statement of Receipts and Disbursements**, and replace the Statement of Changes in Equity with a **Statement of Changes in Fund Balance**.[27]

Special rule for newly registered cooperatives. If your cooperative has been operating for less than one year from the date of registration as of December 31 of the preceding year, you submit a simplified CAFS: a **Statement of Financial Condition** and a **Statement of Operation**, signed by the Audit Committee and the Chairperson. No external audit is required for your first filing.[28]

9.3.2 Working with Your External Auditor

If your cooperative's assets exceed PHP 15 million, you must engage an external auditor who is:

- **Independent** of your cooperative (no financial interest, no familial relationship with officers)[29]
- **A member in good standing of PICPA**
- **Accredited by both the Board of Accountancy and the CSEA**[30]

Engage your auditor early. Do not wait until March. Contact accredited auditors in December or January. In BARMM, CDA/CSEA-accredited auditors are limited in number. If you wait, you may not find one available before the April 30 deadline. Late engagement of an auditor is the single most common reason cooperatives file late.

Prepare for the audit. Before the auditor arrives, your bookkeeper or accountant should:

- Complete all journal entries for the year
- Prepare a trial balance
- Reconcile bank statements with your general ledger
- Prepare subsidiary schedules for loans receivable, savings deposits, and other major accounts
- Organize supporting documents (official receipts, vouchers, contracts, board resolutions authorizing major transactions)

Review the audit report before submission. The auditor submits the report to the Board of Directors and the Audit Committee first.[31] The Board then presents the complete audit report to the General Assembly. Do not submit the CAFS to the CSEA until the General Assembly has received the report. If your GA is scheduled after the April 30 deadline, coordinate with the CSEA Extension Office on the proper sequencing.

Keep the auditor's management letter. Every external audit produces a management letter – a list of findings, weaknesses, and recommendations the auditor identified during the audit. This letter is not submitted to the CSEA, but your board must act on it. Recurring management letter findings that remain unaddressed year after year will eventually appear in your performance audit and affect your COC issuance.

9.4 The Certificate of Compliance (COC)

The **Certificate of Compliance (COC)** is the CSEA's official certification that your cooperative has met all its statutory obligations for the year.[32] Think of it as your cooperative's annual health certificate. Without it, you are operating in a regulatory gray zone.

9.4.1 Requirements for Issuance

To receive a COC, your cooperative must submit all of the following:[33]

No.	Requirement	Details
1	**CAPR with all attachments**	Complete, accurate, and submitted electronically
2	**Audited Financial Statements**	Eight components, audited per asset-tier requirements
3	**ATIR and ABR**	Required only if your cooperative holds a Certificate of Tax Exemption
4	**Sworn Statement**	Officers affirm adherence to RA 9520 and applicable CDA/CSEA memorandum circulars
5	**COC fee of PHP 100.00**	Paid at the time of submission
6	**List of Officers and Mandatory Training**	Must show training completion status for all directors and committee members
7	**Social Audit Report**	With program of activities for socio-civic goals
8	**Performance Audit Report**	Governance and management audit
9	**Semi-annual Report on Mediation and Conciliation**	Covers dispute resolution activities

For newly registered cooperatives, the initial COC is **automatically issued together with the Certificate of Registration**. It is valid until April 30 of the immediately succeeding year. For the following year, you submit a simplified package: CAPR with Financial Status Reports (Statement of Financial Condition and Statement of Operation), the Sworn Statement, and the PHP 100 fee.[34]

COC validity. Your COC is valid **until April 30 of the succeeding year**, unless earlier suspended or revoked for cause.[35] Starting in 2026, cooperatives will receive an email notification that their COC is available for printing as an **e-certificate of compliance**.[36]

What the COC unlocks. Your COC is required for:

- Securing a **Certificate of Tax Exemption (CTE)** from the BIR
- Availing of incentives and privileges under Articles 60 and 61 of RA 9520[37]
- Accessing **local tax exemption privileges** under the Local Government Code[38]
- Accreditation as a **CDA/CSEA training provider**
- Proof of good standing in **bank loan applications**
- Participation in **government programs and partnerships**
- Any other legitimate purpose requiring proof of regulatory compliance

9.4.2 COC Submission Package

Submit these **six documents together** as a single package. A missing document makes the entire submission incomplete.[68]

Document	Prepared By	Regulatory Basis
CAPR (Cooperative Annual Progress Report)	Staff	MC 2025-02
Audited Financial Statements	External CPA + Staff	RA 9520, Art. 80
Performance Audit Report (PAR)	Staff + Officers	MC 2021-04
List of Officers and Training Completed	Secretary/Staff	MC 2025-09
Social Audit Report	Officers/Staff	MC 2025-02
Sworn Statement of Officers	Board	MC 2025-02

Assign a document owner for each item before January. Do not compile at the last minute.

9.4.3 PAR Scoring Framework

Your **Performance Audit Report (PAR)** uses a two-component scoring system under MC 2021-04.[69] The combined score determines whether your cooperative qualifies for COC issuance.

Component	Weight	What It Measures
GMR (Governance Management Review)	**40%** of total PAR score	Presence and quality of required governance documents, board processes, and management systems
STEPS (Financial Performance)	**60%** of total PAR score	Five financial ratios: **S**tability, **T**urn-Over, **E**fficiency, **P**rofitability, **S**tructure of Assets

A low PAR score does not just affect your report — it blocks your COC. Strengthen governance records and financial ratios throughout the year, not only at audit time.[70]

9.4.4 What Happens If You Lose Your COC

Losing your COC means more than losing a piece of paper. It triggers a cascade of consequences for both the cooperative and its officers.

Thirteen grounds for non-issuance. The CSEA will refuse to issue your COC for any of the following reasons:[39]

1. Non-submission of required reports
2. Significant discrepancies between online-encoded reports and uploaded PDF copies of your AFS
3. Non-payment of monetary penalties for late or non-submission (except micro cooperatives)
4. Non-settlement of monetary and non-monetary obligations to the CSEA (e.g., unliquidated grants or loans)
5. Willful failure to comply with mandatory officer training requirements
6. Two or more sets of Board of Directors claiming to be the legitimate officers (subject of a verified complaint)
7. The cooperative has been issued a Show Cause Order (SCO)

8. The cooperative is undergoing dissolution proceedings
9. The cooperative has been issued a Cease-and-Desist Order (CDO)
10. A previous COC was suspended or revoked and the grounds have not been addressed
11. Non-compliance with an order or directive to comply with examination or investigation findings
12. Failure to comply with statutory fund guidelines (Reserve Fund, CETF, CDF) as identified in an inspection
13. Officers found to have violated conflict-of-interest provisions under Articles 45, 48, and 49 of RA 9520 or CDA MC No. 2024-16

Eight grounds for suspension. Even after your COC is issued, it can be suspended if:[40]

1. Two or more sets of BOD claim legitimacy (verified complaint filed with the CSEA and a court)
2. The cooperative is issued a Show Cause Order
3. The cooperative is issued an Order to Comply based on examination findings and fails to comply
4. The cooperative is issued a Cease-and-Desist Order
5. Non-compliance with an undertaking to settle obligations
6. Failure to address material findings in your AFS within the prescribed period
7. Failure to comply with CSEA issuances
8. Officers found to have violated conflict-of-interest provisions

Automatic revocation. Your COC is automatically revoked if the cooperative is issued an Order of Dissolution, its Certificate of Registration is revoked or cancelled, or a competent court orders its dissolution.[41]

Consequences for the cooperative:

- No certification of any nature will be issued endorsing your cooperative for privileges, benefits, or programs from the CSEA or any government agency[42]
- Your tax exemption privileges and CTE renewal will be **adversely affected**

Consequences for accountable officers:[43]

Consequence	Details
Barred from continuing as officers of any primary cooperative	Immediate effect

Consequence	Details
Barred from continuing as officers of any secondary or tertiary cooperative	Immediate effect
Disqualified from election or appointment in the cooperative	For the next **two consecutive years**
Barred from continuing as officers of Cooperative Development Councils, regional cooperative organizations, and other cooperative bodies	Immediate effect
Personal liability for PHP 100/day penalty	For non-issuance caused by non-submission
Personal liability for tax and other penalties	Imposed by BIR and other agencies due to loss of tax-exempt status

The reinstatement path. If your COC was suspended, you have **10 calendar days** from receipt of the Order of Suspension to submit your response with proof of compliance. If the CSEA finds your response satisfactory, it issues an Order Lifting the Suspension. If not, it issues an Order of Revocation.[44]

Bangsamoro reality check. In many BARMM communities, cooperative officers are volunteers – farmers, fishers, teachers – who juggle cooperative duties with their livelihoods. The compliance burden can feel overwhelming. But the alternative is worse. A cooperative without a COC is invisible to every government program designed to help cooperatives. The BARMM Government's livelihood programs, the MAFAR agricultural inputs, the MTIT market linkages, the MSSD social protection – all of these prioritize compliant cooperatives. Non-compliance does not just risk penalties. It locks your members out of opportunities.

9.5 Statutory Fund Compliance

Every cooperative that earns a net surplus must allocate that surplus according to a specific order prescribed by law. You cannot distribute everything to members. The law requires you to set aside portions for three **mandatory funds** and permits one **optional fund** before any distribution to members.[45]

9.5.1 Minimum Allocations to Reserve, Education, Community Development, and Optional Funds

Study this table. It governs every peso of your net surplus.

Fund	Minimum Allocation	First 5 Years Rule	Purpose
Reserve Fund	At least **10%** of net surplus	At least **50%** of net surplus during the first 5 years after registration	Stability of the cooperative; cover net losses in operations
Education and Training Fund (ETF/CETF)	Up to **10%** of net surplus	Same rate applies	Training, development, and cooperative education activities
Community Development Fund (CDF)	At least **3%** of net surplus	Same rate applies	Projects and activities benefiting the community where the cooperative operates
Optional Fund (land and building, or any other necessary fund)	Up to **7%** of net surplus	Same rate applies	As defined by the bylaws
Remaining net surplus	After all fund allocations	After all fund allocations	Interest on share capital (not exceeding normal rate of return) and patronage refunds to members

The first-five-years trap. During your cooperative's first five years after registration, the Reserve Fund must receive **not less than 50 percent** of net surplus.[46] This is not optional. Many new cooperatives in BARMM distribute surplus to members prematurely, violating this rule. If the CSEA inspects your fund allocations and finds that you allocated only 10% to the Reserve Fund in year three, you have a compliance violation.

Reserve Fund rules in detail:[47]

- **Allowed use:** Cover operating losses. Provide for stability.
- **Prohibited use:** Distribution to members. Ever. Even upon dissolution, the Reserve Fund does not go to members.[48]
- **Investment restriction:** Cannot be invested except as allowed by the Code. Excess over share capital may be used for expansion projects – but only upon General Assembly resolution.
- **Upon dissolution:** The GA may resolve to establish a usufructuary trust fund for the benefit of a federation or union, or to donate the amount to the community. If members cannot decide, the Reserve Fund goes to the federation or union the cooperative is affiliated with.

Education and Training Fund (ETF/CETF) rules:[49]

- **50/50 split.** Half of the ETF must be spent by the cooperative itself on education and training. The other half may be remitted to a federation or union chosen by the cooperative.
- **The federation accountability.** Any federation or union receiving CETF contributions must submit to the CSEA and to contributing cooperatives: (a) a list of cooperatives that remitted CETF, (b) business consultancy assistance provided with nature and cost, and (c) other training activities with participants and costs.
- **Upon dissolution.** The unexpended balance goes to the CETF of the chosen federation or union.

Community Development Fund (CDF) rules:[50]

- **Allowed use:** Community projects, social responsibility programs, local development initiatives.
- **Prohibited use:** Member-exclusive benefits. Political activities. The CDF is for the **community**, not for the membership roster.
- **Bangsamoro application.** A consumer cooperative in Marawi allocates 5% of net surplus to its CDF. It uses the fund to sponsor a community clean-up drive, donate school supplies to a public elementary school, and support a barangay health outreach. None of these activities require the beneficiaries to be cooperative members.

Optional Fund rules:[51]

- The total of all optional funds (land and building, technology, calamity, or any other fund your bylaws create) shall not exceed **7 percent** of net surplus.

- The specific optional funds your cooperative creates must be defined in your bylaws and approved by the General Assembly.

9.5.2 Documentation and Reporting Requirements

The CSEA does not take your word for it. Inspectors verify your fund allocations annually. Here is what you must document and how.

For the Reserve Fund:

- Board resolution approving the net surplus allocation (specifying the exact peso amount and percentage allocated to each fund)
- General Assembly resolution approving the distribution of net surplus
- General ledger entries showing the allocation posted to the Reserve Fund account
- If any Reserve Fund amount was used to cover losses: GA resolution authorizing the charge, with the specific loss amount identified

For the ETF/CETF:

- Board resolution or GA resolution approving the ETF allocation
- Records of how the cooperative's 50% share was spent: training attendance records, training certificates, invoices from accredited providers, photos and documentation of educational activities
- Remittance records for the 50% share sent to the federation/union: official receipts, bank transfer confirmations
- The federation/union's accountability report showing how contributed CETF funds were used

For the CDF:

- Board resolution or GA resolution approving the CDF allocation and the specific community projects to be funded
- Project documentation: activity reports, photos, beneficiary lists, receipts, and community acknowledgments
- A clear paper trail showing that CDF funds went to **community** projects, not member-exclusive benefits

For Optional Funds:

- Bylaws provision creating the optional fund
- GA resolution approving the allocation
- Utilization records consistent with the fund's stated purpose

The audit trail matters. During annual audits, the external auditor (or audit committee, for smaller cooperatives) verifies that statutory fund allocations match the GA-approved distribution. During CSEA inspections, field officers check the same documents. Any mismatch – such as a GA resolution allocating 10% to the Reserve Fund but the ledger showing only 7% posted – will result in a finding and potential COC non-issuance.[52]

9.6 Tax Treatment and Exemptions

One of the most powerful benefits of being a registered cooperative is **tax exemption**. But this benefit is not automatic, not permanent, and not unconditional. Your cooperative must earn and maintain its tax-exempt status through continuous compliance. Lose your COC, and you lose the gateway to tax exemption.

9.6.1 Tax Exemptions Under RA 9520 and BTA Bill 210

The tax treatment of cooperatives depends on two factors: **(1) whether your cooperative transacts with non-members**, and **(2) the size of your accumulated reserves and undivided net savings.**

Category 1: Cooperatives that transact only with members (no non-member business).[53]

These cooperatives enjoy the broadest protection. Under both RA 9520 and BTA Bill 210, a duly registered cooperative that does not transact any business with non-members or the general public **shall not be subject to any taxes and fees** imposed under internal revenue laws and other tax laws. Full exemption. No conditions on reserve size.

Category 2: Cooperatives that transact with both members and non-members.[54]

These cooperatives receive partial protection. Transactions with members remain tax-free – including final taxes on members' deposits and documentary tax. For non-member transactions, the exemption depends on your reserve and net savings size.

Reserve/Net Savings Level	Tax Treatment
PHP 10 million or below	Exempt from **all** national, city, provincial, municipal, and barangay taxes of whatever name and nature. Also exempt from customs duties on imported equipment not locally available (as certified by DTI or MTIT).
Above PHP 10 million	Must pay **income tax** on the amount allocated for interest on capitals. Must pay **VAT** on transactions with non-members (subject to exceptions). Must pay all other applicable taxes.

VAT exemption for cooperatives. Even cooperatives with reserves above PHP 10 million may be exempt from VAT on non-member transactions if they are duly registered with the CSEA and at least 25% of net income is returned to members as interest and/or patronage refunds.[55] The exemption covers cooperatives organized to produce, process, and market raw materials or finished products from members' production.

Universal local tax exemption. All cooperatives, regardless of reserve size, are exempt from **local taxes** and taxes on transactions with banks and insurance companies.[56] This is a powerful provision. It means your cooperative does not pay business permits fees, mayor's permits, or other local government charges. However, sales or services to non-members may still be subject to applicable percentage taxes (except for producers, marketing, and service cooperatives).

BTA Bill 210 enhancements. The proposed Bangsamoro Cooperative and Social Enterprise Code mirrors RA 9520's tax provisions but adds a Bangsamoro-specific dimension. It references both the national Internal Revenue Code and the **BARMM Revenue Code** when defining VAT obligations, signaling that cooperatives in the Bangsamoro will interface with both national and regional revenue frameworks.[57]

Additional exemptions and privileges:[58]

- **Free notarial services** in areas without available notaries public (for cooperative documents up to PHP 500,000)
- **Free registration of deeds** for cooperative loan instruments up to PHP 250,000
- **Exempt from court and sheriff's fees** for actions brought under the Cooperative Code
- **Exempt from appeal bonds** (CSEA certification of net assets accepted in lieu of bond)
- **Securities exemption** – cooperative shares are exempt from the Securities Act (if non-speculative)

9.6.2 When Cooperatives Lose Tax-Exempt Status

Tax exemption is a privilege that you must actively maintain. Here are the ways cooperatives lose it.

Loss of COC. Without a current COC, you cannot secure or renew a Certificate of Tax Exemption. The CTE expires, and your cooperative becomes fully taxable on all transactions.[59]

Excessive non-member transactions. If your cooperative's non-member transactions grow disproportionately large relative to member transactions, you risk being treated as a regular business entity for tax purposes. The BIR examines the ratio of member to non-member business. No hard statutory threshold exists, but a cooperative whose non-member revenue dwarfs its member revenue invites scrutiny.

Tax-free imports sold within five years. If your cooperative imported machinery or equipment duty-free and sells or transfers it within five years, both the cooperative and the transferee become **solidarily liable** to pay **twice the amount** of the original tax and duties.[60] This is not a fine. It is double the original tax bill, paid jointly.

Failure to return 25% of net income. The VAT exemption for cooperatives with reserves above PHP 10 million requires that at least 25% of net income be returned to members as interest and/or patronage refunds.[61] If your cooperative retains more than 75% of net income without distributing it, the VAT exemption may be challenged.

False claims of tax exemption. Any person who willfully attempts to evade or defeat tax by misusing the cooperative tax exemption provisions faces imprisonment of 2-4 years and a fine of PHP 30,000 to PHP 100,000.[62] Government officials who deprive cooperatives of their legitimate tax exemptions face the same penalty range, plus disqualification from public office.[63]

9.6.3 Filing Requirements with BIR and BARMM Revenue Authorities

Even if your cooperative is fully tax-exempt, you still have filing obligations. Tax exemption does not mean tax invisibility.

Certificate of Tax Exemption (CTE). You must apply for and secure a CTE from the BIR. The CTE is valid for **five years** from the date of issue.[64] To apply, you need:

- Your current Certificate of Registration from the CSEA
- Your current Certificate of Compliance
- Your latest Audited Financial Statements
- Your Articles of Cooperation and Bylaws
- Board resolution authorizing the application

Annual Tax Incentive Report (ATIR) and Annual Benefits Report (ABR). If your cooperative holds a CTE, you must file these reports annually as part of your CAPR submission. The ATIR documents the tax incentives your cooperative claimed during the year. The ABR reports the benefits your cooperative provided to members and the community. Failure to file these reports is a ground for COC non-issuance.[65]

BIR registration and reporting. Even tax-exempt cooperatives must:

- Register with the BIR and secure a Taxpayer Identification Number (TIN)
- File annual information returns
- Issue BIR-registered official receipts and invoices for transactions with non-members
- Withhold taxes on employee compensation and remit them to the BIR (your tax exemption does not cover employee withholding taxes)
- Allow BIR examination of books upon prior authorization by the CSEA[66]

BARMM Revenue Code considerations. BTA Bill 210 explicitly references the BARMM Revenue Code alongside the national Internal Revenue Code when defining cooperative tax obligations.[67] As the Bangsamoro revenue system matures, your cooperative will need to monitor both national BIR requirements and any regional revenue issuances from BARMM fiscal authorities. Keep in contact with your CSEA Extension Office for updates on regional tax compliance requirements.

Practical guidance for BARMM cooperatives:

1. **Apply for your CTE immediately after registration.** Do not wait. The CTE clock starts from the date of issue, not from registration.
2. **File your ATIR and ABR every year.** Even if you claimed no tax incentives, file a nil report. Non-filing is a ground for COC non-issuance.
3. **Keep your BIR registration current.** Update your registered address and authorized representatives whenever they change.
4. **Maintain a separate file for tax documents.** Official receipts issued, withholding tax remittances, BIR correspondence, CTE copy, annual returns – all in one folder, organized by year.
5. **Consult a CPA for non-member transactions.** If your cooperative regularly transacts with non-members, engage a CPA to determine your exact tax obligations. The line between taxable and exempt transactions can be complicated, especially for multi-purpose cooperatives.

Chapter Summary

Compliance is not a one-time event. It is a year-round discipline that protects your members, your officers, and your cooperative's legal standing. Here is what you must remember:

File by April 30. Your CAPR and CAFS are due within 120 days after the close of the calendar year. Late filing costs PHP 100 per day, personally charged to accountable officers.

Prepare all eight CAFS components. A financial statement missing the Statement of Management Responsibility or the Notes to Financial Statements is incomplete. The CSEA will issue a deficiency notice.

Allocate your net surplus correctly. Reserve Fund (10% minimum; 50% in the first five years), ETF (up to 10%), CDF (at least 3%), Optional Fund (up to 7%). Document every allocation with board and GA resolutions.

Secure and maintain your COC. It is valid until April 30 of the succeeding year. Without it, you cannot access tax exemptions, government programs, or bank financing.

Protect your tax exemption. Apply for a CTE, file your ATIR and ABR annually, and monitor both BIR and BARMM revenue requirements. Tax exemption is a privilege you must earn every year.

Guard your officers. Non-compliance penalties fall on officers personally – fines, disqualification, and liability for back taxes. The best way to protect the people who volunteer their time to lead your cooperative is to keep the cooperative compliant.

The 88.34 percent of BARMM cooperatives that are non-compliant did not plan to be non-compliant. They just let one deadline slip, then another, until the gap became too wide to close. Do not join them. Start your compliance calendar in January. File early. File completely. And keep your cooperative's vital signs strong.

Footnotes

1. CDA Memorandum Circular No. 2025-02 (MC 2025-02), Section 6 – Purposes of a Certificate of Compliance. The COC is required to secure a CTE, avail of incentives under Articles 60 and 61 of RA 9520, access local tax exemption privileges under RA 7160, and qualify for accreditation as a CDA training provider. ↩
2. MC 2025-02, Section 23(B) – Effects of Non-Issuance, Suspension or Revocation of COC to Accountable Officers. Officers shoulder payment of PHP 100/day fine and any tax penalties imposed by BIR or other agencies. ↩
3. MC 2025-02, Section 8 – Submission by Cooperatives Using Fiscal Year Other Than Calendar Year. Reports must be submitted within 120 calendar days from the end of the calendar year, regardless of the cooperative's fiscal year. ↩
4. MC 2025-02, Section 10 – Period for Submission and Penalty for Late Submission. The deadline is 120 days after the close of the calendar year. The penalty is PHP 100.00 per day of delay, imposed on accountable officers. ↩
5. MC 2025-02, Section 10. ↩
6. MC 2025-02, Sections 11 and 13. Section 11 requires the CSEA to send a Notice of Non-Submission within 15 days of the deadline's expiration. Section 13 provides for the issuance of a Show Cause Order if non-compliance continues through June 30. ↩
7. MC 2025-02, Section 12. Deficient reports must be corrected within 15 calendar days of the Notice of Deficiency. Non-compliance after the 15-day window triggers the PHP 100/day penalty. ↩
8. MC 2025-02, Section 13. If no compliance occurs after the SCO, the CDA/CSEA commences proceedings for revocation of authority to operate per Article 53 of RA 9520. ↩
9. BTA Bill No. 210 (Bangsamoro Cooperative and Social Enterprise Code), Section 52. Mandatory submissions include: list of board members (within 30 days after annual GA), minutes of all general meetings (within 30 days after the meeting date), and other information as required. ↩
10. BTA Bill No. 210, Book IV, Chapter II, Section 8(g). Providing false or misleading information to the CSEA is punishable by 1-5 years imprisonment or a fine not exceeding PHP 50,000, or both. ↩
11. BTA Bill No. 210, Book IV, Chapter II, Section 8(g)(v). Hindering an authorized person from conducting an inspection, audit, examination, or investigation is punishable under the same penalty range. ↩
12. Republic Act No. 9520 (Philippine Cooperative Code of 2008), Article 70 – Grounds for Dissolution. Failure to operate for two consecutive years is a ground for dissolution. ↩
13. RA 9520, Article 70. ↩
14. MC 2025-02, Section 10. The penalty is imposed on "accountable officers" of the cooperative. ↩
15. MC 2025-02, Section 23(B). Accountable officers face six specific consequences: barred from continuing as officers of primary cooperatives, barred from secondary/tertiary cooperative officership, disqualified from election/appointment for two years, barred from cooperative organizations, personal liability for daily fines, and personal liability for tax penalties. ↩
16. MC 2025-02, Section 7 – Requirements for the Issuance of Certificate of Compliance. The CAPR is the first requirement listed for all cooperative types. ↩
17. CDA MC No. 2015-09 (Mandatory Training for Cooperative Officers). Officers must complete required training within the first half of their term. ↩
18. MC 2025-02, Section 9(A). Primary micro cooperatives submit through the prescribed Google Form on the CDA website's Online Services tab. ↩

19. MC 2025-02, Section 9. For CY 2025 reports onward, all requirements shall be submitted through the Authority's new Reporting System, with AFS uploaded upon submission. ↩
20. MC 2025-02, Section 7.1, Item 2. ATIR and ABR are required only for cooperatives issued with a Certificate of Tax Exemption. ↩
21. MC 2025-02, Section 7.1, Item 3. The Sworn Statement affirms adherence to RA 9520 and CDA MC 2024-16 (conflict of interest provisions). ↩
22. MC 2025-02, Section 7.1, Item 4. ↩
23. BTA Bill No. 210, Section 73; RA 9520, Article 81. The audit report must conform to generally accepted auditing standards for cooperatives as jointly promulgated by PICPA and the CDA/CSEA. ↩
24. BTA Bill No. 210, Section 72; RA 9520, Article 80. Three types of annual audit: financial, performance, and social. ↩
25. BTA Bill No. 210, Section 1(r) (definition of Governance and Management Audit). Refers to the process of auditing efficiency and effectiveness by determining the presence of required operational and management documents. ↩
26. BTA Bill No. 210, Section 72; RA 9520, Article 80. The social audit must be conducted by an independent social auditor accredited by the Authority. ↩
27. MC 2025-02, Section 7.3 – CAPR Attachments for Unions. Unions submit a Statement of Receipts and Disbursements and a Statement of Changes in Fund Balance instead of the standard Statement of Operation and Statement of Changes in Equity. ↩
28. MC 2025-02, Section 7.4 – For Newly Registered Cooperatives. The initial COC is automatically issued with the COR. For the immediately succeeding year, simplified financial status reports signed by the Audit Committee and Chairperson are sufficient. ↩
29. BTA Bill No. 210, Section 72(a); RA 9520, Article 80(1). The external auditor must be independent of the cooperative or any subsidiary being audited. ↩
30. BTA Bill No. 210, Section 72(b); RA 9520, Article 80(2). The auditor must be a PICPA member in good standing and accredited by both the Board of Accountancy and the Authority. ↩
31. BTA Bill No. 210, Section 73; RA 9520, Article 81. The auditor submits the report to the Board of Directors and Audit Committee, after which the Board presents it to the General Assembly. ↩
32. MC 2025-02, Section 5 – Definition of Terms. The COC is the certificate issued to the cooperative after complying with the rules and regulations being implemented by the Authority. ↩
33. MC 2025-02, Section 7.1. ↩
34. MC 2025-02, Section 7.4. ↩
35. MC 2025-02, Section 15. COC is valid until April 30 of the succeeding year unless earlier suspended or revoked for cause. ↩
36. MC 2025-02, Section 15(B). For CY 2026 COC onward, the cooperative receives email notification and can print the e-certificate. ↩
37. RA 9520, Articles 60-61 – Tax Treatment and Tax Exemptions for cooperatives. ↩
38. MC 2025-02, Section 6(3) – referencing RA 7160 (Local Government Code). ↩
39. MC 2025-02, Section 17 – Grounds for Non-Issuance of COC. Thirteen enumerated grounds. ↩
40. MC 2025-02, Section 18 – Grounds for Suspension of COC. Eight enumerated grounds. ↩
41. MC 2025-02, Section 21 – Automatic Revocation of COC. Three grounds: Order of Dissolution, revocation/cancellation of COR, or court-ordered dissolution. ↩
42. MC 2025-02, Section 23(A) – Effects on the cooperative. No certifications of any nature will be issued, and tax exemption privileges will be adversely affected. ↩
43. MC 2025-02, Section 23(B). Six enumerated consequences for accountable officers. ↩
44. MC 2025-02, Section 19 – Procedures in Suspension and Eventual Revocation. The cooperative has 10 calendar days from receipt of the Order of Suspension to respond. ↩
45. BTA Bill No. 210, Section 78; RA 9520, Article 86 (renumbered). The order of distribution is mandatory. ↩

46. BTA Bill No. 210, Section 78(a); RA 9520, Article 86(1). During the first five years after registration, the Reserve Fund allocation must be not less than 50% of net surplus. ↩
47. BTA Bill No. 210, Section 78(a)(1-3); RA 9520, Article 86(1)(a-c). ↩
48. BTA Bill No. 210, Section 78(a)(3); RA 9520, Article 86(1)(c). Upon dissolution, the Reserve Fund shall not be distributed among members. ↩
49. BTA Bill No. 210, Section 78(b); RA 9520, Article 86(2). The ETF allocation is up to 10% of net surplus, split 50/50 between the cooperative's own education activities and remittance to a federation or union. ↩
50. BTA Bill No. 210, Section 78(c); RA 9520, Article 86(3). The CDF must be at least 3% of net surplus and used for community benefit. ↩
51. BTA Bill No. 210, Section 78(d); RA 9520, Article 86(4). Optional funds shall not exceed 7% of net surplus in total. ↩
52. MC 2025-02, Section 17(12). Failure to comply with statutory fund guidelines (SCA, PFRF, CETF, CDF) as a result of inspection is a ground for COC non-issuance. ↩
53. BTA Bill No. 210, Section 58(1); RA 9520, Article 60. ↩
54. BTA Bill No. 210, Section 58(2-3); RA 9520, Article 61. ↩
55. BTA Bill No. 210, Section 58(3)(iii); RA 9520, Article 61(2)(b). The 25% return-to-members requirement is a condition for maintaining VAT exemption on cooperative production and marketing activities. ↩
56. BTA Bill No. 210, Section 58(4); RA 9520, Article 61(3). All cooperatives are exempt from local taxes and taxes on bank and insurance transactions. ↩
57. BTA Bill No. 210, Section 58(3)(iii). The bill references "Republic Act No. 9337, the National Internal Revenue Code, (and provisions of BARMM Revenue Code) as amended." ↩
58. BTA Bill No. 210, Section 58(5-9); RA 9520, Article 61(4-8). ↩
59. MC 2025-02, Section 6(2). One purpose of the COC is to secure a CTE and avail of tax incentives. ↩
60. BTA Bill No. 210, Section 58(2)(i); RA 9520, Article 61(1). Tax-free imports sold or transferred within five years trigger double-tax liability for both the cooperative and the transferee. ↩
61. BTA Bill No. 210, Section 58(3)(iii); RA 9520, Article 61(2)(b). ↩
62. BTA Bill No. 210, Book IV, Chapter II, Section 8. Willful tax evasion carries 2-4 years imprisonment and a fine of PHP 30,000 to PHP 100,000. ↩
63. BTA Bill No. 210, Book IV, Chapter II, Section 8(a). Government officials who deprive cooperatives of tax exemptions face 1-5 years imprisonment or a fine of at least PHP 5,000, plus disqualification from office. ↩
64. BTA Bill No. 210, Section 12 (Transitory Provisions). CTEs shall be valid for five years from the date of issue. ↩
65. MC 2025-02, Section 7.1, Item 2; Section 17. Non-submission of ATIR/ABR is treated as non-submission of required reports. ↩
66. BTA Bill No. 210, Section 58(4); RA 9520, Article 61(3). BIR examination of cooperative books requires prior authorization by the CSEA. ↩
67. BTA Bill No. 210, Section 58(3)(iii). ↩
68. MC 2025-02, Section 7.1. All listed documents must be submitted as a package. Incomplete submissions trigger a Notice of Deficiency under Section 12. ↩
69. CDA Memorandum Circular No. 2021-04 – Performance Audit Report. The PAR uses the GMR (Governance Management Review) and STEPS (financial performance) components as the basis for scoring cooperative operational performance. ↩
70. MC 2021-04; MC 2025-02, Section 17(11). Non-compliance with an order or directive based on examination findings – which may include a deficient PAR score – is a ground for COC non-issuance. ↩

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10

Education, Training, and Capacity Building

The fifth cooperative principle is not a suggestion. Education, training, and information are what separate a cooperative from a group of people who pooled money. Skip this principle and your cooperative will join the 88 percent that are non-compliant. Of the 12,214 cooperatives registered in BARMM, only 1,424 hold current compliance certificates.[1] The pattern is consistent: cooperatives that invest in training comply. Cooperatives that skip training fail. The Bangsamoro Development Plan 2023-2028 identifies **low functionality and unsustainable profitability** as the central problem in the cooperative sector – and it prescribes **capacitation of human resources** as a primary remedy.[2]

This chapter gives you the complete training roadmap. You will learn what training is required by law, what the four-tier curriculum looks like from pre-registration through advanced leadership, how to use your Education and Training Fund properly, and how to design, deliver, and document training in your cooperative. By the end, you will have a training needs assessment checklist, a course catalog organized by level, and a clear understanding of the sanctions that follow when officers skip their required training.

Education is not an expense. It is the operating system that makes everything else in this guidebook work.

10.1 The Fifth Cooperative Principle: Education, Training, and Information

10.1.1 Why This Principle Is Non-Negotiable

The International Cooperative Alliance lists seven principles that define what a cooperative is. The fifth principle – **Education, Training, and Information** – reads:

> *"Cooperatives shall provide education and training for members, elected and appointed representatives, managers, and employees, so that they can contribute effectively and efficiently to the development of their cooperatives."*[3]

BTA Bill 210 adopts this principle verbatim in **Section 5(v)**.[4] This is not aspirational language. It is a legal obligation. Every cooperative in the Bangsamoro must provide education and training to four groups: **members**, **elected representatives**, **managers**, and **employees**. Not one group. All four.

The law reinforces this obligation through three mechanisms:

1. **Mandatory statutory fund allocation.** Your cooperative must set aside up to 10 percent of net surplus for the **Education and Training Fund (ETF)**.[5]
2. **Required officer training.** Every officer – directors, secretary, treasurer, and all committee members – must complete prescribed training within the first half of their term.[6]
3. **Sanctions for non-compliance.** Willful failure to comply with training requirements is grounds for non-issuance of your Certificate of Compliance for the succeeding year. Officers who skip required training are disqualified from holding any elective or appointive position.[7]

That third point stops many cooperatives cold. Your Chairperson, your Treasurer, your Audit Committee members – if any of them have not completed the required training, they are technically **disqualified from office**. The CDA and CSEA can enforce this during inspection. Do not wait until inspection day to discover the problem.

Why training matters for BARMM cooperatives specifically. The Bangsamoro cooperative sector faces challenges that the rest of the Philippines does not. Many newly registered cooperatives are composed of **former combatants** who organized through the Combatant Transitional Program.[8] These cooperatives often encounter difficulties complying with requirements because the policies were designed for established civilian cooperatives, not organizations in transition. Training bridges this gap. The **STOCK Project** (Strengthening of Technical and Operational Knowledge) exists specifically for this purpose – building the operational capacity that former combatant cooperatives need to function and comply.[9]

Beyond combatant transition, BARMM has the country's **lowest functional literacy rate at 71.6 percent** and a **poverty incidence of 29.80 percent**.[10] Training programs in this region must account for lower baseline literacy, limited access to conventional training venues, and the need for content delivered in languages and cultural frameworks that resonate with Bangsamoro communities.

10.1.2 The Education and Training Fund: How to Use It

The **Education and Training Fund (ETF)** is one of four statutory funds your cooperative must maintain. Under BTA Bill 210, Section 62(b), you must allocate **up to ten percent (10%) of net surplus** to the ETF each year.[11] Your bylaws may also direct certain fees or portions of fees to this fund.

The 50-50 rule. The law splits the ETF into two halves:

- **First half (50%).** Your cooperative spends this directly on education and training purposes – PRS for incoming members, officer training, specialized courses, study tours, and cooperative awareness campaigns.
- **Second half (50%).** Your cooperative remits this to a **union or federation** of your choice, or one to which you belong. That union or federation pools the remittances and delivers training that individual cooperatives cannot afford on their own.[12]

What the receiving union or federation must report. The law requires the union or federation to submit three schedules to both the CSEA and contributing cooperatives:

1. A **list of cooperatives** that remitted their Cooperative Education and Training Funds (CETF)
2. A record of **business consultancy assistance** provided, including nature and cost
3. A record of **other training activities** undertaken, specifying nature, participants, and cost[13]

If your federation cannot produce these schedules upon request, your cooperative has grounds to redirect its CETF remittance to a different union or federation at the next General Assembly.

What qualifies as a valid ETF expenditure. The ETF covers:

Allowed	Not Allowed
PRS for prospective members	Office supplies or equipment
Officer and director training courses	Building repairs or renovations
Committee-specific training (Audit, Election, Ethics, Mediation)	Staff salaries or allowances
Financial literacy programs for members	Loans to members
Study tours to model cooperatives	Entertainment or social events
Cooperative awareness campaigns in the community	Political activities
Subscription to cooperative publications	Investments or business capital
Training materials, handouts, and learning aids	General operating expenses

Track every peso. Document each ETF expenditure with receipts, attendance sheets, training certificates, and post-training evaluation results. The CSEA will review your ETF utilization during inspection. Underspending the ETF is almost as common as overspending it on unauthorized items. If your cooperative earned a net surplus but spent nothing on training, the inspector will ask why – and the answer may affect your compliance rating.

Upon dissolution. If your cooperative dissolves, the unexpended balance of the ETF goes to the cooperative education and training fund of your chosen union or federation.[14] The ETF cannot be distributed to members. It belongs to the cooperative movement, not to individuals.

10.2 The Four-Tier Training Curriculum

Training for cooperatives follows a **four-tier structure** that moves from awareness to mastery. Each tier builds on the one before it. Skipping tiers creates knowledge gaps that surface as governance failures, compliance violations, and financial mismanagement.

The table below maps the complete curriculum. Use it as your cooperative's training roadmap.

Level	Code	Target Audience	Focus Area	Duration
Level 100	PRS	Prospective members	Join decision, cooperative basics	3 hours 45 minutes
Level 100	FCC	All members (within 1 year)	Fundamentals of Cooperatives Course	16 hours
Level 200	ACC-Micro	Officers of micro cooperatives	Advanced Cooperative Course (Micro)	8 hours per topic
Level 200	ACC-SML	Officers of small/ medium/large cooperatives	Advanced Cooperative Course	32 hours
Level 200	RFS	Officers by committee assignment	Role/Function-Specific Training	Minimum 4 hours
Level 300	FRM	Officers of savings and credit cooperatives (PHP 5M+ deposits)	Financial, Risk, and Credit Management	16 hours
Level 300	BLT	Officers and managers	Business Line Training	4-8 hours
Level 300	BARMM-1	Officers of BARMM cooperatives	BDP Alignment and Moral Governance	4-6 hours
Level 400	CLT			40+ hours

Level	Code	Target Audience	Focus Area	Duration
		Chairpersons, senior officers, managers	Cooperative Leadership	
Level 400	STOCK	Former combatant cooperative members	Combatant Transitional Training	24-40 hours
Level 400	LAKAS	Social enterprise organizers	Social Enterprise Development	16-24 hours
Level 400	AGRI	Farmer organizations, agri-cooperatives	Agri-Cooperative Strengthening	24-40 hours

10.2.1 Level 100 (PRS and Basic): Foundation Knowledge

Level 100 is where every cooperative member begins. This tier has two components: the Pre-Registration Seminar (PRS) for prospective members, and the Fundamentals of Cooperatives Course (FCC) for all members.

Pre-Registration Seminar (PRS). Under CDA MC 2025-11, PRS is a **3-hour 45-minute seminar** conducted by the CDA Regional Extension Offices – or, in BARMM, by the **Cooperative and Social Enterprise Authority (CSEA)**.[15] PRS is mandatory before registration. Without a PRS Certificate, your cooperative cannot complete the registration process.

The PRS covers five modules:

Module	Content	Duration
Preliminaries	Opening program, participant introductions	10 minutes
Objectives and Description of PRS	Why PRS exists, what it covers	20 minutes
The CDA/CSEA and its Mandate	Salient provisions of RA 11364, CSEA role in BARMM	15 minutes
Introduction to Cooperatives	Cooperative identity, types and services, member rights and duties	2 hours

Module	Content	Duration
Requirements and Process of Registration	E-CoopRIS, post-registration expectations	1 hour

Key PRS facts your cooperative needs to know:

- **Cost:** Free. No fees shall be collected from participants.[16]
- **Mode:** Online or face-to-face.
- **Certificate validity:** Three years from date of issuance.[17]
- **Certificate issuer:** In BARMM, the CSEA issues PRS certificates.
- **LGU role:** Local Government Units, through their Cooperative Development Officers (CDOs), assist prospective cooperatives with venue, logistics, and coordination with CSEA.[18]

Fundamentals of Cooperatives Course (FCC). Under CDA MC 2025-09, all cooperatives must ensure that **every member** completes training on the fundamentals of cooperatives, financial literacy, and leadership and values formation **within one year of membership acceptance**.[19] For existing members at the time the circular took effect, the cooperative must prepare an action plan for compliance within one year.

The FCC curriculum is prescribed by CDA MC 2025-09, Annex A:

Subject Matter	Duration
Fundamentals of Cooperatives – Origin and philosophy, statement of cooperative identity, cooperative difference, role in national and international development	6 hours
Cooperative Laws and Relevant Issuances – Salient provisions of RA 9520, RA 11364, RA 10744	6 hours
Leadership and Values Formation	2 hours
Financial Literacy (including digital literacy)	2 hours
Total	**16 hours**

For BARMM cooperatives, add a **continuing education module** covering **BDP 2023-2028 alignment** (Goal 2, Objective 2.5), **Moral Governance principles**, **Shari'ah compliance basics**, and **CSEA compliance requirements**. Budget 4 additional hours for this module. Your Education and Training Committee should integrate this into your annual training plan.

10.2.2 Level 200 (Basic to Intermediate): Governance and Operations

Level 200 is for officers. Every elected and appointed officer must complete required training within the **first half of their term**.[20] This is not optional. Officers who do not complete the training are **disqualified from holding office**.[21]

The training requirements differ by cooperative category:

For micro cooperatives (assets below PHP 3 million):

Subject Matter	Duration
Cooperative Management and Governance (includes applicable laws and policy formulation)	8 hours
Financial Management (financial statement interpretation, financial ratios, analysis)	8 hours
Line-of-business training (specific to your cooperative's business)	8 hours
Total	**24 hours**

For small, medium, and large cooperatives:

Subject Matter	Duration
Expanded Cooperative Management and Governance (relevant laws, parliamentary procedure, policy formulation)	16 hours
Financial Management (basic accounting for non-accountants, internal control)	8 hours
Line-of-business training	4 hours
Role/function-specific training (per committee assignment)	Minimum 4 hours
Total	**32 hours**

Authorized providers for Level 200 training:

Provider	Conditions
CDA	Free of charge (courses 1 and 2 only for micro cooperatives)
Certified Cooperative Development Officers (CDOs) and technical personnel of Local Cooperative Development Offices (LCDO-LGU)	Free of charge; must hold Certificate of Authority
Accredited Cooperative Training Providers (CTPros)	Fee-based; must hold CDA accreditation
Unions and Federations	For their affiliates

Micro cooperatives that graduate to small, medium, or large category must take an **additional 8 hours** of training on expanded Cooperative Governance and Management, covering international concepts such as the ICA Second Decade Blueprint.[22]

Continuing education for officers. The law mandates that all cooperatives adopt an **annual continuing education program for officers**, reflected in the cooperative's annual development plan.[23] Do not treat the initial 24- or 32-hour training as a one-time requirement. Build a yearly training calendar that keeps your officers current on regulatory changes, financial management best practices, and governance standards.

10.2.3 Level 300 (Intermediate): Business Development and Financial Management

Level 300 targets specialized knowledge for cooperatives with significant financial operations. Two triggers bring you to this level.

Trigger 1: Savings and credit operations with PHP 5 million or more in deposit liabilities. If your cooperative is engaged in savings and credit and holds at least **PHP 5,000,000.00** in deposit liabilities based on the latest Audited Financial Statement, all officers must complete an additional **16 hours** of specialized training:[24]

Subject Matter	Duration
Financial Management (advanced)	Included in 16 hours
Basic Accounting for Non-Accountants	Included in 16 hours
Internal Control	Included in 16 hours

Subject Matter	Duration
Risk Management	Included in 16 hours
Credit Management	Included in 16 hours

This training is available free of charge from CDA and certified CDOs/LCDO-LGU technical personnel, or fee-based through accredited CTPros.[25]

Trigger 2: Credit Surety Fund (CSF) cooperatives. Officers of registered CSF cooperatives must complete a **16-hour startup/refresher course** on RA 10744 and its IRR, plus role/function-specific training of at least 4 hours.[26]

BARMM-specific Level 300 content. For cooperatives operating in the Bangsamoro, add these modules to your Level 300 training plan:

Module	Content	Duration
BDP 2023-2028 Implementation	Strategy 21 (cooperative profitability), Strategy 22 (SE institutionalization), M&E systems	2 hours
Profitability Enhancement	PESO Project alignment, financial sustainability metrics, Objective 2.5.1 targets	2 hours
LGU Coordination	Working with Municipal Cooperative Officers (MCOs), provincial extension offices, community promotion	1 hour
Shari'ah-Compliant Financial Products	Murabaha, Musharakah, Mudarabah, Wadiah, Takaful	2-4 hours

Shari'ah compliance in financial training. Under BTA Bill 210, cooperatives in the Bangsamoro must adhere to Shari'ah objectives including **halal transactions**, **no riba (usury)**, **no maysir (gambling)**, **no gharar (excessive speculation)**, and **risk sharing principles**.[27] If your cooperative offers credit services, your officers and credit committee must understand the Shari'ah-compliant alternatives:

Conventional Product	Shari'ah Alternative	How It Works
Interest-bearing loan	**Murabaha** (cost-plus financing)	The cooperative buys the asset and resells it to the member at a disclosed markup

Conventional Product	Shari'ah Alternative	How It Works
Interest-bearing savings	**Wadiah** (safekeeping)	The cooperative holds deposits as custodian; returns are discretionary gifts, not interest
Insurance	**Takaful** (mutual guarantee)	Members contribute to a common fund; claims are paid from the pool, surplus is shared
Joint venture (interest-based)	**Musharakah** (partnership)	Both parties contribute capital and share profits and losses proportionally
Investment (guaranteed return)	**Mudarabah** (profit sharing)	One party provides capital, the other provides labor/expertise; profits are shared by agreement

10.2.4 Level 400 (Advanced): Strategic Growth and Federation Building

Level 400 is for leaders who will shape the cooperative movement. This tier covers strategic leadership, policy development, movement building, and specialized programs for unique BARMM contexts.

Cooperative Leadership Course (CLT). Target: Chairpersons, senior officers, and general managers. Duration: 40+ hours.

Module	Content
Leadership Styles	Transformational, servant, ethical leadership; Moral Governance integration
Strategic Management	Planning, execution, evaluation; 5-year development planning
Change Management	Leading cooperative transformation; responding to regulatory change
Stakeholder Relations	Members, community, LGUs, CSEA, development partners
Advocacy and Policy	Influencing cooperative policy; engaging with BTA Bill 210 implementation
Movement Building	Federation formation, networking, solidarity purchasing, collective advocacy
BDP 2023-2028 Leadership	Implementing Strategy 21 and 22, community promotion, LGU coordination

Combatant Transitional Training – STOCK Project. Target: Former combatants organizing cooperatives. Duration: 24-40 hours.[28]

Module	Content
Cooperative Fundamentals	Basic concepts adapted for transitional context
Business Legalization	How to legally conduct business through cooperatives
Compliance Orientation	Understanding CDA/CSEA requirements
Financial Literacy	Basic bookkeeping, budgeting, fund management
Market Access	Connecting to markets and value chains
Support Programs	Cooperative Financial and Material Support Project access

This is not a generic training program. It is designed for cooperatives whose members are transitioning from armed struggle to economic participation. The curriculum accounts for the reality that many participants have limited formal education, no prior experience with corporate governance structures, and urgent needs for livelihood support. Your cooperative can access this training through the CSEA's Combatant Transitional Program.[29]

Social Enterprise Development – LAKAS SE Program. Target: Social enterprise organizers and cooperative leaders exploring the SE model. Duration: 16-24 hours.[30]

Module	Content
Social Enterprise Fundamentals	Definition, characteristics, difference from cooperatives
SE Legal Framework	BTA Bill 210 Book III provisions, national SE legislation efforts
Social Mission Development	Identifying social, cultural, or environmental challenges
Business Model Design	Balancing social mission with financial sustainability
Impact Measurement	Measuring and reporting social impact
Enabling Policies	Strategy 22 alignment, institutionalization pathway

Agri-Cooperative Strengthening. Target: Farmer organizations, agri-cooperatives, and Agrarian Reform Beneficiary Organizations (ARBOs). Duration: 24-40 hours.[31]

Module	Content
Agricultural Value Chain	From production to marketing; agro-entrepreneurship (Strategy 11)
LGU Partnership	Working with LGUs and development stakeholders
Private Sector Collaboration	Partnering with industry players
Climate-Smart Agriculture	Climate adaptation, disaster preparedness (Strategy 12)
Young Farmers Program	Professionalizing young farmers (Strategy 5)
Market Access	BARMM top commodities: seaweed (48.42% national production), cassava (41.70%), rubber, coffee

BARMM is the country's **top seaweed producer** and **top cassava producer**.[32] Agri-co-operatives in these value chains have a competitive advantage that training can sharpen into sustainable profitability.

10.3 Mandatory Training Requirements

Not all training is optional. The law mandates specific training for specific people at specific times. This section consolidates every mandatory requirement so you can build a compliance-ready training plan.

MC 2025-09 Training Hours at a Glance. Use this table as your quick reference. It shows every stakeholder category, the required courses, total hours, and what happens if your cooperative does not comply.

Category	Required Courses	Total Hours	Sanction for Non-Compliance
Members (all categories)	Fundamentals of Cooperatives (6h) + Cooperative Laws (6h) + Leadership and Values Formation (2h) + Financial Literacy (2h)	**16 hours**	Member obligation; no direct sanction, but cooperative must show action plan during inspection
Officers – Micro cooperatives	Cooperative Management and Governance (8h) + Financial Management (8h) + Line of Business (8h)	**24 hours**	**COC non-issuance** for the cooperative; **officer disqualification** from any elective or appointive position[46]
Officers – Small, Medium, Large cooperatives	Expanded Governance (16h) + Financial Management (8h) + Line of Business (4h) + Role/Function-Specific (4h minimum)	**32 hours** minimum	**COC non-issuance** for the cooperative; **officer disqualification** from any elective or appointive position[47]
Officers – Savings and Credit (PHP 5M+ deposits)	Additional Financial, Risk, and Credit Management	**+16 hours**	Same as above; additional non-compliance finding during examination
Officers – CSF cooperatives	RA 10744 Startup/ Refresher (16h) + Role-Specific (4h+) + Compliance Orientation (4h)	**+20 hours** minimum	Same as above

Category	Required Courses	Total Hours	Sanction for Non-Compliance
Staff (all cooperatives)	G1-G10 encouraged topics (see Section 10.3.4)	**No prescribed hours**	**No sanctions** – encouraged, not mandatory[48]

Read this table carefully. The consequences column is not hypothetical. The CSEA can deny your Certificate of Compliance and disqualify your officers. Build your training plan around these numbers.

10.3.1 PRS for All Members (Before Registration)

Who must attend: Every prospective member of a primary cooperative must complete a Pre-Registration Seminar before joining.[33]

When: Before your cooperative files for registration with CSEA. Existing cooperatives must ensure new members attend a PRS or equivalent orientation before the General Assembly approves their membership.

Duration: 3 hours 45 minutes.

Conducted by: CSEA (in BARMM). CDA Regional Extension Offices (outside BARMM).[34]

Certificate validity: 3 years.[35]

Cost: Free.

Contact for scheduling PRS in BARMM:

CSEA Office JICA Building, BGC Gov. Gutierrez Avenue Brgy. RH XII, Cotabato City Maguindanao 9600 Phone: (00) 552-1105

10.3.2 Basic Cooperative Training for Officers and Directors

Who must complete this: Every officer of the cooperative – Board of Directors, Secretary, Treasurer, Election Committee, Audit Committee, Ethics Committee, Mediation and Conciliation Committee, other GA-created committees, and the General Manager or CEO.[36]

When: Within the **first half of their term**. If your cooperative's officers serve two-year terms beginning in April, all required training must be completed by October.

What happens if they do not complete it:

- The officer is **disqualified from holding any elective or appointive position** in the cooperative.[37]
- The cooperative faces **non-issuance of its Certificate of Compliance** for the succeeding year if it willfully fails to comply with training requirements despite due notice.[38]

Summary of required hours by cooperative category:

Category	Required Training	Total Hours
Micro cooperative	Advanced Cooperative Course (Governance + Finance + Line of Business)	24 hours (8 per topic)
Small, Medium, Large cooperative	Expanded Governance (16) + Financial Management (8) + Line of Business (4) + Role-Specific (4 minimum)	32 hours minimum
Savings and credit cooperative (PHP 5M+ deposits)	Additional Financial, Risk, and Credit Management	16 additional hours
CSF cooperative	RA 10744 Startup/Refresher + Role-Specific	20 hours minimum

10.3.3 Specialized Training by Committee Assignment

Each committee in your cooperative has distinct functions that require distinct knowledge. The table below maps committee assignments to training content.

Committee	Required Training Content	Minimum Duration
Audit Committee	Internal control systems, audit procedures, financial analysis, report writing, GA accountability	8-16 hours
Election Committee	Election rules and procedures, candidate validation, conduct of elections, results certification, protest resolution	4-8 hours
Mediation and Conciliation Committee	Conflict resolution, mediation techniques, hearing procedures, decision writing, confidentiality	8-16 hours

Committee	Required Training Content	Minimum Duration
Ethics Committee	Code of ethics development, ethics case analysis, investigation procedures, sanction recommendations, Moral Governance integration	8-16 hours
Education and Training Committee	Training needs assessment, program planning, ETF management, provider coordination, impact evaluation, BDP 2023-2028 training alignment	8-16 hours
Credit Committee (if applicable)	Credit policies, loan evaluation, collection procedures, delinquency management, Shari'ah-compliant lending alternatives	16-24 hours

The Education and Training Committee deserves special attention. This is the committee responsible for making everything in this chapter happen. Its members must know how to assess training needs, plan annual programs, manage ETF budgets, coordinate with accredited providers, and evaluate training impact. If your Education and Training Committee members have not been trained themselves, they cannot train anyone else.

10.3.4 Staff Training: The G1-G10 Track

MC 2025-09, Section VI.3 **encourages** – but does not require – cooperatives to provide onboarding and continuous training for hired staff.[49] No hours are prescribed. No sanctions apply. But cooperatives that neglect staff development pay for it in turnover, errors, and weak member service.

The MC lists ten encouraged topics. Adapt them to your staff's actual roles.

Code	Topic	What It Covers
G1	Basic Cooperative Orientation	Cooperative principles, values, organizational structure, and the staff role within the cooperative
G2	Sales	Product and service promotion, member engagement, market awareness

Code	Topic	What It Covers
G3	Fraud Detection and Prevention	Recognizing fraud indicators, internal controls, reporting procedures
G4	Records Management	Filing systems, document retention, member records, regulatory documentation
G5	Office Management	Workplace organization, supplies management, scheduling, administrative procedures
G6	Store Management	Inventory control, merchandising, point-of-sale operations (for consumer and multi-purpose cooperatives)
G7	Customer Service Management	Member relations, complaint handling, service quality, communication skills
G8	Bookkeeping	Basic accounting, transaction recording, CDA Standard Chart of Accounts, financial record-keeping
G9	Basic Computer Literacy	Computer operations, office software, basic data management, digital tools for cooperatives
G10	Data Privacy	Data Protection Act (RA 10173) compliance, member data handling, privacy policies and procedures

The G1-G10 list is illustrative. MC 2025-09 uses the phrase "may include but not limited to." Add topics your staff actually needs. A cashier needs **G8 (Bookkeeping)** and **G10 (Data Privacy)**. A field coordinator needs **G2 (Sales)** and **G7 (Customer Service)**. Do not force every staff member through all ten.

Authorized providers for staff training: CDA (free for Bookkeeping), accredited CTPros, certified CDOs (free of charge), and federations for their affiliates.[50]

Key distinction from officer training. Officers face **disqualification** for skipping required training. Staff face no regulatory sanction. But a cooperative with untrained staff will underperform – and the Board will bear the consequences when inspection findings cite weak internal controls, poor records, or member complaints.

10.4 Designing and Delivering Training in Your Cooperative

Knowing what training is required is only half the job. The other half is making it happen – assessing needs, finding providers, scheduling sessions, and documenting results. This section gives you the practical tools.

10.4.1 Assessing Training Needs

Before you spend a single peso from the ETF, assess what your cooperative actually needs. A training needs assessment identifies the gap between what your members and officers know now and what they need to know to perform their roles effectively.

Training Needs Assessment Checklist. Use this checklist at the start of each fiscal year. The Education and Training Committee should lead the process with input from the Board of Directors and the General Manager.

Part A: Compliance Requirements

- ☐ Have all current officers completed the required Advanced Cooperative Course (24 or 32 hours)?
- ☐ Have officers of savings and credit cooperatives (PHP 5M+ deposits) completed the 16-hour specialized training?
- ☐ Have all committee members completed role/function-specific training (minimum 4 hours)?
- ☐ Have all members admitted in the past 12 months completed the Fundamentals of Cooperatives Course (16 hours)?
- ☐ Is the cooperative's PRS certificate current (valid for 3 years)?
- ☐ Has the cooperative adopted an annual continuing education program for members and officers?

Part B: Knowledge and Skills Gaps

- ☐ Can your Treasurer read and interpret the cooperative's financial statements?
- ☐ Can your Audit Committee conduct an internal audit without external assistance?
- ☐ Do your Board members understand the difference between policy-making and management?
- ☐ Can your General Manager prepare a budget proposal with cash flow projections?

- ☐ Do your members understand their rights and obligations under the bylaws?
- ☐ Can your Credit Committee evaluate loan applications using documented criteria?
- ☐ Do your officers understand Shari'ah compliance requirements for cooperative transactions?
- ☐ Can your cooperative prepare and submit the CAPR and CAFS without errors?

Part C: Strategic Development Needs

- ☐ Does your cooperative have a 5-year strategic plan?
- ☐ Are officers trained in BDP 2023-2028 alignment (Goal 2, Objective 2.5)?
- ☐ Does your cooperative know how to access PESO Project support?
- ☐ Are members aware of market opportunities in BARMM's top commodities?
- ☐ Has your cooperative explored Shari'ah-compliant financial products?
- ☐ Do officers know how to coordinate with the Municipal Cooperative Officer (MCO)?

Part D: Training Infrastructure

- ☐ Does your cooperative have a designated Education and Training Committee?
- ☐ Has the committee prepared a training calendar for the current fiscal year?
- ☐ Does the cooperative have a list of accredited training providers in the region?
- ☐ Is the ETF balance sufficient to cover planned training activities?
- ☐ Does the cooperative maintain a training records file?

Scoring. Count the unchecked boxes. Each unchecked box represents a training gap. Prioritize as follows:

Unchecked Boxes	Priority Level	Action
Part A gaps	**Critical** – address within 30 days	Schedule mandatory training immediately; non-compliance risks COC denial and officer disqualification
Part B gaps	**High** – address within 90 days	These gaps cause operational errors, audit findings, and governance failures
Part C gaps	**Medium** – address within 180 days	These gaps limit growth and miss strategic opportunities
Part D gaps		

Unchecked Boxes	Priority Level	Action
	Foundational – address within 60 days	Without training infrastructure, no other training can happen

10.4.2 Designing Training for BARMM Learners

BARMM has the **lowest functional literacy rate in the Philippines at 71.6 percent.**[51] Tawi-Tawi is at **33.2 percent** – meaning two out of three adults cannot functionally read and write.[52] Standard CDA training materials assume Metro Manila literacy levels. They will not work here without adaptation.

The five BARMM learner personas. The CSEA Training Package identifies five composite learner profiles that represent the actual range of cooperative members, officers, and staff in the Bangsamoro.[53] Use them to anchor every training design decision.

Persona	Profile	Role	Education	Max Passive Segment
Hadji Musa	62, male, Maguindanaon farmer, Datu Odin Sinsuat	Board of Directors member (Micro coop)	Grade 6 completed	**12 minutes**
Bai Norhata	45, female, Maranao sari-sari store operator, Marawi City	Treasurer (Small coop)	High school graduate	**12 minutes**
Hadji Abdulnasser	55, male, Tausug fisherman, Simunul, Tawi-Tawi (GIDA)	Chairperson (Small coop)	High school level	**12 minutes**
Bai Sittie Aminah	38, female, Maguindanaon GM, Cotabato City	General Manager/CEO (Medium coop)	BS Business Administration	**20 minutes**
Akmad	24, male, Maguindanaon cashier, Cotabato City	Store staff (Medium coop)	Senior High School (ABM track)	**15 minutes**

What "maximum passive segment" means. This is the longest stretch a trainer should talk without an activity, question, or group exercise. For **low-literacy learners** (Hadji Musa, Bai Norhata, Hadji Abdulnasser), never exceed **12 minutes** of passive instruction.

For **advanced learners** (Bai Sittie Aminah), you can stretch to **20 minutes**. For **young digital-literate staff** (Akmad), keep it to **15 minutes**. Exceed these limits and your audience checks out.

Five design rules for BARMM training.

1. **Use oral and visual instruction as the primary mode** for Personas 1-3. Text-heavy slides and handouts fail when a third of the audience has limited reading ability.
2. **Deliver in the learner's strongest language.** Use Maguindanaon, Maranao, Tausug, Sama, or Iranun – not English – as the primary language of instruction for community-level training.
3. **Open every topic with a real scenario** the learner recognizes. Fishing expenses for Tausug cooperatives. Market trading for Maranao cooperatives. Rice farming for Maguindanaon cooperatives.
4. **Schedule around prayer times and Ramadan.** Adjust session length, break timing, and energy-level expectations during fasting months.
5. **Design for GIDA constraints.** Island municipalities have no reliable internet, limited electricity, and boat-dependent schedules. Your module must work offline with printed and visual materials only.

The BARMM Calibration Checklist. Before delivering any training module in the Bangsamoro, run it through the **21-item BARMM Calibration Checklist** (see **Appendix ☑**). The checklist covers five domains: **Linguistic Adaptation** (5 items), **Cultural Responsiveness** (5 items), **Economic Contextualization** (4 items), **Infrastructure Considerations** (4 items), and **Transition Context** (3 items). A module scoring below 15 out of 21 has significant gaps and should be revised before delivery.[54]

10.4.3 Partnering with CSEA, LGU-CDOs, and Accredited Trainers

Your cooperative does not have to deliver all training in-house. In fact, for mandatory training, you **cannot** deliver it in-house – only authorized providers may conduct required training.[39]

CSEA (Cooperative and Social Enterprise Authority). In BARMM, CSEA serves as the primary regulatory and development agency for cooperatives. CSEA conducts:

- **Pre-Registration Seminars** (free)
- **Technical assistance** visits (free)
- **Compliance-related orientations** (free)
- **Specialized programs** through the PESO Project, STOCK Project, and LAKAS SE Program

Contact CSEA early. Slots for PRS sessions fill quickly, especially during cooperative registration season (January-March). Ask CSEA about their quarterly training calendar.

Cooperative Development Officers (CDOs) at LGUs. Under RA 11535, every municipal, city, and provincial government must have a Cooperative Development Officer.[40] In BARMM, most LGUs have not yet appointed MCOs – which is one of the key challenges the BDP 2023-2028 identifies.[41] But where CDOs exist, they are authorized to conduct certain required trainings free of charge, provided they hold a **Certificate of Authority** from the CDA and have completed the required training-of-trainers orientation.

CDOs can assist your cooperative by:

- Providing venue and logistical support for PRS sessions
- Conducting the Advanced Cooperative Course (for micro cooperatives)
- Coordinating with CSEA on your cooperative's behalf
- Facilitating access to LGU cooperative development programs

Accredited Cooperative Training Providers (CTPros). Only CDA-accredited CTPros may conduct fee-based required training. Before engaging a CTPro, verify their accreditation. Ask for:

- CDA accreditation certificate (must be current)
- At least **2 years of organizational existence**
- At least **5 qualified trainers** on staff
- Adoption of the **standard training curricula** prescribed in CDA MC 2025-09, Annex A[42]

Federations and unions. Your cooperative's federation can conduct required training for its affiliates. This is often the most cost-effective option because the federation pools CETF remittances from multiple cooperatives and delivers training at scale. Check whether your federation offers an annual training calendar. If it does, align your cooperative's training plan with the federation schedule to reduce costs.

10.4.4 Recording and Reporting Training Activities

Every training activity must be documented. This is not optional paperwork – it is a compliance requirement and your cooperative's proof that officers and members have met their training obligations.

For every training session, maintain:

Document	Purpose	Retention
Attendance sheet	Proves who attended; names, organization, address, gender	Permanent
Certificates of completion	Proves successful completion; includes provider name and accreditation	Permanent
Training materials	Documents what was taught; presentation slides, handouts, manuals	5 years minimum
Pre-test and post-test results	Measures learning gain; baseline vs. post-training knowledge	5 years minimum
Evaluation forms	Measures participant satisfaction and training effectiveness	5 years minimum
Provider accreditation proof	Proves the provider was authorized to conduct the training	Permanent
ETF expenditure receipts	Proves funds were used for authorized purposes	Subject to audit retention rules

Reporting requirements. Under CDA MC 2025-09, all cooperatives must submit a **list of trainings undertaken by officers** to the Regional Office (or CSEA in BARMM) in accordance with the form prescribed by the Supervision and Examination Division.[43] Records of trainings attended by **members and staff** must be kept by the cooperative and made available during inspection.

Training records management tip. Create a **Training Records File** with three sections:

1. **Officers** – sorted by name, showing all training completed, dates, providers, and certificates
2. **Members** – sorted alphabetically, showing FCC completion date and any additional training
3. **ETF Utilization** – chronological record of all ETF expenditures with receipts and matching attendance sheets

Keep this file where your Secretary and Education and Training Committee Chair can access it at any time. When the CSEA inspector arrives, this file should be the first thing you hand over.

10.5 Cross-Skill Development

The first four sections of this chapter covered compliance-driven training – the training the law requires. This section covers something different: training that gives your cooperative a competitive edge. Three methodologies from the business and development world can transform how your cooperative identifies problems, designs solutions, and measures impact.

10.5.1 Design Thinking for Cooperative Product Development

Design thinking is a structured method for solving problems by starting with the people who experience the problem. It has five phases: **Empathize**, **Define**, **Ideate**, **Prototype**, and **Test**. For cooperatives, this methodology is powerful because it forces you to design products and services around what your members and customers actually need – not what your Board assumes they need.

How to apply design thinking in your cooperative:

Phase 1 – Empathize. Go to your members. Do not send a survey. Visit their farms, their homes, their workplaces. Ask what problems they face. Ask what they wish the cooperative could do. Listen for the problems they do not articulate – the ones you see in their daily struggles.

Example: A seaweed cooperative in Tawi-Tawi conducted home visits and discovered that members' biggest problem was not the price of seaweed – it was the 3-day delay getting their harvest to the buyer in Zamboanga. The members never mentioned logistics because they assumed it was unsolvable. The cooperative did not assume. It investigated.

Phase 2 – Define. Turn your observations into a clear problem statement. "Our members lose 15-20 percent of their seaweed harvest value because of a 3-day logistics gap between harvest and buyer delivery."

Phase 3 – Ideate. Generate multiple solutions. Do not commit to the first idea. Options might include: a cooperative-owned boat, a refrigerated storage facility, a partnership with a logistics company, or a direct buyer arrangement that eliminates the middleman.

Phase 4 – Prototype. Test the simplest version of your best idea. Before investing millions in a refrigerated facility, rent a cold storage unit for one harvest cycle. Measure whether the 3-day delay decreases and whether member income increases.

Phase 5 – Test. Evaluate the results. Did member income increase? By how much? Was the cost sustainable? Refine and repeat.

Training your Education and Training Committee in design thinking takes 8-16 hours. The return is a cooperative that solves real problems instead of guessing at solutions.

10.5.2 Theory of Change for Cooperative Impact Measurement

A **Theory of Change (ToC)** is a roadmap that connects your cooperative's activities to the outcomes you want to achieve. It answers the question: "If we do X, then Y will happen, because of Z."

Most cooperatives operate without a Theory of Change. They conduct activities – training, lending, marketing – without a clear logic connecting those activities to measurable results. When the CSEA or a funding partner asks, "What impact has your cooperative achieved?" they cannot answer with data. They answer with stories.

Stories matter. But data wins funding.

A simple Theory of Change for a BARMM agricultural cooperative:

Element	Description
Problem	Members earn below PHP 15,000/month from cassava farming due to low yields and no value-added processing
Activities	(1) Train 50 members in improved cassava cultivation, (2) Establish a cooperative-owned cassava chip processing facility, (3) Secure market contracts with 3 regional distributors
Outputs	50 members trained, 1 processing facility operational, 3 market contracts signed
Outcomes	Member cassava yields increase by 30%, value-added products generate 50% higher revenue per kilogram, members reach PHP 20,000/month average income
Impact	Cooperative members lifted above the poverty line; BARMM poverty incidence in the community reduced
Assumptions	Members will adopt improved techniques; market demand for cassava chips is sufficient; cooperative can secure startup capital for the facility

Align your ToC with BDP 2023-2028 targets. Your Theory of Change becomes more powerful when it connects to the Bangsamoro Development Plan. If your cooperative's ToC targets poverty reduction, link it to the BDP's target of reducing poverty incidence from **29.80% to 20-25%.**[44] If it targets cooperative profitability, link it to **Objective 2.5.1** (profitability of cooperatives increased).[45] Funding partners and government agencies want to see alignment.

10.5.3 Lean Canvas for Cooperative Business Modeling

The **Lean Canvas** is a one-page business model that forces you to answer nine questions about your cooperative's business on a single sheet of paper. It was designed for startups, but it works equally well for cooperatives launching a new product, service, or business line.

The nine Lean Canvas boxes, adapted for cooperatives:

Box	Question	Cooperative Application
1. Problem	What are the top 3 problems your members or customers face?	Low income, limited market access, no value-added processing
2. Customer Segments	Who are your members and customers?	200 cassava farmers in Maguindanao del Norte, regional food distributors
3. Unique Value Proposition	What makes your cooperative's offering different?	"Farm-to-shelf cassava chips – cooperative-grown, community-processed, halal-certified"
4. Solution	How does your cooperative solve each problem?	Processing facility, direct market contracts, member training
5. Channels	How do you reach your customers?	Direct delivery to distributors, cooperative store, trade fairs
6. Revenue Streams	How does the cooperative earn?	Cassava chip sales, member patronage, processing fees
7. Cost Structure	What are the major costs?	Equipment, raw materials, labor, transport, packaging
8. Key Metrics	What numbers tell you the business is working?	Monthly production volume, member income change, customer retention

Box	Question	Cooperative Application
9. Unfair Advantage	What can your cooperative do that competitors cannot easily copy?	Member loyalty, cooperative land access, BARMM seaweed/ cassava production dominance

When to use Lean Canvas in your cooperative:

- Before launching a new product line
- Before applying for PESO Project support
- Before requesting a loan from a cooperative bank
- When preparing your cooperative's annual business plan
- When evaluating whether to expand into a new market

Training your officers in Lean Canvas takes 4-8 hours and pays for itself the first time your cooperative avoids investing in a business idea that sounded good in a Board meeting but collapses under scrutiny on a one-page canvas.

10.6 Recommended and Voluntary Training Programs (H1-H15)

MC 2025-09, Section VII lists **fifteen recommended training topics** for officers, members, and staff.[55] These are voluntary. No hours are prescribed. No sanctions apply. But cooperatives that pursue them build capabilities their competitors lack.

Code	Recommended Training Topic
H1	Organizational Development and Management
H2	Project Development and Management
H3	Basic Computer Literacy
H4	Digitalization
H5	Succession Planning
H6	Franchising
H7	Cooperative Business Continuity and Resiliency
H8	Conflict Management
H9	Strategic Planning
H10	Audit Management
H11	Records Management
H12	Entrepreneurial and Business Management
H13	Cooperative Performance Standards
H14	Risk Management and Business Continuity Management
H15	Other trainings (e.g., Intellectual Property Rights)

The H1-H15 list is illustrative. MC 2025-09 uses the phrase "including but not limited to." Your cooperative can add any topic that serves its development needs.

How to prioritize. Start with your Training Needs Assessment (Section 10.4.1). Match unchecked boxes in **Part C (Strategic Development Needs)** to H1-H15 topics. A cooperative that lacks a strategic plan needs **H9 (Strategic Planning)** before it needs **H6 (Franchising)**. A cooperative with weak records needs **H11 (Records Management)** before **H4 (Digitalization)**.

For BARMM cooperatives, four topics deserve early attention:

1. **H7 (Business Continuity and Resiliency)** – natural disasters, conflict disruptions, and pandemic-era lessons make this essential for Bangsamoro cooperatives.
2. **H8 (Conflict Management)** – cooperatives in post-conflict communities face internal disputes rooted in clan dynamics, political affiliations, and transitional tensions.
3. **H9 (Strategic Planning)** – align your 5-year plan with BDP 2023-2028 targets to unlock CSEA and development partner support.
4. **H14 (Risk Management)** – cooperatives handling savings and credit in GIDA areas face unique risks that standard risk frameworks do not address.

Fund these from your ETF. Recommended training is a valid ETF expenditure. Document attendance, provider credentials, and costs the same way you document required training.

Training Impact Metrics: Connecting Training to BDP 2023-2028 Targets

Track your training outcomes against the measurable targets in the Bangsamoro Development Plan. This is how you demonstrate that your ETF spending is producing results – not just certificates.

Metric	Baseline	BDP Target	How Training Contributes
Cooperative compliance rate	11.66%	50%	PRS, FCC, and officer training ensure cooperatives meet regulatory requirements
Cooperative profitability	Low (sector-wide)	Increased	Financial management, business line training, and Lean Canvas improve business decisions
Established social enterprises	Limited	Increased	LAKAS SE training builds SE capacity within cooperatives
Combatant cooperative functionality	Struggling	Functional	STOCK Project training addresses specific transitional gaps
LGU cooperative coordination	Inadequate (most LGUs have no MCOs)	Improved	Officer training includes LGU coordination modules
Poverty incidence	29.80%	20-25%	Productive cooperatives generate member income above the poverty line

Chapter Summary: What You Must Do Now

This chapter covered a lot of ground. Here is what matters most, in order of urgency.

Immediate (within 30 days):

1. **Check whether all current officers have completed required training.** If not, schedule the training immediately. Officers without training are disqualified from office.
2. **Verify your Education and Training Committee is constituted and trained.** Without this committee, nothing in this chapter can happen.
3. **Review your ETF balance.** Know how much you have and how much you have spent.

Short-term (within 90 days):

1. **Complete the Training Needs Assessment Checklist** in Section 10.4.1. Identify every gap.
2. **Contact CSEA and your federation** to schedule training for officers and members who need it.
3. **Create a training records file** with three sections: Officers, Members, ETF Utilization.

Medium-term (within 180 days):

1. **Develop your annual training plan.** Map every required training to a specific date, provider, and budget.
2. **Ensure all members admitted in the past year** have completed the 16-hour Fundamentals of Cooperatives Course.
3. **Introduce cross-skill development** – start with one Design Thinking workshop or one Lean Canvas session for your Board.

Ongoing:

1. **Adopt a continuing education program** for both officers and members, reflected in your annual development plan.
2. **Track training outcomes** against BDP 2023-2028 targets. Report impact, not just attendance.

3. **Remit 50% of CETF** to your federation or union annually. Demand the three required schedules in return.

Education, training, and information are not the fifth principle by accident. They are the principle that makes the other six possible. Voluntary membership means nothing if members do not understand what they joined. Democratic control is hollow if officers do not know how to govern. Economic participation fails if the Treasurer cannot read a financial statement. Invest in your people. Everything else follows.

Footnotes

1. BDP 2023-2028, Chapter 7. Of 12,214 registered cooperatives, only 1,424 (11.66%) held compliance certificates as of the 2010-2020 assessment period. ↩
2. BDP 2023-2028, Chapter 7, Strategy 21: "Ensure profitability and functionality of cooperatives through sufficient technical and financial assistance, institutionalization of monitoring and evaluation system and mechanism, community promotion, and capacitation of human resources." ↩
3. International Cooperative Alliance, Statement on the Cooperative Identity, adopted at the ICA General Assembly, Manchester, 1995. ↩
4. BTA Bill No. 210 (Bangsamoro Cooperative and Social Enterprise Code), Book II, Section 5(v). ↩
5. BTA Bill No. 210, Book II, Section 62(b). ↩
6. Revised IRR of RA 9520, Section 5, Rule 7. Also CDA MC 2025-09, Section VI.2.1. ↩
7. CDA MC 2025-09, Section VIII(a) and (b). ↩
8. BDP 2023-2028, Chapter 7, Combatant Transitional Program. ↩
9. BDP 2023-2028, Chapter 7. STOCK Project: Strengthening of Technical and Operational Knowledge – capacity building for former combatant cooperatives. ↩
10. BDP 2023-2028, Chapter 9 (poverty incidence 29.80%, 2021) and Chapter 4 (functional literacy rate 71.6%). ↩
11. BTA Bill No. 210, Book II, Section 62(b). "An amount for the education and training fund, shall not be more than ten per centum (10%) of the net surplus." ↩
12. BTA Bill No. 210, Book II, Section 62(b)(1). "Half of the amounts transferred to the education and training fund annually under this subsection shall be spent by the cooperative for education and training purposes; while the other half may be remitted to a union or federation chosen by the cooperative or of which it is a member." ↩
13. BTA Bill No. 210, Book II, Section 62(b)(1)(i-iii). ↩
14. BTA Bill No. 210, Book II, Section 62(b)(2). "Upon the dissolution of the cooperative, the unexpended balance of the education and training fund appertaining to the cooperative shall be credited to the cooperative education and training fund of the chosen union or federation." ↩
15. CDA MC 2025-11, Section V. For BARMM cooperatives, CSEA conducts PRS rather than CDA Regional Extension Offices. ↩
16. CDA MC 2025-11, Section V.7. "The Cooperative Development Authority (CDA) shall conduct Pre-Registration Seminars (PRS) free of charge. No fees shall be collected from participants." ↩
17. CDA MC 2025-11, Section V.10. "A Certificate of Completion shall be valid for a period of three (3) years from the date of issuance." ↩
18. CDA MC 2025-11, Section VI; RA 11535. LGUs, through CDOs, provide venue, logistical support, and coordination assistance. ↩
19. CDA MC 2025-09, Section VI.1. "All cooperatives are required to ensure that all their members undertake the Fundamentals of Cooperatives Course, Financial Literacy and Leadership and Values Formation within one (1) year from the date of acceptance of their membership." ↩
20. Revised IRR of RA 9520, Section 5, Rule 7. ↩
21. CDA MC 2025-09, Section VIII(b). "Failure of any officer/s of a cooperative to undergo the prescribed trainings shall disqualify said officer/s to hold any elective or appointive position." ↩

22. CDA MC 2025-09, Section VI.2.1. "For micro cooperatives who graduated into another category, shall take another 8 hours of training on expanded Cooperative Governance and Management (Macro) which covers international concepts (ICA 2nd decade Blueprint, etc.)" ↩
23. CDA MC 2025-09, Section VI.2.1, Continuing Education for Officers. ↩
24. Revised IRR of RA 9520, Section 5, Rule 7; CDA MC 2025-09, Section VI.2.1. ↩
25. CDA MC 2025-09, Section VI.2.1. ↩
26. CDA MC 2025-09, Section VI.2.2. ↩
27. BTA Bill No. 210, Book I, Section 5(v) and the governing principles in Sections 5-6. ↩
28. BDP 2023-2028, Chapter 7, Combatant Transitional Program. ↩
29. BDP 2023-2028, Chapter 7. The Cooperative Financial and Material Support Project provides direct financial and material assistance to former combatant cooperatives in addition to the STOCK training. ↩
30. BDP 2023-2028, Chapter 7, Development of Cooperatives and Social Enterprise Program. LAKAS SE: Lakbay Aral sa Social Enterprise. ↩
31. BDP 2023-2028, Chapter 7, Strategy 8: "Strengthen capacities of farmer's organizations and agri-cooperatives as the driver of agricultural development in partnership with LGUs and other development stakeholders including private sectors." ↩
32. BDP 2023-2028, Chapter 7. BARMM contributes 48.42% of national seaweed production and 41.70% of national cassava production. ↩
33. BTA Bill No. 210, Book II, Chapter III, Section 5. "A prospective member of a primary cooperative must have completed a Pre-registration Seminar (PRS)." ↩
34. CDA MC 2025-11, Section V.1; BARMM/CSEA Context section. ↩
35. CDA MC 2025-11, Section V.10. ↩
36. Revised IRR of RA 9520, Section 5, Rule 7; CDA MC 2025-09, Section VI.2. ↩
37. CDA MC 2025-09, Section VIII(b). ↩
38. CDA MC 2025-09, Section VIII(a). ↩
39. CDA MC 2025-09, Section VI.2.1. Training must be provided by CDA (free), certified CDOs (free), accredited CTPros, or federations/unions for affiliates. ↩
40. RA 11535, "An Act Making the Position of a Cooperative Development Officer Mandatory in the Municipal, City and Provincial Levels." ↩
41. BDP 2023-2028, Chapter 7. "Most LGUs in the Bangsamoro Region have no appointed Municipal Cooperative Officers (MCOs). Regional cooperative officers find it difficult to coordinate at the LGU level." ↩
42. CDA MC 2025-09, Section X. "All training providers shall adopt the Standard Training Curricula for the Required Trainings herein provided as Annex A." ↩
43. CDA MC 2025-09, Section IX. ↩
44. BDP 2023-2028, Chapter 9. Poverty incidence baseline: 29.80% (2021); end-of-plan target: 20-25%. ↩
45. BDP 2023-2028, Chapter 7, Objective 2.5.1: "Profitability of cooperatives increased." ↩
46. CDA MC 2025-09, Section VIII(a) and (b). COC non-issuance for the cooperative; officer disqualification for non-completion of required training. ↩
47. CDA MC 2025-09, Section VIII(a) and (b). Same sanctions apply to officers of small, medium, and large cooperatives. ↩
48. CDA MC 2025-09, Section VI.3. "Cooperatives are encouraged to have an onboarding program and continuous training for staff." No prescribed hours; no sanctions for non-compliance. ↩
49. CDA MC 2025-09, Section VI.3. ↩
50. CDA MC 2025-09, Section VI.3. Authorized providers include CDA (free for Bookkeeping), accredited CTPros, certified CDOs (free of charge), and federations for their affiliates. ↩
51. FLEMMS 2024; BDP 2023-2028, Chapter 4. BARMM functional literacy rate: 71.6%, the lowest among all regions in the Philippines. ↩

52. FLEMMS 2024; PSA 2023. Tawi-Tawi functional literacy rate: 33.2%, the lowest province in the country. ↩
53. CSEA Training Package, "Learner Persona Profiles and Training Needs Analysis" (2026). Five composite personas based on documented learner characteristics from FLEMMS 2024, PSA 2023, and field consultations. ↩
54. CSEA Training Package, "BARMM Calibration Checklist" (2026). A 21-item quality assurance tool across five domains: Linguistic Adaptation (5 items), Cultural Responsiveness (5 items), Economic Contextualization (4 items), Infrastructure Considerations (4 items), and Transition Context (3 items). Scoring interpretation: 19-21 = Fully Calibrated; 15-18 = Mostly Calibrated; 10-14 = Partially Calibrated; Below 10 = Needs Calibration. ↩
55. CDA MC 2025-09, Section VII. "Officers, members and staff of cooperatives are encouraged to undertake the following training programs to enhance their skills, knowledge, and capabilities." The list is illustrative: "including but not limited to." ↩

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11

Growth, Merger, Division, and Dissolution

Every cooperative reaches a crossroads. Growth brings complexity – your original fifteen members are now three hundred, your single barangay operation now serves three municipalities, and the Articles of Cooperation you filed five years ago no longer describe what your cooperative actually does. Two struggling cooperatives in the same barangay might be stronger as one. A cooperative that has grown too large might serve its members better as two. And a cooperative that has lost its purpose needs a dignified exit – not an embarrassing cancellation order from the CSEA.

This chapter covers all of these transitions. You will learn how to expand your cooperative's reach, how to merge with or absorb another cooperative, how to divide one cooperative into two, how to join a federation, and how to dissolve your cooperative properly when the time comes. Each of these actions requires specific voting thresholds, legal filings, and member protections. Get them wrong, and the transition fails – or worse, exposes your officers to personal liability.

The law does not punish cooperatives for changing. It punishes cooperatives that change without following the process.

11.1 Growing Your Cooperative

Growth is not a single event. It is a series of decisions – each one requiring a different legal action. Adding twenty new members is straightforward. Expanding into a neighboring municipality requires amending your Articles of Cooperation. Launching a new business line means changing your cooperative type. Each of these changes follows a different path.

11.1.1 Expanding Membership and Area of Operation

Your cooperative's **area of operation** is defined in your Articles of Cooperation.[1] If your Articles say your cooperative operates in Barangay Pagalungan, Municipality of Datu Odin Sinsuat, Maguindanao del Norte – then that is your legal boundary. You cannot open a branch office in Cotabato City or recruit members from Sultan Kudarat without amending those Articles first.

When you need to amend your area of operation:

- You want to recruit members from a neighboring barangay or municipality
- You plan to open a satellite office or collection point outside your registered area

- A local government unit (LGU) requests your cooperative to serve an expanded territory
- Your members have migrated but still want to participate

The amendment process requires a **two-thirds (2/3) vote** of all members with voting rights.[2] This is not two-thirds of those present at the General Assembly. It is two-thirds of your entire voting membership. If you have 150 voting members, you need at least 100 votes in favor.

Step-by-step: Amending your area of operation

```
1. DRAFT the proposed amendment
   (specify the new area of operation in full)
         |
2. NOTIFY all members at least 30 days
   before the Special General Assembly
         |
3. PRESENT the amendment at the
   Special General Assembly
         |
4. VOTE — requires 2/3 of ALL members
   with voting rights
         |
5. CERTIFY the amendment
   (secretary and majority of directors,
   under oath)
         |
6. FILE with the CSEA within 30 days
   of approval
         |
7. WAIT for CSEA approval
   (effective upon approval, or after 30
   days if CSEA does not act for reasons
   not attributable to the cooperative)
```

Practical tip. Before expanding your area, conduct an **economic survey** of the new territory. How many potential members live there? What services do they need? Can your cooperative's current capital base support the expansion? Growth without preparation is how cooperatives overextend and fail.

> ***BARMM example.*** *A multipurpose cooperative based in Wao, Lanao del Sur, wants to serve members in the neighboring municipality of Bumbaran. The cooperative calls a Special General Assembly, secures a two-thirds vote from its 200 voting members (at least 134 votes needed), certifies the amendment, and files it with the CSEA Lanao del Sur Extension Office. Thirty days later, the amendment takes effect and the cooperative can legally operate in both municipalities.*

11.1.2 Adding New Business Lines (Amending the AOC)

Your cooperative's **type** determines what business activities you can legally conduct.[3] A credit cooperative lends money. A consumer cooperative procures and distributes goods. A multipurpose cooperative combines two or more types. If your credit cooperative wants to start a consumer store, you must amend your Articles to become a **multipurpose cooperative** – or register the store as a separate entity.

The same **two-thirds (2/3) vote** requirement applies.[4] The same filing process applies. But adding a business line carries additional requirements:

New Business Line	Additional Requirements
Credit/lending	Minimum paid-up share capital; compliance with BSP or CSEA lending regulations
Consumer store	Business permit from the LGU; inventory management system
Production/processing	FDA or BFAD permits (if food); DENR clearance (if manufacturing)
Insurance	Insurance Commission accreditation; higher capitalization
Banking	BSP license; significantly higher capital requirements

The critical question: amend or register a new cooperative? Use this decision guide:

```
Is the new business line closely related
to your current operations?
     |
     +-- YES --> Amend your AOC to become
     |           multipurpose (if not already)
     |
     +-- NO ---> Consider these factors:
                  |
                  +-- Will the new line require
                  |   different membership?
                  |   YES --> Register separately
                  |
                  +-- Will the new line expose
                  |   your existing assets to
                  |   new risks?
                  |   YES --> Register separately
                  |
                  +-- Can your current capital
                      base support both lines?
                      NO --> Register separately
```

Warning. Operating a business line not authorized in your Articles of Cooperation is a **compliance violation**. The CSEA can issue a deficiency notice, withhold your Certificate of Compliance, and – in serious cases – initiate cancellation proceedings.[5]

11.2 Merger and Consolidation

Two cooperatives become one. The law provides two paths: **merger** (one cooperative absorbs the other) and **consolidation** (both cooperatives dissolve and form an entirely new one).[6] The legal effects are identical. The practical difference is which name survives.

11.2.1 When Merger Makes Sense

Merger is not a sign of failure. It is a strategic decision. Consider merger when:

- **Two cooperatives serve the same community** with overlapping services and competing for the same members
- **One cooperative has strong management but weak capital**, while another has capital but poor governance
- **Membership has declined** in both cooperatives to near the minimum threshold (15 members for a primary)
- **Economies of scale** would reduce operating costs – one accountant instead of two, one office instead of two, one audit fee instead of two
- **A federation or the CSEA recommends it** after identifying duplication in your area

When merger does NOT make sense:

- The cooperatives serve **different types of members** with different needs
- One cooperative carries **undisclosed liabilities** that would burden the surviving entity
- The **cultures are incompatible** – one is run democratically, the other by a single family
- Members of one cooperative **do not want** to join the other

> ***BARMM example.*** *Two credit cooperatives operate in the same municipality of Upi, Maguindanao del Norte. Each has 40 members, a part-time bookkeeper, and annual net surplus of less than PHP 50,000. Their combined overhead – rent, audit fees, CSEA filings – consumes most of their earnings. The CSEA extension officer recommends they merge. After both cooperatives vote separately, they consolidate into a single credit cooperative with 80 members, a full-time bookkeeper, and the financial strength to access institutional lending programs.*

11.2.2 Legal Requirements and Voting Thresholds

The merger or consolidation process is governed by PB-210, Section 18 (for Bangsamoro cooperatives) and RA 9520, Article 21 (for the national framework).[7] The requirements are strict because merger permanently ends the existence of at least one cooperative.

Voting requirement: three-fourths (3/4) of all members with voting rights, present and constituting a quorum, at **separate** General Assembly meetings of each constituent cooperative.[8] Each cooperative votes independently. If either cooperative fails to reach the threshold, the merger cannot proceed.

Requirement	Detail
Who votes	All members with voting rights in each cooperative, separately
Threshold	3/4 of members present, with quorum
Dissenting members	May withdraw their membership and receive a refund of their share capital[9]
Filing	Submit merger plan and resolutions to the CSEA
Effective date	Upon issuance of the **Certificate of Merger or Consolidation** by the CSEA[10]

Step-by-step: The merger process

```
1. NEGOTIATE the terms of merger
   (which cooperative survives, how
   assets and liabilities transfer,
   officer positions in the merged entity)
         |
2. DRAFT a Merger Plan
   (include financial statements of both
   cooperatives, proposed AOC of the
   surviving/new cooperative, timeline)
         |
3. NOTIFY all members of BOTH
   cooperatives at least 30 days
   before their respective GAs
         |
4. HOLD SEPARATE General Assemblies
   in each cooperative
         |
5. VOTE in each GA — requires 3/4
   of members present with quorum
         |
6. ALLOW dissenting members to withdraw
   (refund share capital per bylaws)
         |
7. FILE the following with the CSEA:
   - Certified copies of both resolutions
   - Merger Plan
   - Financial statements of both cooperatives
   - Proposed AOC of the surviving/new cooperative
   - List of members of the merged entity
         |
8. CSEA reviews and issues the
   Certificate of Merger or Consolidation
         |
9. MERGER takes effect on the date
   of the Certificate
```

Practical tip. The Merger Plan is the most important document. It should address every question a member might ask: What happens to my share capital? Will my loan terms change? Who will be on the new board? Where will the office be? A clear Merger Plan reduces dissent and increases the likelihood of reaching the three-fourths vote.

11.2.3 Effects of Merger on Members and Creditors

The law is clear about what happens after merger. Under PB-210, Section 19 and RA 9520, Article 22, five effects occur automatically:[11]

1. **The constituent cooperatives become one.** In a merger, the surviving cooperative continues. In a consolidation, a new cooperative exists.
2. **The separate existence of absorbed cooperatives ceases.** Their registration numbers become inactive. Their names are removed from the CSEA roster.
3. **The surviving cooperative inherits everything.** All assets, rights, privileges, immunities, and franchises of each constituent cooperative transfer to the surviving or consolidated entity.
4. **The surviving cooperative inherits all liabilities.** Every debt, every obligation, every pending lawsuit. The merger does not erase what was owed. Creditors can pursue the surviving cooperative as if it had incurred those obligations itself.[12]
5. **Creditor rights are protected.** No lien on property of any constituent cooperative is impaired by the merger. No pending legal action is dismissed. The surviving cooperative steps into the shoes of every constituent.

What Transfers	What Does NOT Transfer
All assets and property	Nothing – everything transfers
All liabilities and debts	
All pending lawsuits	
All contracts and agreements	
All member share capital	
All regulatory obligations	

Warning for members. If you vote for merger with a cooperative that has hidden debts, your cooperative absorbs those debts. **Insist on a full financial audit of both cooperatives before voting.** This is not optional. It is the single most important protection you have.

11.3 Division of Cooperatives

The opposite of merger. One cooperative becomes two or more. Division is rarer than merger, but the law provides for it because cooperatives sometimes outgrow their original purpose or territory.

11.3.1 When and Why to Divide

Consider division when:

- **The cooperative has grown so large** that members in distant areas feel disconnected from governance
- **Two distinct business lines** within the cooperative would each be stronger as independent entities
- **Internal conflict** between geographic or sectoral groups has made unified governance impossible
- **Regulatory requirements** favor smaller, specialized cooperatives over a single large multipurpose entity

> ***BARMM example.*** *A multipurpose cooperative in Cotabato City has 500 members – half are market vendors running a consumer store, half are government employees running a credit operation. The two groups have different needs, different risk profiles, and different meeting schedules. After years of tension over how to allocate net surplus, the General Assembly votes to divide into two cooperatives: a consumer cooperative for the vendors and a credit cooperative for the employees. Each group gets the assets and liabilities related to its business line.*

11.3.2 The Three-Fourths Vote Requirement

Division requires a **resolution approved by three-fourths (3/4) of all members with voting rights**, present and constituting a quorum.[13] The procedure is prescribed by CSEA regulations, but the law imposes two firm conditions:

1. **Each new cooperative must comply with all registration requirements.** Minimum 15 members, minimum paid-up share capital, Articles of Cooperation, bylaws – everything starts fresh for each new entity.[14]

2. **No division in fraud of creditors.** You cannot divide a cooperative to dump its debts into one entity and move its assets to another. Any division that prejudices creditors is **void**.[15]

Step-by-step: The division process

```
1. PROPOSE the division
   (identify which members, assets, and
   liabilities go to each new cooperative)
         |
2. DRAFT a Division Plan
   - Asset allocation between new entities
   - Liability allocation (fair and
     proportional, not in fraud of creditors)
   - Member assignment (by choice or
     by business line)
   - Timeline for transition
         |
3. NOTIFY all members at least 30 days
   before the General Assembly
         |
4. HOLD a General Assembly
         |
5. VOTE — requires 3/4 of members
   present, with quorum
         |
6. ALLOW dissenting members to withdraw
         |
7. EACH new cooperative completes the
   full registration process with the CSEA
   (AOC, bylaws, bond, economic survey)
         |
8. CSEA reviews and registers each
   new cooperative
         |
9. The original cooperative ceases
   to exist upon registration of the
   new entities
```

Asset and liability allocation. This is the hardest part of any division. The Division Plan must allocate assets and liabilities **proportionally and fairly**. A common approach:

Allocation Method	How It Works	Best For
By business line		Multipurpose cooperatives splitting by type

Allocation Method	How It Works	Best For
	Each new cooperative gets the assets and liabilities of its business line	
By membership proportion	Assets and liabilities split based on member count or share capital	Geographic splits
By negotiation	Members negotiate a custom allocation through the GA	Complex situations with mixed assets

Warning. Creditors must be notified and their claims honored. If Cooperative A owes PHP 500,000 to a bank and divides into Cooperatives B and C, the bank must know which entity assumes the debt – and must consent to the arrangement. Division without creditor protection is legally void.[16]

11.4 Forming or Joining a Federation

Your cooperative does not have to stand alone. **Federations** and **unions** are secondary and tertiary cooperative structures that allow cooperatives to pool resources, share expertise, and speak with a collective voice.[17]

11.4.1 Requirements for Federation Membership

Under PB-210, Section 21, a **federation** requires a minimum of **three registered cooperatives** of the same type of service within the Bangsamoro region.[18] Three credit cooperatives can form a credit federation. Three multipurpose cooperatives can form a multipurpose federation. You cannot mix types – a credit cooperative, a consumer cooperative, and a producer cooperative cannot form a single federation.

To form a federation, carry out the same formalities required for registering a primary cooperative:

- Articles of Cooperation for the federation
- Bylaws
- Economic survey demonstrating the need for the federation
- Bond for accountable officers
- List of member cooperatives with their registration numbers

To join an existing federation, your cooperative must:

1. Pass a **board resolution** or **General Assembly resolution** (depending on your bylaws) authorizing membership
2. Meet the federation's **admission requirements** (financial standing, compliance status, cooperative type)
3. Pay the federation's **membership fee** and commit to regular **dues**
4. Submit your most recent **CAPR, CAFS, and Certificate of Compliance** as proof of good standing

11.4.2 Benefits and Obligations of Federation Membership

A federation is not just a registry. It is a working organization with specific functions defined by law.[19]

What your federation does for you:

Federation Function	What It Means for Your Cooperative
Complementary business activities	The federation can run wholesale operations, central warehousing, or bulk purchasing that your cooperative cannot do alone
Education and advisory work	Training programs, management consulting, technical assistance – often free or subsidized for members
Bookkeeping and accounting support	Standardized systems, shared software, audit preparation assistance
Coordination	Joint marketing, shared logistics, inter-cooperative lending
Joint ventures	Access to national and international partnerships your cooperative could not pursue alone
Publications	Newsletters, market information, regulatory updates

What you owe your federation:

- **50% of your Education and Training Fund (ETF)** goes to your chosen federation or union every year[20]
- **Annual dues** as set by the federation's General Assembly
- **Compliance with federation bylaws** and resolutions
- **Timely submission of reports** the federation needs for its own compliance

Cooperative Unions serve a different purpose. While federations are organized by **type of business**, unions are organized by **territory** – provincial, city, regional, or national.[21] Unions represent cooperatives of all types within their jurisdiction. They advocate for co-operative interests with the government, conduct research, and promote cooperative principles.

Your cooperative can belong to **both** a federation (by type) and a union (by territory) simultaneously.

> ***BARMM example.*** *The Bangsamoro Cooperative Union represents cooperatives of all types across the region. A credit cooperative in Marawi City might belong to both the Lanao del Sur Credit Cooperative Federation (by type) and the Bangsamoro Cooperative Union (by territory). The federation helps it with lending practices and shared capital. The union represents its interests in regional policy discussions.*

11.5 Voluntary Dissolution

Sometimes a cooperative must end. Members move away. The business becomes unviable. Internal conflict makes governance impossible. The law provides a structured process for voluntary dissolution – one that protects members and creditors while allowing the cooperative to close its affairs with dignity.

There are two paths, and the distinction is critical: **dissolution where no creditors are affected** and **dissolution where creditors are affected**.[22]

11.5.1 The Dissolution Process Under Law

Path 1: No Creditors Affected

If your cooperative has **no outstanding debts** – no loans, no unpaid suppliers, no pending obligations – the dissolution process is simpler.[23]

Step	Action	Who
1	**Board resolution** approving dissolution	Majority of the Board of Directors
2	**Notice to members** by registered mail or personal delivery, at least 30 days before the GA	Secretary
3	**Publication** of the notice for 3 consecutive weeks in a local newspaper (or newspaper of general circulation if no local paper exists)	Board
4	**General Assembly vote** – requires **3/4 of all members with voting rights**, present and constituting a quorum	Members
5	**Certification** of the resolution by a majority of directors, countersigned by the board secretary	Directors, Secretary
6	**Filing** with the CSEA	Chairperson

Step	Action	Who
7	**CSEA issues Certificate of Dissolution**	CSEA

Path 2: Creditors Affected

If your cooperative **has outstanding debts**, the process adds layers of creditor protection.[24]

```
1. BOARD RESOLUTION approving dissolution
   (majority of directors)
         |
2. GENERAL ASSEMBLY VOTE
   (3/4 of members present, with quorum)
         |
3. FILE a PETITION for dissolution
   with the CSEA, signed by majority
   of directors, verified by chairperson
   or secretary
   - Must list ALL claims and demands
     against the cooperative
         |
4. CSEA issues an ORDER
   - Sets a hearing date (30-60 days out)
   - Order is published weekly for 3
     consecutive weeks in a local newspaper
   - Order is posted in 3 public places
     in the cooperative's municipality
         |
5. CREDITORS have 5 days to file
   OBJECTIONS after the notice period
         |
6. CSEA HEARING
   - Tries any issues raised in objections
         |
7. If petition is proven, CSEA issues
   ORDER OF DISSOLUTION setting forth:
   - Assets and liabilities
   - Claims of each creditor
   - Number of members
   - Nature and extent of member interests
```

The critical difference. In Path 1, the CSEA issues the certificate after receiving your resolution. In Path 2, the CSEA conducts a hearing, allows creditors to object, and only dissolves the cooperative after satisfying itself that creditor rights are protected.

11.5.2 Settling Liabilities and Distributing Remaining Assets

Dissolution is not the end. It is the beginning of **liquidation** – a three-year wind-down period during which the cooperative continues to exist for the sole purpose of settling its affairs.[25]

During the three-year liquidation period, the cooperative may:

- Prosecute and defend lawsuits
- Settle and close its affairs
- Dispose of, convey, and distribute its properties and assets
- Convey all properties to **trustees** for the benefit of members, creditors, and other persons in interest

The order of distribution matters. Assets are distributed in this priority:

```
1. TAXES and government obligations
         |
2. SECURED CREDITORS
   (those with liens on specific assets)
         |
3. UNSECURED CREDITORS
   (suppliers, lenders without collateral)
         |
4. MEMBER SHARE CAPITAL
   (refund of paid-up shares)
         |
5. RESERVE FUND
   (does NOT go to members -- must be
   placed in a usufructuary trust for
   the benefit of the cooperative's
   federation or union)[^26]
         |
6. REMAINING NET SURPLUS
   (distributed to members based on
   patronage or as the GA resolves)
```

Three rules you must not break:

1. **No asset distribution before all debts are paid.** A cooperative shall only distribute its assets upon lawful dissolution **and after payment of all its debts and liabilities**.[27]
2. **The Reserve Fund is never distributed to members.** Upon dissolution, the General Assembly may resolve to establish a **usufructuary trust fund** for the benefit of the federation or union, or donate it to a cooperative institution.[28]

3. **Unclaimed assets go to the federation or union.** If a creditor or member is unknown or cannot be found, their share goes to the federation or union with which the cooperative is affiliated.[29]

> ***BARMM example.*** *A fishermen cooperative in Tawi-Tawi with 30 members decides to dissolve. It has PHP 200,000 in a bank loan, PHP 50,000 in unpaid supplier invoices, and PHP 800,000 in total assets (including a motorized banca and a cold storage unit). The cooperative files a petition with the CSEA because creditors are affected. After the hearing, the CSEA issues a dissolution order. During the three-year liquidation, the cooperative sells the banca and cold storage, pays the bank (PHP 200,000), pays the supplier (PHP 50,000), refunds member share capital (PHP 300,000), transfers the Reserve Fund (PHP 80,000) to the Tawi-Tawi Fishermen Cooperative Federation, and distributes the remaining PHP 170,000 to members based on patronage.*

11.6 Involuntary Dissolution and Cancellation of Registration

Not every dissolution is voluntary. The CSEA and the courts have the power to end a co-operative's existence when it violates the law or fails to operate. Understanding these grounds protects you from them.

11.6.1 Grounds for Cancellation

The law provides **three paths** to involuntary dissolution.[30]

Path 1: Court-Ordered Dissolution

A competent court may dissolve a cooperative after due hearing on two grounds:

1. **Violation of any law, regulation, or provision of its bylaws**
2. **Insolvency**[31]

Path 2: CSEA-Ordered Cancellation of Registration

The CSEA may suspend or revoke a cooperative's Certificate of Registration, after due notice and hearing, on any of the following grounds:[32]

Ground	What It Means
Fraudulent registration	The cooperative obtained its COR through false documents, fake member lists, or misrepresentation
Illegal purpose	The cooperative exists for a purpose that violates the law – money laundering, illegal lending, front for other activities
Willful Code or bylaw violations	The cooperative has been notified of violations and continues to violate despite warning
Willful failure to operate on a cooperative basis	The cooperative is run as a private business, not according to cooperative principles (one-member-one-vote, democratic governance, etc.)
Failure to meet minimum membership	The cooperative has fallen below 15 members (for a primary) and has not recruited new members within a reasonable period

Path 3: Dissolution by Failure to Organize and Operate

This is the most common involuntary dissolution in BARMM. Under PB-210, Section 61(a), a cooperative that has **not commenced business within one year** of registration, or has **not carried on its business for one year**, triggers intervention.[33]

The timeline under PB-210 is more structured than the national law:

```
REGISTRATION DATE
      |
      v
6 MONTHS: If cooperative has not
started operations, CSEA intervenes
with support, guidance, and monitoring
      |
      v
12 MONTHS: If still not operating,
CSEA denies the Certificate of
Compliance (COC) -- cooperative
becomes officially INACTIVE
      |
      v
2 YEARS without operations:
CSEA sends a SHOW CAUSE notice.
Cooperative must explain why it
has not operated.
      |
      v
If no justifiable cause is provided:
CSEA DELETES the cooperative from
the roster. It is deemed DISSOLVED.
```

Under the national framework (RA 9520, Article 68), the threshold is **two years** without commencing business or two consecutive years without operations.[34] PB-210 is stricter – it begins intervention at six months and flags inactivity at one year.

Due process is required. The CSEA cannot simply delete your cooperative from the roster. It must send a formal notice. It must give you the opportunity to show cause. Only after you fail to provide a justifiable reason will the CSEA proceed with dissolution.[35]

11.6.2 The Inactive Cooperative Problem and Reactivation

BARMM has thousands of registered cooperatives that exist only on paper. They registered, received a COR, and never operated – or operated for a year and went silent. These **inactive cooperatives** distort the data, occupy registration numbers, and give a false picture of the cooperative movement's strength.

How cooperatives become inactive:

Cause	Frequency in BARMM
Organizers lost interest after registration	Very common
Key officers migrated or moved away	Common
Capital was never collected from members	Common
No viable business in the community	Occasional
Internal conflict paralyzed operations	Occasional
Disaster or displacement disrupted the community	Occasional (but significant in conflict-affected areas)

Can an inactive cooperative be reactivated? Yes – but only before the CSEA has formally dissolved it. If your cooperative is inactive but still on the CSEA roster, take these steps:

1. **Reconvene the Board of Directors.** If a quorum is not possible, call a Special General Assembly to elect new directors.
2. **Conduct an inventory** of all assets, liabilities, and member records.
3. **File all overdue reports** – CAPR, CAFS, and any other required submissions. Pay any outstanding penalties.
4. **Adopt a reactivation plan** with a clear business program, updated economic survey, and realistic timeline.
5. **Request CSEA assistance.** Under PB-210, Section 61(a), the CSEA is required to provide support, assistance, guidance, and close monitoring to cooperatives that have not started operations within six months.[36] Use this mandate. The CSEA extension officer in your area can help you develop a business plan, connect you with training providers, and monitor your progress.
6. **Apply for a new Certificate of Compliance** once you have filed all reports and resumed operations.

The reactivation decision. Before investing effort in reactivation, ask honestly:

```
Do you still have at least 15 members
willing to participate actively?
     |
     +-- NO --> Dissolve voluntarily. It is
     |          better to end cleanly than
     |          to accumulate penalties.
     |
     +-- YES
          |
     Is there a viable business
     opportunity for the cooperative?
          |
          +-- NO --> Dissolve voluntarily.
          |          A cooperative without a
          |          business is a club, not
          |          a cooperative.
          |
          +-- YES
               |
          Can you settle all outstanding
          debts and penalties?
               |
               +-- NO --> Negotiate with
               |          creditors first.
               |          Reactivation with
               |          unpaid debts exposes
               |          new officers to old
               |          liabilities.
               |
               +-- YES --> REACTIVATE.
                           File reports,
                           pay penalties,
                           resume operations.
```

> ***BARMM example.*** *A consumer cooperative in Basilan registered in 2022 but never operated because its founding members were displaced by flooding. By 2024, the members have returned and want to start the cooperative. The cooperative is still on the CSEA roster but has not filed any reports. The members reconvene, elect a new board, file their overdue CAPR (reporting zero operations), pay the late filing penalties, and submit a reactivation plan with an updated economic survey to the CSEA Extension Office in Basilan. The CSEA assigns a Cooperative Development Specialist to monitor their progress for six months.*

Summary: Choosing Your Path

Every transition described in this chapter begins with the same question: **What is best for the members?** Not what is easiest for the officers. Not what avoids hard conversations. What genuinely serves the people who entrusted their share capital to this cooperative.

Situation	Best Path	Key Requirement
You need to serve a larger area or add services	**Amend your AOC** (Section 11.1)	2/3 vote of all members
Two cooperatives would be stronger as one	**Merge** (Section 11.2)	3/4 vote in each cooperative, separately
One cooperative should become two	**Divide** (Section 11.3)	3/4 vote; no fraud on creditors
You want collective bargaining power and shared services	**Join a federation** (Section 11.4)	Board or GA resolution; good compliance standing
The cooperative has no future	**Dissolve voluntarily** (Section 11.5)	3/4 vote; settle all debts first
The cooperative has been inactive for over a year	**Reactivate or dissolve** (Section 11.6)	Honest assessment of viability

One final principle. The law does not trap you in a cooperative that no longer works. It gives you tools to grow, to combine, to split, and to close. But every tool requires **member consent**, **creditor protection**, and **proper filing**. Skip any of those three, and your transition is not just invalid – it is a violation.

Use the tools. Follow the process. Protect the members.

Footnotes

1. PB-210, Book I, Chapter I, Section 11(a)(3) – the Articles of Cooperation must state the area of operation of the cooperative. ↩
2. PB-210, Book I, Chapter I, Section 15 – amendment of Articles of Cooperation requires a two-thirds (2/3) vote of all members with voting rights. See also RA 9520, Article 18. ↩
3. PB-210, Book I, Chapter I, Section 20 – defines 21 types of cooperatives in the Bangsamoro region, from credit to workers cooperatives. ↩
4. PB-210, Book I, Chapter I, Section 15 – the same two-thirds voting requirement applies to any amendment, whether changing the area of operation, business type, or other provisions. ↩
5. PB-210, Book I, Chapter V, Section 61(e) – the CSEA may revoke registration for willful violation of the Code or bylaws despite notice. ↩
6. PB-210, Book I, Chapter I, Section 18 – two or more cooperatives may merge into a single cooperative which shall either be one of the constituent cooperatives (merger) or the consolidated cooperative (consolidation). See also RA 9520, Article 21. ↩
7. RA 9520, Article 21 – Merger and Consolidation of Cooperatives. PB-210, Book I, Chapter I, Section 18 – Merger and Consolidation of Cooperatives. Both laws contain substantially similar provisions, with PB-210 adapted for the Bangsamoro context under the CSEA. ↩
8. PB-210, Book I, Chapter I, Section 18(b) – three-fourths (3/4) vote of all members with voting rights, present and constituting a quorum, at separate general assembly meetings of each constituent cooperative. ↩
9. PB-210, Book I, Chapter I, Section 18(b) – dissenting members may withdraw their membership pursuant to Section 27, Chapter II. See also RA 9520, Article 21(2), which references Article 30 on withdrawal rights. ↩
10. PB-210, Book I, Chapter I, Section 18(c) – the merger or consolidation shall be effective upon the issuance of the certificate of merger or consolidation by the CSEA. ↩
11. PB-210, Book I, Chapter I, Section 19 – Effects of Merger and Consolidation. See also RA 9520, Article 22. ↩
12. PB-210, Book I, Chapter I, Section 19(e) – the surviving cooperative shall be responsible for all liabilities and obligations of each constituent cooperative. Neither the rights of creditors nor any lien upon property shall be impaired by the merger. ↩
13. PB-210, Book I, Chapter I, Section 17 – division requires a three-fourths (3/4) vote of all members with voting rights, present and constituting a quorum. See also RA 9520, Article 20. ↩
14. PB-210, Book I, Chapter I, Section 17 – all requirements set forth in the Code must be complied with by the new cooperatives resulting from division. ↩
15. PB-210, Book I, Chapter I, Section 17 – “no division of a cooperative in fraud of creditors shall be valid.” See also RA 9520, Article 20. ↩
16. PB-210, Book I, Chapter I, Section 17. The prohibition against fraudulent division means creditors must be informed and their claims properly allocated among the resulting cooperatives. ↩
17. PB-210, Book I, Chapter I, Section 21 (Federations) and Section 22 (Unions). See also RA 9520, Articles 24 and 25. ↩
18. PB-210, Book I, Chapter I, Section 21 – “Three or more registered cooperatives in the Region of the same type of services may form a federation.” ↩
19. PB-210, Book I, Chapter I, Section 21, paragraphs 1-7 – enumerates seven functions of a federation, from business activities to coordination to joint ventures. See also RA 9520, Article 24. ↩
20. PB-210, Book I, Chapter VI, Section 76(b) – the Education and Training Fund allocation, of which 50% goes to the cooperative’s chosen federation or union. See also RA 9520, Article 86. ↩

21. PB-210, Book I, Chapter I, Section 22 – cooperative unions represent the interest and welfare of all types of cooperatives at the provincial, city, regional, and national levels. See also RA 9520, Article 25. ↩
22. PB-210, Book I, Chapter V, Section 61(b) and 61(c) – the two paths for voluntary dissolution. See also RA 9520, Articles 64 and 65. ↩
23. PB-210, Book I, Chapter V, Section 61(b) – voluntary dissolution where no creditors are affected. See also RA 9520, Article 64. ↩
24. PB-210, Book I, Chapter V, Section 61(c) – voluntary dissolution where creditors are affected. See also RA 9520, Article 65. ↩
25. PB-210, Book I, Chapter V, Section 61(g) – liquidation of a cooperative. The cooperative continues to exist for three years after dissolution for the purpose of winding up its affairs. See also RA 9520, Article 69. ↩
26. PB-210, Book I, Chapter VI, Section 76(a) – upon dissolution, the reserve fund shall not be distributed among members. The General Assembly may resolve to establish a usufructuary trust fund for the benefit of the federation or union. ↩
27. PB-210, Book I, Chapter V, Section 61(g)(3) – a cooperative shall only distribute its assets or properties upon lawful dissolution and after payment of all its debts and liabilities. See also RA 9520, Article 69. ↩
28. PB-210, Book I, Chapter VI, Section 76(a) – the reserve fund upon dissolution may be placed in a usufructuary trust fund for the benefit of any federation or union to which the cooperative is affiliated. ↩
29. PB-210, Book I, Chapter V, Section 61(g)(2) – upon the winding up of cooperative affairs, any asset distributable to any creditor or shareholder who is unknown or cannot be found shall be given to the federation or union to which the cooperative is affiliated. See also RA 9520, Article 69. ↩
30. PB-210, Book I, Chapter V, Section 61(d), (e), and (f) – three involuntary dissolution paths: court-ordered, CSEA-ordered, and failure to organize and operate. ↩
31. PB-210, Book I, Chapter V, Section 61(d) – involuntary dissolution by court order on grounds of law/bylaw violation or insolvency. See also RA 9520, Article 66. ↩
32. PB-210, Book I, Chapter V, Section 61(e) – five grounds for CSEA cancellation of registration. See also RA 9520, Article 67. ↩
33. PB-210, Book I, Chapter V, Section 61(a) – dissolution by failure to operate, with the CSEA intervention timeline beginning at six months. ↩
34. RA 9520, Article 68 – dissolution by failure to organize and operate within two years of registration or two consecutive years of non-operation. ↩
35. PB-210, Book I, Chapter V, Section 61(a) and (f) – the CSEA must send a formal notice and allow the cooperative to show cause before deleting it from the roster. ↩
36. PB-210, Book I, Chapter V, Section 61(a) – “the Authority will intervene to provide support, assistance, guidance and close monitoring to help the cooperative to operate within the next six (6) months.” ↩

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12

Dispute Resolution, Penalties, and Legal Protection

Disputes are inevitable. Your cooperative brings together people with shared interests but different temperaments, expectations, and levels of commitment. A farmer who joined for credit access sees the world differently from a teacher who joined for savings. A board member who wants aggressive expansion will clash with a treasurer who insists on conservative reserves. The question is not whether disputes will arise – it is whether your cooperative has the mechanisms to resolve them before they destroy trust.

Most cooperatives that fail in BARMM do not fail because of bad business plans. They fail because an internal conflict went unresolved, factions formed, members stopped attending assemblies, and the cooperative bled out quietly. A loan dispute between two members escalates into a board fight. A board fight becomes a faction war. A faction war empties the general assembly. An empty general assembly means no quorum, no elections, no audit approval, and eventually no cooperative.

This chapter gives you the tools to break that cycle. You will learn the formal dispute resolution mechanisms that the law requires, the liability rules that hold your officers accountable, the criminal penalties that punish abuse, and the documentation practices that protect your cooperative when things go wrong. Every cooperative needs these mechanisms in place **before** the first dispute – not after.

12.1 Types of Cooperative Disputes

Not all disputes are the same. The law distinguishes between disputes that arise **within** a cooperative and disputes that arise **between** cooperatives. The distinction matters because each type follows a different resolution path.

12.1.1 Intra-Cooperative Disputes (Member vs. Member, Member vs. Board)

Intra-cooperative disputes are the most common. They occur among members, officers, directors, and committee members of the same cooperative.[1] These disputes typically fall into five categories:

Financial disputes. A member claims the cooperative miscalculated her patronage refund. A borrower disputes the interest charged on his loan. A departing member demands immediate refund of share capital that the bylaws say must be held for six months. These disputes are about money, and they generate the most heat.

Election disputes. A candidate claims the Election Committee disqualified him unfairly. A losing candidate alleges irregularities in the vote count. A group of members demands a special election because the annual election lacked a quorum. Election disputes are time-sensitive – they must be resolved before the new board takes office or the cooperative operates in legal limbo.

Governance disputes. A member accuses a director of conflict of interest. The Audit Committee reports unauthorized expenditures by the General Manager. A group of members files a petition to remove the Chairperson for alleged mismanagement. Governance disputes test the integrity of your cooperative's leadership.

Disciplinary disputes. A member faces expulsion for violating the bylaws. A borrower is sanctioned for defaulting on a loan. A director is suspended for missing three consecutive board meetings without excuse. Disciplinary actions always carry due process requirements – skip them, and the action is void.

Policy disputes. Members disagree on whether the cooperative should expand into a new line of business. The board and the membership clash over a proposed bylaw amendment. A faction wants to merge with a neighboring cooperative; another faction opposes it. Policy disputes are about direction, and they belong in the general assembly – not in back-channel meetings.

Dispute Type	Common Trigger	Resolution Body
Financial	Loan terms, refunds, patronage allocation	Mediation Committee, then Board
Election	Disqualification, vote count, quorum	Election Committee, then GA
Governance	Conflict of interest, unauthorized spending	Ethics Committee, then Board, then GA
Disciplinary	Bylaw violation, default, misconduct	Board (investigation), then GA (removal)
Policy	Expansion, merger, bylaw amendment	General Assembly

12.1.2 Inter-Cooperative and Inter-Federation Disputes

Inter-cooperative disputes arise between two or more cooperatives – or between a cooperative and its federation or union.[2] These are less common but more complex. A primary cooperative disputes the service fees charged by its federation. Two cooperat-

ives in the same municipality claim overlapping service areas. A federation suspends a member-cooperative for non-payment of dues, and the suspended cooperative challenges the suspension.

The same conciliation-mediation-arbitration process applies to inter-cooperative disputes. The difference is that the **cooperative union or federation** acts as the first-level mediator before the dispute escalates to the CSEA.[3]

12.2 The Conciliation and Mediation Process

The law is clear: **disputes must first be settled amicably**.[4] You cannot skip straight to the courts. You cannot file a complaint with the CSEA without first going through your co-operative's own conciliation and mediation mechanisms. This is not optional. It is a jurisdictional prerequisite.

The dispute resolution process follows a mandatory sequence. Understand it. Follow it. Skipping a step invalidates everything that follows.

Dispute Resolution Process

```
STEP 1: BYLAWS-BASED MECHANISMS
Aggrieved party files written complaint
with the Mediation and Conciliation Committee
                    |
                    v
STEP 2: COMMITTEE MEDIATION (30 days)
Committee facilitates dialogue,
proposes settlement terms
                    |
          +---------+---------+
          |                   |
      SETTLED             NOT SETTLED
   (Agreement signed)        |
                             v
STEP 3: FEDERATION/UNION CONCILIATION
If cooperative belongs to a federation,
dispute goes to federation mediation
                    |
          +---------+---------+
          |                   |
      SETTLED             NOT SETTLED
   (Agreement signed)        |
                             v
STEP 4: CERTIFICATION OF FAILURE
Committee + federation issue certification
that all amicable efforts have failed
                    |
                    v
STEP 5: VOLUNTARY ARBITRATION (CSEA)
File complaint with CSEA for
voluntary arbitration
(Attach failure certification)
                    |
                    v
STEP 6: APPEAL
Arbitration decision appealable
to the Office of the President
```

12.2.1 Bylaws-Based Dispute Resolution Mechanisms

Your bylaws **must** contain a conciliation or mediation mechanism.[5] This is not a suggestion. BTA Bill 210 requires it as a mandatory bylaw provision. If your bylaws do not include a dispute resolution clause, add one at your next general assembly.

A strong bylaws-based dispute resolution clause covers seven elements:

1. **Who can file.** Any regular or associate member, any officer, any committee member. Specify that the complaint must be in writing and state the facts clearly.
2. **Where to file.** All complaints go to the **Mediation and Conciliation Committee**. Do not allow complaints filed directly with the board – that bypasses the process.
3. **Timeline.** Set a deadline for the committee to act. Thirty calendar days from receipt of the complaint is standard. If the committee does not act within that period, the complainant may escalate.
4. **Hearing procedure.** Both parties must be heard. The committee schedules a joint session, allows each side to present its position, and facilitates dialogue toward a settlement.
5. **Settlement agreement.** If the parties reach agreement, it must be in writing, signed by both parties and the committee, and filed with the board. A signed settlement agreement is binding.
6. **Failure to settle.** If mediation fails, the committee issues a **certification of non-settlement**. This certification is a prerequisite for filing with the CSEA.
7. **Confidentiality.** All mediation proceedings are confidential. Statements made during mediation cannot be used as evidence in subsequent proceedings.

Sample bylaws provision:

> *Article [__]. Dispute Resolution. – All disputes among members, officers, directors, and committee members shall be submitted to the Mediation and Conciliation Committee for amicable settlement within thirty (30) calendar days from filing. If settlement fails, the Committee shall issue a Certification of Non-Settlement, after which the aggrieved party may seek voluntary arbitration through the CSEA. No member may file a complaint with the CSEA or the courts without first exhausting the internal dispute resolution process.*

12.2.2 The Mediation and Conciliation Committee

The **Mediation and Conciliation Committee** is one of the mandatory committees your cooperative must maintain.[6] The board of directors appoints its members. It must have at least three members, and none of them should be parties to the dispute they are mediating.

Composition requirements:

- Minimum three members
- Appointed by the Board of Directors
- Cannot include the Chairperson or General Manager (they are too often parties to disputes)
- Members should have training in mediation or conflict resolution
- Serve for a term set by the bylaws (typically matching the board's term)

Functions of the Committee:

Function	What It Means in Practice
Receive complaints	Accept written complaints from any member, officer, or committee member. Log the complaint in the Dispute Register.
Investigate	Gather facts from both parties. Review relevant documents – loan records, meeting minutes, financial reports.
Mediate	Bring both parties together. Facilitate dialogue. Propose settlement terms.
Document	Record every step – the complaint, the investigation, the mediation sessions, the outcome.
Certify	If mediation fails, issue a Certification of Non-Settlement signed by all committee members.
Report	Submit a semi-annual report to the board on all disputes filed, resolved, and pending.[7]

Practical tip. Your Mediation Committee is only as effective as its members' skills. Send your committee members to mediation training. The CSEA and accredited training providers offer conflict resolution programs. A trained mediator can resolve in two sessions what an untrained one cannot resolve in ten.

12.2.3 When to Escalate to CSEA or the Courts

Escalation is not failure. Some disputes cannot be resolved internally because the stakes are too high, the parties are too entrenched, or the issue involves legal questions that a mediation committee cannot answer.

Escalate to the CSEA when:

- Your Mediation Committee has issued a Certification of Non-Settlement
- Your federation or union (if applicable) has also certified that its mediation efforts failed
- The dispute involves interpretation of the Cooperative Code or your registration documents
- The dispute involves allegations of financial mismanagement that require forensic examination

Escalate to the courts when:

- The dispute involves criminal acts (fraud, embezzlement, falsification of records)
- The dispute involves claims against third parties who are not cooperative members
- The CSEA's voluntary arbitration has been exhausted and a party appeals to the Office of the President

Do not escalate prematurely. The CSEA will reject any complaint that is not accompanied by a Certification of Non-Settlement from your Mediation Committee and (if applicable) your federation.[8] Filing without these certifications wastes time and money.

The jurisdiction of the CSEA's voluntary arbitrators is **exclusive and original** over cooperative disputes that have exhausted internal mediation.[9] This means the regular courts cannot hear these disputes until the CSEA process is complete. Decisions of voluntary arbitrators are appealable to the **Office of the President** – not to the Court of Appeals or the Regional Trial Court.

12.3 Liability of Directors, Officers, and Committee Members

Your cooperative's officers are not just volunteers doing community service. The law treats them as **fiduciaries** – people entrusted with other people's money and interests. When they betray that trust, they answer personally.

This section explains when personal liability attaches, what disloyalty looks like, and how your cooperative removes an officer who has violated the trust placed in them.

12.3.1 When Personal Liability Attaches

Directors, officers, and committee members are personally liable when they commit any of three acts:[10]

1. Voting for or assenting to patently unlawful acts. If the board votes to disburse the reserve fund for personal bonuses – a clear violation of the law – every director who voted "yes" is personally liable. Every director who was present and did not object is deemed to have assented. The word **"patently"** means the unlawfulness is obvious. You do not need a lawyer to tell you that stealing from the reserve fund is wrong.

2. Gross negligence or bad faith in directing cooperative affairs. A treasurer who never reconciles the bank account is grossly negligent. A chairperson who signs blank checks for the General Manager to fill in later is acting in bad faith. Gross negligence is not an honest mistake – it is a failure so extreme that no reasonable person in that position would have made it.

3. Acquiring personal or pecuniary interest in conflict with their duty. A director who awards a supply contract to his own business without disclosure has a conflict of interest. A committee member who uses her access to member records to solicit clients for her insurance business has a conflict of interest. The test is simple: did the officer benefit personally from a decision they made in their official capacity?

When liability attaches, it is **joint and several**.[11] This means the cooperative (or a damaged member) can collect the full amount of damages from any one liable officer – not just a proportional share. If three directors approved an unlawful disbursement of PHP 300,000, the cooperative can collect the entire PHP 300,000 from any one of them.

The double-profits rule. When a director, officer, or committee member acquires any interest or equity adverse to the cooperative in a matter entrusted to them in confidence, they are liable as a **trustee** for the cooperative. They must return all damages **and** ac-

count for **double the profits** that would have accrued to the cooperative.[12] This is a punitive provision. The law does not just want your money back. It wants to make betrayal painful.

Liability Trigger	Example	Consequence
Voting for unlawful acts	Board approves disbursement from reserve fund for personal bonuses	Joint and several liability for all damages
Gross negligence	Treasurer fails to reconcile bank accounts for 12 months; PHP 200,000 goes missing	Personal liability for losses caused
Bad faith	Chairperson signs blank checks for General Manager	Personal liability for all unauthorized disbursements
Conflict of interest	Director awards supply contract to own business without disclosure	Liable for damages + double profits
Breach of confidence	Officer uses insider knowledge of cooperative's expansion plans to buy adjacent land	Liable as trustee + double profits

12.3.2 Disloyalty, Confidential Information, and Conflict of Interest

The law separates three specific forms of misconduct that carry enhanced penalties.

Disloyalty. A director who acquires for himself an opportunity that should belong to the cooperative is **disloyal**.[13] The classic case: the cooperative is negotiating to lease a warehouse, and a director quietly leases it for his own business instead. The disloyal director must account for **double the profits** and refund them to the cooperative. This liability applies even if the director used his own funds for the venture.

The only defense against a disloyalty charge is ratification by **three-fourths (3/4) vote** of all members with voting rights, present and constituting a quorum.[14] The ratification must happen at a general assembly meeting, with full disclosure of what the director did.

Illegal use of confidential information. A director or officer – or their associate – who uses confidential cooperative information for personal benefit is liable for three things:[15]

1. **Compensating the cooperative** for direct losses suffered
2. **Accounting for any direct benefit** received or yet to be received
3. **Criminal penalty** of a fine of not less than PHP 500,000 or imprisonment of 5-10 years, or both[16]

"Confidential information" means any information that, if generally known, might reasonably be expected to adversely affect the cooperative's operation and viability. Member financial records. Pending business deals. Internal audit findings. Loan delinquency lists.

Conflict of interest in contracts. A contract between the cooperative and one of its own directors, officers, or committee members is **voidable** at the cooperative's option – unless four conditions are all met:[17]

1. The director's presence was not necessary to constitute a quorum
2. The director's vote was not necessary to approve the contract
3. The contract is fair and reasonable
4. For officers or committee members, the contract was previously authorized by the GA or the board

If any of the first two conditions is absent, the contract can still be ratified by a **three-fourths (3/4) vote** of all voting members present and constituting a quorum, provided there is full disclosure of the director's adverse interest and the contract is fair and reasonable.[18]

Practical guidance. Require all directors and officers to submit an **annual disclosure of interests** listing all businesses, properties, and financial interests that could conflict with their cooperative duties. Keep these disclosures on file. When a board decision involves a potential conflict, require the conflicted director to **recuse** – leave the room, do not participate in the discussion, and do not vote. Record the recusal in the minutes.

12.3.3 Removal Procedures and Due Process

Removal is the ultimate accountability mechanism. It says: you violated the trust placed in you, and you can no longer serve. But removal without due process is itself a violation. Follow the procedure exactly.

Step 1: File the complaint with the Board. All complaints for removal of any elected officer must be filed with the Board of Directors.[19] The complaint must be in writing and state specific grounds – not vague accusations.

Step 2: Investigation and hearing. The officer must be given the **opportunity to be heard**. This is a constitutional right. The board conducts a preliminary investigation. During this investigation, a **majority of the board** may place the officer under **preventive suspension**.[20] Preventive suspension is not a penalty – it is a precautionary measure to prevent the officer from interfering with the investigation.

Step 3: Prima facie finding. If the board finds **prima facie evidence of guilt** – meaning enough evidence that a reasonable person would believe the officer committed the act – it presents its recommendation for removal to the General Assembly.[21]

Step 4: General Assembly vote. The GA decides. An elective officer may be removed by **three-fourths (3/4) vote** of the regular members present and constituting a quorum, at a regular or special GA called for the purpose.[22] The officer must be given another opportunity to be heard at the assembly. This is a separate hearing from the board investigation.

Step 5: Record the decision. Document everything. The resolution of removal, the vote count, the officer's defense, the evidence presented – all of it goes into the official minutes.

Step	Action	Who Decides	Voting Threshold
1	File written complaint	Complainant files with Board	N/A
2	Investigation + hearing	Board of Directors	Majority for preventive suspension
3	Prima facie finding	Board of Directors	Majority recommendation
4	Removal vote	General Assembly	3/4 of members present (with quorum)
5	Record and implement	Secretary records; Board implements	N/A

Warning. If you remove an officer without following this process, the removal is void. The officer can challenge it, and the cooperative may face liability for damages. Do not shortcut due process even when the evidence of wrongdoing is overwhelming.

12.4 Penal Provisions

The previous section dealt with civil liability – the officer owes the cooperative money. This section deals with **criminal liability** – the officer goes to jail, pays a fine, or both. The penal provisions of BTA Bill 210 are modeled on RA 9520 but carry updated penalties calibrated for BARMM.

These are not theoretical penalties. They are enforceable criminal offenses. The CSEA can initiate complaints on its own motion. Any cooperative or member can file a criminal case.

12.4.1 Prohibited Acts

BTA Bill 210, Book IV, Chapter II lists seven categories of prohibited acts.[23] Study them. Make sure your officers know them. Ignorance of the law excuses no one.

Prohibited Act 1: Unauthorized use of "Cooperative." No person, group, or organization may use the word "Cooperative" in its name unless it is duly registered as a cooperative under the Code.[24] This protects the public from fake cooperatives that collect money under false pretenses.

BARMM example: A group in Cotabato City collects "membership fees" and "share capital" from market vendors under the name "Bangsamoro Vendors Cooperative" without CSEA registration. This is a criminal offense.

Prohibited Act 2: Tax evasion. Any person who willfully evades or defeats the tax provisions of the Code commits a criminal offense.[25] This includes cooperatives that claim tax exemptions they are not entitled to, and officers who falsify financial records to maintain an exemption.

Prohibited Act 3: Government interference with tax exemptions. Any public official who deprives a registered cooperative of its lawful tax exemption – by requiring unauthorized fees, denying exemption certificates, or adding conditions not in the law – commits a criminal offense.[26]

Prohibited Act 4: Government interference with cooperative autonomy. Any public official who meddles in the internal affairs of a cooperative commits an offense.[27] This includes:

- Influencing elections through public or private endorsement

- Requiring prior clearance for cooperative decisions
- Demanding creation of positions or recommending appointments
- Any act that infringes cooperative autonomy

BARMM example: A municipal mayor tells a cooperative's board that government livelihood funds will only be released if the mayor's recommended candidate is appointed General Manager. This is a prohibited act, regardless of the mayor's intentions.

Prohibited Act 5: Officer violations of fiduciary duty. Directors, officers, or committee members who violate the liability provisions (Section 44), the disloyalty provision (Section 45), or the confidential information provision (Section 46) face criminal penalties on top of civil liability.[28]

Prohibited Act 6: Reporting and record-keeping offenses. Eight specific acts fall under this category:[29]

1. Refusing to furnish required information or reports
2. Submitting false or misleading reports to the CSEA
3. Refusing to keep required books or registers
4. Making false entries in required books
5. Hindering authorized inspections, audits, or examinations
6. Failing to comply with CSEA orders or written instructions
7. Violating restrictions on related-party transactions
8. Abetting or authorizing another person to commit any offense under the Code

Prohibited Act 7: Social enterprise misrepresentation. Any entity that falsely represents itself as a social enterprise to access benefits and incentives commits an offense.[30] The officers of such entity face personal liability.

12.4.2 Penalties and Fines Under BTA Bill 210

The penalties vary by offense. The table below consolidates every penalty provision in Book IV, Chapter II of BTA Bill 210.

Prohibited Act	Imprisonment	Fine	Legal Basis
Unauthorized use of "Cooperative"	2-5 years	Up to PHP 20,000	BTA Bill 210, Book IV, Sec. 7[31]
Tax evasion	2-4 years	PHP 30,000-100,000	BTA Bill 210, Book IV, Sec. 8[32]

Prohibited Act	Imprisonment	Fine	Legal Basis
Government obstruction of tax exemption	1-5 years	PHP 5,000 minimum	BTA Bill 210, Book IV, Sec. 8(a)[33]
Government interference with autonomy	2-5 years	PHP 20,000 minimum	BTA Bill 210, Book IV, Sec. 8[34]
Officer fiduciary violations (Secs. 44-46)	5-10 years	PHP 500,000	BTA Bill 210, Book IV, Sec. 8(f)[35]
Reporting/record-keeping offenses	1-5 years	Up to PHP 50,000	BTA Bill 210, Book IV, Sec. 8(g)[36]
Catch-all (violations with no specific penalty)	6 months-1 year	PHP 1,000 minimum	BTA Bill 210, Book IV, Sec. 8(p)[37]
SE misrepresentation (individuals)	6 months-2 years	PHP 250,000	BTA Bill 210, Book IV, Sec. 9[38]
SE misrepresentation (juridical entities)	Officers: 2+ years	Officers: PHP 500,000; Entity: double tax savings	BTA Bill 210, Book IV, Sec. 9[39]

Three critical points about these penalties:

First, when a cooperative is the violator, the penalty falls on its **directors and officers personally** – not on the cooperative as an institution.[40] The law pierces the cooperative veil.

Second, public officials who commit violations suffer the **accessory penalty of temporary absolute disqualification** from holding any public office.[41] A barangay chairperson who interferes with a cooperative's elections does not just face a fine – they lose their position.

Third, the CSEA can initiate complaints **motu proprio** – on its own initiative, without waiting for a member to file.[42] If the CSEA discovers violations during an audit or examination, it can refer the matter directly to prosecutors.

12.5 Protecting Your Cooperative

The best defense against disputes, liability claims, and criminal charges is not a good lawyer. It is good documentation. A cooperative that keeps meticulous records can defend every decision it makes. A cooperative that keeps poor records is vulnerable to every accusation, justified or not.

12.5.1 Documentation and Record-Keeping as Legal Defense

Every document your cooperative produces is potential evidence. Treat it that way. The following records serve as your cooperative's legal armor:

Board minutes. Record every board meeting. Include the date, attendees, agenda, discussions, motions, votes (including who voted for, against, and abstained), and resolutions. When a director recuses due to conflict of interest, record it. When the board rejects a proposal, record the reasons. Minutes are your primary defense against claims of unauthorized action.

General assembly minutes. Same standard as board minutes, with the added requirement of recording the **quorum count** and the **vote tallies** for every resolution. If the GA votes to remove an officer, record the exact count – not just "motion carried."

Financial records. The Treasurer must maintain complete and current books of account.[43] Monthly bank reconciliations. Disbursement vouchers with supporting documents. Collection receipts in sequence. A cooperative that cannot account for every peso it received and spent is a cooperative whose officers face personal liability.

Dispute records. The Mediation and Conciliation Committee must maintain a **Dispute Register** – a chronological log of every complaint received, the parties involved, the dates of mediation sessions, the outcome, and any Certification of Non-Settlement issued. This register proves that your cooperative followed the mandatory dispute resolution process.

Disclosure records. Keep every annual disclosure of interests submitted by directors and officers. Keep copies of every conflict-of-interest recusal. These records prove that your cooperative took governance seriously.

Communication records. Keep copies of all notices sent to members – meeting notices, election notices, assessment notices, demand letters. Use methods that create a paper trail: registered mail, acknowledged receipt, or electronic transmission with read confirmation. A member who claims "I was never notified" cannot sustain that claim when you produce a signed acknowledgment.

How long to keep records. The Code does not specify a blanket retention period, but apply this rule: **keep all records for at least ten years from the date of creation**. Financial records should be kept for the cooperative's entire existence. Dispute records should be kept for at least five years after resolution. When in doubt, do not destroy – store.

12.5.2 Working with CSEA and Legal Counsel

Your cooperative should not wait for a crisis to build its relationship with the CSEA and legal counsel.

CSEA relationship. The Cooperative and Social Enterprise Authority is not just a regulator. It is also a resource. Use it proactively:

- **Register early.** File your compliance reports on time. A cooperative with a clean compliance record gets the benefit of the doubt when disputes arise.
- **Seek advisory opinions.** If your board is unsure whether a proposed transaction creates a conflict of interest, write to the CSEA for an advisory opinion before proceeding. A CSEA advisory opinion is not binding law, but it demonstrates good faith.
- **Report problems early.** If your cooperative discovers internal fraud, report it to the CSEA before the CSEA discovers it during an audit. Self-reporting demonstrates institutional integrity.
- **Use CSEA training programs.** The CSEA offers training on governance, financial management, and dispute resolution. Send your officers and committee members.

Legal counsel. Not every cooperative can afford a lawyer on retainer. But every cooperative should know when to engage one:

Situation	Do You Need a Lawyer?
Routine mediation of member disputes	No – your Mediation Committee handles this
Drafting or amending bylaws	Recommended – ensures legal compliance
Removal proceedings for an officer	Recommended – due process must be followed precisely

Situation	Do You Need a Lawyer?
Criminal complaint filed against an officer	**Yes** – immediately
CSEA issues a Show Cause Order	**Yes** – respond within 15 days with legal guidance
Contract review for major transactions	Recommended – especially related-party transactions
Dissolution proceedings	**Yes** – protects member interests during liquidation

Cooperative federations and legal pooling. If your cooperative belongs to a federation, explore **legal pooling arrangements** where member-cooperatives share the cost of a retained lawyer. Five cooperatives each paying PHP 2,000 per month gives the group a PHP 10,000 monthly retainer – enough to secure a competent provincial attorney who can advise all five cooperatives on routine matters and represent them in emergencies.

The Ombudsman option. If a government official or employee violates the cooperative's rights – by interfering with elections, obstructing tax exemptions, or meddling in internal affairs – your cooperative can file a complaint with the **Ombudsman**, the **Civil Service Commission**, or the appropriate court.[44] Do not suffer government interference silently. The law protects your cooperative's autonomy, but only if you invoke that protection.

Chapter Summary

Disputes will come. Officers will make mistakes. Some will make deliberate ones. The question is whether your cooperative has built the mechanisms to handle these situations before they become existential threats.

Five things to do after reading this chapter:

1. **Review your bylaws.** Does your dispute resolution clause cover all seven elements listed in Section 12.2.1? If not, draft an amendment for the next GA.
2. **Appoint a trained Mediation Committee.** If your current committee has no mediation training, send them to a CSEA-accredited conflict resolution program within 60 days.
3. **Create a Dispute Register.** Start logging every complaint from today forward – even informal ones that get resolved quickly. The register is your proof of process.
4. **Require annual disclosure of interests.** Every director and officer should submit a written disclosure listing all businesses, properties, and financial relationships that could create conflicts.
5. **Brief your officers on the penal provisions.** Every director, officer, and committee member should know that fiduciary violations carry imprisonment of 5-10 years and a fine of PHP 500,000. Ignorance is not a defense.

Your cooperative exists because its members chose to trust each other with their money, their labor, and their aspirations. Protecting that trust is not just good governance. It is the law.

Footnotes

1. BTA Bill 210, Book IV, Sec. 4. "Disputes among members, officers, directors, and committee members, and intra-cooperative, inter-cooperative, intra-federation or inter-federation disputes shall, as far as practicable, be settled amicably in accordance with the conciliation or mediation mechanisms embodied in the bylaws." See also RA 9520, Art. 137. ↩
2. BTA Bill 210, Book IV, Sec. 4. The provision covers "intra-cooperative, inter-cooperative, intra-federation or inter-federation disputes." ↩
3. BTA Bill 210, Book IV, Sec. 4, par. 3. "Should such conciliation or mediation proceeding fail, the matter shall be settled through voluntary arbitration: Provided, however, That before any party can validly file a complaint with the Authority for voluntary arbitration, it must first secure a certification from its conciliation and mediation committee and from the cooperative union or federation to which it belongs." ↩
4. BTA Bill 210, Book IV, Sec. 4, par. 1. "Disputes... shall, as far as practicable, be settled amicably." ↩
5. BTA Bill 210, Book I, Sec. 15(n). The bylaws must include "a conciliation or mediation mechanism for the amicable settlement of disputes among members, directors, officers and committee members of the cooperative." See also RA 9520, Art. 15(n). ↩
6. Governance Guide, Mediation and Conciliation Committee. "Appointed by Board of Directors. Composition: 3 members (minimum). Functions: Hear complaints and grievances against members, officers, or staff; mediate disputes between parties; recommend resolutions." ↩
7. BTA Bill 210, Book IV, Sec. 4. The committee's reporting obligation is implicit in its duty to facilitate amicable settlement and issue certifications. Best practice: submit semi-annual reports to the board. ↩
8. BTA Bill 210, Book IV, Sec. 4, par. 3. No party "can validly file a complaint with the Authority for voluntary arbitration" without first securing certification of failure from the mediation committee and the cooperative union or federation. ↩
9. BTA Bill 210, Book IV, Sec. 4, par. 4. "The jurisdiction of the voluntary arbitrators shall be exclusive and original and their decisions shall be appealable to the Office of the President." ↩
10. BTA Bill 210, Book II, Sec. 44. "Directors, officers and committee members, who willfully and knowingly vote for or assent to patently unlawful acts or who are guilty of gross negligence or bad faith in directing the affairs of the cooperative or acquire any personal or pecuniary interest in conflict with their duty... shall be liable jointly and severally for all damages or profits resulting therefrom." See also RA 9520, Art. 45. ↩
11. BTA Bill 210, Book II, Sec. 44. Liability is "jointly and severally." ↩
12. BTA Bill 210, Book II, Sec. 44, par. 2. "He shall, as a trustee for the cooperative, be liable for damages and shall be accountable for double the profits which otherwise would have accrued to the cooperative." See also RA 9520, Art. 45, par. 2. ↩
13. BTA Bill 210, Book II, Sec. 45. "A director who, by virtue of his office, acquires for himself an opportunity which should belong to the cooperative shall be liable for damages and must account for double the profits." See also RA 9520, Art. 48. ↩
14. BTA Bill 210, Book II, Sec. 45. Ratification requires "a three-fourths (3/4) vote of all the members with voting rights, present and constituting a quorum." ↩
15. BTA Bill 210, Book II, Sec. 46. See also RA 9520, Art. 49. ↩
16. BTA Bill 210, Book IV, Sec. 8(f). "A director, officer or committee member who violated the Section 44, Chapter III on the liability of Directors, Officers and Committee members, Section 45, Chapter III on the disloyalty of a Director, and Section 46, Chapter III of this Code on the illegal use of confidential information shall upon conviction suffer a fine of not less than Five hundred thousand pesos (P500,000.00)... or imprisonment of not less than five (5) years but not more than ten (10) years or both." ↩

17. BTA Bill 210, Book II, Sec. 48. See also RA 9520, Art. 47. ↩
18. BTA Bill 210, Book II, Sec. 48, par. 2. Ratification requires "three-fourths (3/4) vote of all the members with voting rights, present and constituting a quorum" with "full disclosure of the adverse interest of the directors involved." ↩
19. BTA Bill 210, Book II, Sec. 47. "All complaints for the removal of any elected officer shall be filed with the board of directors." See also RA 9520, Art. 50. ↩
20. BTA Bill 210, Book II, Sec. 47. "Majority of the board of directors may place the officer concerned under preventive suspension pending the resolution of the investigation." ↩
21. BTA Bill 210, Book II, Sec. 47. "Upon finding of prima facie evidence of guilt, the board shall present its recommendation for removal to the general assembly." ↩
22. BTA Bill 210, Book II, Sec. 47. "An elective officer may be removed by three fourths (3/4) votes of the regular members present and constituting a quorum, in a regular or special general assembly meeting called for the purpose." ↩
23. BTA Bill 210, Book IV, Ch. II. "The following acts or omissions affecting cooperatives are hereby prohibited." ↩
24. BTA Bill 210, Book IV, Sec. 7. ↩
25. BTA Bill 210, Book IV, Sec. 8. ↩
26. BTA Bill 210, Book IV, Sec. 8(a). ↩
27. BTA Bill 210, Book IV, Sec. 8, items (a)-(e) on government interference. ↩
28. BTA Bill 210, Book IV, Sec. 8(f). ↩
29. BTA Bill 210, Book IV, Sec. 8(g)-(o). ↩
30. BTA Bill 210, Book IV, Sec. 9. ↩
31. BTA Bill 210, Book IV, Sec. 7. "The penalty of imprisonment of not less than two (2) years nor more than five (5) years and a fine not exceeding twenty thousand (20,000.00) pesos or both." ↩
32. BTA Bill 210, Book IV, Sec. 8. "A fine of not less thirty thousand pesos (30,000.00) but not more than one hundred thousand pesos (100,000.00) and suffer imprisonment of not less than two (2) years but not more than four (4) years." ↩
33. BTA Bill 210, Book IV, Sec. 8(a). "A penalty not less than one (1) year but not more than five (5) years imprisonment or a fine in the amount of not less than five thousand pesos (P5,000.00) or both." ↩
34. BTA Bill 210, Book IV, Sec. 8, final paragraph. "Not less than two (2) years but not more than five (5) years imprisonment or a fine in the amount of not less than Twenty thousand pesos (P20,000.00), or both." ↩
35. BTA Bill 210, Book IV, Sec. 8(f). "A fine of not less than Five hundred thousand pesos (P500,000.00)... or imprisonment of not less than five (5) years but not more than ten (10) years or both." ↩
36. BTA Bill 210, Book IV, Sec. 8(g). "Imprisonment of not less than one (1) year nor more than five (5) years or a fine of not more than Fifty thousand pesos (P50,000.00) or both." ↩
37. BTA Bill 210, Book IV, Sec. 8(p). "Imprisonment of not less than six (6) months nor more than one (1) year and a fine of not less than One thousand pesos (P1,000.00), or both." ↩
38. BTA Bill 210, Book IV, Sec. 9. "Imprisonment for not less than six (6) months but not more than two (2) years or a fine of not less than two hundred fifty-thousand (P250,000.00) or both." ↩
39. BTA Bill 210, Book IV, Sec. 9, par. 3. "Officers of the juridical entity... shall be liable for a fine of P500,000.00 or imprisonment for not less than two (2) years or both." The entity must "pay double the benefits it reaped." ↩
40. BTA Bill 210, Book IV, Sec. 8(o). "In case the violator is a cooperative or juridical person, the penalty shall be imposed on its directors and officers." ↩
41. BTA Bill 210, Book IV, Sec. 8, final paragraph. "In the case of a public official or employee, the offender shall upon conviction, suffer the accessory penalty of temporary absolute disqualification." ↩
42. BTA Bill 210, Book IV, Sec. 7, par. 2. "The Authority may motu proprio, initiate complaints for violation of this provision." ↩
43. BTA Bill 210, Book III, Ch. IV (Responsibilities of Cooperatives). The cooperative must "keep a complete set of books of account." See also RA 9520, Art. 52. ↩

44. BTA Bill 210, Book IV, Sec. 8, par. following Sec. 8(p). “The cooperative or any of its members can file a case against any officer or employee of the Bureau of Internal Revenue or of any other government agency with the Ombudsman, Civil Service Commission, other appropriate government agency or the courts of law.” ↩

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The CSEA-BARMM and the Cooperative Ecosystem

Your cooperative does not operate in isolation. Behind it stands an entire ecosystem of government agencies, development partners, and fellow cooperatives. Knowing who does what – and how to access their services – is as practical as knowing your bylaws. A cooperative that understands the ecosystem gets faster registration, better training, cheaper financing, and stronger legal protection. A cooperative that does not understand it wastes months navigating bureaucracy, misses grant deadlines, and solves problems alone that the system was designed to solve for them.

This chapter maps the ecosystem. You will learn what the CSEA-BARMM does and how it is structured. You will learn what services you can request – and how to request them. You will learn how your LGU Cooperative Development Officer fits into the picture. You will learn which BTA committees oversee the cooperative sector, how the CDA relates to the CSEA, and which development partners operate in the region. You will also learn about the Combatant Transitional Program – one of the most important cooperative development pathways in the Bangsamoro.

Treat this chapter as your directory. Return to it every time you need to know **who to call**, **what to file**, or **where to go**.

13.1 The Cooperatives and Social Enterprise Authority (CSEA-BARMM)

The **Cooperatives and Social Enterprise Authority (CSEA)** is the primary government agency responsible for cooperatives and social enterprises in the Bangsamoro Autonomous Region. Every cooperative you register, every compliance certificate you secure, every training program you request – all of these go through or involve the CSEA. Understanding this agency is not optional. It is the foundation of your relationship with the Bangsamoro government's cooperative development infrastructure.

13.1.1 Mandate, Powers, and Functions (BTA Bill 210, Sections 11-13)

What the CSEA is. Under BTA Bill 210, the CSEA is the **sole agency** of the Bangsamoro Government authorized to register cooperatives and social enterprises.[1] It enjoys **fiscal autonomy** and is attached to the **Office of the Chief Minister**.[2] This placement is significant. It means the CSEA reports to the highest executive authority in the Bangsamoro government, giving cooperative development a seat at the top of the policy table.

The CSEA's mandate. The CSEA, together with all branches and agencies of the Bangsamoro Government, must ensure the provision of **technical guidance**, **financial assistance**, and **other services** to enable cooperatives to develop into viable and responsive economic enterprises.[3] The operative word is "ensure." The mandate is not merely to offer services. It is to guarantee that cooperatives have what they need to become platforms for **poverty reduction** and **sustainable, inclusive, and equitable development**.

Powers and functions. BTA Bill 210, Section 13 grants the CSEA twenty-four enumerated powers. You do not need to memorize all of them. But you do need to know the categories and which ones directly affect your cooperative:

Planning and policy. The CSEA formulates, adopts, and implements integrated plans and programs on cooperative and social enterprise development.[4] These plans must be consistent with the overall socio-economic development plans of the Bangsamoro Government – meaning the **Bangsamoro Development Plan (BDP) 2023-2028** and its successors.

Training and capability building. The CSEA develops and conducts management and training programs upon request of cooperatives and social enterprises.[5] This is demand-driven. Your cooperative must request the training. Do not wait for the CSEA to come to you. Submit a formal request letter to the CSEA Provincial Office or the Cooperative Development Division at the central office.

Registration and compliance. The CSEA is the sole registration authority. It processes applications for **Certificates of Registration (COR)** and **Certificates of Compliance (COC)**.[6] It also requires all cooperatives to submit **annual reports** and **audited financial statements**.[7]

Financial access. The CSEA assists cooperatives in accessing financial and other forms of assistance under terms designed to strengthen their viability and autonomy.[8] It also administers all grants and donations coursed through the Bangsamoro Government for cooperative development.[9]

Dispute resolution. Upon request of either or both parties, the CSEA mediates and conciliates disputes within a cooperative or between cooperatives.[10] This is the escalation path when your internal mediation and conciliation mechanisms fail, as discussed in Chapter 12.

Combatant reintegration. The CSEA promotes and strengthens cooperatives as pathways to reintegrate **former combatants**, **surrenderees**, and **disaster-affected communities**.[11] This is a unique Bangsamoro mandate that does not exist at the national level. Section 13.5 of this chapter covers the Combatant Transitional Program in detail.

Coordination. The CSEA coordinates the efforts of LGUs and the private sector in the promotion, organization, and development of cooperatives and social enterprises.[12] Your municipal or city government should be working **with** the CSEA on cooperative programs – not independently.

What this means for you. The CSEA is not just a registration office. It is your cooperative's primary government partner for training, financing, compliance support, dispute resolution, and market development. **Know your CSEA Provincial Director by name.** Keep their contact number in your records. Visit the provincial office at least once per quarter – even when you do not have a specific problem. Building a relationship during calm times ensures faster response during urgent ones.

13.1.2 Organizational Structure: Four Divisions and Provincial Offices

The CSEA's organizational structure is defined by BTA Bill 210, Section 14.[13] Understanding it tells you exactly who handles what – so you never send a compliance question to the training division or a legal question to the finance office.

The Executive Director. The CSEA is headed by an **Executive Director** with the rank of **Director III**.[14] The Executive Director oversees all four divisions, sets agency-wide priorities, and represents the CSEA in Cabinet-level discussions. The Executive Director is assisted by four Division Chiefs and supported by Provincial Directors.

The four divisions. The CSEA is composed of the following divisions:

Division	Head	Primary Responsibility
Administrative and Finance Division	Division Chief	Day-to-day operations, budget, administrative support
Cooperative Development Division	Division Chief	Registration, compliance, training, monitoring, mediation
Social Enterprise Division	Division Chief	SE promotion, accreditation, product development, education
Shari'ah and Legal Division	Division Chief	Legal review, Shari'ah compliance, policy research, audits

The Administrative and Finance Division handles the internal machinery of the CSEA – budget management, human resources, procurement, and administrative support.[15] You will interact with this division when paying registration fees, requesting official documents, or following up on the administrative status of your applications.

The Cooperative Development Division is the division you will deal with most frequently. It processes registration applications and issues **COR** and **COC** certificates.[16] It provides mediation and arbitration services.[17] It conducts monitoring and inspection of cooperatives.[18] It develops and delivers management training programs.[19] It assists cooperatives with financing and marketing opportunities.[20] And it works on convergence across different ministries and agencies to deliver a **whole-of-government approach** to cooperative development.[21]

The Social Enterprise Division handles social enterprise promotion, accreditation, product development, and capacity building.[22] If your cooperative also qualifies or intends to qualify as a social enterprise, this is the division that processes your SE accreditation and connects you to the **RISE for Peace and Sustainable Development Program**. The Social Enterprise Division also encourages **social procurement** – the practice of government agencies purchasing goods and services from social enterprises.[23]

Provincial Offices. The CSEA operates **Provincial Offices** in the provinces of Maguindanao, Lanao del Sur, Basilan, and Tawi-Tawi.[24] Each Provincial Office is headed by a **Provincial Director** with the rank of **Director I**. Cotabato City and the **Special Geographic Area (SGA)** fall under the jurisdiction of the CSEA Provincial Office in Maguindanao.[25]

Your Provincial Office is your primary point of contact for all routine transactions – registration filing, compliance submissions, training requests, and field consultations. For complex matters involving legal interpretation, Shari'ah compliance, or policy disputes, the Provincial Office will coordinate with the relevant division at the central office.

The organizational chart. Think of the structure this way:

```
Executive Director (Director III)
    |
    |--- Administrative and Finance Division (Division Chief)
    |
    |--- Cooperative Development Division (Division Chief)
    |
    |--- Social Enterprise Division (Division Chief)
    |
    |--- Shari'ah and Legal Division (Division Chief)
    |
    |--- Provincial Office - Maguindanao (Provincial Director, Director I)
    |        (includes Cotabato City and SGA)
    |
    |--- Provincial Office - Lanao del Sur (Provincial Director, Director I)
    |
    |--- Provincial Office - Basilan (Provincial Director, Director I)
    |
    |--- Provincial Office - Tawi-Tawi (Provincial Director, Director I)
```

How to reach the CSEA central office.

Detail	Information
Address	Japan-ARMM Friendship Hall and Training Center, Bangsamoro Government Center, Cotabato City[64]
Email	cda@bangsamoro.gov.ph
Phone	552-1105
Website	https://csea.bangsamoro.gov.ph
Office Hours	Monday-Friday, 8:00 AM - 5:00 PM

Practical tip. When filing documents or making inquiries, **always identify which division handles your matter** before visiting. A quick phone call to the central office or provincial office saves you from being redirected multiple times on the day of your visit. Bring a reference number for any pending application.

13.1.3 The Shari'ah and Legal Division

The **Shari'ah and Legal Division** deserves its own section because it represents something unique to the BARMM cooperative ecosystem. No other region in the Philippines has an agency division dedicated to ensuring cooperatives comply with **Shari'ah governance**. This division is the institutional guarantee that Bangsamoro cooperatives can operate in full alignment with Islamic law.

The division is headed by a Division Chief and performs five core functions:[26]

Legal and regulatory review. The division assesses whether cooperatives and social enterprises comply with BTA Bill 210, relevant national laws, and regulatory measures issued by the CSEA and other regulatory bodies.[27] If your cooperative receives a compliance notice, the Shari'ah and Legal Division is the source of the legal analysis behind it.

Legal and policy research. The division produces legal opinions, bill reviews, policy analyses, notes, and commentaries that inform policy and regulatory measures.[28] It also drafts the policies and regulatory directives that the CSEA issues. When a new CSEA circular arrives at your cooperative, this division wrote it – or at least reviewed it for legal soundness.

Shari'ah risk management and control. The division systematically identifies, measures, monitors, and reports **Shari'ah non-compliance risks** within cooperative operations, business activities, and governance.[29] This is not abstract. If your cooperative's lending practices involve interest (riba), if your investment portfolio includes haram products, or if your contracts contain excessive uncertainty (gharar) – the Shari'ah and Legal Division is the body that flags the problem and recommends corrective action.

Shari'ah research. The division conducts in-depth research and studies on Shari'ah to ensure the CSEA's regulations are responsive to Islamic jurisprudence.[30] This function keeps the regulatory framework current with evolving interpretations and applications of Shari'ah in the cooperative context.

Shari'ah review and audit. The division conducts regular assessments to verify that cooperatives adhere to the Shari'ah governance and compliance framework.[31] It also evaluates the CSEA's own internal control mechanisms, risk management systems, and governance processes for Shari'ah compliance.

What this means for your cooperative. If you operate a **Shari'ah-compliant cooperative** – and BTA Bill 210 strongly encourages this – the Shari'ah and Legal Division is both your regulator and your resource. Use it. Request Shari'ah compliance reviews **before** your annual audit, not after. Ask for advisory opinions when you are considering a new financial product or business arrangement. A proactive relationship with this division prevents the kind of compliance surprises that lead to penalties or reputational damage.

13.2 CSEA Services Available to Your Cooperative

The CSEA offers three broad categories of services: **regulatory services** (registration and compliance), **development services** (training and technical assistance), and **financial services** (grants, programs, and market access). Each category includes specific services you can request. This section maps them so you know exactly what is available.

13.2.1 Registration and Compliance Support

Registration services. The CSEA handles the entire cooperative registration process, from name reservation to the issuance of the **Certificate of Registration (COR)**. The specific services include:

- **Cooperative name reservation.** You reserve your proposed cooperative name with the CSEA to ensure it is unique and not already taken. The CSEA maintains a masterlist of all registered cooperatives.
- **Processing of registration applications.** You submit your Articles of Cooperation, Bylaws, Economic Survey, Treasurer's Affidavit, Surety Bond, and PRS Certificate to the Provincial Office. The Cooperative Development Division reviews and processes the application.
- **Issuance of the Certificate of Registration.** Upon approval, the CSEA issues the COR under its official seal. This certificate is conclusive evidence that your cooperative is duly registered.[32]
- **Certificate of Amendments.** When your cooperative amends its Articles of Cooperation or Bylaws, the CSEA processes and certifies the amendments.

Compliance services. After registration, the CSEA monitors your cooperative's compliance and issues the critical **Certificate of Compliance (COC)**. The COC is issued after one year of operation and upon compliance with all CSEA requirements.[33] Without a valid COC, your cooperative cannot access government programs, enter into contracts with government agencies, or participate in public procurement. The specific compliance services include:

- **Annual report review.** The CSEA reviews your Cooperative Annual Performance Report (CAPR) and Cooperative Annual Financial Statement (CAFS).
- **Inspection and validation.** CSEA field staff conduct on-site inspections to verify that your cooperative's actual operations match its reported activities.

- **Compliance assessment.** The CSEA evaluates whether your cooperative meets all statutory requirements for COC issuance or renewal.
- **Inactive cooperative intervention.** If your cooperative fails to operate within six months of registration, the CSEA intervenes to provide support, assistance, guidance, and close monitoring for the next six months.[34] Failure to operate for one full year means the CSEA will deny COC issuance, rendering the cooperative officially inactive.

Practical tip. Do not wait for the CSEA to contact you about compliance. **Submit your CAPR and CAFS within 120 days after your fiscal year ends.** Hold your General Assembly within 90 days. Track these deadlines on your compliance calendar (see Chapter 9). A cooperative that submits on time gets processed faster and avoids the backlog that hits every provincial office in the final weeks before the deadline.

13.2.2 Training and Technical Assistance

Training is one of the most valuable services the CSEA offers – and one of the most underutilized. Many cooperatives in BARMM do not know they can **request** training from the CSEA. They wait for announcements or invitations that may never come. Do not make this mistake.

Pre-Registration Seminars (PRS). The CSEA conducts or accredits institutions to conduct PRS for prospective cooperative members.[35] The PRS is a mandatory requirement before registration. It covers cooperative principles, governance, financial management, and legal obligations. Your organizing group cannot register without PRS certificates for all members.

Officer and management training. The CSEA develops and delivers management training programs for elected officers, board members, committee members, and hired management staff.[36] These programs cover:

- **Governance training** – board responsibilities, fiduciary duties, conflict of interest rules
- **Financial management** – bookkeeping, auditing standards, fund allocation
- **Operations management** – business planning, supply chain, marketing
- **Compliance training** – CAPR/CAFS preparation, COC requirements, reporting obligations

Technical assistance. Beyond formal training programs, the CSEA provides on-site technical assistance through its Provincial Offices and Cooperative Development Specialists.[37] Technical assistance includes:

- **Business planning support** – helping your cooperative develop or refine its business plan
- **Financial management advisory** – reviewing your books, recommending improvements
- **Governance improvement** – assessing your board's effectiveness, recommending structural changes
- **Market linkages** – connecting your cooperative with buyers, suppliers, and partner organizations

How to request training. Write a formal letter addressed to the CSEA Executive Director (for central office programs) or the Provincial Director (for provincial programs). State the specific training you need, the number of participants, your preferred schedule, and your cooperative's registration number. Attach your latest COR and COC. Follow up within two weeks if you do not receive a response.

Partnership training programs. The CSEA also delivers training through partnerships with other agencies and organizations. One notable example is the **3ZERO Initiative** – a partnership with the **Ministry of Agriculture, Fisheries, and Agrarian Reform (MAFAR)**, the **World Food Programme (WFP)**, and **ACTED** – which conducts the Agri-Fishery Cooperatives' Partners Forum for sustainable and inclusive agriculture. Watch for announcements of these partnership programs. They often provide training at no cost to participating cooperatives.

13.2.3 Financial Assistance Programs (PESO Project, LAKAS SE)

The Bangsamoro Development Plan 2023-2028 identifies two flagship programs under the CSEA that provide direct financial and technical support to cooperatives.[38] Understand these programs. If your cooperative qualifies, they can be transformative.

The Development of Cooperatives and Social Enterprise Program. This program aims to strengthen cooperative capacities to ensure profitability and functionality.[39] It includes two projects:

The PESO Project (Profitability and Equity Support Oriented). PESO provides financial and technical assistance to improve cooperative profitability.[40] The name captures the program's dual focus: it is not just about giving money (financial assistance) but about building the internal capacity (equity support) that makes the money productive. PESO

targets cooperatives that are registered and operational but struggling with profitability – exactly the challenge the BDP 2023-2028 identifies as the central problem facing Bangsamoro cooperatives.

The LAKAS SE Program (Lakbay Aral sa Social Enterprise). LAKAS SE is a learning program for social enterprise development.[41] It provides structured learning experiences – including study tours, peer exchanges, and mentoring – for cooperatives and social enterprises. If your cooperative is exploring the social enterprise pathway discussed in earlier chapters, LAKAS SE is the program that will build your SE capability.

The Combatant Transitional Program. This program is covered in detail in Section 13.5. It includes two projects – the **STOCK Project** and the **Cooperative Financial and Material Support Project** – designed specifically for cooperatives organized by former combatants.

How to access these programs. Contact your CSEA Provincial Office and ask about the current call for applications. Financial assistance programs typically have eligibility criteria, application windows, and documentation requirements. Prepare the following before you apply:

1. **Updated COR and COC** – your registration and compliance must be current
2. **Audited financial statements** – the CSEA will assess your cooperative's financial health
3. **Business plan** – you must demonstrate how the financial assistance will be used and how it will improve profitability
4. **Board resolution** – your board must formally authorize the application
5. **Training records** – evidence that your officers and members have completed relevant CSEA training programs

Practical tip. Programs like PESO and LAKAS SE have limited funding. They prioritize cooperatives that demonstrate **compliance**, **governance quality**, and **clear business plans**. The cooperatives that get funded are not the ones with the biggest problems. They are the ones that have done the preparatory work and can show they will use the assistance productively. Start preparing now, even if the current call has closed.

13.3 The Role of LGU Cooperative Development Officers

Your LGU Cooperative Development Officer (CDO) is the government official closest to your cooperative's daily operations. The CDO works at the municipal, city, or provincial level – right where your cooperative operates. A strong relationship with your CDO makes everything easier: registration support, compliance guidance, access to local programs, and coordination with the CSEA.

13.3.1 Functions Under RA 11535 and BTA Bill 210, Section 20

The legal basis. Republic Act No. 11535 (2021) mandated all LGUs to appoint **Cooperative Development Officers**.[42] BTA Bill 210, Section 20 reinforces this mandate and adds functions specific to the Bangsamoro context.[43] Together, these two laws define what your CDO is supposed to do.

The CDO's eight core functions under BTA Bill 210. Section 20 enumerates the following functions:[44]

1. Facilitate organizing strategies. Your CDO helps communities organize cooperatives. If your barangay wants to form a cooperative but does not know where to start, the CDO is the first person to approach. The CDO assists with organizing meetings, identifying potential members, and connecting the group with PRS providers.

2. Provide customized guidance and technical assistance. The CDO provides cooperative-specific advice on **financial efficiency**, **operational effectiveness**, and **market responsiveness**.[45] This is not generic advice. The CDO should know your cooperative's business, your members' challenges, and your local market conditions.

3. Assess and monitor performance. The CDO assesses cooperative performance and advises on compliance with laws and regulations.[46] The results of these assessments must be reported to the CSEA. This means your CDO is both your advisor and a monitoring channel. Cooperate fully with performance assessments. They benefit you more than the CSEA – the assessment findings tell you what to fix before the CSEA inspection arrives.

4. Coordinate capacity building. The CDO coordinates with the CSEA, relevant agencies, and private sector organizations for **capacity-building activities** and **access to funding**.[47] Think of the CDO as your broker for external resources. The CDO knows what

programs are available – CSEA training, MAFAR agricultural programs, MTIT market linkages, MSSD social protection programs – and can connect your cooperative to the right opportunities.

5. Implement specialized programs. The CDO initiates and implements programs in line with the **Master Plan for Cooperative Development in the Bangsamoro**, with emphasis on **sustainability and resilience**.[48]

6. Submit biannual reports. The CDO compiles and submits comprehensive **biannual reports** to the CSEA about the progress, challenges, opportunities, and evolving needs of cooperatives in the jurisdiction.[49] Your cooperative's data feeds into these reports. Accurate reporting by the CDO leads to better-targeted CSEA programs for your area.

7. Foster strategic partnerships. The CDO facilitates partnerships among cooperatives, industry stakeholders, and other relevant organizations to promote cooperation, mutual support, and collective growth.[50]

8. Additional functions. The CDO performs additional functions as prescribed by the CSEA, the LGU, and other relevant laws, with focus on **emerging trends** and the **dynamic needs** of the cooperative sector.[51]

The problem. The BDP 2023-2028 identifies a critical gap: **most LGUs in the Bangsamoro Region have no appointed Municipal Cooperative Officers.**[52] Regional cooperative officers find it difficult to coordinate at the LGU level without municipal counterparts. This is one of the root causes of the 11.66 percent compliance rate. Where there is no CDO, cooperatives are essentially on their own.

If your municipality has not yet appointed a CDO, raise the issue with your local government. RA 11535 makes the appointment mandatory. A letter from your cooperative to the municipal mayor – citing the law and requesting the appointment – is a legitimate and constructive step.

13.3.2 How to Work Effectively with Your LGU-CDO

Having a CDO is one thing. Working effectively with them is another. Here are practical guidelines:

Introduce your cooperative formally. Send a courtesy letter to the CDO after registration. Attach your COR, list of officers, and a brief description of your business. This establishes you as a cooperative that communicates professionally.

Include the CDO in your General Assembly. Invite the CDO as a resource person or observer at your annual and special general assemblies. The CDO gains firsthand knowledge of your cooperative's condition, and you gain access to real-time government guidance.

Share your CAPR and CAFS. Give the CDO a copy of your annual reports. The CDO needs this data for the biannual report to the CSEA. And the CDO can spot compliance issues in your reports before the CSEA does – giving you time to correct them.

Request assistance in writing. When you need help – training, market linkages, technical advice – put the request in writing. A written request creates a record, triggers a formal response obligation, and shows the CDO's office that cooperative demand exists. Verbal requests are easily forgotten.

Attend CDO-organized events. When the CDO organizes cooperative summits, compliance drives, or training sessions, show up. Active cooperatives get prioritized for resources. Absent cooperatives get overlooked.

Coordinate, do not depend. Your CDO is a partner, not your manager. Your cooperative must maintain its own records, meet its own deadlines, and build its own capacity. The CDO supports your efforts. The CDO does not replace them.

13.4 The Broader Cooperative Ecosystem

Beyond the CSEA and the LGU-CDO, your cooperative exists within a broader ecosystem of legislative oversight bodies, national agencies, development partners, and civil society organizations. Knowing these actors helps you access resources, anticipate policy changes, and build alliances.

13.4.1 The Committee on Cooperatives and Social Enterprises (BTA Parliament)

The **Bangsamoro Transition Authority (BTA) Parliament** exercises legislative oversight over the cooperative sector through its committee system. The committee responsible for cooperative legislation reviews bills, conducts hearings, and recommends policy measures that directly affect your cooperative.

What this committee does for your cooperative. The committee reviews and deliberates on proposed legislation affecting cooperatives and social enterprises – including BTA Bill 210, the proposed Bangsamoro Cooperative and Social Enterprise Code that is referenced throughout this guidebook.[53] When this bill is enacted, it becomes the primary legal framework for your cooperative.

The committee also conducts **oversight hearings** to assess how well the CSEA is performing its mandate. If your cooperative has systemic concerns about CSEA services – slow processing, unresponsive provincial offices, unclear regulations – these concerns can be raised during oversight hearings. Your cooperative federation or union is the appropriate channel for communicating these concerns to the committee.

How you connect to Parliament. You do not engage the committee directly as an individual cooperative. Engagement happens through your **federation or union**, through the **CSEA** (which is regularly called to committee hearings), or through formal consultations that the committee conducts with the cooperative sector. When the committee announces public hearings on cooperative legislation, attend or submit a written position paper. Your voice matters during the legislative process – not after the law is passed.

13.4.2 CDA and National Government Coordination

The **Cooperative Development Authority (CDA)** is the national government agency that regulates cooperatives across the Philippines under **Republic Act 9520** (Philippine Cooperative Code of 2008).[54] The relationship between the CDA and the CSEA is defined by the Bangsamoro Organic Law and the transition process.

Before BARMM. In the former ARMM, the CDA was the sole agency mandated to register cooperatives. CDA policies and guidelines governed all cooperative activities in the region.

The transition. With the establishment of BARMM, cooperative regulation transitioned from the CDA to the CSEA. The CSEA is now in its **transition phase** – building institutional capacity, establishing provincial offices, and developing Bangsamoro-specific policies.[55] During this transition, several practical realities affect your cooperative:

- **Cooperatives registered under the CDA** continue to be recognized. You do not need to re-register with the CSEA immediately. However, watch for transitory provisions once BTA Bill 210 is enacted – these may require re-registration or compliance updates within a specified period.
- **National cooperative policies** still apply in areas not yet covered by Bangsamoro-specific regulations. RA 9520 remains in force as the baseline law. BTA Bill 210 will supplement and, in some areas, supersede RA 9520 upon enactment.
- **CDA training and programs** may still be available to BARMM cooperatives, particularly those operated by national government agencies or funded by national programs.

What the CSEA uniquely has. A provision-by-provision legal analysis reveals that the CSEA possesses several powers and institutional features that the CDA does not have.[65] These unique features reflect the Bangsamoro's distinct constitutional status:

CSEA Unique Feature	Significance
Social enterprise jurisdiction	The CDA's authority covers cooperatives only. The CSEA regulates **both cooperatives and social enterprises** – a broader developmental scope.[66]
Organic-law authority	The CDA derives its authority from ordinary legislation (RA 11364). The CSEA's authority traces to the **Bangsamoro Organic Law** – a constitutionally mandated enactment with higher normative weight.[67]

CSEA Unique Feature	Significance
Islamic banking and Shari'ah integration	The BOL empowers the Bangsamoro Government to establish **Islamic banking** and **Shari'ah-compliant financial institutions** (BOL Art. XIII, Secs. 29-30). The CDA's national framework does not address Islamic cooperative finance.[68]
Express poverty reduction mandate	BAA 13 positions cooperatives as **platforms for poverty reduction**. The CDA's statutory language focuses on cooperatives as instruments of equity and economic development – without the same targeted poverty reduction framing.[69]
Asymmetric intergovernmental status	The CSEA is an **autonomous institution** within an asymmetric governmental framework. CDA regional offices are merely administrative extensions of the national agency.[70]

What the CDA has that the CSEA currently lacks. The comparative analysis also reveals **critical powers** the CDA exercises under RA 11364 and RA 9520 that the CSEA does not yet possess.[71] These gaps create regulatory voids that affect your cooperative:

CDA Power	Impact of CSEA Gap
Quasi-judicial dispute resolution	The CDA hears and decides inter- and intra-cooperative disputes, with decisions appealable to the Court of Appeals. The CSEA currently **lacks a dedicated regional dispute forum**.
Cease and desist orders	The CDA can immediately halt harmful cooperative activities. The CSEA **cannot issue cease and desist orders**.
Suspension, cancellation, dissolution, liquidation	The CDA can terminate non-compliant cooperatives. The CSEA **cannot currently order dissolution** of a non-compliant cooperative.
Conservatorship	The CDA appoints conservators for illiquid cooperatives to protect member deposits. The CSEA **lacks this rehabilitation mechanism**.
Training institution accreditation	The CDA accredits non-academic cooperative training institutions. The CSEA **cannot standardize training quality** through accreditation.
Capital assessment authority	The CDA periodically adjusts paid-up capital requirements. The CSEA **cannot calibrate financial thresholds** for cooperatives.

CDA Power	Impact of CSEA Gap
Apex organization recognition	The CDA recognizes apex organizations and a national cooperative alliance. The CSEA **lacks authority to recognize hierarchical cooperative structures**.
Merger, consolidation, and division jurisdiction	The CDA processes structural changes. The CSEA **cannot adjudicate mergers or consolidations**.

Why BTA Bill 210 is critical. The passage of BTA Bill 210 (the **Bangsamoro Cooperative and Social Enterprise Code**) is the most important legislative priority for closing these gaps.[72] Until its enactment, the CSEA's regulatory authority remains **incomplete** relative to the CDA. Your cooperative should monitor this bill's progress through the BTA Parliament. Its enactment will transform the CSEA from an agency with strong organic-law foundations but limited enforcement tools into a fully empowered regulatory and developmental authority.

Coordination mechanisms. The CSEA coordinates with the CDA on matters of national policy, data sharing, and cooperative master listing. If your cooperative operates across regions – for example, a Cotabato-based cooperative with suppliers in Region XII – you may need to engage both the CSEA and the CDA. In such cases, ask your CSEA Provincial Office for guidance on the jurisdictional boundaries.

13.4.3 Development Partners, NGOs, and Civil Society Organizations

The Bangsamoro cooperative sector benefits from significant support by **development partners**, **non-governmental organizations (NGOs)**, and **civil society organizations (CSOs)**. These organizations provide funding, technical assistance, training, and market access that complement government programs.

Key categories of partners.

International development organizations. Several international organizations have cooperative development programs in BARMM. The **World Food Programme (WFP)** partners with the CSEA and MAFAR on the **3ZERO Initiative**, which supports agri-fishery cooperatives through the Agri-Fishery Cooperatives' Partners Forum.[56] Other international partners operate in areas such as livelihood development, conflict transformation, and economic resilience.

National NGOs and CSOs. Philippine-based organizations provide cooperative training, community organizing, and social enterprise development services in the Bangsamoro. These organizations often work directly with communities and can provide ground-level support that government agencies cannot always deliver at scale.

Academic institutions. Universities and training institutions in the region provide **accredited Pre-Registration Seminars**, cooperative management courses, and research on cooperative development. The **Ministry of Basic, Higher, and Technical Education (MBHTE)** also supports cooperative education in schools and universities.

Government agency partners. Beyond the CSEA, several BARMM ministries have programs relevant to cooperatives:

Agency	Relevance to Your Cooperative
MAFAR (Agriculture, Fisheries, and Agrarian Reform)	Agricultural cooperative programs, farmer organization support, agrarian reform beneficiary organizations
MTIT (Trade, Investments, and Tourism)	Market linkages, trade fairs, export assistance, tourism enterprise development
MSSD (Social Services and Development)	Social protection programs, community development, poverty reduction
MOLE (Labor and Employment)	Livelihood programs, employment facilitation, skills training
MOST (Science and Technology)	Technology transfer, innovation support, research and development
BPDA (Bangsamoro Planning and Development Authority)	Cooperative data and planning, BDP alignment

How to engage partners. Do not wait for partners to find you. **Actively seek partnerships** through these channels:

1. **Attend CSEA-organized forums and trade fairs.** These events are specifically designed to connect cooperatives with potential partners.
2. **Join your cooperative federation or union.** Federations have wider networks and regularly engage with development partners on behalf of member cooperatives.
3. **Monitor the CSEA website and social media** for announcements of partnership programs and calls for applications.
4. **Register on the CSEA cooperative masterlist.** This public directory makes your cooperative visible to potential partners searching for local cooperatives.

5. **Participate in LGU development planning.** Your barangay and municipal development plans often include cooperative development components with attached resources.

13.5 The Combatant Transitional Program

The **Combatant Transitional Program** is one of the most distinctive features of the Bangsamoro cooperative ecosystem. It exists because the BARMM was born from a peace process. Thousands of former combatants from the **Moro Islamic Liberation Front (MILF)** and other groups needed a pathway from armed struggle to legitimate economic participation. Cooperatives became that pathway.

This section explains the program, its projects, and what it means for cooperatives organized by or including former combatants.

13.5.1 Cooperatives for Former Combatants

The context. The BDP 2023-2028 identifies the **Combatant Transitional Program** as one of two priority programs under the Cooperatives and Social Enterprise sub-sector.[57] The program aims to **support former rebels to organize themselves into cooperatives** in order to legally conduct businesses.[58] It also provides financial and material support to cooperatives organized by former combatants to aid them in their business operations.

Why cooperatives for combatants face unique challenges. The BDP 2023-2028 is candid about the difficulties. The CSEA transitioned from the CDA, and the policies and guidelines for cooperatives were "predominantly aligned with the previous entity" – meaning the CDA's national framework.[59] The newly registered cooperatives, which were **mainly composed of former combatants**, encountered difficulties in complying with these requirements. In other words, the rules were designed for a different context. Former combatants – many of whom have limited formal education, little business experience, and long histories outside the formal economy – found conventional cooperative compliance requirements difficult to meet.

This is not a failure of the combatants. It is a failure of the system to adapt its requirements to the realities of transitional populations. The CSEA's mandate under BTA Bill 210 explicitly addresses this gap by including **combatant reintegration** as a core function.[60]

What this means for your cooperative. If your cooperative was organized through the Combatant Transitional Program, you are not starting from a position of weakness. You are starting from a position of **policy priority**. The Bangsamoro Government has committed resources, programs, and institutional attention to your success. The challenge is to **convert that priority into operational competence** – which means investing in training, compliance, and governance from the very beginning.

If your cooperative is not part of the Combatant Transitional Program but operates in a community with former combatants, consider this: **cooperation among cooperatives** is one of the seven ICA Principles. Offering support, partnership, or mentorship to a combatant-transition cooperative is both principled and strategic. It builds community cohesion, expands your network, and demonstrates the values that the cooperative movement is built on.

13.5.2 STOCK Project and Financial Support

The Combatant Transitional Program includes two projects designed to address the specific needs of former combatant cooperatives.[61]

The STOCK Project (Strengthening of Technical and Operational Knowledge). STOCK is a capacity-building project that targets the core capability gap facing former combatant cooperatives.[62] The name captures the approach: before a cooperative can use financial support productively, it must have the **technical knowledge** (bookkeeping, compliance, reporting) and **operational knowledge** (business planning, marketing, supply chain management) to run a viable enterprise.

STOCK provides:

- **Management training** tailored to the experience level and educational background of former combatants
- **Technical skills development** in cooperative governance, financial management, and regulatory compliance
- **Operational mentoring** through hands-on guidance on business operations, market access, and product development

The Cooperative Financial and Material Support Project. This project provides **direct financial and material assistance** to cooperatives organized by former combatants.[63] It complements STOCK by ensuring that newly trained cooperatives have the capital and physical resources to begin or expand operations.

Financial and material support may include:

- **Seed capital or grant financing** for cooperative start-up activities
- **Equipment and materials** for production, processing, or trading operations
- **Operational subsidies** during the initial period of cooperative operations
- **Market linkage support** connecting cooperative products to buyers

How the two projects work together. STOCK builds capability. The Financial and Material Support Project provides resources. Together, they address both sides of the equation: a cooperative that receives money without capability wastes the money, and a cooperative that receives training without resources cannot apply the training. The program's design recognizes that both are necessary.

Eligibility and access. Cooperatives seeking to access the Combatant Transitional Program should:

1. **Ensure registration with the CSEA** – your cooperative must hold a valid COR
2. **Demonstrate combatant membership** – a significant portion of your members must be verified former combatants as defined by the program criteria
3. **Apply through the CSEA Provincial Office** – the Provincial Director can advise on current program availability, documentation requirements, and application timelines
4. **Participate in STOCK training** – financial support is typically conditioned on participation in the capacity-building component
5. **Prepare a business plan** – even grant programs require a clear plan for how funds will be used and what outcomes are expected

A word about sustainability. Grant financing and material support are catalysts, not permanent subsidies. The Combatant Transitional Program is designed to **transition** cooperatives from dependence on external support to self-sustaining profitability. Your cooperative should plan from day one for the point when program support ends. Build your capital reserves. Diversify your revenue sources. Invest in member skills. The measure of the program's success is not how much support your cooperative receives – it is how well your cooperative performs after the support ends.

Key Takeaways

The CSEA is your primary government partner. It registers your cooperative, monitors your compliance, provides training, administers financial programs, mediates disputes, and coordinates with other agencies. Know your Provincial Director. Visit your Provincial Office regularly. Request services in writing.

Understand the four divisions. The Administrative and Finance Division handles operations. The Cooperative Development Division handles registration, compliance, training, and monitoring. The Social Enterprise Division handles SE accreditation and development. The Shari'ah and Legal Division handles legal review and Shari'ah compliance. Direct your inquiries to the right division.

Your CDO is your local government partner. The LGU Cooperative Development Officer facilitates organizing, provides guidance, monitors performance, and connects you to resources. If your municipality has not appointed a CDO, advocate for the appointment under RA 11535.

The CSEA has unique powers the CDA lacks – and vice versa. The CSEA has social enterprise jurisdiction, organic-law authority, and Islamic banking integration. The CDA has quasi-judicial powers, cease and desist orders, and dissolution authority that the CSEA currently lacks. **BTA Bill 210** closes these gaps. Monitor its progress.

The ecosystem extends beyond government. Development partners, NGOs, academic institutions, and fellow cooperatives are all part of the network that supports your success. Actively seek partnerships through the CSEA, your federation, and LGU development planning processes.

The Combatant Transitional Program is a national priority. STOCK builds knowledge. Financial support provides resources. Together, they transition former combatant cooperatives from startup to sustainability. Access the program through your CSEA Provincial Office.

Do not operate in isolation. The cooperative that knows the ecosystem and uses it well is the cooperative that survives, grows, and fulfills its mission.

Footnotes

1. BTA Bill 210, Book I, Ch. II, Sec. 11. "The Cooperatives and Social Enterprise Authority shall be the primary entity to promote the viability and growth of Bangsamoro cooperatives and social enterprise in the Bangsamoro region. It shall be the sole agency of the Bangsamoro Government that registers cooperatives and social enterprises." ↩
2. BTA Bill 210, Book I, Ch. II, Sec. 11. "The Authority shall enjoy fiscal autonomy and shall be attached to the Office of the Chief Minister." ↩
3. BTA Bill 210, Book I, Ch. II, Sec. 12. "The Cooperatives and Social Enterprise Authority with all the branches, sub-divisions, instrumentalities and agencies of the Bangsamoro Government shall ensure the provision of technical guidance, financial assistance and other services to enable the cooperatives to develop into viable and responsive economic enterprises and be platforms for poverty reduction and sustainable, inclusive, and equitable development." ↩
4. BTA Bill 210, Book I, Ch. II, Sec. 13(a). "Formulate, adopt and implement integrated and comprehensive plans and programs on cooperative and social enterprise development consistent with the existing policy on cooperatives and the overall socio-economic development plans of the Bangsamoro Government." ↩
5. BTA Bill 210, Book I, Ch. II, Sec. 13(b). "Develop and conduct management and training programs upon request of cooperatives and social enterprises." ↩
6. BTA Bill 210, Book II, Ch. I, Sec. 12 (Certificate of Registration) and Sec. 13 (Certificate of Compliance). See also Book I, Ch. II, Sec. 16(c) (Cooperative Development Division processes COR and COC applications). ↩
7. BTA Bill 210, Book I, Ch. II, Sec. 13(k). "Require all cooperatives, their federations and unions in the Bangsamoro Autonomous Region to submit their annual reports and their financial statements, duly audited by certified public accountants, and general information sheets." ↩
8. BTA Bill 210, Book I, Ch. II, Sec. 13(l). "Assist cooperatives in the Bangsamoro Autonomous Region in accessing financial and other forms of assistance under such terms and conditions as are calculated to strengthen their viability and autonomy." ↩
9. BTA Bill 210, Book I, Ch. II, Sec. 13(m). "Administer all grants and donations coursed through the Bangsamoro Government for cooperative development in the Bangsamoro Autonomous Region without prejudice to the right of cooperatives to directly receive and administer such grants and donation upon agreement with the grantors and donors thereof." ↩
10. BTA Bill 210, Book I, Ch. II, Sec. 13(n). "Upon request of either or both parties, to mediate and conciliate disputes within a cooperative or between cooperatives in the Bangsamoro Autonomous Region." ↩
11. BTA Bill 210, Book I, Ch. II, Sec. 13(f). "Promote and strengthen cooperatives and social enterprises as pathways to reintegrate former combatants, surrenderees, and disaster-affected communities, among others." ↩
12. BTA Bill 210, Book I, Ch. II, Sec. 13(e). "Coordinate the efforts of the local government units in the Bangsamoro Autonomous Region and the private sector in the promotion, organization and development of cooperatives and social enterprise." ↩
13. BTA Bill 210, Book I, Ch. II, Sec. 14. ↩
14. BTA Bill 210, Book I, Ch. II, Sec. 14. "The Cooperatives and Social Enterprise Authority shall be headed by an Executive Director with the rank of Director III." ↩
15. BTA Bill 210, Book I, Ch. II, Sec. 15. ↩
16. BTA Bill 210, Book I, Ch. II, Sec. 16(c). "Process applications for and thereafter issue Certificates of Registration, and Certificate of Compliance, when warranted." ↩
17. BTA Bill 210, Book I, Ch. II, Sec. 16(d). "Provide mediation and arbitration services to registered cooperatives." ↩

18. BTA Bill 210, Book I, Ch. II, Sec. 16(e). "Conduct monitoring and inspection of cooperatives." ↩
19. BTA Bill 210, Book I, Ch. II, Sec. 16(i). "Develop and conduct management training and education programs for members of cooperatives." ↩
20. BTA Bill 210, Book I, Ch. II, Sec. 16(j). "Assist the cooperatives in improving their access to financing and marketing opportunities and implement measures for the cooperatives to improve their production capabilities, increase their production outputs, and maximize their participation in the value chain." ↩
21. BTA Bill 210, Book I, Ch. II, Sec. 16(f). "Work on convergence of different ministries, agencies, and offices to ensure whole of government approach in advancing cooperative development and in providing necessary services to cooperatives in the region." ↩
22. BTA Bill 210, Book I, Ch. II, Sec. 17. ↩
23. BTA Bill 210, Book I, Ch. II, Sec. 17(c). "Encourage SOCIAL PROCUREMENT within government agencies. SOCIAL PROCUREMENT aims to achieve economic empowerment by purchasing goods and services from social benefit suppliers and training and employment of socially and economically disadvantaged people." ↩
24. BTA Bill 210, Book I, Ch. II, Sec. 14. Provincial Offices in "the provinces of Maguindanao, Lanao del Sur, Basilan, Sulu, and Tawi-Tawi." Note: BTA Bill 210 was drafted before the Supreme Court ruling in Province of Sulu v. Medialdea (2024), which excluded Sulu from BARMM territory. The Sulu provincial office arrangement may be revised upon enactment. ↩
25. BTA Bill 210, Book I, Ch. II, Sec. 14. "Cotabato City and the Special Geographic Area shall be under the jurisdiction of the CSEA Provincial Office in Maguindanao." ↩
26. BTA Bill 210, Book I, Ch. II, Sec. 18. ↩
27. BTA Bill 210, Book I, Ch. II, Sec. 18(a). "Legal and Regulatory Review. – The division is responsible for assessing the cooperatives and social enterprises' compliance to this Code, relevant laws, as well as regulatory measures and directives issued by the Authority and other regulatory bodies." ↩
28. BTA Bill 210, Book I, Ch. II, Sec. 18(b). "Legal and Policy Research. – The division should undertake legal research to produce legal opinions, bill reviews, policy analysis, notes, commentaries, and other essential legal documents that inform policy and regulatory measures for cooperatives and social enterprises." ↩
29. BTA Bill 210, Book I, Ch. II, Sec. 18(c). "Shari'ah Risk Management and Control. – The division shall systematically identify, measure, monitor, and report Shari'ah non-compliance risks within the operations, business, and activities of cooperatives and social enterprises." ↩
30. BTA Bill 210, Book I, Ch. II, Sec. 18(d). "Shari'ah Research. – The divisions shall perform in-depth research and studies on Shari'ah to ensure responsive regulation on the compliance of cooperatives and social enterprises to Shari'ah." ↩
31. BTA Bill 210, Book I, Ch. II, Sec. 18(e). "Shari'ah Review and Audit. – The division shall conduct regular assessments to verify adherence by cooperatives and social enterprises to the Shari'ah governance and compliance framework and this Code." ↩
32. BTA Bill 210, Book II, Ch. I, Sec. 12. "A certificate of registration issued by the Authority under its official seal shall be conclusive evidence that the cooperative therein mentioned is duly registered unless it is proved that the registration thereof has been cancelled." ↩
33. BTA Bill 210, Book II, Ch. I, Sec. 13. "A certificate of compliance shall be issued to register cooperative after a year of operation and upon compliance of all requirements thereto as set forth by the Authority." ↩
34. BTA Bill 210, Book II, Ch. I, Sec. 14. "Failure to operate at the end of the first six (6) months from the date of registration... the Authority will intervene to provide support, assistance, guidance and close monitoring to help the cooperative to operate within the next six (6) months." ↩
35. BTA Bill 210, Book I, Ch. II, Sec. 13(b); Book II, Ch. I, Sec. 10 (Documentary requirements include "PRS Certificate from accredited institution"). ↩
36. BTA Bill 210, Book I, Ch. II, Sec. 13(b) and Sec. 16(i). ↩
37. BTA Bill 210, Book I, Ch. II, Sec. 19. "Those local government units without a Cooperative Development Office shall be assisted by a Cooperative Development Specialist in the implementation of their cooperative programs." ↩

38. Bangsamoro Development Plan 2023-2028, Chapter 7 (Economy): Cooperatives and Social Enterprise Sub-Sector, Priority Programs. ↩
39. BDP 2023-2028, Chapter 7. "Development of Cooperatives and Social Enterprise Program. This program aims to strengthen the capacities of cooperatives to ensure the profitability and functionality of business enterprises on social enterprises." ↩
40. BDP 2023-2028, Chapter 7. "Profitability and Equity Support Oriented (PESO) Project." ↩
41. BDP 2023-2028, Chapter 7. "Lakbay Aral sa Social Enterprise (LAKAS SE) Program." ↩
42. Republic Act No. 11535, Sec. 3 (2021). RA 11535 mandates all LGUs to "appoint Cooperative Development Officers." ↩
43. BTA Bill 210, Book I, Ch. II, Sec. 20. ↩
44. BTA Bill 210, Book I, Ch. II, Sec. 20, items (a)-(h). ↩
45. BTA Bill 210, Book I, Ch. II, Sec. 20(b). "Provide customized guidance, technical assistance, and services to cooperatives for the enhancement of their financial and operational efficiency and responsiveness to market." ↩
46. BTA Bill 210, Book I, Ch. II, Sec. 20(c). "Assess and monitor the performance of cooperatives and provide them with advice on their compliance to cooperative laws and regulation as well as on their business operations. The results of the said assessment and monitoring shall be reported to the Authority." ↩
47. BTA Bill 210, Book I, Ch. II, Sec. 20(d). "Coordinate with the Authority, relevant agencies, and private sector organizations for capacity-building activities, facilitating access to funding and other resources for cooperatives." ↩
48. BTA Bill 210, Book I, Ch. II, Sec. 20(e). "Initiate and implement specialized programs for the development of cooperatives in line with the Master Plan for Cooperative Development in the Bangsamoro, emphasizing sustainability and resilience." ↩
49. BTA Bill 210, Book I, Ch. II, Sec. 20(f). "Compile and submit comprehensive bi-annual reports to the Authority about the progress, challenges, opportunities, and evolving needs of cooperatives in their jurisdiction." ↩
50. BTA Bill 210, Book I, Ch. II, Sec. 20(g). "Facilitate and foster strategic partnerships among cooperatives, industry stakeholders, and other relevant organizations to boost cooperation, mutual support, and collective growth." ↩
51. BTA Bill 210, Book I, Ch. II, Sec. 20(h). "Perform any additional functions as may be prescribed by the Authority, the local government unit concerned, and other relevant laws with a focus on emerging trends and the dynamic needs of the cooperative sector." ↩
52. BDP 2023-2028, Chapter 7. "Most LGUs in the Bangsamoro Region have no appointed Municipal Cooperative Officers (MCOs). Regional cooperative officers find it difficult to coordinate at the LGU level." ↩
53. BTA Bill 210 (proposed Bangsamoro Cooperative and Social Enterprise Code). Status as of 2026: pending approval by the Bangsamoro Parliament. See BDP 2023-2028, Chapter 7: "The Bangsamoro Cooperative and Social Enterprise (BCSE) Bill is yet to be approved and passed by the Bangsamoro Parliament." ↩
54. Republic Act No. 9520, "Philippine Cooperative Code of 2008." ↩
55. BDP 2023-2028, Chapter 7. "The Cooperative and Social Enterprise Authority (CSEA) is in its transition phase from being the sole agency mandated to register cooperatives in the defunct ARMM – Cooperative Development Authority (CDA)." ↩
56. CSEA partnership program. The 3ZERO Initiative involves CSEA, MAFAR, WFP, and ACTED in the Agri-Fishery Cooperatives' Partners Forum for sustainable and inclusive agriculture. ↩
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58. BDP 2023-2028, Chapter 7. "Combatant Transitional Program. This program aims to provide support to former rebels to organize themselves into cooperatives in order to legally conduct businesses." ↩
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62. BDP 2023-2028, Chapter 7. "Strengthening of Technical and Operational Knowledge (STOCK) Project" – capacity building for former combatant cooperatives. ↩
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66. CSEA vs. CDA Legal Analysis, February 2026. "The CSEA's expanded jurisdiction over social enterprises represents a significant institutional innovation. The CDA's authority under RA 11364 and RA 9520 is confined to cooperatives." ↩
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72. CSEA vs. CDA Legal Analysis, February 2026, Part V, Section 5.4. "The passage of BTA Bill No. 210 (the Bangsamoro Cooperative and Social Enterprise Code) is the most critical legislative priority for completing the CSEA's institutional framework." ↩

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14

Looking Forward: BTA Bill 210 and the Future of Bangsamoro Cooperatives

The law that governs your cooperative is about to change. BTA Bill 210 does not just rename the regulatory authority. It rewrites the rules for how cooperatives form, govern themselves, and grow in the Bangsamoro region. The bill introduces **moral governance mandates**, **Shari'ah compliance frameworks**, **social enterprise pathways**, and a **dedicated Shari'ah and Legal Division** within CSEA. If your cooperative currently operates under RA 9520, you need to understand what changes and how to prepare. This chapter gives you that preparation.

14.1 What BTA Bill 210 Changes

BTA Bill 210 — formally titled the **Bangsamoro Cooperative and Social Enterprise Code (BCSEC)** — is a comprehensive four-book legislative framework filed in the BTA Parliament.[1] It does not merely localize RA 9520. It creates an entirely new legal architecture for cooperatives and social enterprises in BARMM. The differences are structural, philosophical, and operational.

14.1.1 Key Differences from RA 9520

The table below maps the most significant changes between the current national cooperative law and the proposed Bangsamoro code.

Feature	RA 9520 (Current Law)	BTA Bill 210 (Proposed)
Regulatory body	Cooperative Development Authority (CDA)	Cooperative and Social Enterprise Authority (CSEA), attached to the Office of the Chief Minister[2]
Scope	Cooperatives only	Cooperatives **and** social enterprises under one code[3]
Governing principles	Universal cooperative principles (7 ICA principles)	Universal cooperative principles **plus** moral governance, Shari'ah compliance, and local cultural values[4]
Shari'ah governance	No provision	Mandatory Shari'ah governance framework; each cooperative must establish a **Shari'ah committee** of at least three

Feature	RA 9520 (Current Law)	BTA Bill 210 (Proposed)
		members competent in Shari'ah[5]
Moral governance	No provision	Cooperatives must adopt their own **code of moral principles and ethical standards**, with rules "completely devoid of graft and corruption"[6]
Islamic finance principles	Not addressed	Explicit prohibition of **riba** (usury), **maysir** (gambling), and **gharar** (excessive uncertainty); promotion of halal transactions and risk-sharing[7]
CSEA organizational structure	CDA has regional offices	CSEA has four divisions: Administrative and Finance, Cooperative Development, Social Enterprise, and **Shari'ah and Legal Division**[8]
Provincial presence	CDA field offices	Mandatory **Provincial Offices** in Maguindanao, Lanao del Sur, Basilan, Sulu, and Tawi-Tawi; Cotabato City and SGA under Maguindanao[9]
Cooperative types	14 types (Art. 23)	**21 types** including Advocacy, Dairy, Education, Fishermen, Health Services, Housing, Water Service, and Workers cooperatives[10]
Minimum members	15 natural persons (Art. 10)	15 natural persons — same threshold, but adds **PRS completion** as an explicit pre-condition for membership[11]
Paid-up capital minimum	PHP 15,000 (Art. 14)	PHP 15,000, with CSEA authorized to **increase it every five years** upon consultation with the sector and BPDA[12]
Social enterprise framework	No provision	Full Book III dedicated to **social enterprise registration, accreditation, tax incentives, and the RISE Program**[13]
LGU cooperative officers	No mandate	LGUs must appoint **Cooperative Development Officers** per RA 11535, with

Feature	RA 9520 (Current Law)	BTA Bill 210 (Proposed)
		additional functions defined by CSEA[14]
Tax exemptions	Art. 60-61 provisions	Expanded exemptions: cooperatives exempt from **all local taxes** regardless of reserves; micro social enterprises exempt from income tax[15]
Inactive cooperative treatment	Dissolution after 2 years of non-operation	Authority intervenes after **6 months** of non-operation to provide support; official inactivity after **1 year**[16]
Dispute resolution	CDA mediation	Mandatory conciliation/mediation, then **voluntary arbitration** as exclusive mode — decisions appealable to Office of the President[17]
Information systems	Manual processes	Mandatory **electronic registration and annual reporting information systems**[18]
Peacebuilding role	Not addressed	Cooperatives explicitly serve as **pathways to reintegrate former combatants, surrenderees, and disaster-affected communities**[19]

Study this table carefully. Every row represents a change your cooperative must prepare for.

14.1.2 New Provisions: Moral Governance, Shari'ah Compliance, Social Enterprises

Three provisions in BTA Bill 210 have no equivalent in RA 9520. They define what makes the Bangsamoro cooperative framework unique.

Moral Governance (Section 8, Book I)

BTA Bill 210 defines **moral governance** as "an approach in governance of cooperatives and social enterprises that is guided by moral principles of enjoining what is right and forbidding what is wrong."[20] The bill lists specific principles: **servitude, purity and sincerity of intentions and deeds, honesty, integrity, accountability, excellence,**

stewardship, balance, harmony, consultation, justice, and trust These are not aspirational language. CSEA will issue implementing guidelines that translate these principles into measurable governance standards.

What does this mean for your cooperative? Three things:

1. **Adopt a code of moral principles.** Your bylaws must include your cooperative's own ethical standards. Draft these before the bill takes effect. Do not wait for CSEA to issue templates.
2. **Adopt anti-corruption rules.** The bill requires rules, processes, and practices "completely devoid of graft and corruption."[21] Review your procurement, lending, and disbursement procedures now.
3. **Align your operations with the 12 Pillars of Moral Governance.** The BDP 2023-2028 identifies twelve pillars — integrity, accountability, transparency and honesty, sense of patriotism, striving for excellence, cultural understanding and tolerance, unwavering loyalty to God, justice, inclusivity, objectivity, dialogue and meaningful engagement, and balance between practical life and moral side.[22] Use these as your checklist.

Shari'ah Compliance (Section 9, Book I)

BTA Bill 210 requires cooperatives to establish a **Shari'ah governance framework**. This means your cooperative must:

- Establish a **Shari'ah committee** composed of at least three members with competence in Shari'ah.[23]
- Ensure all financial transactions comply with Islamic principles — **no riba, no maysir, no gharar**.[24]
- Use Shari'ah-compliant alternatives for conventional financial instruments. Replace interest-bearing loans with **murabaha** (cost-plus financing). Replace conventional insurance with **takaful** (mutual guarantee). Replace speculative investments with **musharakah** (partnership) or **mudarabah** (profit-sharing).[25]

The bill also creates a **Shari'ah and Legal Division** within CSEA that will conduct **Shari'ah risk assessments, compliance audits, and research** to ensure cooperatives adhere to Islamic principles.[26] Expect CSEA to publish Shari'ah compliance guidelines within the first year of the code's effectivity.

Social Enterprises (Book III)

Book III of BTA Bill 210 creates an entirely new legal category: the **social enterprise**. A social enterprise is "any business organization whose primary purpose is addressing a social, cultural, or environmental challenge where creating profit for owners or shareholders is secondary."[27] Social enterprises may be organized as stock corporations, non-stock corporations, partnerships, sole proprietorships, or cooperatives.[28]

This matters because your cooperative can **add social enterprise status** to unlock additional benefits — tax exemptions, preferential government procurement, and access to the **Bangsamoro Social Enterprise Fund (BSEF)**.[29] Section 14.3 of this chapter explains how.

14.2 Preparing Your Cooperative for the Transition

The transition from RA 9520 to the BCSEC will not happen overnight. But it will happen within a defined window. Prepare now.

14.2.1 The Transitory Provisions (BTA Bill 210, Book IV)

Section 12 of Book IV, Chapter III contains the **transitory provisions** that govern how existing cooperatives move into the new framework.[30] Here is what the bill says, in plain language:

Recognition of existing registration. All cooperatives registered and confirmed with the CDA under RA 9520 and RA 11364 (Electric Cooperatives) are **deemed registered** under the new code.[31] You do not need to re-organize. Your cooperative's legal personality carries over automatically.

But you must act within one year. The bill requires every existing cooperative to submit the following documents to the nearest CSEA office **within one year from the effectivity of the code**:

1. A copy of your **Certificate of Registration (COR)**
2. Your **Articles of Cooperation**
3. Your **Bylaws**
4. Your **latest audited financial statements**

The consequence of inaction is severe. If you fail to submit these documents within the one-year window, your registration is **deemed cancelled motu proprio** — meaning CSEA cancels it automatically, without a hearing.[32] Your cooperative loses its legal personality.

New Certificate of Registration. After you submit your documents, CSEA will issue a **new COR** under the Bangsamoro code. This new COR replaces your CDA-issued certificate.

New tax exemption certificate. After receiving your new COR, secure a **new Certificate of Tax Exemption** from the nearest Bureau of Internal Revenue office. This exemption is valid for five years from the date of issue.[33]

Compromise on unpaid assessments. If your cooperative has unpaid tax assessments from before the code, the bill provides for a **compromise settlement on terms favorable to the cooperative**. The BIR and CSEA will jointly issue regulations on this compromise within 90 days from the code's effectivity.[34]

14.2.2 Re-Registration Requirements and the Compliance Window

Do not treat the one-year compliance window as a distant deadline. Treat it as a 12-month action plan. Here is your **Transition Preparation Checklist**:

Months 1-3: Document Assembly

- ☐ Locate your original **COR** issued by CDA. If lost, request a certified copy immediately.
- ☐ Gather your current **Articles of Cooperation**. Verify they reflect all amendments filed with CDA.
- ☐ Gather your current **Bylaws**. Check that they include conciliation and mediation mechanisms as required by the new code.
- ☐ Commission your **audited financial statements** for the most recent fiscal year. Engage your CPA early — demand will spike as all 12,214 registered cooperatives seek audits within the same period.

Months 4-6: Gap Analysis

- ☐ Compare your Bylaws against BTA Bill 210 requirements. Identify gaps in **moral governance provisions**, **Shari'ah compliance clauses**, and **cooperative officer training requirements**.
- ☐ Assess whether your financial products and services comply with **Islamic finance principles** — no riba, no maysir, no gharar.
- ☐ Evaluate your current **board composition** against the new code's qualifications and disqualifications for directors.
- ☐ Review your **membership provisions** to ensure alignment with the new code's limit of two cooperative memberships per person.[35]

Months 7-9: Amendments and Training

- ☐ Draft amendments to your **Articles of Cooperation** and **Bylaws** to incorporate moral governance provisions, Shari'ah compliance clauses, and updated dispute resolution mechanisms.
- ☐ Call a **Special General Assembly** to approve the amendments by two-thirds vote of all voting members.[36]

- ☐ Begin identifying and training potential **Shari'ah committee members**. You need at least three persons competent in Shari'ah.
- ☐ Send your board members and officers for **CSEA-accredited training** on the new code.

Months 10-12: Submission and Certification

- ☐ Submit your documents to the **nearest CSEA provincial office**: COR, Articles of Cooperation, Bylaws, and audited financial statements.
- ☐ Receive your **new COR** from CSEA.
- ☐ Secure your **new Certificate of Tax Exemption** from BIR.
- ☐ If your cooperative has unpaid assessments, file for **compromise settlement** under the transitory provisions.
- ☐ Update your records — bank accounts, government registrations, and partner contracts — to reflect your new COR number.

Do not wait for the bill to pass. Start the document assembly phase now. Your COR and Articles of Cooperation should already be in order under RA 9520. If they are not, fix them today. Every month you delay narrows the compliance window when the clock starts.

14.3 Social Enterprise as a Growth Path

BTA Bill 210 does not just regulate cooperatives. It opens a **second pathway** — social enterprise — that cooperatives can use to expand their mission and access new resources.

14.3.1 When to Add Social Enterprise Status

Under Book III of BTA Bill 210, your cooperative can be **qualified by CSEA as a social enterprise** if it meets the following conditions:[37]

1. Your primary purpose is **addressing a social, cultural, or environmental challenge**. Profit is secondary.
2. You invest a **substantive part of your net revenues** to sustain the fulfillment of your social or environmental mission.
3. You provide **transformational services** for the well-being of the marginalized sector you serve or society at large.
4. Your governing documents include a **clear social purpose**.
5. You **re-invest a significant proportion of profits** back into the business for social, cultural, or environmental purposes.

The **social enterprise status is valid for three years**.[38] During this period, you must submit **annual activity and social-impact reports** to CSEA demonstrating that you continue to meet SE criteria. Failure to renew at the end of the three-year period results in removal from the CSEA Registry.

When should your cooperative pursue SE status? Consider adding it when:

- Your cooperative already operates programs that serve marginalized communities — livelihood projects for former combatants, food security programs, environmental conservation activities, or educational services.
- Your cooperative wants access to the **Bangsamoro Social Enterprise Fund (BSEF)** for grants.[39]
- Your cooperative wants **preferential treatment in government procurement** — qualified SEs have a preferential right in procurement processes across all BARMM government branches, agencies, and LGUs.[40]
- Your cooperative seeks **tax incentives** — micro SEs are exempt from income tax, and other SEs enjoy a three-year regional tax holiday.[41]

- Your cooperative wants to participate in the **RISE for Peace and Sustainable Development Program** for capability building, market access, and research support.[42]

The application process is straightforward. CSEA registers and accredits social enterprises through guidelines it will issue under the new code.[43] Prepare your social impact documentation now. Measure the communities you serve. Count the families whose incomes you have increased. Document the environmental outcomes of your programs. When CSEA opens the SE accreditation window, you want to be ready on day one.

14.3.2 The BCSED and RISE for Peace and Sustainable Development Program

Two institutions created by BTA Bill 210 will support social enterprise development in BARMM. Understand what they offer.

The Bangsamoro Center for Social Enterprise Development (BCSED)

The **BCSED** is a unit under CSEA that performs six core functions:[44]

1. **Capability training and education** through the SE Capability Building and Sustainability Program
2. **Research and development** — equipping SEs with innovative approaches to improve access to basic social services for marginalized communities
3. **Marketing assistance** — managing a Social Enterprise Marketing Assistance Program (SMAP) to generate the highest possible income for SEs
4. **Project implementation** — managing capability-building projects approved by CSEA
5. **Project supervision** — overseeing capability-building projects implemented through contracted Social Enterprise Intermediaries
6. **International benchmarking** — researching policies and programs from other countries for best practices

If your cooperative obtains SE status, the BCSED becomes your primary support center. Use its training programs. Access its marketing networks. Tap its research for evidence-based business decisions.

The RISE for Peace and Sustainable Development Program

RISE stands for **Resilient and Inclusive Social Enterprises for Peace and Sustainable Development.**[45] It is the comprehensive capacity-building program mandated by BTA Bill 210 to strengthen social enterprises across BARMM. The program has three components:

1. **SE Capability Building and Sustainability Program.** Covers training in social entrepreneurship, institutional strengthening, human resource skills, business planning, impact measurement, accounting systems, technology intervention, market studies, product development, trade fairs, and policy advocacy.[46]
2. **Social Enterprise Research and Development System.** Developed jointly by CSEA, BPDA, the Department Academy of Bangsamoro, MOST, and MTIT. Provides studies on economic opportunities, equips SEs with appropriate technologies, and develops innovative approaches to basic social services.[47]
3. **Social Enterprise Marketing Infrastructure Development.** Includes a **SE Marketing Assistance Program (SMAP)** that matches supply with demand in domestic and foreign markets, and a **SE Marketing Information Network (SMIN)** that provides business information, market intelligence, and trade leads.[48]

Who governs the RISE program? The **Bangsamoro Social Enterprise Council (BSEC)** — an alliance of SE leaders composed of nine provincial and city SE representatives, two SE intermediaries, two impact investors, and representatives from nine BARMM ministries and commissions.[49] The BSEC monitors RISE implementation, assesses SE progress, and provides strategic advice to the Bangsamoro government.

How does your cooperative access RISE? Through CSEA. Once qualified as a social enterprise, your cooperative is eligible for all RISE program components. Start by engaging your nearest CSEA provincial office.

14.4 Connecting to BDP 2023-2028 Goals

Your cooperative does not operate in isolation. It operates within the **Bangsamoro Development Plan 2023-2028** — the roadmap that defines what the Bangsamoro government wants to achieve in six years.[50] Understanding where cooperatives fit in the BDP helps you align your operations with government priorities, access development programs, and measure your social impact.

14.4.1 How Your Cooperative Contributes to Goal 2

The BDP 2023-2028 organizes development around six goals. Cooperatives fall under **Goal 2: Equitable, competitive, and robust economy**.[51] Within Goal 2, the cooperative sector sits under **Sectoral Objective 2.5: Functional cooperatives and social enterprises increased**, with two sub-objectives:

- **2.5.1** — Profitability of cooperatives increased
- **2.5.2** — Established social enterprises increased[52]

Two priority strategies drive the cooperative sub-sector:

Strategy 21 — Ensure profitability and functionality of cooperatives through: - Sufficient technical and financial assistance - Institutionalization of monitoring and evaluation systems - Community promotion of cooperatives - Capacitation of human resources[53]

Strategy 22 — Institutionalize enabling policies for the establishment of social enterprises in BARMM[54]

Two priority programs operationalize these strategies:

1. **Development of Cooperatives and Social Enterprise Program** — includes the **PESO Project** (Profitability and Equity Support Oriented) for financial and technical assistance, and the **LAKAS SE Program** (Lakbay Aral sa Social Enterprise) for SE learning.[55]
2. **Combatant Transitional Program** — includes the **STOCK Project** (Strengthening of Technical and Operational Knowledge) for capacity building of former combatant cooperatives, and the **Cooperative Financial and Material Support Project** for direct financial and material assistance.[56]

What does this mean for your cooperative? Align your annual plans with these strategies and programs. When you apply for CSEA technical assistance, frame your request in BDP language. When you report your progress, connect your outcomes to Objective 2.5. When you measure success, track the metrics that matter to the BDP — profitability, functionality, and compliance.

14.4.2 Measuring Social Impact and Reporting to CSEA

BTA Bill 210 introduces **social audit** as a formal process. The bill defines social audit as "a procedure wherein the cooperative assesses its social impact and ethical performance vis-a-vis its stated mission, vision, goals and code of social responsibility."[57] CSEA will establish the standards for this process in consultation with the cooperative sector.

Start measuring your social impact now. You do not need to wait for CSEA guidelines. Track these indicators:

Economic impact: - Number of members whose household income increased by at least 20% since joining - Total value of loans disbursed to members annually - Number of jobs created or sustained through cooperative operations - Value of products marketed collectively versus individually

Social impact: - Number of members who completed cooperative education programs - Number of women in leadership positions (board, committees, management) - Number of youth members (under 30) actively participating - Number of former combatants successfully reintegrated through cooperative membership

Community impact: - Value of community development fund allocations and projects completed - Number of households in your barangay served by cooperative programs - Number of partnerships with LGUs, schools, or other cooperatives - Contribution to BDP targets — how your cooperative's outcomes map to Goal 2

Shari'ah compliance: - Percentage of financial transactions reviewed by your Shari'ah committee - Number of Shari'ah non-compliance findings and corrective actions taken - Status of transition from conventional to Shari'ah-compliant financial products

How to build your social impact reporting system:

1. **Designate a social audit officer.** Assign one board member or committee member to oversee social impact data collection. This person coordinates with your treasurer, secretary, and committee chairs to gather the data above.
2. **Collect data quarterly.** Do not wait until year-end. Quarterly collection prevents data loss and gives your board timely information to adjust programs.

3. **Use a simple tracking sheet.** Create a spreadsheet with four tabs — economic, social, community, and Shari'ah compliance. Record raw numbers each quarter. Calculate year-over-year trends at fiscal year-end.
4. **Present social impact at your General Assembly.** Members deserve to see not only financial statements but also the social outcomes their cooperative produces. Include a one-page social impact summary in your annual report.
5. **Share your data with CSEA.** When CSEA issues its reporting templates, you will already have the data. Cooperatives that demonstrate measurable social impact will have a stronger case for CSEA support, RISE program access, and social enterprise qualification.

The BDP 2023-2028 also calls for **cooperation among cooperatives** as a strategy to strengthen the sector.[64] Connect with other cooperatives in your province. Share your social impact methods. Compare results. A cooperative movement is not built by one co-operative alone — it is built by cooperatives that learn from each other.

14.5 The Vision: A Vibrant Bangsamoro Cooperative Movement

The numbers tell a story of unrealized potential. The path forward is clear. Your cooperative is part of the solution.

14.5.1 From 11.66 Percent to 50 Percent Compliance

Here is the baseline. Out of **12,214 registered cooperatives** in BARMM from 2010 to 2020, only **1,424 — or 11.66 percent — were compliant**.[58] That means 88.34 percent of registered cooperatives could not secure their certificate of compliance. The BDP 2023-2028 sets a target of **50 percent compliance**.[59]

Why is the compliance rate so low? The BDP identifies three root causes:

1. **Policies aligned with the old CDA system.** The transition from CDA to CSEA left a regulatory gap. Cooperatives formed by former combatants — a priority constituency — found the old compliance requirements difficult to navigate.[60]
2. **The pending cooperative code.** Without the BCSEC, CSEA operates with borrowed legal authority. Strategic planning and programming are constrained by the absence of a dedicated Bangsamoro legal framework for cooperatives.[61]
3. **Inadequate LGU participation.** Most LGUs in BARMM have **no appointed Municipal Cooperative Officers**. Regional cooperative officers cannot effectively coordinate at the local level without LGU counterparts. CSEA's provincial extension offices need to be fully established.[62]

BTA Bill 210 addresses all three root causes. The new code replaces CDA policies with a **Bangsamoro-specific framework**. It gives CSEA a **clear legal mandate** for strategic planning. It requires LGUs to appoint **Cooperative Development Officers** and allocate 5 percent of their funds for SE initiatives.[63]

But legislation alone does not produce compliance. Your cooperative produces compliance.

Think about the math. The target is 50 percent of registered cooperatives compliant. That means roughly **6,100 cooperatives** must secure their Certificate of Compliance — an increase of approximately **4,676 cooperatives** from the 2020 baseline of 1,424. This is an ambitious target. It requires a four-fold increase in the number of compliant cooperatives within the BDP period.

Every time you submit your annual reports on time, you add to the numerator. Every time you secure your Certificate of Compliance, you move the region closer to the 50 percent target. Every time you help a neighboring cooperative understand the new requirements, you multiply the effect.

The cooperative sector also serves a **peacebuilding function** that no other economic institution can replicate. The BDP's Combatant Transitional Program channels former combatants into cooperative enterprises. BTA Bill 210 explicitly mandates CSEA to "promote and strengthen cooperatives and social enterprises as pathways to reintegrate former combatants, surrenderees, and disaster-affected communities."[65] When your cooperative welcomes former combatants as members, provides them livelihood, and trains them in democratic governance, you are not just building an enterprise. You are building peace.

14.5.2 Your Role in Building the Movement

This guidebook began with a simple premise: cooperatives work when members understand what they are building together. Thirteen chapters later, you have the knowledge. You understand how to form a cooperative, register it with CSEA, govern it through democratic processes, manage its finances, maintain compliance, train your members, grow your operations, resolve disputes, and connect to the CSEA ecosystem.

Now you have one more thing: a view of what comes next.

BTA Bill 210 will create a cooperative framework unlike any other in the Philippines. It is the only cooperative law that integrates **moral governance**, **Shari'ah compliance**, and **social enterprise** into a single code. It reflects the Bangsamoro people's aspiration for an economy grounded in justice, ethics, and community.

But a law on paper is just paper. The cooperative movement lives in what you do tomorrow.

If you are a cooperative leader, call a board meeting. Brief your directors on the coming changes. Start the gap analysis. Commission your audited financial statements. Identify your Shari'ah committee candidates. Do not wait for the bill to pass — prepare now so you can comply on day one.

If you are a cooperative member, attend your next General Assembly. Ask your board what preparations they are making for BTA Bill 210. Volunteer for committees. Complete your cooperative education requirements. Your participation is not optional — it is the foundation of democratic member control.

If you are forming a new cooperative, design it for the new code from the start. Build moral governance into your Articles of Cooperation. Include Shari'ah compliance in your Bylaws. Structure your business plan around the social enterprise pathway. Register with CSEA, not CDA. You have the advantage of building on the new foundation rather than retrofitting the old one.

If you are a Municipal Cooperative Officer or LGU official, champion the cooperative agenda in your municipality. Allocate the 5 percent of LGU funds mandated for SE initiatives. Coordinate with your CSEA provincial office. Compile the data that CSEA needs to track compliance progress. You are the bridge between regional policy and community practice.

The BDP 2023-2028 envisions an **empowered, cohesive, and progressive Bangsamoro**.[66] Cooperatives are the vehicle that turns that vision into household-level reality. Every peso saved, every product marketed collectively, every member trained, every community project completed — these are the building blocks of an equitable, competitive, and robust Bangsamoro economy.

The Bangsamoro people have built something no other region in the Philippines has attempted: a cooperative framework that integrates universal cooperative principles with **moral governance**, **Islamic finance**, and **social enterprise** in a single code. This is not just legislation. It is an expression of identity — an economy built on the values of justice, consultation, stewardship, and trust that define the Bangsamoro.

The target is 50 percent compliance. The ambition is 100 percent functionality. The method is collective action rooted in moral governance and democratic principles.

You have read this guidebook. You have the tools. Now act.

Call the board meeting. Draft the amendments. Train the Shari'ah committee. File the audited financial statements. Submit your documents to CSEA. Secure your new Certificate of Registration. Then help the cooperative next door do the same.

Your cooperative is not waiting for the future. Your cooperative is building it.

Footnotes

1. BTA PB No. 210, "An Act Providing for the Bangsamoro Cooperative and Social Enterprise Code," filed in the Bangsamoro Transition Authority Parliament, Second Regular Session. Principal authors: MP Diamila Disimban-Ramos, MP Ishak Mastura, MP Lanang Ali Jr., MP Rasul Mitmug Jr., MP Amilbahar Mawallil, MP Baintan Ampatuan, MP Eddie Alih, MP Michael Midtimbang, MP Ali Sangki, MP Suharto Ambolodto. ↩
2. BTA Bill 210, Book I, Chapter II, Section 11 (Cooperatives and Social Enterprise Authority). ↩
3. BTA Bill 210, Book I, Section 1 (Title — "Bangsamoro Cooperative and Social Enterprise Code (BCSEC) of 2023"). ↩
4. BTA Bill 210, Book I, Section 5 (Cooperative Principles — "in accordance with moral governance and the cultures, good values and experiences of the constituents of the region as well as the universally accepted principles of cooperation"). ↩
5. BTA Bill 210, Book I, Section 9 (Shari'ah Governance and Shari'ah Compliance — "establishment of a Shari'ah committee in the cooperatives composed of at least three members who have competence on Shari'ah"). ↩
6. BTA Bill 210, Book I, Section 8 (Moral Governance), subsections (b) and (c). ↩
7. BTA Bill 210, Book I, Section 7 (Islamic Principles), subsection (e). ↩
8. BTA Bill 210, Book I, Chapter II, Section 14 (Organizational Structure). ↩
9. BTA Bill 210, Book I, Chapter II, Section 14. Provincial offices mandated in Maguindanao, Lanao del Sur, Basilan, Sulu, and Tawi-Tawi. Note: As of 2026, Sulu is excluded from BARMM territory per the Supreme Court ruling in *Province of Sulu v. Medialdea* (G.R. Nos. 242255, 243246, 243693; Sept. 9, 2024) and EO 91 (July 30, 2025). The bill text predates this ruling. ↩
10. BTA Bill 210, Book II, Chapter I, Section 20 (Types and Categories of Cooperatives) — lists 21 types compared to RA 9520, Art. 23, which identifies 14 types. ↩
11. BTA Bill 210, Book II, Chapter I, Section 5 (Organizing a Primary Cooperative). ↩
12. BTA Bill 210, Book II, Chapter I, Section 9(d) (Articles of Cooperation — paid-up share capital provisions). ↩
13. BTA Bill 210, Book III (Social Enterprise Development), Chapters I-III. ↩
14. BTA Bill 210, Book I, Chapter II, Section 20 (Cooperative Development Officers in LGUs), implementing RA 11535. ↩
15. BTA Bill 210, Book II, Chapter IV, Section 58 (Tax Treatment and Other Exemptions); Book III, Chapter III, Section __ (Tax Exemption for Micro Social Enterprises). ↩
16. BTA Bill 210, Book II, Chapter I, Section 14 (Inactive Cooperatives). ↩
17. BTA Bill 210, Book IV, Chapter I, Section 4 (Settlement of Disputes, Conciliation, and Mediation Proceedings). ↩
18. BTA Bill 210, Book IV, Chapter I, Section 2 (Cooperative and Social Enterprise Register and Information Systems). ↩
19. BTA Bill 210, Book I, Chapter II, Section 13(f) (Powers and Functions — "promote and strengthen cooperatives and social enterprises as pathways to reintegrate former combatants, surrenderees, and disaster-affected communities"). ↩
20. BTA Bill 210, Book I, Section 8 (Moral Governance — verbatim definition). ↩
21. BTA Bill 210, Book I, Section 8(c). ↩
22. Bangsamoro Development Plan 2023-2028, Chapter 4 (Pillars of Moral Governance). The 12 pillars guide governance across all BARMM institutions, including cooperatives. ↩
23. BTA Bill 210, Book I, Section 9. ↩

24. BTA Bill 210, Book I, Section 7(e). ↩
25. Common Shari'ah-compliant financial instruments applicable under BTA Bill 210, Section 7. Murabaha (cost-plus), wadiah (safekeeping), takaful (mutual guarantee), musharakah (partnership), and mudarabah (profit-sharing) are recognized alternatives to conventional financial products. ↩
26. BTA Bill 210, Book I, Chapter II, Section 18 (Functions and duties of the Shari'ah and Legal Division). ↩
27. BTA Bill 210, Book I, Section 4 (General Concepts — social enterprise definition). ↩
28. BTA Bill 210, Book III, Chapter I, Section 1 (General Coverage of Social Enterprises). ↩
29. BTA Bill 210, Book III, Chapter III, Section 14 (The Bangsamoro Social Enterprise Fund). ↩
30. BTA Bill 210, Book IV, Chapter III, Section 12 (Transitory Provisions). ↩
31. BTA Bill 210, Book IV, Chapter III, Section 12 — "All cooperatives registered and confirmed with the Cooperative Development Authority (CDA) under Republic Act No. 9520 and Republic Act No. 11364, are hereby deemed registered under this Code." ↩
32. BTA Bill 210, Book IV, Chapter III, Section 12 — "otherwise the registration shall be deemed cancelled motu proprio." ↩
33. BTA Bill 210, Book IV, Chapter III, Section 12 — Certificate of Tax Exemption "shall be valid for a period of five (5) years from the date of issue." ↩
34. BTA Bill 210, Book IV, Chapter III, Section 12 — "the BIR and the Authority shall jointly issue the necessary regulations on this exemption and compromise within ninety (90) days from the effectivity of this Code." ↩
35. BTA Bill 210, Book II, Chapter II, Section 24(1) (Limitation of Membership — "any person shall be eligible for membership in a cooperative in the region only twice"). ↩
36. BTA Bill 210, Book II, Chapter I, Section 15 (Amendment of Articles of Cooperation and Bylaws — two-thirds vote requirement). ↩
37. BTA Bill 210, Book I, Section 4 (General Concepts — social enterprise definition); Book III, Chapter III, Section 21 (Qualifications for Benefits and Incentives). ↩
38. BTA Bill 210, Book III, Chapter I, Section 4 (Acquisition of Social Enterprise Status — "social enterprise status is valid for three years"). ↩
39. BTA Bill 210, Book III, Chapter III, Section 14 (BSEF). ↩
40. BTA Bill 210, Book III, Chapter III, Section 20 (Preferential Rights — "qualified SEs shall be accorded a preferential right in the procurement process"). ↩
41. BTA Bill 210, Book III, Chapter III, Sections __ (Tax Exemption for Micro Social Enterprises) and 18 (Tax Holiday for Other Social Enterprises — "exempt in paying regional taxes, fees, and charges under the Bangsamoro Revenue Code for the first three years of their operation"). ↩
42. BTA Bill 210, Book III, Chapter II, Section 8 (RISE for Peace and Sustainable Development Program). ↩
43. BTA Bill 210, Book III, Chapter I, Section 3 (Registration and Accreditation of Social Enterprises). ↩
44. BTA Bill 210, Book III, Chapter II, Section 10 (Bangsamoro Center for Social Enterprise Development — six functions enumerated). ↩
45. BTA Bill 210, Book III, Chapter II, Section 8 (RISE Program — full title: "Bangsamoro Resilient and Inclusive Social Enterprises for Peace and Sustainable Development"). ↩
46. BTA Bill 210, Book III, Chapter II, Section 9(a) (SE Capability Building and Sustainability Program). ↩
47. BTA Bill 210, Book III, Chapter II, Section 9(b) (Social Enterprise Research and Development System — developed jointly by CSEA, BPDA, Department Academy of Bangsamoro, MOST, and MTIT). ↩
48. BTA Bill 210, Book III, Chapter II, Section 9(c) (Social Enterprise Marketing Infrastructure Development — SMAP and SMIN). ↩
49. BTA Bill 210, Book III, Chapter II, Section 6 (Bangsamoro Social Enterprise Council — composition includes nine SE representatives from provinces/cities, two SE intermediaries, two impact investors, and representatives from MSSD, MTIT, MOLE, MBHTE, MAFAR, BYC, BWC, MIPA, and MILG). ↩
50. Bangsamoro Development Plan 2023-2028 (BDP), adopted by the Bangsamoro government as its six-year development roadmap organized around six goals. ↩

51. BDP 2023-2028, Chapter 7, Sectoral Goal 2. ↩
52. BDP 2023-2028, Chapter 7, Sectoral Objective 2.5, Sub-objectives 2.5.1 and 2.5.2. ↩
53. BDP 2023-2028, Chapter 7, Strategy 21. ↩
54. BDP 2023-2028, Chapter 7, Strategy 22. ↩
55. BDP 2023-2028, Chapter 7, Priority Programs — Development of Cooperatives and Social Enterprise Program (PESO Project and LAKAS SE Program). ↩
56. BDP 2023-2028, Chapter 7, Priority Programs — Combatant Transitional Program (STOCK Project and Cooperative Financial and Material Support Project). ↩
57. BTA Bill 210, Book I, Section 10(q) (Definition of Terms — "Social Audit"). ↩
58. BDP 2023-2028, Chapter 7, Cooperatives and Social Enterprise sub-sector — "only 11.66 percent or 1,424 are compliant" out of 12,214 registered cooperatives from 2010 to 2020. ↩
59. BDP 2023-2028, Chapter 7 — "raising the number of compliances up to 50 percent." ↩
60. BDP 2023-2028, Chapter 7 — CSEA "is in its transition phase from being the sole agency mandated to register cooperatives in the defunct ARMM - Cooperative Development Authority (CDA). The policies and guidelines for cooperatives were predominantly aligned with the previous entity." ↩
61. BDP 2023-2028, Chapter 7 — "The pending codification of the Cooperative Code and Social Enterprise Code currently slows down the full operationalization and institutionalization of both Cooperatives and SE." ↩
62. BDP 2023-2028, Chapter 7 — "Most LGUs in the Bangsamoro Region have no appointed Municipal Cooperative Officers (MCOs)." ↩
63. BTA Bill 210, Book I, Chapter II, Section 20 (Cooperative Development Officers in LGUs); Book III, Chapter II, Section 11(c) (LGUs to allocate 5% of funds for SE initiatives). ↩
64. BDP 2023-2028, Chapter 7, Strategy 8 — "Strengthen capacities of farmer's organizations and agri-cooperatives as the driver of agricultural development in partnership with LGUs and other development stakeholders including private sectors." ↩
65. BTA Bill 210, Book I, Chapter II, Section 13(f). ↩
66. BDP 2023-2028, Chapter 4 (Overall Goal — "An empowered, cohesive, and progressive Bangsamoro"). ↩

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Glossary

This glossary defines key terms used throughout this guidebook. Terms defined in law cite their legal source. Terms are grouped by domain, then listed alphabetically within each group.

Cooperative Terms

Advocacy Cooperative — A primary cooperative that promotes and advocates cooperativism among its members and the public through socially-oriented projects, education and training, research and communication, and other similar activities to reach out to its intended beneficiaries.[1]

Agrarian Reform Cooperative — A cooperative organized by marginal farmers, the majority of whom are agrarian reform beneficiaries, for the purpose of developing an appropriate system of land tenure, land development, land consolidation, or land management in areas covered by agrarian reform.[2]

Annual Audit — The mandatory financial, performance, and social audit to which all registered cooperatives are subject each year. The financial audit must be conducted by an independent external auditor accredited by the Authority.[3]

Articles of Cooperation (AOC) — The founding document of a cooperative, equivalent to articles of incorporation for a corporation. Contains the cooperative's name, purpose, principal office, area of operation, membership requirements, and capital structure. Must be signed by all organizers and notarized before filing with the Authority.[4]

Associate Member — A cooperative member who has not yet met all requirements for regular membership. An associate member has no right to vote or be voted upon and is entitled only to such rights and privileges as the bylaws provide.[5]

Audit Committee — A mandatory committee elected by the general assembly, directly accountable to the general assembly. It has the power and duty to continuously monitor the adequacy and effectiveness of the cooperative's management control system and to audit performance.[6]

Board of Directors (BOD) — The body entrusted with the strategic planning, direction-setting, and policy-formulation activities of the cooperative, composed of not fewer than five and not more than fifteen members elected by the general assembly for a term of two years.[7]

Bond of Membership — The common interest that binds members of a cooperative together. May be geographic (residing or working in the same area), occupational (working in the same trade or profession), or associational (belonging to the same organization).[8]

Bylaws — A set of rules and procedures that govern the internal operations and management of a cooperative, including membership qualifications, rights and duties, meeting procedures, officer duties, share capital rules, and dispute mechanisms.[9]

Capital Build-Up Program — A reasonable and realistic program required in every cooperative's bylaws to allow the continuing growth of members' investment in their cooperative as their economic conditions improve.[10]

Certificate of Compliance (COC) — A certificate issued by the Authority to a registered cooperative after one year of operation and upon compliance with all requirements set forth by the Authority. Cooperatives that fail to operate for one year are denied COC issuance and rendered officially inactive.[11]

Certificate of Registration (COR) — The document issued by the Authority under its official seal that serves as conclusive evidence that the cooperative is duly registered and has acquired juridical personality, unless such registration has been cancelled.[12]

Chairperson — The presiding officer of the board of directors, elected from among the directors. Presides at general assembly and board meetings, executes authorized documents, and represents the cooperative in official functions.[13]

Committee — A group of members of a cooperative entrusted with specific functions and responsibilities under the bylaws or by resolution of the general assembly or the board of directors. Mandatory committees include audit, election, mediation and conciliation, and ethics.[14]

Common Bond of Interest — The shared characteristic that qualifies persons to join the same cooperative, such as residence or workplace in the same area, membership in the same organization, or employment in the same trade. Required of all organizers and members of a primary cooperative.[15]

Community Development Fund (CDF) — A mandatory fund representing not less than three percent of net surplus, used for projects or activities that benefit the community where the cooperative operates.[16]

Consolidation — The process by which two or more cooperatives form an entirely new cooperative, with the constituent cooperatives ceasing to exist. Requires approval by three-fourths vote of all members with voting rights in each constituent cooperative.[17]

Consumer Cooperative — A cooperative whose primary purpose is to procure and distribute commodities to members and non-members.[18]

Cooperative — An autonomous and duly registered association of persons, with a common bond of interest, who have voluntarily joined together to achieve their social, economic, and cultural needs and aspirations by making equitable contributions to the capital required, patronizing their products and services, and accepting a fair share of the risks and benefits of the undertaking in accordance with moral governance and universally accepted cooperative principles.[19]

Cooperative Bank — A cooperative organized for the primary purpose of providing a wide range of financial services to cooperatives and their members.[20]

Cooperative Development Authority (CDA) — The national government agency in charge of the registration, regulation, and development of cooperatives outside the Bangsamoro Autonomous Region.[21]

Cooperative Development Fund — See Community Development Fund.

Cooperative Development Officer (CDO) — A municipal, city, or provincial government official responsible for promoting, organizing, registering, and providing business advice, management guidance, and monitoring cooperatives in the local government unit's jurisdiction, pursuant to Republic Act No. 11535.[22]

Cooperative Education and Training Fund (CETF) — A mandatory fund of not more than ten percent of net surplus, allocated for training, development, and cooperative activities geared toward the growth of the cooperative movement. Half is spent by the cooperative; the other half may be remitted to a union or federation.[23]

Cooperative Union — An organization of registered cooperatives and federations at the provincial, city, regional, or national level, engaged primarily in non-business activities such as advocacy, representation, education, and technical assistance.[24]

Credit Cooperative — A cooperative that promotes and undertakes savings and lending services among its members, generating a common pool of funds to provide financial assistance and other related financial services for productive and provident purposes.[25]

Dairy Cooperative — A cooperative whose members are engaged in the production of fresh milk, which may be processed and marketed as dairy products.[26]

Democratic Member Control — The second internationally recognized cooperative principle, providing that cooperatives are democratic organizations controlled by their members, who actively participate in setting policies and making decisions. In primary cooperatives, each member has one vote regardless of capital contribution.[27]

Dissolution — The termination of a cooperative's existence, which may occur voluntarily (with or without creditors affected), involuntarily (by court order for law violation or insolvency), or by order of the Authority (for fraud, illegal purpose, or failure to operate).[28]

Donated Capital — Capital derived from subsidies, donations, legacies, grants, aids, and other assistance from local or foreign institutions. This capital cannot be divided into individual share capital holdings and, upon dissolution, is subject to escheat.[29]

Economic Survey — A mandatory document filed with the Authority by persons intending to form a cooperative, describing the proposed cooperative's structure, purposes, area of operation, size of membership, and other pertinent data including an economic feasibility study.[30]

Education Cooperative — A cooperative organized for the primary purpose of owning and operating licensed educational institutions.[31]

Education, Training, and Information — The fifth internationally recognized cooperative principle, requiring cooperatives to provide education and training for members, elected representatives, managers, and employees so they can contribute effectively to the cooperative's development.[32]

Election Committee — A mandatory committee elected by the general assembly, responsible for prescribing election rules, screening candidates, conducting elections, canvassing results, and resolving election protests.[33]

Electric Cooperative — A cooperative organized for the primary purpose of undertaking power generation (utilizing renewable energy sources including hybrid systems), acquisition, and operation of sub-transmission or distribution to its household members.[34]

Ethics Committee — A committee appointed by the board of directors, responsible for enforcing the cooperative's code of ethics and recommending sanctions for violations.[35]

Federation of Cooperatives — A secondary cooperative composed of three or more primary cooperatives of the same type of services, organized at the municipal, provincial, city, or economic zone level, registered with the Authority to undertake business activities in support of its member cooperatives.[36]

Financial Service Cooperative — A cooperative organized for the primary purpose of engaging in savings and credit services and other financial services, operating as a non-bank financial institution.[37]

Fishermen Cooperative — A cooperative organized by marginalized fishermen in localities whose products are marketed either as fresh or processed products.[38]

General Assembly (GA) — The full membership of the cooperative duly assembled for the purpose of exercising all rights and performing all obligations pertaining to cooperatives. It is the highest policy-making body of the cooperative. For cooperatives with numerous and dispersed membership, the GA may be composed of elected delegates.[39]

General Manager — The chief executive hired by the board of directors, responsible for the day-to-day operations and management of the cooperative. Cannot simultaneously serve as a member of the board of directors.[40]

Governance and Management Audit — The process of auditing the efficiency and effectiveness of cooperative performance by determining the presence of documents needed to be maintained in the operation and management of its business.[41]

Health Services Cooperative — A cooperative organized for the primary purpose of providing medical, dental, and other health services.[42]

Housing Cooperative — A cooperative organized to assist or provide access to housing for the benefit of its regular members who actively participate in the savings program for housing. It is co-owned and controlled by its members.[43]

Insolvency — The condition in which a cooperative fails or is unable to fulfill its obligations to creditors. An insolvent cooperative may apply for remedies under the Financial Rehabilitation and Insolvency Act (FRIA) of 2010.[44]

Insurance Cooperative — A cooperative engaged in the business of insuring the life and property of cooperatives and their members.[45]

Interest on Share Capital — A limited return paid to members on their paid-up share capital contributions, distinct from patronage refunds. The rate cannot exceed the normal rate of return on investments.[46]

Laboratory Cooperative — A cooperative organized by minors, which must be affiliated with a registered cooperative and is governed by special guidelines promulgated by the Authority.[47]

Limited Liability — The principle that a member's liability for the debts of the cooperative is limited to the extent of his or her share capital contribution. No personal liability exists beyond the subscription.[48]

Liquidation — The process of winding up a dissolved cooperative's affairs, including settling debts, disposing of assets, and distributing remaining property. A dissolved cooperative continues to exist for three years after dissolution for the purpose of liquidation.[49]

Marketing Cooperative — A cooperative that engages in the supply of production inputs to members and markets their products.[50]

Mediation and Conciliation Committee — A mandatory committee appointed by the board of directors to hear complaints and mediate disputes among members, officers, directors, and committee members within the cooperative.[51]

Member Economic Participation — The third internationally recognized cooperative principle, requiring that members contribute equitably to, and democratically control, the capital of their cooperative. Members receive limited compensation on capital subscribed as a condition of membership and allocate surpluses for reserves, patronage, and other approved activities.[52]

Members — Persons, either natural or juridical, adhering to the principles set forth in the Bangsamoro Cooperative and Social Enterprise Code and in the articles of cooperation, who have been admitted by the cooperative as members.[53]

Merger — The process by which one cooperative absorbs another, with the surviving cooperative acquiring all assets and assuming all liabilities of the absorbed cooperative. Requires three-fourths vote of all members with voting rights in each constituent cooperative.[54]

Moral Governance — An approach to governance of cooperatives and social enterprises guided by moral principles of enjoining what is right and forbidding what is wrong, including servitude, purity of intentions, honesty, integrity, accountability, excellence, stewardship, balance, harmony, consultation, justice, and trust.[55]

Multipurpose Cooperative — A cooperative that combines two or more of the business activities of different cooperative types. A single-purpose cooperative may transform into a multipurpose only after at least two years of operations and with proof of economic viability.[56]

Net Surplus — The total income of a cooperative less all expenses for the fiscal year. Not construed as profit but as an excess of payments made by members, which is deemed returned to them when distributed as prescribed by law.[57]

Officers of the Cooperative — The chairperson, vice chairperson, secretary, treasurer, members of the board of directors, members of the different committees, general manager or chief executive officer, and members holding other positions as provided in the cooperative's bylaws.[58]

One Member, One Vote — The democratic voting rule in primary cooperatives whereby each member has exactly one vote, regardless of the amount of share capital contributed.[59]

Patronage Refund — A portion of net surplus distributed to members in proportion to their individual patronage of the cooperative's business during the fiscal year. Distinct from interest on share capital, which is based on capital contribution.[60]

Pre-Registration Seminar (PRS) — A mandatory educational seminar that all prospective organizers and members of a cooperative must complete before the cooperative may be registered. Conducted by the Authority or by accredited institutions.[61]

Primary Cooperative — A cooperative whose members are natural persons. Requires at least fifteen Filipino citizens of legal age with a common bond of interest to organize.[62]

Producers Cooperative — A cooperative formed and operated by its members to undertake the production and processing of raw materials or goods produced by its members into finished or processed products for sale by the cooperative.[63]

Quorum — The minimum number of members required to be present for a meeting to validly transact business. For general assembly meetings, at least twenty-five percent of all members entitled to vote. For board meetings, a majority of directors.[64]

Regular Member — A member who has complied with all membership requirements and is entitled to all rights and privileges of membership, including the right to vote and be voted upon.[65]

Representative Assembly — The full membership of a body of representatives elected by each sector, chapter, or district of the cooperative, duly assembled to exercise powers lawfully delegated by the general assembly in accordance with the bylaws.[66]

Reserve Fund — A mandatory fund of at least ten percent of net surplus (fifty percent during the first five years of operation), used for the stability of the cooperative and to meet net losses. Upon dissolution, the reserve fund is not distributed among members but is donated to the community or remitted to the cooperative's federation or union.[67]

Revolving Capital — Capital raised by the cooperative through deferred payment of patronage refunds or interest on share capital, or by authorized deduction from the proceeds of products sold or services rendered, evidenced by revolving capital certificates.[68]

Secondary Cooperative — A cooperative whose members are primary cooperatives. Includes federations of cooperatives.[69]

Service Cooperative — A cooperative that engages in medical and dental care, hospitalization, transportation, insurance, housing, labor, power and electricity, communication, professional, and other services.[70]

Share Capital — The money paid or required to be paid by members for the operations of the cooperative. The par value of each share may be fixed to any figure not more than one thousand pesos (PHP 1,000.00). No single member of a primary cooperative may own or hold more than ten percent of the total share capital.[71]

Single-Purpose Cooperative — A cooperative undertaking activities related to its main line of business or purpose. May also be referred to as a single-line cooperative.[72]

Social Audit — A procedure wherein the cooperative assesses its social impact and ethical performance against its stated mission, vision, goals, and code of social responsibility. It enables the cooperative to account for its social performance, evaluate its impact in the community, and be accountable for its decisions and actions to its regular members.[73]

Subsidiary Cooperative — An organization whose membership or shareholders come all or mostly from a cooperative, organized for a purpose different from the parent cooperative, and receiving technical, managerial, and financial assistance from it.[74]

Tertiary Cooperative — A cooperative whose members are secondary cooperatives (federations). Operates at the highest tier of the cooperative structure.[75]

Transport Cooperative — A cooperative engaged in land and sea transportation, limited to small vessels as defined under Philippine maritime laws.[76]

Treasurer's Affidavit — A sworn statement by the cooperative's elected treasurer certifying that at least twenty-five percent of the authorized share capital has been subscribed and at least twenty-five percent of the total subscription has been paid, with paid-up capital not less than fifteen thousand pesos (PHP 15,000.00).[77]

Voluntary and Open Membership — The first internationally recognized cooperative principle, providing that cooperatives are voluntary organizations open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political, or religious discrimination.[78]

Water Service Cooperative — A cooperative organized to own, operate, and manage water systems for the provision and distribution of potable water for its members and their households.[79]

Workers Cooperative — A cooperative organized by workers, including the self-employed, who are at the same time the members and owners of the enterprise, with the principal purpose of providing employment and business opportunities to its members.[80]

Islamic Finance and Shari'ah Terms

Al-Wadiah (Safekeeping) — An Islamic finance arrangement in which a bank or financial institution holds deposits in trust for customers, used as the Shari'ah-compliant alternative to conventional interest-bearing savings accounts.[81]

Gharar — Excessive uncertainty or ambiguity in a contract. Prohibited in Islamic finance because speculative business and financial transactions involving too much uncertainty or extreme risk can lead to disputes and exploitation.[82]

Hadith — The record of the sayings, actions, and silent approvals of the Prophet Muhammad (peace be upon him). Together with the Quran and the Sunnah, the Hadith forms one of the primary sources of Shari'ah law.[83]

Halal — Acts and deeds that are in accordance with Shari'ah law. Literally means "permissible" in Islam. In the cooperative context, all transactions, products, and services must be halal to comply with the Shari'ah governance framework.[84]

Haram — The opposite of halal; that which is prohibited under Shari'ah law. Cooperatives and social enterprises under the Shari'ah governance framework must avoid all haram products and services, including alcohol, pork products, and conventional interest-based transactions.[85]

Ijarah — An Islamic finance lease arrangement in which the lessor leases an asset to the lessee for a specified period at an agreed rental. The lessor retains ownership and bears maintenance costs, distinguishing it from conventional leasing with interest.[86]

Islamic Finance — Financial organizations and arrangements with risk-sharing as their core element, contributing to financial stability through the use of financial contracts and services founded on risk-sharing rather than speculation, in compliance with Shari'ah principles.[87]

Istisna — An Islamic finance contract for manufacturing or construction, in which one party commissions another to make or build something according to agreed specifications, price, and delivery schedule. Payment may be made in advance, in installments, or upon completion.[88]

Maqasid al-Shari'ah — The higher objectives of Shari'ah, which include the preservation of five essential values: faith (din), life (nafs), lineage (nasl), intellect (aql), and wealth (mal). Cooperatives and social enterprises under the Shari'ah governance framework must align their operations with these objectives.[89]

Maysir — Gambling and games of chance. Prohibited in Islamic finance alongside riba and gharar. Cooperative activities must not involve lotteries, raffles, or any form of gambling.[90]

Mudarabah (Profit-Sharing) — An Islamic finance partnership in which one party provides the capital (rab al-mal) and the other provides labor and expertise (mudarib). Profits are shared according to a pre-agreed ratio, while losses are borne by the capital provider unless caused by the manager's negligence.[91]

Murabaha (Cost-Plus Financing) — An Islamic finance transaction in which a financial institution purchases an asset and resells it to the client at a disclosed cost plus an agreed markup. The Shari'ah-compliant alternative to conventional interest-based lending.[92]

Musharakah (Joint Venture) — An Islamic finance partnership in which all parties contribute capital and share profits and losses in proportion to their investment. The Shari'ah-compliant equivalent of a conventional joint venture.[93]

Riba — A concept in Islam referring broadly to growth, increase, or excess, which forbids interest credited from loans or deposits. Translated as the pursuit of illegal, exploitative gains made in business or trade under Islamic law, akin to usury. Strictly prohibited in all cooperative and social enterprise financial transactions under the Shari'ah governance framework.[94]

Sadaqah — Charity given voluntarily. Describes any voluntary charitable act toward others, whether through generosity, love, compassion, or faith. Encouraged as a financing mechanism for social enterprises under the Bangsamoro Cooperative and Social Enterprise Code.[95]

Salam — An Islamic finance contract of forward sale, in which the buyer pays the full price in advance for a specified commodity to be delivered on a future date. Commonly used in agricultural financing as an alternative to conventional futures contracts.[96]

Shari'ah — Islamic canonical law based on the teachings of the Quran and the traditions of the Prophet Muhammad (Hadith and Sunnah), prescribing both religious and secular duties. In the cooperative context, Shari'ah provides the framework for permissible financial transactions, products, and services.[97]

Shari'ah Committee — A committee composed of at least three members with competence in Shari'ah, required within cooperatives and social enterprises that choose to operate under Islamic principles and the Shari'ah governance framework.[98]

Shari'ah Compliance — The adherence of a cooperative's or social enterprise's operations, business activities, products, and services to Islamic principles and Shari'ah rules, as verified through regular review and audit by the Shari'ah and Legal Division of the Authority.[99]

Shari'ah Governance — Structures and processes adopted by an institution to ensure compliance with Islamic principles and Shari'ah rules in its business operations. The Authority adopts a Shari'ah governance framework and policies to guide cooperatives and social enterprises.[100]

Sunnah — The practices and traditions of the Prophet Muhammad (peace be upon him), as recorded in the Hadith. Together with the Quran, the Sunnah forms the foundational source of Shari'ah law and guides cooperative conduct under the Islamic principles framework.[101]

Takaful (Mutual Guarantee) — The Shari'ah-compliant alternative to conventional insurance. Participants contribute to a mutual fund that is used to compensate members who suffer losses. Based on the principles of mutual cooperation, shared responsibility, and joint indemnity.[102]

Waqf — Assets that are donated, bequeathed, or purchased for being held in perpetual trust for general or specific charitable causes that are socially beneficial. Similar to the Western concept of endowment. Encouraged as a strategic, empowering, and sustainable mechanism for financing social enterprises.[103]

Zakat — A form of obligatory charity in Islam, with the literal meaning of "to cleanse." Muslims believe that paying zakat purifies, increases, and blesses the remainder of their wealth. Identified in the Code as a strategic financing mechanism for social enterprises alongside sadaqah and waqf.[104]

Social Enterprise Terms

Asset Lock — A governance requirement for social enterprises under the Code, mandating that in case of termination or dissolution, the enterprise's assets must be transferred to another social enterprise or a social enterprise network in the Bangsamoro region, rather than distributed to owners.[105]

Assets (Social Enterprise) — All kinds of properties, real or personal, owned by a social entrepreneur and used for the conduct of its business. For purposes of tax exemption and other incentives, the term includes all properties owned or used by the social enterprise directly related to its operations.[106]

Bangsamoro Center for Social Enterprise Development (BCSED) — An institution established under the Authority to provide capability training and education, manage the SE Marketing Assistance Program, and develop the research and development system for social enterprises.[107]

Bangsamoro Social Enterprise Council (BSEC) — An advisory body organized by the Authority, composed of an alliance of social enterprise leaders who leverage their networks, knowledge, and experience to build a strong and enabling environment for social enterprises. Monitors the implementation of the RISE Program.[108]

Bangsamoro Social Enterprise Fund (BSEF) — A fund established by the Bangsamoro Government through the Authority to give grants to social enterprises to improve their local communities. Managed by the Authority in partnership with the BCSED and the BSEC.[109]

Basic Sectors — Non-Moro indigenous peoples, farmer-peasants, artisanal fisherfolk, workers in the formal sector and migrant workers, workers in the informal sector, youth and students, and urban poor.[110]

Capability Building — The process of enhancing the viability and sustainability of social enterprises, including education, training, coaching, study tours, technical and consultancy services, organizational systems development, technology incubation, value chain development, trade fairs and missions, networking, and policy advocacy.[111]

Civil Society Organizations (CSOs) — Private voluntary organizations of citizens established to pursue a mission, usually involving the interest of the public, marginalized groups, or specific sectors of society. Includes non-government organizations, socio-civic groups, foundations, and people's organizations.[112]

Disadvantaged Sectors — Women, children, senior citizens, differently-abled persons, indigenous cultural communities, internally displaced persons (whether from natural or human-induced causes), widows and orphans, homeless persons, and victims of conflicts and atrocities that affect their well-being and participation in community affairs.[113]

Foundation — A non-profit organization duly registered that typically donates funds and support to other organizations or provides the source of funding for its own charitable purposes. Unlike a corporation, foundations have no shareholders, though they may have a board, an assembly, and voting members.[114]

Impact Investors — Individuals or institutions that choose to invest money in a business endeavor or activity not principally for financial profit but to fulfill a social mission, which may include poverty reduction, environmental protection, strong organizational governance, and a desire for a more economically just world.[115]

Micro Social Enterprise — A social enterprise at the smallest scale of operations, exempt from tax on income arising from the operations of the enterprise. Local government units may either reduce or exempt micro social enterprises from local taxes, fees, and charges.[116]

Microfinance — The provision of a broad range of financial services such as deposits, loans, payment services, money transfers, and insurance products to the poor and low-income households and their microenterprises and small businesses, to enable them to raise their income levels and improve their living standards.[117]

Minimum Basic Needs — The needs of a Filipino family pertaining to survival (food and nutrition, health, water and sanitation), security (shelter, peace and order, public safety, income and livelihood), enabling services (basic education and literacy, participation in community development, family and psycho-social care), and inclusion (assistive devices and technology, personal assistance, sign language interpretation, accessibility).[118]

Multiple Bottom-Lines — A social enterprise principle requiring social enterprises to work toward the achievement of measurable social and environmental impacts alongside financial return, rather than pursuing profit alone.[119]

Non-Government Organization (NGO) — A duly registered non-stock, non-profit organization focusing on the upliftment of the basic or disadvantaged sectors of society by providing advocacy, training, community organizing, research, access to resources, and other similar activities, organized and operated exclusively for scientific, research, educational, health, social welfare, cultural, or charitable purposes.[120]

Private Enterprise — An organization engaged in a business activity organized for the purpose of accumulating profit, whose primary stakeholders and beneficiaries are its owners. Distinguished from social enterprises, where profit is secondary to social mission.[121]

RISE for Peace and Sustainable Development Program — The Bangsamoro Resilient and Inclusive Social Enterprises for Peace and Sustainable Development Program — a comprehensive and fully integrated capacity-building program formulated to strengthen the growth of social enterprises and promote inclusive innovation in BARMM. Includes SE capability building, research and development, and marketing infrastructure development.[122]

SE Marketing Assistance Program (SMAP) — A program under the Authority that assists social enterprises in matching supply with demand in both domestic and foreign markets, and promotes SE products and services through media, trade fairs, and trade missions.[123]

SE Marketing Information Network (SMIN) — A digital platform developed by the Authority with the Ministry of Trade, Investments and Tourism, providing business information, contacts, market intelligence, and trade leads to social enterprises.[124]

Social Audit (Social Enterprise) — The periodic reporting and assessment required of social enterprises to demonstrate how they meet the criteria for SE status, including annual activity and social-impact reports submitted to the Authority.[125]

Social Development — The continuing process of addressing the needs of society, beginning with the people's minimum basic needs, through systematic implementation of socioeconomic programs or packages.[126]

Social Enterprise (SE) — Any business organization whose primary purpose is addressing a social, cultural, or environmental challenge, where creating profit for owners or shareholders is secondary. It delivers positive social impact through its means and ends to achieve social justice, social equity, and economic efficiency, and must reinvest a significant proportion of its profits back into the business for social, cultural, or environmental purposes.[127]

Social Enterprise Intermediaries — Organizations that support social enterprises through training, investment brokering, creating platforms and networks between social enterprises and other ecosystem stakeholders. Government intermediaries are excluded from this category.[128]

Social Enterprise Status — A qualification granted by the Authority, valid for three years, during which the social enterprise must submit annual activity and social-impact reports. Failure to renew results in removal from the Authority's Registry.[129]

Social Entrepreneur — An innovative individual or institution that promotes the creation and operationalization of enterprises or livelihood endeavors for those in need, or which address social problems and improve societal well-being.[130]

Social Entrepreneurship — Innovations designed to explicitly improve societal well-being, housed within entrepreneurial organizations that initiate, guide, or contribute to change in society.[131]

Social Mission — A social enterprise principle requiring that social enterprises put primacy on objectives that improve human well-being, promote peace and social cohesion, reduce inequality, provide access to quality services, and ensure participation of the poor, low-income, underprivileged, disadvantaged, and marginalized sectors.[132]

Social Procurement — The practice of achieving economic empowerment by purchasing goods and services from social benefit suppliers and providing training and employment to socially and economically disadvantaged people. The Authority's Social Enterprise Division encourages social procurement within government agencies.[133]

Social Reform — The continuing process of addressing the basic inequities in society through a systematic, unified, and coordinated delivery of socioeconomic programs or packages.[134]

Social Value — The additional benefit to society of procuring a good or service, over and above the direct benefit and value of the good or service to the procuring entity. Includes support for poor communities, advancement of human rights, protection of the environment, and community development.[135]

Sustainable, Inclusive, and Equitable Development — A social enterprise principle requiring that social enterprises engage in business and entrepreneurial endeavors geared toward the upliftment of people's lives and the achievement of development that is environmentally sustainable, socially inclusive, and economically equitable.[136]

BARMM Governance Terms

Bangsamoro Autonomy Act (BAA) — An act enacted by the Bangsamoro Transition Authority Parliament. Bangsamoro Autonomy Acts are the primary legislative products of the BTA Parliament and carry the force of law within the Bangsamoro Autonomous Region.[137]

Bangsamoro Autonomous Region in Muslim Mindanao (BARMM) — The autonomous political entity in the southern Philippines established under the Bangsamoro Organic Law (Republic Act No. 11054), replacing the former Autonomous Region in Muslim Mindanao (ARMM). Comprises the provinces of Maguindanao del Norte, Maguindanao del Sur, Lanao del Sur, Basilan, Sulu, and Tawi-Tawi, plus Cotabato City and the Special Geographic Area (SGA).[138] (Note: Following the Supreme Court ruling in *Province of Sulu v. Medialdea* (2024) and Executive Order No. 91 (2025), the status of Sulu within BARMM is subject to ongoing legal and administrative developments.)

Bangsamoro Cooperative and Social Enterprise Code (BCSEC) — The proposed comprehensive legislation (BTA PB No. 210) to govern the registration, regulation, and development of cooperatives and social enterprises in BARMM. Also referred to as "the Code" throughout this guidebook.[139]

Bangsamoro Development Plan (BDP) 2023-2028 — The second comprehensive development plan for BARMM, setting out six development goals, eight strategies, and specific sector objectives. Goal 2 (equitable, competitive, and robust economy) directly governs cooperative and social enterprise development targets.[140]

Bangsamoro Organic Law (BOL) — Republic Act No. 11054, the foundational law that created the Bangsamoro Autonomous Region in Muslim Mindanao and defined its structure of government, powers, and area of coverage. Sections 24 and 27 of Article XIII mandate cooperative and social enterprise development policies.[141]

Bangsamoro Parliament — The legislative body of the Bangsamoro Autonomous Region, currently operating as the Bangsamoro Transition Authority (BTA) Parliament during the transition period. Enacts Bangsamoro Autonomy Acts and resolutions.[142]

Bangsamoro Planning and Development Authority (BPDA) — The Bangsamoro government agency responsible for overall development planning, including coordination of economic targets, poverty reduction strategies, and sectoral plans including cooperative development.[143]

Bangsamoro Transition Authority (BTA) — The interim government body administering the Bangsamoro Autonomous Region during the transition period from the former ARMM to the permanent BARMM government. Exercises both executive and legislative functions.[144]

Cooperative and Social Enterprise Authority (CSEA) — The Bangsamoro government agency that serves as the sole registering, regulating, and developing body for cooperatives and social enterprises in BARMM. Attached to the Office of the Chief Minister, it enjoys fiscal autonomy and operates through four divisions: Administrative and Finance, Cooperative Development, Social Enterprise, and Shari'ah and Legal.[145]

Cooperative Annual Performance Report (CAPR) — A mandatory annual report that cooperatives must submit to the Authority within one hundred twenty days after the close of the fiscal year, detailing the cooperative's activities, programs, performance, and statistics.[146]

Cooperative Audited Financial Statements (CAFS) — The mandatory audited financial statements that cooperatives must submit to the Authority within one hundred twenty days after the close of the fiscal year, prepared in accordance with generally accepted accounting standards for cooperatives.[147]

General Appropriations Act of the Bangsamoro (GAAB) — The annual budget law enacted by the Bangsamoro Parliament, which appropriates funds for the implementation of government programs including cooperative and social enterprise development.[148]

Gross Regional Domestic Product (GRDP) — The total value of goods and services produced within the Bangsamoro Autonomous Region. The BDP 2023-2028 targets annual GRDP growth of eight to nine percent.[149]

Intergovernmental Fiscal Policy Board — The body responsible for coordinating fiscal policies between the Bangsamoro Government and the National Government, including tax treatment for cooperatives and social enterprises in BARMM.[150]

LAKAS SE Program — Lakbay Aral sa Social Enterprise, a learning program for social enterprise development identified as a priority project under the BDP 2023-2028 cooperative and social enterprise sector.[151]

Ministry of Agriculture, Fisheries, and Agrarian Reform (MAFAR) — The BARMM ministry responsible for agricultural development, fisheries, and agrarian reform, which coordinates with the Authority on agri-fishery cooperative development and the Shari'ah-compliant financing program for startup cooperatives.[152]

Ministry of Finance and Budget and Management (MFBM) — The BARMM ministry responsible for fiscal policy, budget management, and coordination of financial incentives for cooperatives and social enterprises.[153]

Ministry of Trade, Investments and Tourism (MTIT) — The BARMM ministry responsible for trade promotion, investment facilitation, and tourism development, which coordinates with the Authority on SE marketing, trade fairs, and the SE Marketing Information Network.[154]

Municipal Cooperative Officer (MCO) — A local government official at the municipal level responsible for promoting and assisting cooperative development. The BDP 2023-2028 identifies the absence of MCOs in most BARMM local government units as a key challenge.[155]

PESO Project — Profitability and Equity Support Oriented project, a priority initiative under the BDP 2023-2028 providing financial and technical assistance to improve cooperative profitability.[156]

Special Geographic Area (SGA) — The 63 barangays in the municipalities of Aleosan, Carmen, Kabacan, Midsayap, Pikit, and Pigcawayan in the Province of Cotabato that voted to join the Bangsamoro Autonomous Region through the 2019 plebiscite.[157]

STOCK Project — Strengthening of Technical and Operational Knowledge project, a capacity-building initiative under the BDP 2023-2028 for cooperatives organized by former combatants.[158]

Footnotes

1. BTA PB No. 210, Book II, Section 20(a)(7). ↩
2. BTA PB No. 210, Book II, Section 20(a)(8). ↩
3. BTA PB No. 210, Book II, Section 72. ↩
4. BTA PB No. 210, Book I, Section 10(j); Book II, Section 9. ↩
5. BTA PB No. 210, Book II, Section 23; RA 9520, Article 26. ↩
6. BTA PB No. 210, Book II, Section 41(b). ↩
7. BTA PB No. 210, Book I, Section 10(h); Book II, Section 35. ↩
8. RA 9520, Article 5. ↩
9. BTA PB No. 210, Book I, Section 10(k); Book II, Section 10. ↩
10. BTA PB No. 210, Book II, Section 67. ↩
11. BTA PB No. 210, Book II, Section 13. ↩
12. BTA PB No. 210, Book II, Section 12. ↩
13. BTA PB No. 210, Book II, Section 40; RA 9520, Article 41. ↩
14. BTA PB No. 210, Book I, Section 10(i); Book II, Section 41. ↩
15. BTA PB No. 210, Book II, Section 5; RA 9520, Article 10. ↩
16. BTA PB No. 210, Book II, Section 78(c). ↩
17. BTA PB No. 210, Book II, Sections 18-19. ↩
18. BTA PB No. 210, Book II, Section 20(a)(2). ↩
19. BTA PB No. 210, Book I, Section 4; RA 9520, Article 3. ↩
20. BTA PB No. 210, Book II, Section 20(a)(9). ↩
21. BTA PB No. 210, Book I, Section 10(m). ↩
22. BTA PB No. 210, Book I, Section 20; Republic Act No. 11535. ↩
23. BTA PB No. 210, Book II, Section 78(b). ↩
24. BTA PB No. 210, Book II, Section 22; RA 9520, Article 25. ↩
25. BTA PB No. 210, Book II, Section 20(a)(1). ↩
26. BTA PB No. 210, Book II, Section 20(a)(10). ↩
27. BTA PB No. 210, Book I, Section 5(ii); ICA Statement on Cooperative Identity (1995), Principle 2. ↩
28. BTA PB No. 210, Book II, Section 61. ↩
29. BTA PB No. 210, Book II, Section 64(d). ↩
30. BTA PB No. 210, Book II, Section 6; RA 9520, Article 11. ↩
31. BTA PB No. 210, Book II, Section 20(a)(11). ↩
32. BTA PB No. 210, Book I, Section 5(v); ICA Statement on Cooperative Identity (1995), Principle 5. ↩
33. RA 9520, Article 45; BTA PB No. 210, Book II, Section 41(b). ↩
34. BTA PB No. 210, Book II, Section 20(a)(12). ↩
35. RA 9520, Article 43; BTA PB No. 210, Book II, Section 41(b). ↩
36. BTA PB No. 210, Book I, Section 10(v); Book II, Section 21. ↩

37. BTA PB No. 210, Book II, Section 20(a)(13). ↩
38. BTA PB No. 210, Book II, Section 20(a)(14). ↩
39. BTA PB No. 210, Book I, Section 10(g); Book II, Section 29. ↩
40. RA 9520, Article 41; BTA PB No. 210, Book II, Section 40. ↩
41. BTA PB No. 210, Book I, Section 10(r). ↩
42. BTA PB No. 210, Book II, Section 20(a)(15). ↩
43. BTA PB No. 210, Book II, Section 20(a)(16). ↩
44. BTA PB No. 210, Book II, Section 60; Republic Act No. 10142. ↩
45. BTA PB No. 210, Book II, Section 20(a)(17). ↩
46. BTA PB No. 210, Book II, Section 78(e). ↩
47. BTA PB No. 210, Book II, Section 23. ↩
48. BTA PB No. 210, Book II, Sections 7 and 26. ↩
49. BTA PB No. 210, Book II, Section 61(g). ↩
50. BTA PB No. 210, Book II, Section 20(a)(4). ↩
51. BTA PB No. 210, Book II, Section 41(b); Book IV, Section 4. ↩
52. BTA PB No. 210, Book I, Section 5(iii); ICA Statement on Cooperative Identity (1995), Principle 3. ↩
53. BTA PB No. 210, Book I, Section 10(f). ↩
54. BTA PB No. 210, Book II, Sections 18-19. ↩
55. BTA PB No. 210, Book I, Section 8. ↩
56. BTA PB No. 210, Book II, Section 20(a)(6); Section 5. ↩
57. BTA PB No. 210, Book II, Section 77; RA 9520, Article 86. ↩
58. BTA PB No. 210, Book I, Section 10(p). ↩
59. BTA PB No. 210, Book I, Section 5(ii); Book II, Section 34. ↩
60. BTA PB No. 210, Book II, Section 78(e); RA 9520, Article 87. ↩
61. BTA PB No. 210, Book II, Section 5; RA 9520, Article 10. ↩
62. BTA PB No. 210, Book II, Section 5; Section 20(b)(1)(i). ↩
63. BTA PB No. 210, Book II, Section 20(a)(3). ↩
64. BTA PB No. 210, Book II, Section 33. ↩
65. BTA PB No. 210, Book II, Section 23; RA 9520, Article 26. ↩
66. BTA PB No. 210, Book I, Section 10(o). ↩
67. BTA PB No. 210, Book II, Section 78(a). ↩
68. BTA PB No. 210, Book II, Section 71. ↩
69. BTA PB No. 210, Book II, Section 20(b)(1)(ii). ↩
70. BTA PB No. 210, Book II, Section 20(a)(5). ↩
71. BTA PB No. 210, Book II, Sections 65 and 68. ↩
72. BTA PB No. 210, Book I, Section 10(s). ↩
73. BTA PB No. 210, Book I, Section 10(q). ↩
74. BTA PB No. 210, Book I, Section 10(u). ↩
75. BTA PB No. 210, Book II, Section 20(b)(1)(iii). ↩
76. BTA PB No. 210, Book II, Section 20(a)(18). ↩
77. BTA PB No. 210, Book II, Section 9(d); RA 9520, Article 16. ↩
78. BTA PB No. 210, Book I, Section 5(i); ICA Statement on Cooperative Identity (1995), Principle 1. ↩

79. BTA PB No. 210, Book II, Section 20(a)(19). ↩
80. BTA PB No. 210, Book II, Section 20(a)(20). ↩
81. Shari'ah-compliant alternative referenced in BTA PB No. 210, Book I, Section 7. ↩
82. BTA PB No. 210, Book I, Section 7(e). ↩
83. BTA PB No. 210, Book I, Section 10(a). ↩
84. BTA PB No. 210, Book I, Section 10(c). ↩
85. BTA PB No. 210, Book I, Section 10(d). ↩
86. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
87. BTA PB No. 210, Book I, Section 10(e). ↩
88. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
89. BTA PB No. 210, Book I, Section 7(a). ↩
90. BTA PB No. 210, Book I, Section 7(e). ↩
91. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
92. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
93. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
94. BTA PB No. 210, Book I, Section 10(b). ↩
95. BTA PB No. 210, Book I, Section 10(hh); Book III, Section 13. ↩
96. Shari'ah-compliant financing instrument; BTA PB No. 210, Book I, Section 7. ↩
97. BTA PB No. 210, Book I, Section 10(a). ↩
98. BTA PB No. 210, Book I, Section 9. ↩
99. BTA PB No. 210, Book I, Sections 7 and 9. ↩
100. BTA PB No. 210, Book I, Section 9. ↩
101. BTA PB No. 210, Book I, Section 10(a). ↩
102. Shari'ah-compliant alternative referenced in BTA PB No. 210, Book I, Section 7. ↩
103. BTA PB No. 210, Book I, Section 10(oo); Book III, Section 13. ↩
104. BTA PB No. 210, Book I, Section 10(pp); Book III, Section 13. ↩
105. BTA PB No. 210, Book III, Section 21(i). ↩
106. BTA PB No. 210, Book I, Section 10(w). ↩
107. BTA PB No. 210, Book III, Section 10. ↩
108. BTA PB No. 210, Book III, Section 6. ↩
109. BTA PB No. 210, Book III, Section 14. ↩
110. BTA PB No. 210, Book I, Section 10(x). ↩
111. BTA PB No. 210, Book I, Section 10(z). ↩
112. BTA PB No. 210, Book I, Section 10(aa). ↩
113. BTA PB No. 210, Book I, Section 10(y). ↩
114. BTA PB No. 210, Book I, Section 10(bb). ↩
115. BTA PB No. 210, Book I, Section 10(cc). ↩
116. BTA PB No. 210, Book III, Section 16 (unnumbered section on micro SEs). ↩
117. BTA PB No. 210, Book I, Section 10(dd). ↩
118. BTA PB No. 210, Book I, Section 10(ee). ↩
119. BTA PB No. 210, Book I, Section 6(b). ↩
120. BTA PB No. 210, Book I, Section 10(ff). ↩

121. BTA PB No. 210, Book I, Section 10(gg). ↩
122. BTA PB No. 210, Book III, Sections 8-9. ↩
123. BTA PB No. 210, Book III, Section 9(c)(1). ↩
124. BTA PB No. 210, Book III, Section 9(c)(2). ↩
125. BTA PB No. 210, Book III, Sections 4-5. ↩
126. BTA PB No. 210, Book I, Section 10(ii). ↩
127. BTA PB No. 210, Book I, Section 4; Book III, Section 1. ↩
128. BTA PB No. 210, Book I, Section 10(kk). ↩
129. BTA PB No. 210, Book III, Section 4. ↩
130. BTA PB No. 210, Book I, Section 10(jj). ↩
131. BTA PB No. 210, Book I, Section 10(ll). ↩
132. BTA PB No. 210, Book I, Section 6(a). ↩
133. BTA PB No. 210, Book I, Section 17(c). ↩
134. BTA PB No. 210, Book I, Section 10(mm). ↩
135. BTA PB No. 210, Book I, Section 10(nn); Book III, Section 20. ↩
136. BTA PB No. 210, Book I, Section 6(c). ↩
137. Bangsamoro Organic Law (Republic Act No. 11054), Article VII. ↩
138. Republic Act No. 11054, Article III. ↩
139. BTA PB No. 210, Book I, Section 1. ↩
140. Bangsamoro Development Plan 2023-2028, Chapter 7. ↩
141. Republic Act No. 11054, Article XIII, Sections 24 and 27. ↩
142. Republic Act No. 11054, Article VII. ↩
143. Republic Act No. 11054, Article IX; BDP 2023-2028, Chapter 4. ↩
144. Republic Act No. 11054, Article XVI. ↩
145. BTA PB No. 210, Book I, Sections 11 and 14. ↩
146. BTA PB No. 210, Book II, Section 53; RA 9520, Article 53. ↩
147. BTA PB No. 210, Book II, Sections 72-73; RA 9520, Article 53. ↩
148. BTA PB No. 210, Book IV, Section 13. ↩
149. Bangsamoro Development Plan 2023-2028, Chapter 4. ↩
150. BTA PB No. 210, Book III, Section 19. ↩
151. Bangsamoro Development Plan 2023-2028, Chapter 7. ↩
152. BTA PB No. 210, Book IV, Section 5(a). ↩
153. BTA PB No. 210, Book III, Sections 14-15. ↩
154. BTA PB No. 210, Book III, Section 9(c)(2). ↩
155. Bangsamoro Development Plan 2023-2028, Chapter 7. ↩
156. Bangsamoro Development Plan 2023-2028, Chapter 7. ↩
157. Republic Act No. 11054, Article III, Section 3. ↩
158. Bangsamoro Development Plan 2023-2028, Chapter 7. ↩

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Appendices

The following appendices provide ready-to-use templates, checklists, and reference cards. Print them, photocopy them, and distribute them to your cooperative's officers and members. Every template has been adapted for Bangsamoro cooperatives – they include Shari'ah provisions where relevant and reference CSEA rather than CDA where appropriate.

Appendix A – Articles of Cooperation Templates by Type Complete multi-purpose AOC template with fill-in fields, plus guidance for adapting to credit, producer, consumer, agriculture, and worker cooperatives. Use alongside Chapter 4, Section 4.2.

Appendix B – Bylaws Template with Shari'ah Provisions Full bylaws template based on the CDA model, enhanced with Shari'ah committee establishment, riba prohibition, halal business requirements, and moral governance code provisions. Use alongside Chapter 4, Section 4.3.

Appendix C – Registration Documentary Checklist Complete checklist of every document required for CSEA registration, with format specifications, copy requirements, and common rejection reasons flagged inline. Use alongside Chapter 4, Section 4.4.

Appendix D – Compliance Calendar and Reporting Templates Month-by-month calendar of every compliance deadline from January through December, covering CAPR, CAFS, COC, General Assembly, board elections, and statutory fund allocations. Includes reporting template overviews. Use alongside Chapter 9.

Appendix E – Sample General Assembly and Board Meeting Templates Agenda templates, minutes formats, resolution forms, and attendance sheets for both General Assembly meetings and regular board meetings. Use alongside Chapter 5.

Appendix F – Financial Management Templates Budget worksheet, cash flow projection template, net surplus allocation worksheet, and statutory fund tracking sheet. Use alongside Chapter 7.

Appendix G – Training Needs Assessment and Plan Template Officer training tracker, annual education plan template, and training needs assessment form for the Education and Training Committee. Use alongside Chapter 10.

Appendix H – Quick Reference Cards Single-page reference cards for cooperative principles, officer duties, statutory fund allocation rules, member rights and responsibilities, and key RA 9520 provisions. Handy references for posting in your cooperative office.

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